

Please write clearly in block capitals.

Centre number

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Candidate number

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Surname

Forename(s)

Candidate signature

I declare this is my own work.

A-level BUSINESS

Paper 1 Business 1

Friday 22 May 2020

Morning

Time allowed: 2 hours

Materials

For this paper you must have:

- a calculator.

Instructions

- Use black ink or black ball-point pen.
- Fill in the boxes at the top of this page.
- Answer **all** questions in **Section A** and **Section B**.
- Answer **one** question from **Section C** and **one** question from **Section D**.
- You must answer the questions in the spaces provided. Do not write outside the box around each page or on blank pages.
- If you need extra space for your answer(s), use the lined pages at the end of this book. Write the question number against your answer(s).
- Do all rough work in this answer book. Cross through any work you do not want to be marked.

Information

- The marks for questions are shown in brackets.
- The maximum mark for this paper is 100.

For Examiner's Use	
Question	Mark
Section A	
16	
17	
18	
19	
20	
21	
22	
23	
24	
TOTAL	



J U N 2 0 7 1 3 2 1 0 1

Section AAnswer **all** questions in this section.Only **one** answer per question is allowed.

For each question completely fill in the circle alongside the appropriate answer.

CORRECT METHOD



WRONG METHODS



If you want to change your answer you must cross out your original answer as shown.



If you wish to return to an answer previously crossed out, ring the answer you now wish to select as shown.

**0 1**

'The process of transforming raw information into useful information that can support various activities of a business'.

The definition above most accurately describes

[1 mark]**A** data mining.☐**B** e-commerce.☐**C** enterprise resource planning.☐**D** gathering big data.☐**0 2**

Despite a significant increase in its sales revenue, a product's market share falls from 60% to 50%.

This product is a

[1 mark]**A** cash cow.☐**B** dog.☐**C** problem child/question mark.☐**D** star.☐

0 3

Statement 1: 'An increase in its level of capacity utilisation can help a business because it allows it more time for maintenance and repair of equipment.'

Statement 2: 'An increase in its level of capacity utilisation can help a business because it allows it to meet unexpected increases in demand.'

Read statements 1 and 2 and select the correct option from the following options.

[1 mark]

A Statement 1 is true. Statement 2 is true.

☐

B Statement 1 is true. Statement 2 is false.

☐

C Statement 1 is false. Statement 2 is true.

☐

D Statement 1 is false. Statement 2 is false.

☐

0 4

The table below shows data from a company's accounts.

Item	£ (million)
Cost of sales	4
Other expenses	3
Sales revenue	12
Taxation	2

The company's operating profit is

[1 mark]

A £3 million.

☐

B £5 million.

☐

C £6 million.

☐

D £8 million.

☐

Turn over ►



0 5

Statement 1: 'Lean production should reduce unit costs because it involves a business buying raw materials in greater bulk.'

Statement 2: 'Lean production should reduce unit costs because it reduces wastage of raw materials.'

Read statements 1 and 2 and select the correct option from the following options.

[1 mark]

A Statement 1 is true. Statement 2 is true.

☐

B Statement 1 is true. Statement 2 is false.

☐

C Statement 1 is false. Statement 2 is true.

☐

D Statement 1 is false. Statement 2 is false.

☐

0 6

The table below shows four possible scenarios.

Scenario	Managers' willingness to make internal changes	Likelihood of external changes in market
A	High	High
B	High	Low
C	Low	High
D	Low	Low

In which of these scenarios is strategic drift **least** likely to occur?

[1 mark]

A Scenario A

☐

B Scenario B

☐

C Scenario C

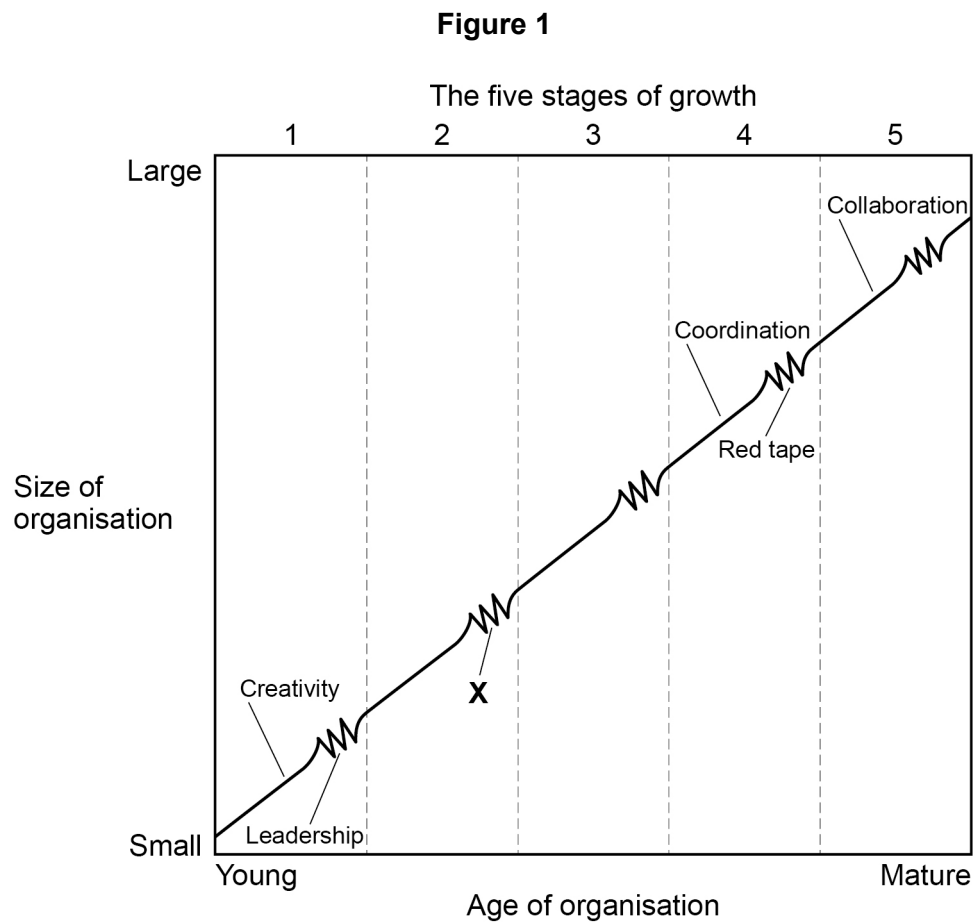
☐

D Scenario D

☐


0 7

Figure 1 shows Greiner's five stages of growth.



Point 'X' shows the crisis of

[1 mark]

- A** autonomy at the end of the delegation stage.
- B** autonomy at the end of the direction stage.
- C** control at the end of the delegation stage.
- D** control at the end of the direction stage.

☐
☐
☐
☐

Turn over ►



0 8

Which one of the following perspectives is **not** used by Kaplan and Norton's balanced scorecard?

[1 mark]

A Customer

☐

B External businesses

☐

C Financial

☐

D Learning and growth

☐

0 9

The table below shows the net annual return of an investment.

Year	Net return (£000s)
0	(1000)
1	500
2	900

After two years, the ARR (%) for this investment is

[1 mark]

A 90%

☐

B 70%

☐

C 40%

☐

D 20%

☐


1 0

The table below shows the two different management styles used by managers in four companies.

Company	Management styles
A	'Country club' and 'Impoverished'
B	'Produce or perish' and 'Team leader'
C	'Produce or perish' and 'Impoverished'
D	'Country club' and 'Team leader'

Which company is **most** likely to use a soft human resource management approach?

[1 mark]

A Company A

☐

B Company B

☐

C Company C

☐

D Company D

☐

1 1

Statement 1: 'External growth requires a business to integrate with another business that is located in a different country.'

Statement 2: 'Organic growth requires a business to use its own resources to expand its size.'

Read statements 1 and 2 and select the correct option from the following options.

[1 mark]

A Statement 1 is true. Statement 2 is true.

☐

B Statement 1 is true. Statement 2 is false.

☐

C Statement 1 is false. Statement 2 is true.

☐

D Statement 1 is false. Statement 2 is false.

☐

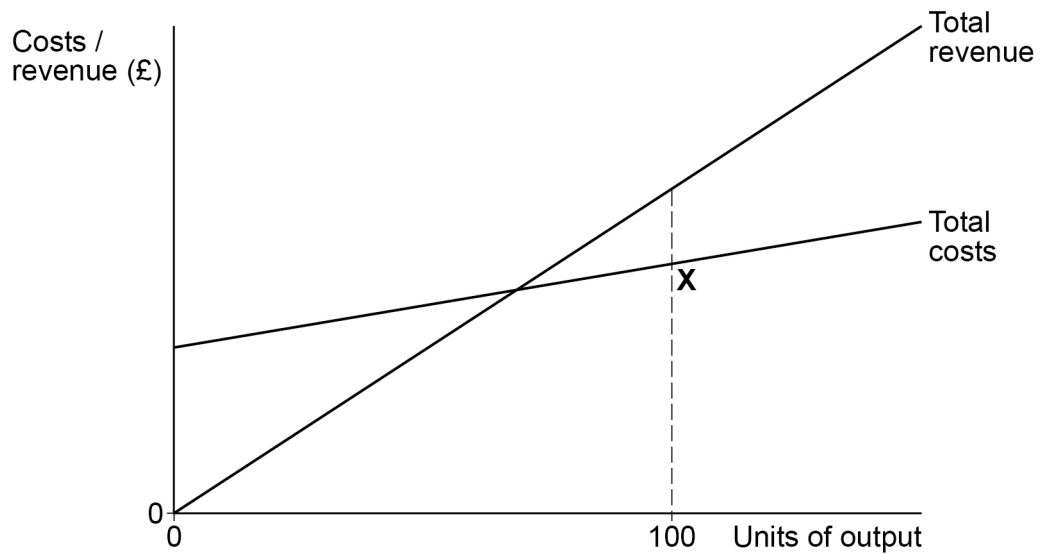
Turn over ►



1 2

The diagram below shows the original breakeven chart for a product.

Figure 2



The product's fixed costs then decrease and its variable costs per unit increase such that, at its current output of 100 units, the total costs are still the same, as shown by point X.

Which one of these statements is correct?

[1 mark]

- A** Its break-even output falls and its margin of safety increases.
- B** Its break-even output increases and its margin of safety falls.
- C** Its break-even output and its margin of safety remain the same.
- D** Its break-even output remains the same and its margin of safety increases.

☐
☐
☐
☐


1 3

A business's competitive advantage is based on innovation. Hofstede's national cultures model includes indices for uncertainty avoidance (UAI) and power distance (PD).

Based only on Hofstede's national cultures, this business would benefit most from locating in a country with

[1 mark]

A a high UAI index and a high PD index.

☐

B a high UAI index and a low PD index.

☐

C a low UAI index and a high PD index.

☐

D a low UAI index and a low PD index.

☐
1 4

Statement 1: 'Usually there is a negative correlation between changes in consumers' incomes and changes in the quantity demanded of a product.'

Statement 2: 'Usually there is a positive correlation between changes in the price of a competitor's product and changes in the quantity demanded of a product.'

Read statements 1 and 2 and select the correct option from the following options.

[1 mark]

A Statement 1 is true. Statement 2 is true.

☐

B Statement 1 is true. Statement 2 is false.

☐

C Statement 1 is false. Statement 2 is true.

☐

D Statement 1 is false. Statement 2 is false.

☐

Turn over for the next question

Turn over ►



1 5

A business sells four products.

The table below shows the price elasticity of demand and income elasticity of demand for the four products.

Product	Price elasticity of demand	Income elasticity of demand
A	-1.5	-1
B	-1.5	+1
C	-0.5	-1
D	-0.5	+1

A year ago, all four products had identical sales volumes. Since then, each product has had the same percentage cut in price and there has also been a fall in consumer incomes.

Which **one** of these products has the highest sales volume now?

[1 mark]

A Product A

☐

B Product B

☐

C Product C

☐

D Product D

☐

15



Section BAnswer **all** questions in this section.**1 6**

The table below shows a company's budgeted income and expenditure for 2019.

Income	£80 million
Expenditure	£70 million

At the end of the year the actual income and expenditure are as follows:

- income is 5% below the budgeted figure
- expenditure is 10% higher than the budgeted figure.

Calculate the profit variance and state whether it is adverse or favourable.

[4 marks]

4

Turn over for the next question**Turn over ►**

1 7

The data below relates to a factory.

- Capacity = 180 units per day
- Number of employees = 16
- Wages per day = £60 per employee
- Selling price of product = £15 per unit
- Capacity utilisation of factory = 80%

Assuming that all output is sold, calculate the factory's employee costs as a percentage of turnover.

[4 marks]

4



[9 marks]

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9

The table below shows the changes in the two efficiency ratios for Wilson PLC, 2018–2019.

Ratios	2018	2019
Receivables days	30	45
Payables days	38	43

Analyse the implications of these changes for Wilson PLC's cash levels.

[9 marks]

[illegible]

[9 marks]

[illegible]

9



Answer **either** Question 21 **or** Question 22.

Question 21 ○

Question

2	2	
---	---	---

			
---	---	---	---

2	1	'Limited liability benefits all stakeholders of a public limited company.'
---	---	--

Do you agree? Justify your view.

[25 marks]

OR

2 2 'The growth stage is the most challenging stage of the product life cycle for a business when managing its human resource flow.'

Do you agree? Justify your view.

[25 marks]

[illegible]

[illegible]

[illegible]

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[illegible]

[illegible]

[illegible]

25

Answer **either** Question 23 **or** Question 24.

Question **2** **3**

Question

2	4	
---	---	---



			
---	---	---	---

2	3
---	---

Do you agree? Justify your view.

[25 marks]

2	4
---	---

Will this lead to the business spending more on marketing and less on the operations function? Justify your view.

[25 marks]

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[illegible]

Extra space



[illegible]

[illegible]

[illegible]

25



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ANSWER IN THE SPACES PROVIDED**



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A-level **BUSINESS** **7132/1**

PAPER 1 BUSINESS

Mark scheme

June 2020

Version: 1.0 Final Mark Scheme

Mark schemes are prepared by the Lead Assessment Writer and considered, together with the relevant questions, by a panel of subject teachers. This mark scheme includes any amendments made at the standardisation events which all associates participate in and is the scheme which was used by them in this examination. The standardisation process ensures that the mark scheme covers the students' responses to questions and that every associate understands and applies it in the same correct way. As preparation for standardisation each associate analyses a number of students' scripts. Alternative answers not already covered by the mark scheme are discussed and legislated for. If, after the standardisation process, associates encounter unusual answers which have not been raised they are required to refer these to the Lead Examiner.

It must be stressed that a mark scheme is a working document, in many cases further developed and expanded on the basis of students' reactions to a particular paper. Assumptions about future mark schemes on the basis of one year's document should be avoided; whilst the guiding principles of assessment remain constant, details will change, depending on the content of a particular examination paper.

Further copies of this mark scheme are available from aqa.org.uk.

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Level of response marking instructions

Level of response mark schemes are broken down into levels, each of which has a descriptor. The descriptor for the level shows the average performance for the level. There are marks in each level.

Before you apply the mark scheme to a student's answer read through the answer and annotate it (as instructed) to show the qualities that are being looked for. You can then apply the mark scheme.

Step 1 Determine a level

Start at the lowest level of the mark scheme and use it as a ladder to see whether the answer meets the descriptor for that level. The descriptor for the level indicates the different qualities that might be seen in the student's answer for that level. If it meets the lowest level then go to the next one and decide if it meets this level, and so on, until you have a match between the level descriptor and the answer. With practice and familiarity you will find that for better answers you will be able to quickly skip through the lower levels of the mark scheme.

When assigning a level you should look at the overall quality of the answer and not look to pick holes in small and specific parts of the answer where the student has not performed quite as well as the rest. If the answer covers different aspects of different levels of the mark scheme you should use a best fit approach for defining the level and then use the variability of the response to help decide the mark within the level, ie if the response is predominantly level 3 with a small amount of level 4 material it would be placed in level 3 but be awarded a mark near the top of the level because of the level 4 content.

Step 2 Determine a mark

Once you have assigned a level you need to decide on the mark. The descriptors on how to allocate marks can help with this. The exemplar materials used during standardisation will help. There will be an answer in the standardising materials which will correspond with each level of the mark scheme. This answer will have been awarded a mark by the Lead Examiner. You can compare the student's answer with the example to determine if it is the same standard, better or worse than the example. You can then use this to allocate a mark for the answer based on the Lead Examiner's mark on the example.

You may well need to read back through the answer as you apply the mark scheme to clarify points and assure yourself that the level and the mark are appropriate.

Indicative content in the mark scheme is provided as a guide for examiners. It is not intended to be exhaustive and you must credit other valid points. Students do not have to cover all of the points mentioned in the Indicative content to reach the highest level of the mark scheme.

An answer which contains nothing of relevance to the question must be awarded no marks.

Marking guidance

- Be clear on the focus of the question.
- Read the response as a whole; follow the flow of the argument as a whole.
- Remember that the indicative content provides possible lines of argument but there may be others that are equally valid. Be willing to credit other lines of argument.
- Annotate the script as you read in accordance with the instructions given at standardisation.
- Consider what it all adds up to, eg is this a good response? A reasonable one? A limited one? Refer back to the standardisation scripts and guidance to help you benchmark. You are marking to the standard agreed at standardisation. Be careful of the standard you are marking at drifting when you have a big centre; refer back to standardisation scripts.
- Summarise your findings briefly at the end of the response. This will help you decide on the overall level and is helpful for others to understand the mark given, eg for an extended response 'well-argued' but does not focus fully on the issue of 'long term' feels as if it might be good rather than excellent. Make sure the comments fit with the level awarded: 'unbalanced and not comparing with alternative solutions' does not sound as if it is 'good'.
- Next to your comment put the level awarded, eg L4.
- If in doubt about an approach contact your Team Leader, do not make up your own rules because we must have a standardised approach across all marking. Be positive in your marking. Look to reward what is there.

ANNOTATIONS FOR MARK SCHEMES

K U	Knowledge and Understanding
AN	Analytical but lacks context
ARG	Argument
DEV	Developed argument
J	Judgement with support
NFF	Not Fully Focussed on the demands of the question
Bal	Balanced response, eg both sides acknowledged
Rng	Range of arguments, eg two arguments presented
BOD	Benefit of the Doubt
NAQ	Not answering the question
OFR	Own Figure Rule
SEEN	Seen
☒	TICK
☒	CROSS
☐	Txt Box
?	Unclear
Highlighter	Highlighter
[REP]	Repetition

The following should be used at the end of the response:

L1	L1
L2	L2
L3	L3
L4	L4
L5	L5

Section A

Objective Test Answers

Total for this section: 15 marks

Question number	Answer
1	A
2	D
3	D
4	B
5	C
6	B
7	B
8	B
9	D
10	D
11	C
12	A
13	D
14	C
15	A

Section B**1 6**

Calculate the profit variance and state whether it is adverse or favourable.

[4 marks]**Marks for this question: AO1 = 1 and AO2 = 3****Answer = £11 million - Adverse (4 marks)**Accept –£11m or (£11m) **(4 marks)**£11m or £11m - favourable **(3 marks)**

Broken down as follows:

Actual income = $80 \times 0.95 = 76$ **(1 mark)**Actual expenditure = $70 \times 1.1 = 77$ **(1 mark)**Budgeted profit = $80 - 70 = 10$ AND Actual profit = $76 - 77 = -1$ **(1 mark)**Budget variance = $-1 - 10 = \text{Adverse (or minus) } 11$, ie £11m **(1 mark)****OR**Actual income = $80 \times 0.95 = 76$ Variance = Adverse 4 **(2 marks)**Actual expenditure = $70 \times 1.1 = 77$ Variance = Adverse 7 **(1 mark)**Overall variance = Adv 7 + Adv 4 = Adverse 11, ie £11m **(1 mark)**

Credit other relevant approaches. OFR applies.

1	7	Assuming that all output is sold, calculate the factory's employee costs as a percentage of turnover.	[4 marks]
----------	----------	---	------------------

Marks for this question: AO1 = 2 and AO2 = 3

Answer = 44.4% (4 marks)

Accept 44% or 44.44%

Employee costs per day = £60 x 16 = £960 (1 mark)

Daily output = 0.8 x 180 = 144 units (1 mark)

Turnover = Output x Selling price = 144 x £15 = £2 160 (1 mark)

Employee costs as a percentage of turnover = £960/£2 160 x 100 = 44.4% (1 mark)

OFR if output of 180 used

OFR answer = 35.6% (3 marks)

Accept 35.5% or 35.55%

Employee costs per day = £60 x 16 = £960 (1 mark)

Daily output = 180 units (No marks)

Turnover = Output x Selling price = 180 x £15 = £2 700 (1 mark) OFR

Employee costs as a percentage of turnover = £960/£2 700 x 100 = 35.6%% (1 mark) OFR

Credit other relevant approaches.

1	8	Analyse how employing a more diverse workforce might increase the profit of a business.
		[9 marks]

Marks for this question: AO1 = 2, AO2 = 3 and AO3 = 4

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed and is applied effectively to the context.	7–9
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed and is applied to the context.	4–6
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development and with mainly descriptive application to the context.	1–3

The demands of this question are on:

- to understand the meaning of diversity in the context of human resources
- to explain how greater diversity might increase profit by reducing costs and/or to explain how greater diversity might increase profit by increasing revenue.

Indicative content:

- analysing how diversity should increase the number of applicants to jobs and thus enable a business to employ a more skilled workforce, leading to higher labour productivity and greater levels of innovation
- analysing how diversity might improve morale and thus reduce inefficiency and costs relating to high labour turnover
- analysing how a more diverse workforce might enhance revenue through the quality of the finished product or better customer service
- analysing how greater diversity can lead to a greater willingness for employees to supply their labour and thus enable a business to pay lower wages as supply may exceed demand
- showing how a more diverse workforce might have a better understanding of the diverse needs of the customer base, enabling the business to widen its customer base.

Note: the indicative content above may well be presented in the context of a particular example of diversity, such as the benefits of employing more people from different backgrounds or having more female managers.

1	9	Analyse the implications of these changes for Wilson PLC's cash levels.	[9 marks]
----------	----------	---	------------------

Marks for this question: AO1 = 2, AO2 = 3 and AO3 = 4

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: - demonstrates a depth and range of knowledge and understanding of issues in the question - demonstrates analysis which is well developed and is applied effectively to the context.	7–9
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: - demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question - demonstrates analysis which is developed and is applied to the context.	4–6
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: - demonstrates a limited range and depth of knowledge and understanding of issues in the question - demonstrates analysis with little development and with mainly descriptive application to the context.	1–3

The demands of this question are on:

- analysing how the data in the table might improve or worsen Wilson PLC's cash levels.

Indicative content:

- analysing that an increase in payables days will lead to slower payments to suppliers and thus will increase cash levels
- analysing that an increase in receivables days will lead to slower receipts of cash from customers and thus will decrease cash levels
- recognising that the change in receivables days is much greater than the change in payables days and so there is likely to be an overall decrease in cash levels.

Credit should also be given to students who argue that suppliers may refuse to supply if their receipts are delayed, thus causing possible problems for the business and worsening cash levels. Similarly, allowing receivables a longer time to pay may boost the business's sales and improve cash levels.

2	0	Analyse the problems that might arise for a small business from the growth of digital technology.	[9 marks]
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Marks for this question: AO1 = 2, AO2 = 3 and AO3 = 4

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed and is applied effectively to the context.	7–9
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed and is applied to the context.	4–6
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development and with mainly descriptive application to the context.	1–3

The demands of the question are on:

- examining how the growth of digital technology might cause problems for a small business.

Indicative content:

- the potentially high costs of digital technology may prevent small businesses from competing with larger businesses because they are likely to be using inferior technology
- larger businesses will be more able to use digital technology to reduce unit costs and gain a competitive advantage
- small businesses may find it difficult to update their digital technology as frequently as larger businesses and so customers might perceive their goods or services to be outdated or inferior
- larger businesses are more capable of using digital technology to improve their understanding of customer needs and will tend to have more specialist skills to attract new customers.
- smaller businesses may lack the resources and specialist skills needed to exploit techniques such as data mining and so they will be less able to understand customer wants and target customers with appropriate products and marketing
- a lack of finance may prevent smaller businesses from exploiting techniques such as enterprise resource planning (ERP).

Section C

2	1	'Limited liability benefits all stakeholders of a public limited company.'
		Do you agree? Justify your view.
		[25 marks]

25 mark evaluative questions: AO1 = 5, AO2 = 4, AO3 = 6 and AO4 = 10

Level	The student will typically demonstrate:	Marks
5	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding that is precise and well selected in relation to issues in the question • demonstrates analysis throughout which is well developed, is applied effectively to the context and considers a balanced range of the issues in the question • makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	21–25
4	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question • makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole.	16–20
3	A reasonable response overall that focuses on some demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question • makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	11–15
2	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question • makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	6–10

1	A weak response overall lacking focus on the demands of the question. Provides an answer to the question set that: • demonstrates isolated or imprecise knowledge and understanding • demonstrates undeveloped analysis with descriptive application to the context and lacking focus on the question • makes judgements or proposes solutions based on assertions.	1–5
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The demands of the question are on:

- the meaning of limited liability
- understanding its impact specifically on the owners/shareholders of a company
- analysing how the limiting of liability for owners might directly affect other stakeholders
- assessing the wider impact of limited liability on the financial strength of a business and its willingness to take risks
- evaluating the overall impact of limited liability on individual stakeholders and stakeholders as a group of interested parties.

Indicative content may include:

- explaining how limited liability can reduce risk for shareholders/owners, by limiting the sum of money they can lose
- recognising that shareholders can lose all of their investment in the business and have the lowest priority amongst stakeholders in terms of receiving funds from a company that goes into liquidation
- examining the impact on other stakeholders, if a business liquidates the other stakeholders may not receive money owed to them by the business
- recognising the stakeholder groups who are likely to have the greatest interest in this instance
- showing how different stakeholders might suffer losses to a different extent. For example, workers tend to be paid regularly and so may only lose their final wage payment, whilst suppliers may experience more significant losses, especially if they offered generous credit terms to the business. Banks and lenders might suffer significant losses, but not if they have possession of security for the loan
- more generically, limited liability has encouraged the development of large businesses and the inclination to take risks, leading to greater wealth in the economy and individual businesses
- this factor has generally been very positive for most stakeholders, as they have benefited financially from their involvement with limited liability businesses.

The extent to which limited liability might be beneficial (or not) to stakeholders will vary. For shareholders it is clearly advantageous, although it might encourage shareholders to put money into businesses despite having a limited understanding of its activities.

For all other stakeholders, limited liability can improve the risk of non-receipt of debts, although this can be balanced against its function as a creator of potential opportunities for stakeholders.

The importance of limited liability might vary according to market conditions. In a boom it will be much less relevant as it only applies to businesses going into liquidation.

2	2	'The growth stage is the most challenging stage of the product life cycle for a business when managing its human resource flow.' Do you agree? Justify your view. [25 marks]
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25 mark evaluative questions: AO1 = 5, AO2 = 4, AO3 = 6 and AO4 = 10

Level	The student will typically demonstrate:	Marks
5	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding that is precise and well selected in relation to issues in the question • demonstrates analysis throughout which is well developed, is applied effectively to the context and considers a balanced range of the issues in the question • makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	21–25
4	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question • makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole.	16–20
3	A reasonable response overall that focuses on some demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question • makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	11–15
2	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question • makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	6–10

1	A weak response overall lacking focus on the demands of the question. Provides an answer to the question set that: • demonstrates isolated or imprecise knowledge and understanding • demonstrates undeveloped analysis with descriptive application to the context and lacking focus on the question • makes judgements or proposes solutions based on assertions.	1–5
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The demands of the question are on:

- recognising the key features of the product life cycle
- understanding the different elements of the human resource flow
- analysing how the growth stage of the product life cycle places different demands on human resources in the context of the HR flow
- evaluating the level of challenge involved in managing HR flow at other stages of the product life cycle and comparing this challenge to the challenge of managing HR flow during the growth stage.

Indicative content may include:

- the growth stage will cause challenges to recruitment because it is likely to require significant increases in numbers of employees (and exact numbers of employees needed may be less certain than in other stages)
- training will be a possible challenge, although this will depend on whether the product requires new skills or high skill levels
- in itself, growth should have little impact on redeployment, but if the product is replacing a declining product then it is likely to be a challenge
- redundancy is unlikely to be an issue during growth.

Evaluation

The challenges above should be contrasted with those occurring during one or more of the other stages of the product life cycle:

- the introduction stage of the life cycle is likely to be challenging for the HR flow through the need to recruit, induct and train new staff, unless the new product is replacing an existing product which required similar skills and staff numbers
- in maturity the challenges will be arguably less than the other stages, unless sales volume is quite volatile in this stage. Extension strategies may lead to a requirement for retraining and possibly some redeployment
- decline is likely to provide the greatest challenge as it will probably require redundancy, a facet of HR flow that can be more challenging than the other elements. To limit redundancy, there may be redeployment and thus more training.

(Students may present their arguments by focusing on the different elements of HR flow – recruitment, induction and training, redeployment and redundancy and then linking each of these elements to the different stages of the product life cycle. This approach is also acceptable).

Overall evaluation

Logically, the growth stage is likely to create the greatest challenge for recruitment and training but the decline stage is likely to be the most serious single challenge, with the possibility of major redundancies. However, decline may be less problematic if the maturity stage has generated sufficient profit to finance changes such as redundancy. Financially, introduction may present the greatest HR flow challenges because the business will need to acquire finance from other products or external sources.

The degree of challenge will also be influenced by other factors, such as:

- the actions of competitors
- the external environment
- the profitability of the product
- the level of skills required by the labour force and the existing skills levels of the employees and local labour force.

Section D

2	3	'To achieve successful innovation, the level of spending on research and development is more important than the organisational culture of a business.' Do you agree? Justify your view. [25 marks]
---	---	---

25 mark evaluative questions: AO1 = 5, AO2 = 4, AO3 = 6 and AO4 = 10

Level	The student will typically demonstrate:	Marks
5	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding that is precise and well selected in relation to issues in the question • demonstrates analysis throughout which is well developed, is applied effectively to the context and considers a balanced range of the issues in the question • makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	21–25
4	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question • makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole.	16–20
3	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question • makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	11–15
2	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question • makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	6–10

1	A weak response overall lacking focus on the demands of the question. Provides an answer to the question set that: • demonstrates isolated or imprecise knowledge and understanding • demonstrates undeveloped analysis with descriptive application to the context and lacking focus on the question • makes judgements or proposes solutions based on assertions.	1–5
---	--	-----

The demands of the question are on:

- considering the factors that influence the level of innovation in a business
- analysing how the level of spending on research and development might achieve successful innovation
- analysing how the culture of a business might achieve successful innovation
- evaluating the extent to which R&D spending is a more important influence than business culture.

Indicative content may include:

- analysing how R&D can influence innovation
- analysing how business culture can influence innovation
- analysing situations in which R&D is most likely to lead to successful innovation, such as NPD and opportunities to acquire patents
- analysing different business cultures and their impact on innovation – for example, task culture is more likely to lead to innovation than role culture; person culture may be more successful than power culture in generating innovation.

Evaluation

The extent to which R&D may be more influential than the business's culture depends on a variety of factors, including:

- the nature of the product
- the skills and resources available to the R&D team
- actions of competitors and the competitiveness of the market
- the pace of change in a market
- the nature of the business's workforce
- the type of culture of a particular business and whether it is supportive of innovation
- overall, R&D is risky and so expenditure on R&D is not a guarantee of effective R&D.

Evaluation might also recognise that innovation, R&D and culture may be interlinked; a business with a culture that supports innovation will be more likely to spend money on R&D. If a business needs innovation to succeed it is likely to adopt a suitable culture and organise R&D to meet this need.

2	4	A business is changing from a strategic position of low cost to one of differentiation.
		Will this lead to the business spending more on marketing and less on the operations function? Justify your view.
		[25 marks]

25 mark evaluative questions: AO1 = 5, AO2 = 4, AO3 = 6 and AO4 = 10

Level	The student will typically demonstrate:	Marks
5	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding that is precise and well selected in relation to issues in the question • demonstrates analysis throughout which is well developed, is applied effectively to the context and considers a balanced range of the issues in the question • makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	21–25
4	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question • makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole.	16–20
3	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question • makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	11–15
2	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question • makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	6–10

1	A weak response overall lacking focus on the demands of the question. Provides an answer to the question set that: • demonstrates isolated or imprecise knowledge and understanding • demonstrates undeveloped analysis with descriptive application to the context and lacking focus on the question • makes judgements or proposes solutions based on assertions.	1–5
---	--	-----

The demands of the question are on:

- understanding the features and implications of strategic positioning and a change from low cost to differentiation
- analysing how low cost positioning is likely to impact on levels of spending on the operations and marketing functions
- analysing how differentiation is likely to impact on levels of spending on the operations and marketing functions
- assessing the extent to which there will need to be changes to these two functions and the overall implications for spending
- evaluating whether it is inevitable that spending will need to be shifted from operations management to marketing.

Indicative content may include:

Analysing how low cost positioning might be achieved and the impact on relevant functional budgets. If low cost is achieved through:

- new methods of production then the operations spending will need to be high
- new low-cost sources of supply or distribution, then this will influence the operations management spending (although it should lower it)
- new technology then operations spending is likely to be high initially and require higher costs for maintenance
- improvements in labour productivity then there may be lower spending on operations.

BUT

- if it is achieved through economies of scale this might require more extensive spending on marketing in order to increase customer numbers
- if it is achieved through barriers to entry this might be based on high marketing expenditure to create USPs etc.

Changing to differentiation will affect the functional areas in different ways, depending on how it is achieved:

- new product development can involve higher operations spending if it arises from R&D or higher marketing spending if it arises from market research
- after-sales service may require more operations spending and more customer support and so both functions may be affected, depending on the nature of the product
- better quality products will have implications for operations, if the product needs improvement, but will require more marketing if 'quality' is based on better image and brand awareness
- better design can also emanate from operations or marketing
- advertising and promotion can be the key driving forces behind differentiation and are thus likely to require larger spending on marketing.

Evaluation

The quality of evaluation will be assessed according to the balance of arguments used by the student. On balance, low cost strategies are more likely to focus on operations management with a much lower requirement for marketing spending, except where it is necessary to ensure that customers are aware of the low costs. In contrast, differentiation is more likely to require heavier expenditure on marketing (although without necessarily cutting the operations budget). However, the impact is very much dependent on the ways in which the two positions are attained by the business. The balance of probability suggests a shift of resources from operations to marketing.

Please write clearly in block capitals.

Centre number

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Candidate number

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Surname

Forename(s)

Candidate signature

I declare this is my own work.

A-level BUSINESS

Paper 2 Business 2

Monday 1 June 2020

Afternoon

Time allowed: 2 hours

Materials

For this paper you must have:

- a calculator.

Instructions

- Use black ink or black ball-point pen.
- Fill in the boxes at the top of this page.
- Answer **all** questions.
- You must answer the questions in the spaces provided. Do not write outside the box around each page or on blank pages.
- Do all rough work in this answer book. Cross through any work you do not want to be marked.

Information

- The marks for questions are shown in brackets.
- The maximum mark for this paper is 100.

For Examiner's Use

Question	Mark
1.1	
1.2	
1.3	
1.4	
2.1	
2.2	
2.3	
2.4	
3.1	
3.2	
3.3	
3.4	
TOTAL	



Answer **all** questions in the spaces provided.

0 1

Read the information below and then answer the questions that follow.

Drake Hotels PLC owns 20 budget hotels in the UK. Each one is located in a different city. The industry is very competitive and Drake's managers all have an objective to help the business to be as efficient as possible.

Drake Hotels PLC's operating profit for the financial year 2019–20 was £18 million. Last month the company appointed a new Chief Executive, Mary Myers, to increase the profitability of the business. Mary was previously the Marketing Manager of an upmarket hotel chain.

Mary is already considering an investment proposal for a luxury hotel in Oxford. This hotel would target overseas visitors who might want to visit the city. Drake Hotels has found a suitable building but needs to invest to develop it.

Appendix A Investment appraisal results for the proposed investment into a new hotel in Oxford (based on net inflows for first eight years).

Average rate of return	12% per year
Net Present Value	£25 million

Source: Chief Executive

Appendix B Sensitivity analysis for the new Oxford hotel investment proposal

Two possible changes in the economy that might affect the investment appraisal results in Appendix A	Estimated probability of this change happening
The value of the pound against other currencies is 10% higher than originally forecasted.	20%
The average GDP growth in overseas countries is 1.5% higher than originally forecasted.	30%

Source: Chief Executive

Appendix C Selected financial data for Drake Hotels PLC

	£ million as at 1 May 2020
Current assets	15
Current liabilities	18
Total equity	170
Non-current liabilities	280

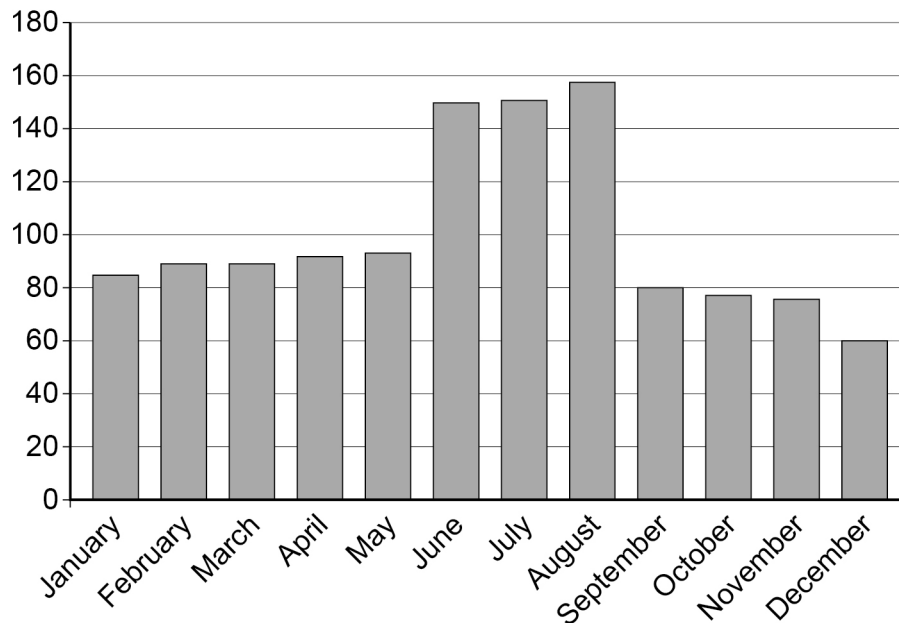


Appendix D Forecasted data for Drake Hotels PLC's new Oxford hotel investment proposal

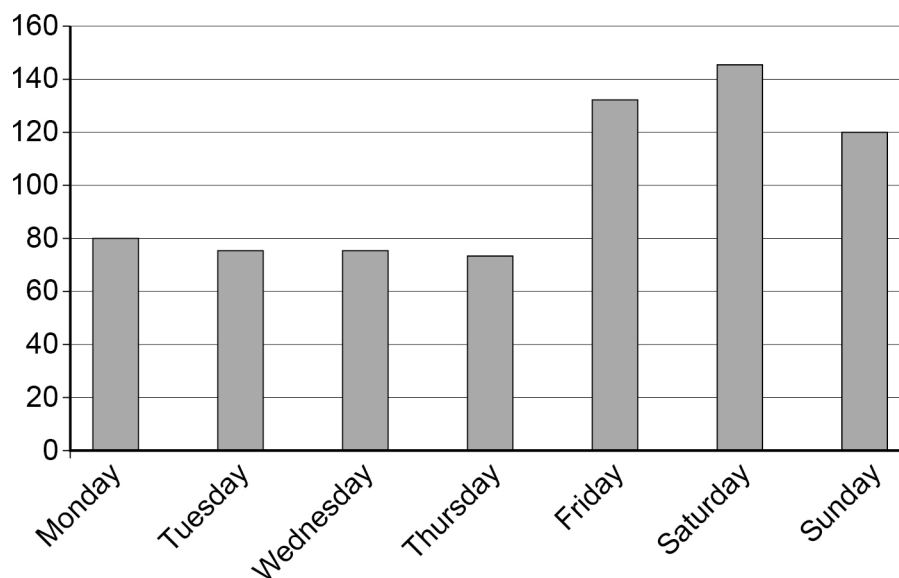
Initial investment required	£20 million
Estimated income elasticity of demand	+2
Percentage of customers visiting from overseas	70%
Estimated cost of borrowing for this investment	8% per annum

Appendix E Room bookings by month and day of the week in Drake Hotels PLC's budget hotels 2019

Index of sales of rooms booked per month
(average monthly bookings = 100)



Index of rooms booked by day of the week
(average daily bookings = 100)



Turn over ►



0 1 . 1

Using the data in **Appendix C**, calculate the following ratios for Drake Hotels PLC in 2020.

[6 marks]

Current ratio

Gearing ratio

6

0 1 . 2

Use **Appendix B** to explain **one** reason why Drake Hotels PLC has used sensitivity analysis for the investment proposal.

[4 marks]

4



[9 marks]

This image shows a single sheet of white paper with horizontal ruling lines. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.

9

Using the data, recommend whether Drake Hotels PLC should go ahead with the proposed investment. Justify your answer.

[illegible]

Extra space



0 2

Read the information below and then answer the questions that follow.

Nari

Nari is a mobile phone manufacturer based in Asia. Although its brand name is not as strong as the Apple iPhone, Nari's phones sell at much lower prices which make them competitive. Nari adds new features to its phones and develops new models every few months. The company has an objective of 95% of sales from products launched in the last year. It has relatively low profit margins but high sales volumes.

To win business, Nari promises the retailers that sell its phones a lead time of 48 hours; any delay results in a major discount for the retailers on the products they have ordered.

To achieve low prices and still be profitable, the company focuses on being more efficient than its rivals. The company has a 'Just in Time' approach to manufacturing. It has a global supply chain with hundreds of different suppliers of components based in more than 50 countries. These components are delivered using a variety of transportation methods every few hours from all over the world to its assembly factories in China.

Some of Nari's suppliers have factories based in emerging economies. The managers of a number of these suppliers use Taylor's motivation theory to motivate their employees.

The company invests heavily in projects to help local communities where it is based. It contributes some of its profits every year to charities and provides significant finance for initiatives to protect the environment.

Nari has recently experienced protectionism in its European markets as governments have limited the number of phones it can sell in their countries.

Regional breakdown of Nari's global sales in 2019

	%
USA	5
Asia	55
Europe	30
Rest of the world	10



[3 marks]

[5 marks]

[illegible]

3

5

[9 marks]

This image shows a single sheet of white paper with horizontal ruling lines. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.

9



The managers of a number of Nari's suppliers use Taylor's motivation theory when motivating their employees.

To what extent do you think using Taylor's theory would be a good way for **all businesses** to motivate their employees?

[16 marks]

[illegible]

Turn over ►



[illegible]

[illegible]

Turn over ►



0 3

Read the information below and then answer the questions that follow.

Zani

Zani PLC is a jewellery retailer. Its products include rings, necklaces and bracelets that are made with precious metals and gemstones. Zani PLC has a strong brand reputation for unique designs. The company targets high-income earners. The price elasticity of demand for Zani PLC's products is estimated to be -0.4 .

Zani PLC was established in 2005 by Ted Zani. Ted had previously worked for a big multinational jewellery business but left because he wanted to be his own boss. He set up the business with venture capital. In its early years, with Ted in charge, the company had a power culture (according to Handy's model). Shareholders felt a change of culture was necessary as the business got bigger and so Ted was replaced as Chief Executive in 2013.

Zani PLC set up 16 of its own stores in its first eight years. The company has continued to grow since then by selling 150 franchises around the world.

0 3 . 1

What is meant by venture capital?

[2 marks]

2

[5 marks]

[illegible]

5

Turn over ►



[9 marks]

This image shows a blank sheet of white paper with horizontal ruling lines. The lines are evenly spaced and extend across the width of the page. There are no margins, text, or other markings on the paper.

9



[16 marks]

[illegible]

[illegible][illegible]

[illegible]

16



There are no questions printed on this page

*Do not write
outside the
box*

**DO NOT WRITE ON THIS PAGE
ANSWER IN THE SPACES PROVIDED**

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IB/G/Jun20/7132/2

A-level
BUSINESS
7132/2
PAPER 2 BUSINESS 2

Mark scheme

June 2020

Version: 1.0 Final Mark Scheme

Mark schemes are prepared by the Lead Assessment Writer and considered, together with the relevant questions, by a panel of subject teachers. This mark scheme includes any amendments made at the standardisation events which all associates participate in and is the scheme which was used by them in this examination. The standardisation process ensures that the mark scheme covers the students' responses to questions and that every associate understands and applies it in the same correct way. As preparation for standardisation each associate analyses a number of students' scripts. Alternative answers not already covered by the mark scheme are discussed and legislated for. If, after the standardisation process, associates encounter unusual answers which have not been raised they are required to refer these to the Lead Examiner.

It must be stressed that a mark scheme is a working document, in many cases further developed and expanded on the basis of students' reactions to a particular paper. Assumptions about future mark schemes on the basis of one year's document should be avoided; whilst the guiding principles of assessment remain constant, details will change, depending on the content of a particular examination paper.

Further copies of this mark scheme are available from aqa.org.uk.

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Level of response marking instructions

Level of response mark schemes are broken down into levels, each of which has a descriptor. The descriptor for the level shows the average performance for the level. There are marks in each level.

Before you apply the mark scheme to a student's answer read through the answer and annotate it (as instructed) to show the qualities that are being looked for. You can then apply the mark scheme.

Step 1 Determine a level

Start at the lowest level of the mark scheme and use it as a ladder to see whether the answer meets the descriptor for that level. The descriptor for the level indicates the different qualities that might be seen in the student's answer for that level. If it meets the lowest level then go to the next one and decide if it meets this level, and so on, until you have a match between the level descriptor and the answer. With practice and familiarity you will find that for better answers you will be able to quickly skip through the lower levels of the mark scheme.

When assigning a level you should look at the overall quality of the answer and not look to pick holes in small and specific parts of the answer where the student has not performed quite as well as the rest. If the answer covers different aspects of different levels of the mark scheme you should use a best fit approach for defining the level and then use the variability of the response to help decide the mark within the level, ie if the response is predominantly level 3 with a small amount of level 4 material it would be placed in level 3 but be awarded a mark near the top of the level because of the level 4 content.

Step 2 Determine a mark

Once you have assigned a level you need to decide on the mark. The descriptors on how to allocate marks can help with this. The exemplar materials used during standardisation will help. There will be an answer in the standardising materials which will correspond with each level of the mark scheme. This answer will have been awarded a mark by the Lead Examiner. You can compare the student's answer with the example to determine if it is the same standard, better or worse than the example. You can then use this to allocate a mark for the answer based on the Lead Examiner's mark on the example.

You may well need to read back through the answer as you apply the mark scheme to clarify points and assure yourself that the level and the mark are appropriate.

Indicative content in the mark scheme is provided as a guide for examiners. It is not intended to be exhaustive and you must credit other valid points. Students do not have to cover all of the points mentioned in the Indicative content to reach the highest level of the mark scheme.

An answer which contains nothing of relevance to the question must be awarded no marks.

Marking guidance

- Be clear on the focus of the question.
- Read the response as a whole; follow the flow of the argument as a whole.
- Remember that the indicative content provides possible lines of argument but there may be others that are equally valid. Be willing to credit other lines of argument.
- Annotate the script as you read in accordance with the instructions given at standardisation.
- Consider what it all adds up to, eg is this a good response? A reasonable one? A limited one? Refer back to the standardisation scripts and guidance to help you benchmark. You are marking to the standard agreed at standardisation. Be careful of the standard you are marking at drifting when you have a big centre; refer back to standardisation scripts.
- Summarise your findings briefly at the end of the response. This will help you decide on the overall level and is helpful for others to understand the mark given, eg for an extended response 'well-argued' but does not focus fully on the issue of 'long-term' feels as if it might be good rather than excellent. Make sure the comments fit with the level awarded: 'unbalanced and not comparing with alternative solutions' does not sound as if it is 'good'.
- Next to your comment put the level awarded, eg L4.
- If in doubt about an approach contact your Team Leader, do not make up your own rules because we must have a standardised approach across all marking. Be positive in your marking. Look to reward what is there.

Annotations Key

AO linked:

KU Knowledge and Understanding	
AN Analysis without context	
DEV Developed argument	
BAL Balance of arguments	
RNG Range of arguments (will have to be in a comment box)	
Eval Judgement/Evaluation	

General

? Question mark - uncertain	
Tick Correct point	
Cross Incorrect	
BOD Benefit of Doubt	
LF / NFF Losing Focus / Not Fully Focused	
NAQ Not answered question	
OFR Own figure rule –	
REP Repetition -	

SEEN Indicates that the point has been noted, but no credit has been given



Highlighter High-lighter tool – use to emphasise particular sections

Free text box – use this for making comments at end of sections/answers. It is expected that examiners will make comments outlining/summarising marking decisions as appropriate.

0	1	.	1	Using the data in Appendix C , calculate the following ratios for Drake Hotels PLC in 2020.	
					[6 marks]

Marks for this question: AO1 = 2, AO2= 4

Current ratio

0.83:1 or 0.83 (**3 marks**)

3 marks for correct answer

1 mark for correct selection of current asset £15m

1 mark for correct selection of current liabilities £18m

Formula alone = **1 mark**

Gearing

62.22% (**3 marks**)

3 marks for correct answer

1 mark for correct selection of non-current liabilities £280m

1 mark for correct calculation of capital employed £450m

Formula alone = **1 mark**

OFR applies.

0	1	2	Use Appendix B to explain one reason why Drake Hotels PLC has used sensitivity analysis for the investment proposal.	[4 marks]
----------	----------	----------	--	------------------

Marks for this question: AO1 = 2, AO2 = 2

Level	The student will typically demonstrate:	Marks
3	A reasonable response overall that focuses on many of the demands of the question. Explains one reason why Drake Hotels uses sensitivity analysis for this investment proposal.	4
2	A reasonable response overall that focuses on some of the demands of the question. Explains one reason why a business might use sensitivity analysis when making a decision.	3–2
1	A limited response overall that focuses on a few demands of the question. Some understanding of the sensitivity analysis.	1

The demands of the question are:

- explain one reason sensitivity analysis
- is used by Drake Hotels for this investment proposal.

Indicative content:

- sensitivity analysis considers what would happen if there were changes in the initial assumptions behind a calculation
- in this case the business is considering the effect of a change in exchange rates or overseas income which would change the likely net inflows and therefore change the expected values of ARR and net present value.

0	1	3	Analyse the challenges the Human Resource manager faces as a result of the patterns of room bookings in Appendix E .	[9 marks]
----------	----------	----------	---	------------------

Marks for this question: AO1 = 2, AO2 = 3, AO3 = 4

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: - demonstrates a depth and range of knowledge and understanding of issues in the question - demonstrates analysis which is well-developed and is applied effectively to the context.	7–9
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: - demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question - demonstrates analysis which is developed and is applied to the context.	4–6
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: - demonstrates a limited range and depth of knowledge and understanding of issues in the question - demonstrates analysis with little development and with mainly descriptive application to the context.	1–3

The demands of the question are:

- to analyse challenges the Human Resources manager might face
- as a result of the patterns of room bookings in Appendix E.

Indicative content:

- the data in Appendix E shows that room bookings vary throughout the year; the business is seasonal as you might expect for a hotel
- this seasonality will affect the HR manager because staffing levels will need to vary. HR may want to employ people on temporary contracts (eg only over summer) so that the hotel is not committed to salaries when staff are not needed. The challenge will be to recruit people at certain times of the year
- the data also shows variation during a week. To match demand requirements the challenges for the HR manager will be to vary the labour requirement; in this case wanting part time staff on Friday and Saturdays
- challenges might include getting well trained staff for short periods of time; getting employee engagement if only there for part of the week or part of the year.

Allow other relevant arguments.

0	1	4	Using the data, recommend whether Drake Hotels PLC should go ahead with the proposed investment. Justify your answer.	[16 marks]
---	---	---	---	------------

Marks for this question: AO1 = 2, AO2 = 3, AO3 = 4, AO4 = 7

Level	The student will typically demonstrate:	Marks
4	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: - demonstrates a depth and range of knowledge and understanding that is precise and well-selected in relation to issues in the question - demonstrates analysis throughout which is well-developed, is applied effectively to the context and considers a balanced range of the issues in the question - makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	13–16
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: - demonstrates a depth and range of knowledge and understanding of issues in the question - demonstrates analysis which is well-developed, applied effectively to the context and considers a range of issues in the question - makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole throughout.	9–12
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: - demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question - demonstrates analysis which is developed, applied to the context and considers some of the issues in the question - makes judgements or provides solutions which are built on analysis, but lack balance and not fully focused on the question as a whole.	5–8
1	A limited response overall with little focus on the demands of the question Provides an answer to the question set that: - demonstrates a limited range and depth of knowledge and understanding of issues in the question - demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question - makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	1–4

The demands of the question are:

- use the data to analyse arguments for and against the proposed investment
- to recommend whether Drake Hotels should go ahead with the proposed investment into the new hotel.

Indicative content:

- the hotel has a 12% ARR which is higher than the cost of borrowing (8%) and much higher than its current ROCE (profit is £18m; Capital employed £450 m; ROCE 4%)
- the project has a positive NPV showing that the present value of its discounted returns are higher than the initial costs
- there is a 30% probability of income overseas being even higher which, given that demand is income elastic (+2) and that 70% of customers are from overseas, would benefit the hotel
- Mary has experience of upmarket (luxury) hotels; she was brought in to increase profitability and this seems to achieve this objective.

However, need to consider:

- finance - gearing is already relatively high at 62.2% and if the business borrowed an additional £20m this would rise
- there is 20% of an unfavourable exchange rate change which would probably decrease overseas visitors and reduce the returns
- move from budget to premium; will this cause an issue with branding and perception?
- quality of data- is the new Chief Executive eager to show they have a good plan? Mary's background is marketing; need to ensure the financial data is right.

Overall, there seems a very strong case for the new hotel; there are finance issues but if forecasts are right the returns will cover interest payments. We may just want to check her/his projections before finally deciding.

Accept other relevant answers.

Own figure rule in relation to use of ratios.

0	2	1	Nari operates on the highest level of Carroll's Corporate Social Responsibility pyramid. Explain how the information provided supports this view. [3 marks]
----------	----------	----------	--

Marks for this question: AO1 = 1, AO2 = 1, AO4 = 1

Carroll's social responsibility pyramid has four levels: economic, legal, ethical and philanthropic.

The highest level is the philanthropic level (**1 mark**).

Because this involves a desire to invest in society/communities (**1 mark**).

Which Nari wants to do by contributing to charities /its environment (**1 mark**).

0	2	2	Nari is experiencing protectionism in its European markets. Explain how Nari's marketing managers might respond to this protectionism. [5 marks]
----------	----------	----------	---

Marks for this question: AO1 = 2, AO2 = 3

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. eg explain how Nari's marketing managers might respond to the protectionism it faces (which limits the quantity of sales).	4–5
2	A reasonable response overall that focuses on some of the demands of the question. eg provides some explanation of how a business might respond to protectionism.	2–3
1	A limited response that focuses on few demands of the questions. eg shows understanding of protectionism.	1

The demands of the question are:

- to explain how Nari's marketing managers
- might respond to the protectionism it faces its European markets.

Note: the protectionism Nari faces limits the quantity of sales.

Indicative content/answers may include:

- marketing managers may seek to develop new markets for its products. It has a relatively high proportion of its sales in Asia so may try to build on existing brand awareness and promote more or develop existing distribution channels, eg with more promotional spending
- alternatively Nari 's marketing managers might target some regions where it has a low presence and invest in brand building and building a distribution network
- within the European markets it may focus on its higher profit margin products so it makes more profit from the limited number of sales.

Accept other relevant arguments.

0	2	3	Nari uses a 'Just in Time' approach to manufacturing.
			Analyse the ways in which this might affect Nari's profits.
			[9 marks]

Marks for this question: AO1 = 2, AO2 = 3, AO3 = 4

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: - demonstrates a depth and range of knowledge and understanding of issues in the question - demonstrates analysis which is well-developed and is applied effectively to the context.	7–9
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: - demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question - demonstrates analysis which is developed and is applied to the context.	4–6
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: - demonstrates a limited range and depth of knowledge and understanding of issues in the question - demonstrates analysis with little development and with mainly descriptive application to the context.	1–3

The demands of the question are:

- to analyse ways in which 'Just in Time'
- might affect Nari's profits.

Answers may include:

- 'Just in Time' production involves holding minimal levels of inventory
- this can be more efficient, eg less warehousing costs, less security costs and less danger of inventory becoming obsolete given the regular updates to the phones. This could help Nari in its drive to have low costs so it can undercut Apple. Low costs seem to be very significant to this business with profit margins of just 5%. Greater efficiency may help margins and overall profits
- 'Just in Time' means the company is not left with inventory which may not sell; it updates and develops new models regularly so won't want to hold large amounts of inventory that could go out of date. This can mean there is less wastage and higher profits
- it may mean Nari could have production issues if there are problems with supplies. Nari works with suppliers based in more than 50 countries to managing the logistics is complex and supplies will be vulnerable to delivery delays due to, eg transport problems. This could lead to production problems and less sales and profits
- there is a danger of not having inventory for retailers and having to discount the phones reducing already low profit margins
- less likely to benefit from purchasing economies of scale, increasing unit costs and reducing profits.

0	2	4	The managers of a number of Nari's suppliers use Taylor's motivation theory when motivating their employees. To what extent do you think Taylor's theory would be a good way for all businesses to motivate their employees? [16 marks]
----------	----------	----------	---

Marks for this question: AO1 = 2, AO2 = 3, AO3 = 4, AO4 = 7

Level	The student will typically demonstrate:	Marks
4	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding that is precise and well-selected in relation to issues in the question • demonstrates analysis throughout which is well-developed, is applied effectively to the context and considers a balanced range of the issues in the question • makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	13–16
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well-developed, applied effectively to the context and considers a range of issues in the question • makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole throughout.	9–12
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question • makes judgements or provides solutions which are built on analysis, but lack balance and not fully focused on the question as a whole.	5–8
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question • makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	1–4

The demands of the question are:

- to judge whether using Taylor's theory is a good way of motivating employees
- for **all** businesses.

Indicative content:

Taylor was the founder of Scientific Management and the economic man approach. This approach assumed people were motivated by money.

Whether this approach would be appropriate would depend on:

- whether people are motivated by money, eg what stage of Maslow's hierarchy are they at?
- whether the business can clearly link payment to output; is a piece rate system feasible and desirable?

This approach will be more appropriate when employees have certain needs, eg basic physiological v higher level self-actualisation needs, but will not be a good way for all businesses. In some situations different types of reward such as effective job design will be better motivators.

Further guidance

- There is no need for a response to refer to any specific businesses. The evaluation can make a judgement on the conditions under which Taylor's approach may be a good way to motivate employees.
- This question asks whether Taylor's approach is a good way not whether it is the best way. A response can focus on Taylor's approach; it does not need to compare with alternative approaches. A response that focuses on other approaches to motivation without linking back to whether Taylor's approach is good, is not focused on this question. However, it would be valid to consider situations when Taylor's approach would not work and others might.

0	3	1	What is meant by venture capital?	[2 marks]
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Marks for this question: AO1 = 2

Venture capital is a form of financing typically provided to small, start up or growing businesses that are potentially high risk but have high growth potential.

2 marks clear understanding.

1 mark some understanding.

0	3	2	Explain one reason why Zani PLC's shareholders wanted to change the power culture at the company.	[5 marks]
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Marks for this question: AO1 = 2, AO2 = 3

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. eg explain one reason why Zani's shareholders wanted to change the power culture.	4–5
2	A reasonable response overall that focuses on some of the demands of the question. eg explains one problem of power culture.	2–3
1	A limited response that focuses on few demands of the questions. eg shows understanding of power culture.	1

The demands of the question:

- to explain one reason why Zani's shareholders wanted to change the power culture.

Indicative content/Answers may include:

- a power culture occurs when there is a large focus on those at the centre of the organisation - they are seen as key decision makers
- the shareholders wanted to change because it limits growth because there is more pressure on those at the centre to make decisions; they can struggle to make decisions quickly as more decisions are required. This can delay decision making. In this case Ted may have wanted to keep control himself but that becomes increasingly difficult as the business grows and he would need to delegate to others.
- shareholders might want this to lead to greater returns in terms of dividends or share price/value.

Accept other relevant answers.

0	3	3	The price elasticity of demand for Zani PLC's products has a value of -0.4 . Analyse reasons why the price elasticity of demand for Zani PLC's products might have this value. [9 marks]
----------	----------	----------	---

Marks for this question: AO1 = 2, AO2 = 3 and AO3 = 4

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: - demonstrates a depth and range of knowledge and understanding of issues in the question - demonstrates analysis which is well-developed and is applied effectively to the context.	7–9
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: - demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question - demonstrates analysis which is developed and is applied to the context.	4–6
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: - demonstrates a limited range and depth of knowledge and understanding of issues in the question - demonstrates analysis with little development and with mainly descriptive application to the context.	1–3

The demands of the question are:

- to analyse reasons why the price elasticity of demand for Zani's products might have this value.

Indicative content:

- the price elasticity of demand measures how sensitive demand is to price changes -0.4 means that demand is price inelastic ie a % change in price leads to a smaller change in quantity demanded
- the negative answer shows that an increase in price reduces the quantity demanded.

Zani's products may have this value because:

- as price increases customers switch to alternative products (hence negative answer)
- they are targeting high income customers and therefore price changes may have not be as significant in terms of their overall income compare to low income individuals
- the brand is well known and premium; people may be less sensitive to price because they want to be associated with this brand.

Further guidance

This question does not focus on the implications of demand being price inelastic; it focuses on why it is price inelastic.

Accept other relevant arguments.

0	3	4	Zani PLC has grown by selling franchises.
			To what extent is selling franchises a good way for any business to grow? [16 marks]

Marks for this question: AO1 = 2, AO2 = 3, AO3 = 4, AO4 = 7

Level	The student will typically demonstrate:	Marks
4	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: - demonstrates a depth and range of knowledge and understanding that is precise and well-selected in relation to issues in the question - demonstrates analysis throughout which is well-developed, is applied effectively to the context and considers a balanced range of the issues in the question - makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	13–16
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: - demonstrates a depth and range of knowledge and understanding of issues in the question - demonstrates analysis which is well-developed, applied effectively to the context and considers a range of issues in the question - makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole throughout.	9–12
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: - demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question - demonstrates analysis which is developed, applied to the context and considers some of the issues in the question - makes judgements or provides solutions which are built on analysis, but lack balance and not fully focused on the question as a whole.	5–8
1	A limited response overall with little focus on the demands of the question Provides an answer to the question set that: - demonstrates a limited range and depth of knowledge and understanding of issues in the question - demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question - makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	1–4

The demands of the question are:

- to judge the extent to which selling franchises is a good way
- for **any business** to grow.

Answers may include:

A franchise occurs when one business sells the rights to another to sell its products.

Whether this is a good way to grow depends on:

- how much the franchisee pays for the franchise and the proportion of earnings paid to the franchisor
- how fast the business wants to grow; franchising can be a way of growing fast as less funds are required by the franchisor
- the quality of the franchisee (which depends on the recruitment and selection process)
- how well managed and controlled the franchisees are, this will affect the risk of a franchisee damaging the overall brand if quality is poor or mistakes are made. If managers want to keep more control of their business they might want to grow organically not through external growth
- may work well for some businesses more than others, eg if there is a clear system in terms of what is produced or how it is produced; or is it easily repeated successfully in different areas?
- may depend on the strength of the brand.

Further guidance:

- the question asks whether this a good way for any business to grow. A response does not need to refer to specific businesses; it may make a judgement based on the conditions under which franchises are used
- the question asks whether this is a good way to grow not the “best”. A response does not need to consider other ways of growing; if it does consider other ways the focus must be on why this does or does not make franchising a good form of growth. A response that focuses on other ways of growing is not focused on the question.

A-level **BUSINESS**

Paper 3 Business 3

Insert

Source 1: Sunport PLC

Background

Sunport PLC is a multinational company, manufacturing and selling various consumer goods, focused on household cleaning, personal care and foods. The business has manufacturing facilities in 85 countries and it sells in nearly 200 international markets, with its Head Office in the UK. The business has seen great success under Chief Executive Martin Smith. This included fighting off a takeover bid from a major rival. Success was recognised with substantial bonus payments to the senior managers in the form of shares in the business.

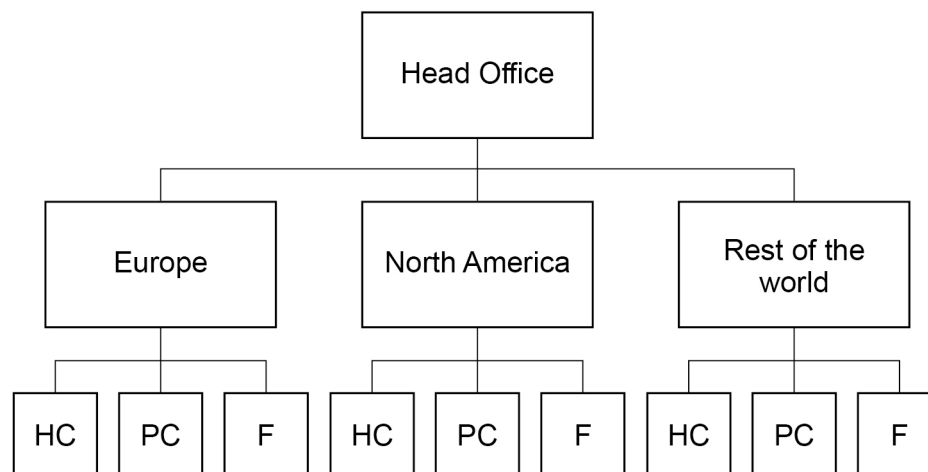
A socially responsible PLC

During his 10 years in charge, Martin committed the business to a socially responsible approach. He championed the need to act responsibly to all stakeholder groups, arguing that forming effective long-term relationships would increase profits. Martin was particularly keen to encourage relationships with suppliers who shared Sunport PLC's values. This allowed a joint approach to new product development and reliable deliveries from loyal suppliers.

Some shareholders questioned Martin's approach, claiming he spent more time attending conferences about climate change than increasing profit for the business. Although dividend payments fluctuated, the company's share price rose consistently. Recent financial results are shown in **Appendix A**.

Organisational structure

The company's organisational structure is split into three regions. Each of these regions is then split according to three product-based divisions of Household Cleaning (HC), Personal Care (PC) and Food (F).



This structure is designed to allow regional variations to be addressed as the company's market research (see **Appendix B**) has shown major differences between the global regions. Martin's leadership style involved delegating decision-making to a local level. This allowed staff, within each region, to select the right suppliers and develop their own marketing mix. Head Office has always provided a clear mission for the company as a whole, allowing Martin to spread his vision of a socially responsible business throughout the organisation.

Balanced Scorecard

The company's use of Kaplan and Norton's Balanced Scorecard has been credited with contributing to its success. The performance of every business division is assessed from four perspectives (see **Appendix D**). This has allowed the business to avoid short-termism in its approach to decision-making.

30

A new boss

Martin Smith retired at the end of 2019. He has been replaced by Elaine Filer, Sunport PLC's former Chief Finance Officer. Elaine has a reputation as a leader who makes decisions herself and then tells managers what to do. She is expected to drive through a strategic change focused on increasing profit margins throughout the business. Her view is that personal care is the most successful division in Europe. Elaine wants every division in the business to achieve an operating profit margin of 12%. This should help to please a small group of unhappy shareholders who are concerned that the company's returns could be higher if the senior managers prioritised profit over other social responsibilities.

35

40

A strategy for the future

Although the company is not expected to abandon its socially responsible approach, Elaine has announced her intention to introduce cost reduction measures including:

- centralising decision-making at Head Office, which would remove some duplicated activities, such as the selection of suppliers
- changing to cheaper suppliers
- reducing spending on initiatives designed to improve the company's environmental performance, including abandoning the company's current aim of only using recyclable materials in its packaging.

45

Appendix A Sunport PLC selected financial results

	2016	2017	2018	2019
Sales turnover (£bn)	48	51	52	54
Operating profit (£bn)	4.6	4.5	4.8	5.1

Average operating profit margin of major rivals in 2019 = 12%

Appendix B Sunport PLC market research data on food buying in various regions (2020)

	Three most important issues for food shoppers			Index of Sunport PLC's food prices (Europe = 100)
	First	Second	Third	
Europe	Taste	Recyclable packaging	Value for money	100
North America	Branding	Speed of preparation	Taste	118
Rest of the world	Value for money	Taste	Branding	84

Appendix C Quotes from a recent article on the global food industry in a business magazine

‘food manufacturers who have centralised manufacturing facilities have found any economies of scale in production are cancelled out by increased transport costs’

‘transporting food products long distances is very expensive as products can be bulky, fragile, perishable or require refrigeration’

Appendix D Selected data for Sunport PLC – European region, 2019

Perspective	Measure	Household cleaning	Personal care	Food
Financial	Operating profit margin (%)	9.7	12.2	8.8
Learning and growth	Staff retention (%)	88	74	76
	% of employees who are proud to work for Sunport PLC	90	65	85
Internal processes	% of recyclable materials used in packaging	100	55	85
	New products in development	12	10	12
Customers	% of customers who would recommend Sunport PLC products to a friend	90	80	75

END OF SOURCE





Please write clearly in block capitals.

Centre number

--	--	--	--	--

Candidate number

--	--	--	--

Surname

Forename(s)

Candidate signature

I declare this is my own work.

A-level BUSINESS

Paper 3 Business 3

Friday 5 June 2020

Morning

Time allowed: 2 hours

Materials

For this paper you must have:

- a calculator
- the Insert.

Instructions

- Use black ink or black ball-point pen.
- Fill in the boxes at the top of this page.
- Answer **all** questions.
- You must answer the questions in the spaces provided. Do not write outside the box around each page or on blank pages.
- Do all rough work in this answer book. Cross through any work you do not want to be marked.

Information

- The marks for questions are shown in brackets.
- The maximum mark for this paper is 100.

For Examiner's Use

Question	Mark
1	
2	
3	
4	
5	
6	
TOTAL	



J U N 2 0 7 1 3 2 3 0 1

IB/G/Jun20/E12

7132/3

Read the **case study** in the **Insert**.

Analyse the benefits to stakeholders of the rise in the share price of Sunport PLC.

[12 marks]

[illegible]

Extra space

Turn over ►



[illegible]

[12 marks]

[illegible]

[illegible]

[illegible]

Turn over ►



[16 marks]

[illegible]

[illegible]

This image shows a single sheet of white paper with horizontal ruling lines. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.

Elaine's view is that Personal Care was Sunport PLC's most successful division in Europe in 2019.

You should support your answer using **Appendix D** and the **other information provided**.

[16 marks]

[illegible]

[illegible]

[illegible]

Turn over ►



Whereas Martin delegated most decisions, Elaine will make decisions and then tell managers what they have to do.

To what extent is this change in leadership style likely to help the company achieve its objective of improving profitability?

[20 marks]

[illegible]

[illegible]

[illegible]

[illegible]

20

To what extent does a commitment to Corporate Social Responsibility decrease profit for **all businesses**?

[illegible]

Extra space

Extra space

[illegible]

[illegible]

[illegible]

[illegible]

[illegible]

24

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A-level
BUSINESS
7132/3
PAPER 3 BUSINESS 3

Mark scheme

June 2020

Version: 1.0 Final Mark Scheme

Mark schemes are prepared by the Lead Assessment Writer and considered, together with the relevant questions, by a panel of subject teachers. This mark scheme includes any amendments made at the standardisation events which all associates participate in and is the scheme which was used by them in this examination. The standardisation process ensures that the mark scheme covers the students' responses to questions and that every associate understands and applies it in the same correct way. As preparation for standardisation each associate analyses a number of students' scripts. Alternative answers not already covered by the mark scheme are discussed and legislated for. If, after the standardisation process, associates encounter unusual answers which have not been raised they are required to refer these to the Lead Examiner.

It must be stressed that a mark scheme is a working document, in many cases further developed and expanded on the basis of students' reactions to a particular paper. Assumptions about future mark schemes on the basis of one year's document should be avoided; whilst the guiding principles of assessment remain constant, details will change, depending on the content of a particular examination paper.

Further copies of this mark scheme are available from aqa.org.uk.

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Level of response marking instructions

Level of response mark schemes are broken down into levels, each of which has a descriptor. The descriptor for the level shows the average performance for the level. There are marks in each level.

Before you apply the mark scheme to a student's answer read through the answer and annotate it (as instructed) to show the qualities that are being looked for. You can then apply the mark scheme.

Step 1 Determine a level

Start at the lowest level of the mark scheme and use it as a ladder to see whether the answer meets the descriptor for that level. The descriptor for the level indicates the different qualities that might be seen in the student's answer for that level. If it meets the lowest level then go to the next one and decide if it meets this level, and so on, until you have a match between the level descriptor and the answer. With practice and familiarity you will find that for better answers you will be able to quickly skip through the lower levels of the mark scheme.

When assigning a level you should look at the overall quality of the answer and not look to pick holes in small and specific parts of the answer where the student has not performed quite as well as the rest. If the answer covers different aspects of different levels of the mark scheme you should use a best fit approach for defining the level and then use the variability of the response to help decide the mark within the level, ie if the response is predominantly level 3 with a small amount of level 4 material it would be placed in level 3 but be awarded a mark near the top of the level because of the level 4 content.

Step 2 Determine a mark

Once you have assigned a level you need to decide on the mark. The descriptors on how to allocate marks can help with this. The exemplar materials used during standardisation will help. There will be an answer in the standardising materials which will correspond with each level of the mark scheme. This answer will have been awarded a mark by the Lead Examiner. You can compare the student's answer with the example to determine if it is the same standard, better or worse than the example. You can then use this to allocate a mark for the answer based on the Lead Examiner's mark on the example.

You may well need to read back through the answer as you apply the mark scheme to clarify points and assure yourself that the level and the mark are appropriate.

Indicative content in the mark scheme is provided as a guide for examiners. It is not intended to be exhaustive and you must credit other valid points. Students do not have to cover all of the points mentioned in the Indicative content to reach the highest level of the mark scheme.

An answer which contains nothing of relevance to the question must be awarded no marks.

Marking guidance

- Be clear on the focus of the question.
- Read the response as a whole; follow the flow of the argument as a whole.
- Remember that the indicative content provides possible lines of argument but there may be others that are equally valid. Be willing to credit other lines of argument.
- Annotate the script as you read in accordance with the instructions given at standardisation.
- Consider what it all adds up to, eg is this a limited response? A reasonable one? A good one? Refer back to the standardisation scripts and guidance to help you benchmark. You are marking to the standard agreed at standardisation. Be careful of the standard you are marking at; refer back to standardisation scripts regularly.
- Summarise your findings briefly at the end of the response. This will help you decide on the overall level and is helpful for others to understand the mark given, eg for an extended response 'well-argued' but does not focus fully on the issue of 'long term' feels as if it might be good rather than excellent. Make sure the comments fit with the level awarded: 'unbalanced and not comparing with alternative solutions' does not sound as if it is 'good'.
- Next to your comment put the level awarded, eg L4.
- If in doubt about an approach contact your Team Leader, do not make up your own rules because we must have a standardised approach across all marking.
- Be positive in your marking. Look to reward what is there.

KU 	Knowledge and understanding – used to credit knowledge of the specification and also to acknowledge 'points' made in relation to the question , perhaps explained, but once the point has some analytical dev, annotate AN or ARG
Bal 	Balanced response, eg both sides acknowledged with at least a valid ARG on either side
AN 	Analytical but lacks context, ie a theoretical line of argument
R 	Argument (analysis in context)
DP 	Developed argument (well-developed analysis in context)
Add in a comment box	Range of arguments, ie two ARG's presented
Eval 	Judgement with support
Q? 	Losing/lost focus – not fully focused on the demands of the question
BD 	benefit of doubt – though there is some uncertainty over the student's meaning , the point or aspect of the argument will be accepted as valid, thus creditworthy
NR 	Not answering the question - response has drifted from answering the question set. When using, be sure to read the whole response carefully – students will often drift back to answering the question later in their response – normal annotation should resume whenever they come back to addressing the demands of the question
O 	own figure rule – to be annotated where a valid argument develops following a miscalculation (ie a wrong answer is used correctly)
	Indicates that the point has been noted, but no credit has been given – please check the whole page

Tick 	ONLY used to show a correct calculation – please use KU when annotating valid points
Cross 	to show an incorrect calculation or a clearly incorrect link in a chain of logic – if in doubt, do not cross, use BOD
? 	Meaning unclear
Add comment box	Repetition

0	1	Analyse the benefits to stakeholders of the rise in the share price of Sunport PLC. [12 marks]
----------	----------	--

Marks for this question: AO1 = 3, AO2 = 3, AO3 = 6

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question.	9–12
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question.	5–8
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development and mainly descriptive application to the context.	1–4

The demands of this question are:

- understand benefits of an increase in a share price
- link these benefits to Sunport PLC's stakeholders
- to analyse two benefits.

Indicative content:

- shareholders will see an increase in the value of their holding
- senior managers can raise finance more easily by selling shares – may be needed to implement new strategy
- as senior managers receive shares as part of their pay package, an increased share price will benefit them financially at a personal level
- may mean less interference from shareholders – there was some concern over Martin's prioritisation of CSR, but an increased share price can hold that pressure at bay – again, senior managers benefit
- increased share price for a major PLC can generate positive publicity in the media – useful for managers
- less likely to be taken over as the higher share price would increase market capitalisation meaning any bidder would need to pay more – probably good news for employees.

0	2	Using Appendix B and Appendix C , analyse why Sunport PLC chose a multi-domestic strategy for its food divisions.	[12 marks]
----------	----------	---	-------------------

Marks for this question: AO1 = 3, AO2 = 3, AO3 = 6

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question.	9–12
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question.	5–8
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development and mainly descriptive application to the context.	1–4

The demands of this question are:

- shows understanding of a multi-domestic strategy
- uses information from Appendix B and the case study to show pressure for local responsiveness is high
- uses evidence from Appendix C to show pressure for global integration is low.

Indicative content:

- multi-domestic suits a situation where there is high pressure for local responsiveness and low pressure for global integration
- the data in Appendix B shows great variation in consumer tastes between different countries. The need to respond to local tastes should be clear from this – a standardised product would not be able to meet these differences
- Appendix C suggests little benefit from operating on a global scale.

0	3	To what extent is changing to cheaper suppliers a good decision for Sunport PLC?
		[16 marks]

Marks for this question: AO1 = 2, AO2 = 3, AO3 = 4, AO4 = 7

Level	The student will typically demonstrate:	Marks
4	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding that is precise and well selected in relation to issues in the question • demonstrates analysis throughout which is well developed, is applied effectively to the context and considers a balanced range of the issues in the question • makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	13–16
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question • makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole.	9–12
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question • makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	5–8
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question • makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	1–4

The demands of this question are:

- analyses the impact of changing to cheaper suppliers on Sunport PLC
- makes a justified judgement on the impact of changing to cheaper suppliers on Sunport PLC.

Indicative content:

- recent success has been based on building long-term partnerships with suppliers. Product development and delivery reliability may suffer if Sunport PLC changes suppliers
- quality of products may suffer
- in the food division, economies of scale are harder to achieve, changing to cheaper suppliers may be hard
- the company may be accused of failing to meet their responsibility to existing suppliers – generating unfavourable publicity
- cheaper suppliers should enable the company to boost gross margins, assisting in the goal of boosting operating margins
- changing to cheaper suppliers seems part of a coherent strategic change within the business.
- Current operating margin is 9.44%, reducing cost of sales should move this closer to Elaine's 12% target

Evaluation

An effective judgement should flow from the arguments presented. Judgement is likely to come through the extent to which the benefits of finding new, cheaper suppliers might outweigh the drawbacks to Sunport PLC, given its current and future circumstances.

0	4	Elaine's view is that Personal Care was Sunport PLC's most successful division in Europe in 2019. To what extent do you agree with Elaine's view? You should support your answer using Appendix D and the other information provided. [16 marks]
----------	----------	--

Marks for this question: AO1 = 2, AO2 = 3, AO3 = 4, AO4 = 7

Level	The student will typically demonstrate:	Marks
4	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding that is precise and well selected in relation to issues in the question • demonstrates analysis throughout which is well developed, is applied effectively to the context and considers a balanced range of the issues in the question • makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	13–16
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question • makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole.	9–12
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question • makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	5–8

1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question • makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	1–4
----------	---	------------

The demands of this question are:

- uses data from Appendix D to analyse the performance of the three divisions
- makes a justified judgement on which division performed best in 2019.

Indicative content:

- from a financial perspective only, Elaine's view is valid – the Personal Care division had the highest margin, it was higher than Elaine's new target of 12% and the overall company margin in 2019 of 9.4%
- from a learning and growth perspective, Household Cleaning performed best on both indicators. With both a high staff retention, and an indication of the highest level of employee engagement of the three divisions, staff here are likely to be in a position to contribute most to the company's current and future success – suggesting Elaine's view is wrong
- Household Cleaning also performs best from an internal process perspective, being the only division meeting the company target for recycled packaging materials and more new products in development than the Personal Care division suggesting Elaine's view is wrong
- from a customer perspective, Household Cleaning again comes out best, with a 90% recommendation rate. Although Personal Care is not too far behind on 80%
- stronger arguments may recognise that the different types of product may naturally lead to different levels of performance on different measures, eg Household Cleaning packaging may be more naturally suited to the use of recycled materials than packaging for Personal Care products.

Evaluation

An effective judgement should flow from the arguments presented. Judgement is likely to come through the assessment of the relative performance in financial and non-financial terms.

Given the importance of the balanced scorecard approach to the business under Martin, Household Care clearly shows the best all-round performance, with its only major weaknesses being profit margin – though this may be the result of the type of product being sold.

Given Elaine's focus on profit margins, Personal Care would be the best performer, though Martin was in charge during 2019, so his balanced scorecard approach would be the best way to judge success during that year. As the business' strategy changes and Elaine shifts the priority to profitability, the metrics used on the balanced scorecard may be adjusted.

0	5	Whereas Martin delegated most decisions, Elaine will make decisions and then tell managers what they have to do.
		To what extent is this change in leadership style likely to help the company achieve its objective of improving profitability?
		[20 marks]

Marks for this question: AO1 = 4, AO2 = 3, AO3 = 5, AO4 = 8

Level	The candidate will typically demonstrate:	Marks
5	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding that is precise and well selected in relation to issues in the question • demonstrates analysis throughout which is well developed, is applied effectively to the context and considers a balanced range of the issues in the question • makes judgments or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	17–20
4	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed and is applied effectively to the context and considers a range of issues in the question • makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole.	13–16
3	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question • makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	9–12
2	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development and with mainly descriptive application to the context and considers a limited number of issues in the question • makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	5–8

1	A weak response overall lacking focus on the demands of the question. Provides an answer to the question set that: • demonstrates isolated or imprecise knowledge and understanding • demonstrates undeveloped analysis with descriptive application to the context and lacking focus on the question • makes judgements or proposes solutions based on assertions.	1–4
---	--	-----

The demands of this question are:

- demonstrates a clear understanding of both ‘consultative and ‘tell’ leadership styles (explicit reference to Tannenbaum and Schmidt is not required)
- analyses the impact of a change of style on Sunport PLC’s ability to improve profitability
- makes a justified judgement on how helpful the change to a sell style will be to Sunport PLC in achieving its new objective.

Indicative content:

- Elaine’s style of management involves far greater use of the manager’s authority than Martin’s style. This may allow for quicker decisions, as well as moving the business towards a more common approach throughout its different regional and product divisions. This may enable some cost-cutting, boosting margins
- change tends to rely on a clear vision for the future – Martin’s vision was clear, will Elaine be able to create a vision as effectively, given that the pursuit of profit may be less likely to inspire staff than Martin’s vision? If employee engagement falls, this may make the objective harder to achieve
- as some of Elaine’s changes are unlikely to be popular with employees, her style may be necessary in order to overcome potential resistance to change from staff (especially when handling the removal of some duplicated activities). If costs are to be cut, her style may make this happen quicker, boosting margins
- the change in style may have a demotivating effect on staff, especially managers used to being able to contribute to the decision-making process – this may decrease productivity, raising unit costs and in fact damaging profitability.

Evaluation

An effective judgement should flow from the arguments presented. Judgement should retain a tight focus on boosting profitability rather than a general judgement on which is a better style of leadership.

It seems likely that in order to pursue Elaine’s strategy, her style may be needed, although it would be valid to question whether her strategy and style would lead to short-term improvements that are eroded in the long-term if employee engagement falls.

0 6	To what extent does a commitment to Corporate Social Responsibility decrease profit for all businesses?	[24 marks]
------------	---	-------------------

Marks for this question: AO1 = 5, AO2 = 4, AO3 = 6, AO4 = 9

Level	The candidate will typically demonstrate	Marks
5	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding that is precise and well selected in relation to issues in the question • demonstrates analysis throughout which is well developed, is applied effectively to the context and considers a balanced range of the issues in the question • makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	21–24
4	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question • makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole.	16–20
3	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question • makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	11–15
2	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question • makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	6–10

1	A weak response overall lacking focus on the demands of the question Provides an answer to the question set that: • demonstrates isolated or imprecise knowledge and understanding • demonstrates undeveloped analysis with descriptive application to the context and lacking focus on the question • makes judgements or proposes solutions based on assertions.	1–5
---	---	-----

The demands of this question are:

- analyses the impact of socially responsible behaviour on profit
- makes a justified judgement on whether CSR will decrease profit for all businesses.

Indicative content:

- CSR offers opportunities to charge premium prices
- CSR can lead to reduced costs – reduced marketing budgets with greater customer loyalty, the possibility of lower ongoing energy costs of punitive taxes and duties are avoided, less compensation or fines paid out if local communities and the environment are not damaged
- CSR can increase costs – through the use of more expensive suppliers or through reduced productivity if processes are adjusted
- if rivals already practice good CSR, revenues may not rise by adopting the stakeholder principle, but a decline may be prevented – thus protecting, but not increasing profit
- a commitment to good CSR may be superficial rather than leading to action, in which case benefits may be short-lived.

Evaluation

An effective judgement should flow from the arguments presented. Judgement is likely to come through the assessment of situations in which the statement could be true weighed up against situations in which CSR will not lead to increased profitability.

The extent to which profit is likely to increase depends on:

- nature of the target market – end consumers may be more concerned with CSR than customers of businesses
- nature of business – determining the extent to which CSR does increase cost
- relative CSR of rival firms which will determine the extent to which good CSR is a point of differentiation.

Overall:

- it might be expected that CSR will increase costs, thus damaging profit
- but there is scope to increase customers' perceived value through CSR
- it is unlikely to be true for all businesses.

	AO1	AO2	AO3	AO4	TOTAL	Quant
1	3	3	6		12	
2	3	3	6		12	
3	2	3	4	7	16	
4	2	3	4	7	16	16
5	4	3	5	8	20	
6	5	4	6	9	24	

Please write clearly in block capitals.

Centre number

--	--	--	--	--

Candidate number

--	--	--	--

Surname

Forename(s)

Candidate signature

I declare this is my own work.

A-level BUSINESS

Paper 1 Business 1

Time allowed: 2 hours

Materials

For this paper you must have:

- a calculator.

Instructions

- Use black ink or black ball-point pen.
- Fill in the boxes at the top of this page.
- Answer **all** questions in **Section A** and **Section B**.
- Answer **one** question from **Section C** and **one** question from **Section D**.
- You must answer the questions in the spaces provided. Do not write outside the box around each page or on blank pages.
- If you need extra space for your answer(s), use the lined pages at the end of this book. Write the question number against your answer(s).
- Do all rough work in this answer book. Cross through any work you do not want to be marked.

Information

- The marks for questions are shown in brackets.
- The maximum mark for this paper is 100.

For Examiner's Use	
Question	Mark
Section A	
16	
17	
18	
19	
20	
21	
22	
23	
24	
TOTAL	



Section AAnswer **all** questions in this section.Only **one** answer per question is allowed.

For each question completely fill in the circle alongside the appropriate answer.

CORRECT METHOD



WRONG METHODS



If you want to change your answer you must cross out your original answer as shown.

If you wish to return to an answer previously crossed out, ring the answer you now wish to select as shown.

0 1**Statement 1:** 'In a SWOT analysis, high staff turnover is a threat.'**Statement 2:** 'In a SWOT analysis, excellent research and development facilities are an opportunity.'**Read statements 1 and 2** and select the correct option from the following options.**[1 mark]****A** Statement 1 is true. Statement 2 is true.☐**B** Statement 1 is true. Statement 2 is false.☐**C** Statement 1 is false. Statement 2 is true.☐**D** Statement 1 is false. Statement 2 is false.☐**0 2**

After five years of trading, the value of a company's initial ordinary share capital is identical to the value of its market capitalisation. No further shares have been issued during this period.

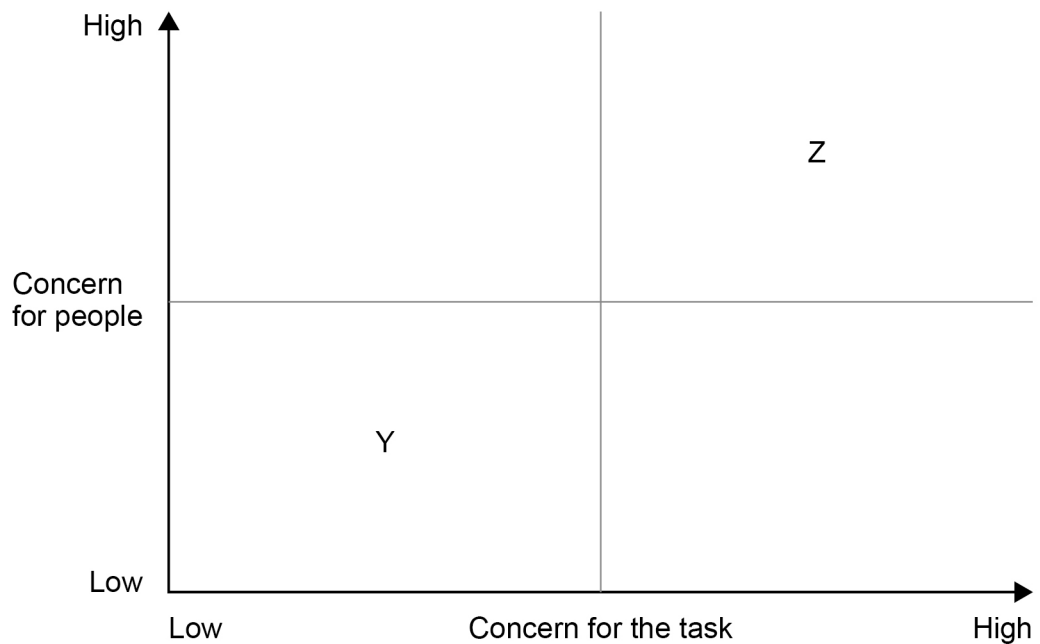
These two values will only be identical if:

[1 mark]**A** all of its profit has been distributed to shareholders.☐**B** all of its profit has been retained in the business.☐**C** it has made a total profit of zero over the five years.☐**D** the current market price of the shares is the same as the initial share price.☐

0 3

Figure 1 below shows the Blake Mouton grid.

Figure 1 Blake Mouton grid



In **Figure 1**, the move from point Y to point Z shows a change in leadership style:

[1 mark]

- A** from country club leader to 'produce or perish' leader.
- B** from country club leader to team leader.
- C** from impoverished leader to 'produce or perish' leader.
- D** from impoverished leader to team leader.

☐
☐
☐
☐

Turn over for the next question

Turn over ►



0 4

In which of these situations is a business most likely to use outsourcing for some of its production?

Situation	Current level of capacity utilisation	Predictability of demand
A	High	High
B	High	Low
C	Low	High
D	Low	Low

[1 mark]

A Situation A

☐

B Situation B

☐

C Situation C

☐

D Situation D

☐

0 5

In 2019, the niche market of electric cars increased its share of the global car sales market from 0.8% to 2.4%. However, global car sales fell by 2.5%. Model X was the most popular electric car. On a Boston Matrix for the global car market in 2019, Model X was a:

[1 mark]

A cash cow.

☐

B dog.

☐

C problem child/question mark.

☐

D star.

☐


0 6**Statement 1:** 'Total revenue – profit = Total contribution + fixed costs'**Statement 2:** '(Selling price x quantity) – fixed costs = Profit + variable costs'**Read statements 1 and 2** and select the correct option from the following options.**[1 mark]****A** Statement 1 is true. Statement 2 is true.☐**B** Statement 1 is true. Statement 2 is false.☐**C** Statement 1 is false. Statement 2 is true.☐**D** Statement 1 is false. Statement 2 is false.☐**0 7**

Assuming no other changes, capacity utilisation is likely to be:

[1 mark]**A** decreased by dynamic pricing and decreased by penetration pricing.☐**B** decreased by dynamic pricing and increased by penetration pricing.☐**C** increased by dynamic pricing and decreased by penetration pricing.☐**D** increased by dynamic pricing and increased by penetration pricing.☐**Turn over for the next question****Turn over ►**

0 8

Table 1 below shows efficiency ratios for four different companies.

Table 1 Efficiency ratios for four companies

Ratios	Company			
	A	B	C	D
Payables days	35 days	35 days	25 days	25 days
Receivables days	25 days	25 days	35 days	35 days
Inventory turnover (times)	15	10	15	10

Based on these ratios, which company is most likely to have the best cash flow?

[1 mark]

A Company A

☐

B Company B

☐

C Company C

☐

D Company D

☐
0 9

A business introduces two strategies (X and Y) to improve profits:

Strategy X: Focusing on selling goods with a positive income elasticity of demand.

Strategy Y: Reducing unit costs through economies of scope.

Statement 1: 'Strategy X will not be effective if GDP declines.'

Statement 2: 'Strategy Y will only be possible if the business produces a wider range of products.'

Read statements 1 and 2 and select the correct option from the following options.

[1 mark]

A Statement 1 is true. Statement 2 is true.

☐

B Statement 1 is true. Statement 2 is false.

☐

C Statement 1 is false. Statement 2 is true.

☐

D Statement 1 is false. Statement 2 is false.

☐


1 0

The two statements below refer to Hackman and Oldham's model of job design. According to this model, employee performance will be improved by:

Statement 1: 'constant feedback on performance.'

Statement 2: 'each employee focusing on the task in which they excel most.'

Read statements 1 and 2 and select the correct option from the following options.

[1 mark]

A Statement 1 is true. Statement 2 is true.

☐

B Statement 1 is true. Statement 2 is false.

☐

C Statement 1 is false. Statement 2 is true.

☐

D Statement 1 is false. Statement 2 is false.

☐

1 1

A business that trades abroad changes its strategy because:

1. The pressure for global integration changes from low to high.
2. The pressure for local responsiveness changes from low to high.

Based on Bartlett and Ghoshal's model, the business should change its strategy:

[1 mark]

A from a global strategy to a multi-domestic strategy.

☐

B from a global strategy to a transnational strategy.

☐

C from an international strategy to a multi-domestic strategy.

☐

D from an international strategy to a transnational strategy.

☐

Turn over for the next question

Turn over ►



1 2**Table 2** below shows investment appraisal data for four projects.**Table 2 Investment appraisal data**

Project	Initial cost (£m)	Net return (£m)		
	Year 0	Year 1	Year 2	Year 3
A	(12)	12	10	0
B	(15)	10	12	15
C	(16)	18	0	0
D	(20)	19	15	4

Which project has the best payback?

[1 mark]**A** Project A☐**B** Project B☐**C** Project C☐**D** Project D☐**1 3**

The leadership crisis occurs at the end of which of Greiner's stages of growth?

[1 mark]**A** Growth through collaboration☐**B** Growth through creativity☐**C** Growth through delegation☐**D** Growth through direction☐

1 4

An employee resists change because it will not help her personally. The business overcomes her resistance by offering her a role in managing the change. This is an example of using:

[1 mark]

A coercion to overcome fear and misunderstanding.

☐

B coercion to overcome self-interest.

☐

C manipulation to overcome fear and misunderstanding.

☐

D manipulation to overcome self-interest.

☐**1 5**

Statement 1: 'A prediction based on a strong, negative correlation will have a higher confidence level than one based on a weak, positive correlation.'

Statement 2: 'A business will base extrapolation on its qualitative market research.'

Read statements 1 and 2 and select the correct option from the following option:

[1 mark]

A Statement 1 is true. Statement 2 is true.

☐

B Statement 1 is true. Statement 2 is false.

☐

C Statement 1 is false. Statement 2 is true.

☐

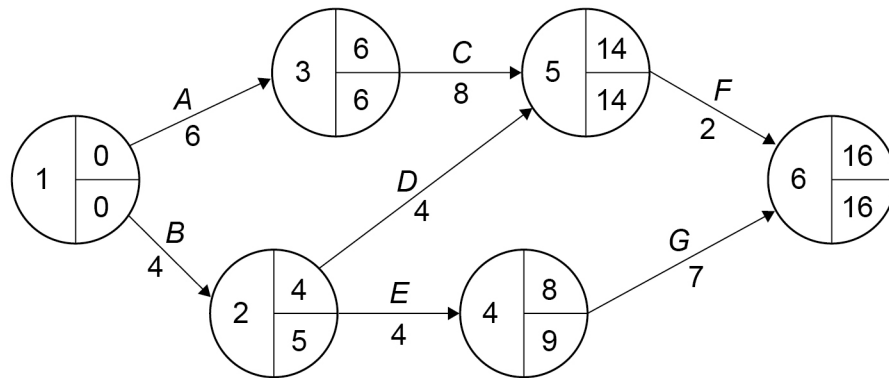
D Statement 1 is false. Statement 2 is false.

☐**15**

Turn over for Section B

Turn over ►



Section BAnswer **all** questions in this section.**1 6****Figure 2** shows a network for a project. All timings are shown in days.**Figure 2 Network for a project****1 6 . 1**

State the activities on the critical path.

[1 mark]

1 6 . 2

What is the float time, in days, for Activity D?

[1 mark]



The business has learned that Activity E will now take 7 days to complete.

1 6 . 3

Given this change, state the activities on the critical path.

[1 mark]

1 6 . 4

Given this change, what is the duration of this critical path, in days?

[1 mark]

4

Turn over for the next question

Turn over ►



1 7

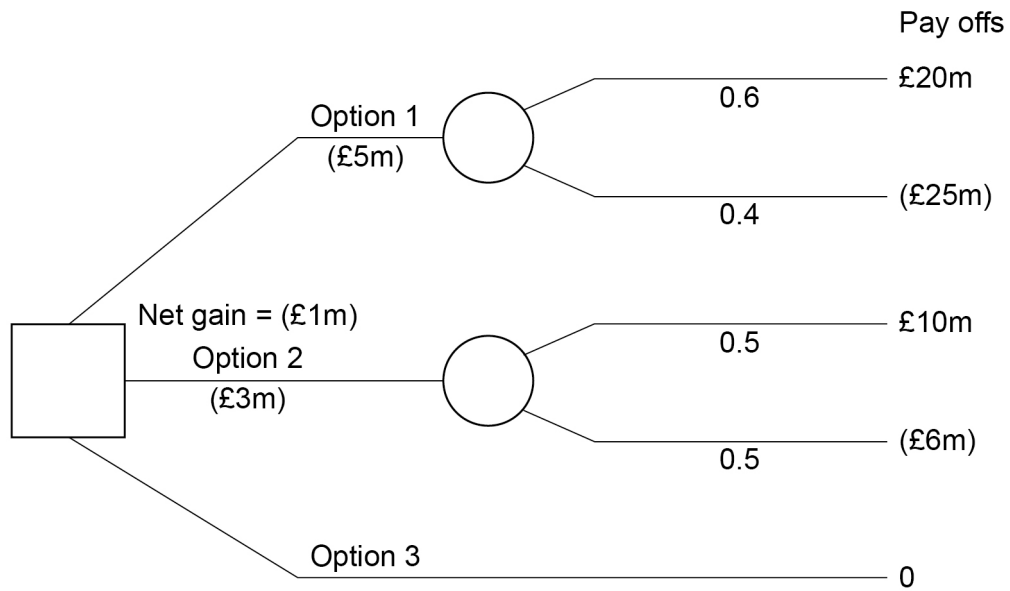
Figure 3 shows a decision tree with three options:

Option 1 is a new promotional campaign.

Option 2 is a modified product.

Option 3 is to do nothing.

Figure 3 Decision tree



1 7 . 1

Referring to **Figure 3**, calculate the expected value **and** the net gain of Option 1.
Show your working.

[3 marks]

Expected value = _____

Net gain = _____

Working

1 7 . 2

Using these calculations and the other data in **Figure 3**, state which one of the three options the business should choose.

[1 mark]

4



[9 marks]

This image shows a single sheet of white paper with horizontal blue or grey ruling lines. The lines are evenly spaced and run across the width of the page. There are approximately 20 lines visible. The paper has a slight shadow on the right side, suggesting it's resting on a surface.[illegible]

9

The currency of Country X is the peso.

	2019	2020
Index of GDP	200	210
Value of peso in US \$	\$1.00	\$1.10

Analyse the possible impact of the changes in these data on the profitability of this business.

[9 marks]

This image shows a blank sheet of white paper with horizontal ruling lines. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.

C



Managers undertake a number of roles. Analyse how the reviewing role of a human resource manager can improve the performance of the workforce.

This image shows a blank sheet of white paper with horizontal ruling lines. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.

Turn over ►



Answer **either** Question 21 **or** Question 22.

Question **2** **1**

Question

2	2	○
---	---	---



--	--	--	--

2	1
---	---

Justify your view.

[25 marks]

2	2
---	---

Do you agree? Justify your view.

[25 marks]

This image shows a blank sheet of white paper with horizontal ruling lines. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.

[illegible]

Extra space



[illegible]

[illegible]

Do not write
outside the
box

Handwriting practice area with 25 horizontal lines.

25

Turn over ►



Answer **either** Question 23 **or** Question 24.

			
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[25 marks]

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A-level
BUSINESS
7132/1

Paper 1 Business 1

Mark scheme

June 2021

Version: 1.0 Final Mark Scheme



Mark schemes are prepared by the Lead Assessment Writer and considered, together with the relevant questions, by a panel of subject teachers. This mark scheme includes any amendments made at the standardisation events which all associates participate in and is the scheme which was used by them in this examination. The standardisation process ensures that the mark scheme covers the students' responses to questions and that every associate understands and applies it in the same correct way. As preparation for standardisation each associate analyses a number of students' scripts. Alternative answers not already covered by the mark scheme are discussed and legislated for. If, after the standardisation process, associates encounter unusual answers which have not been raised they are required to refer these to the Lead Examiner.

It must be stressed that a mark scheme is a working document, in many cases further developed and expanded on the basis of students' reactions to a particular paper. Assumptions about future mark schemes on the basis of one year's document should be avoided; whilst the guiding principles of assessment remain constant, details will change, depending on the content of a particular examination paper.

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Level of response marking instructions

Level of response mark schemes are broken down into levels, each of which has a descriptor. The descriptor for the level shows the average performance for the level. There are marks in each level.

Before you apply the mark scheme to a student's answer read through the answer and annotate it (as instructed) to show the qualities that are being looked for. You can then apply the mark scheme.

Step 1 Determine a level

Start at the lowest level of the mark scheme and use it as a ladder to see whether the answer meets the descriptor for that level. The descriptor for the level indicates the different qualities that might be seen in the student's answer for that level. If it meets the lowest level then go to the next one and decide if it meets this level, and so on, until you have a match between the level descriptor and the answer. With practice and familiarity you will find that for better answers you will be able to quickly skip through the lower levels of the mark scheme.

When assigning a level you should look at the overall quality of the answer and not look to pick holes in small and specific parts of the answer where the student has not performed quite as well as the rest. If the answer covers different aspects of different levels of the mark scheme you should use a best fit approach for defining the level and then use the variability of the response to help decide the mark within the level, ie if the response is predominantly level 3 with a small amount of level 4 material it would be placed in level 3 but be awarded a mark near the top of the level because of the level 4 content.

Step 2 Determine a mark

Once you have assigned a level you need to decide on the mark. The descriptors on how to allocate marks can help with this. The exemplar materials used during standardisation will help. There will be an answer in the standardising materials which will correspond with each level of the mark scheme. This answer will have been awarded a mark by the Lead Examiner. You can compare the student's answer with the example to determine if it is the same standard, better or worse than the example. You can then use this to allocate a mark for the answer based on the Lead Examiner's mark on the example.

You may well need to read back through the answer as you apply the mark scheme to clarify points and assure yourself that the level and the mark are appropriate.

Indicative content in the mark scheme is provided as a guide for examiners. It is not intended to be exhaustive and you must credit other valid points. Students do not have to cover all of the points mentioned in the Indicative content to reach the highest level of the mark scheme.

An answer which contains nothing of relevance to the question must be awarded no marks.

Marking guidance

- Be clear on the focus of the question.
- Read the response as a whole; follow the flow of the argument as a whole.
- Remember that the indicative content provides possible lines of argument but there may be others that are equally valid. Be willing to credit other lines of argument.
- Annotate the script as you read in accordance with the instructions given at standardisation.
- Consider what it all adds up to, eg is this a good response? A reasonable one? A limited one? Refer back to the standardisation scripts and guidance to help you benchmark. You are marking to the standard agreed at standardisation.
- Summarise your findings briefly at the end of the response. This will help you decide on the overall level and is helpful for others to understand the mark given, eg for an extended response 'well-argued' but does not focus fully on the issue of 'long term' feels as if it might be good rather than excellent. Make sure the comments fit with the level awarded: 'unbalanced and not comparing with alternative solutions' does not sound as if it is 'good'.
- Next to your comment put the level awarded, eg L4.
- If in doubt about an approach contact your Team Leader, do not make up your own rules because we must have a standardised approach across all marking. Be positive in your marking. Look to reward what is there.

ANNOTATIONS FOR MARK SCHEMES

K U	Knowledge and Understanding
AN	Analytical but lacks context
ARG	Argument
DEV	Developed argument
J	Judgement with support
NFF	Not Fully Focussed on the demands of the question
Bal	Balanced response, eg both sides acknowledged
Rng	Range of arguments, eg two arguments presented
BOD	Benefit of the Doubt
NAQ	Not answering the question
OFR	Own Figure Rule
SEEN	Seen
☒	TICK
☒	CROSS
☐	Txt Box
?	Unclear
Highlighter	Highlighter
[REP]	Repetition

Section C and Section D – 25-mark essay questions

The following should be used at the end of the response:

L5	L5 An excellent response
L4	L4 A good response
L3	L3 A reasonable response
L2	L2 A limited response
L1	L1 A weak response

Section A

Objective Test Answers

Total for this section: 15 marks

Question number	Answer
01	D Statement 1 is false. Statement 2 is false.
02	D the current market price of the shares is the same as the initial share price.
03	D from impoverished leader to team leader.
04	B Situation B
05	B dog.
06	C Statement 1 is false. Statement 2 is true.
07	D increased by dynamic pricing and increased by penetration pricing.
08	A Company A
09	A Statement 1 is true. Statement 2 is true.
10	B Statement 1 is true. Statement 2 is false.
11	D from an international strategy to a transnational strategy.
12	C Project C
13	B Growth through creativity.
14	D manipulation to overcome self-interest.
15	B Statement 1 is true. Statement 2 is false.

Section B**16** . **1**

State the activities on the critical path.

[1 mark]**Marks for this question: AO1 = 1**Critical path activities are **ACF****16** . **2**

What is the float time, in days, for Activity D?

[1 mark]**Marks for this question: AO2 = 1**Float time for D = $14 - 4 - 4 =$ **6 days**

The business has learned that Activity E will now take 7 days to complete.

16 . **3**

Given this change, state the activities on the critical path.

[1 mark]**Marks for this question: AO2 = 1**New critical path is **BEG****16** . **4**

Given this change, what is the duration of this critical path, in days?

[1 mark]**Marks for this question: AO2 = 1**Duration in days = $4 + 7 + 7 =$ **18 days**

17	.	1	Referring to Figure 3 , calculate the expected value and the net gain of Option 1. Show your working.
			[3 marks]

Marks for this question: AO1 = 1 and AO2 = 2

Correct answers to Option 1 – Net gain = Minus £3m (or (£3m):

Broken down as follows:

Option 1 – **Expected value** = $[0.6 \times 20] + (0.4 \times -25) = 12^* - 10^* = \underline{\text{£2 million}}$ (2 marks)

* Award **1 mark** for one correct element: **EITHER 12 OR -10**

Option 1 – **Net gain** = £2m – £5m = Minus £3 million or (£3m) (1 mark)

OFR applies. For example, if a student answer shows $12 + 10 = 22$, then award 1 mark for the 12 which is a correct element. However, if they then show the net gain as 17 ($22 - 5$) then this is correct using the OFR and so a 2nd mark should be awarded for the final calculation.

17	.	2	Using these calculations and the other data in Figure 3 , state which one of the three options the business should choose.
			[1 mark]

Marks for this question: AO2 = 1

Net gains are:

Option 1: (£3m)

Option 2: (£1m)

Option 3: Zero

Best choice = Option 3 OR ‘Do nothing’ (1 mark)

Award 1 mark for the above answer, even if no working is shown.

Note

OFR applies. If a student provides an answer for Option 1 that gives a positive net gain then award 1 mark for a choice that is consistent with the own figure rule. That is, they should be given 1 mark if their choice has the highest net gain according to their calculations.

1	8	A business decides to increase the price of a product in order to improve its profit. Analyse how the success of this decision is affected by the product's price elasticity of demand.
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[9 marks]**Marks for this question: AO1 = 2, AO2 = 3 and AO3 = 4**

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed and is applied effectively to the context.	7–9
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed and is applied to the context.	4–6
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development and with mainly descriptive application to the context.	1–3

The demands of this question are:

- to understand the meaning of price elasticity of demand
- to analyse how the impact of an increase in price on sales (volume or value) will be affected by whether a product has inelastic or elastic demand
- to use this analysis to draw a conclusion on the possible effect on profit.

Indicative content:

- recognising that a higher price should lead to a decrease in the quantity demanded
- analysing the impact of the price rise on sales revenue:
 - if the product has price elastic demand a given % increase in price leads to a larger % decrease in the quantity sold and so sales revenue will fall
 - if the product has price inelastic demand a given % increase in price leads to a smaller % decrease in the quantity sold and so sales revenue will rise
- because fewer products are sold total costs should be lower

- therefore, profitability will increase if demand is price inelastic because sales revenue will rise but total costs will fall.
 - the effect on profit will depend on the level of unit costs if demand is price elastic. The profit margin will rise but sales volume will fall significantly, so the impact on profit is not known without further information on costs.

(This final argument should be credited at L3 if it is included by a student, but it is not necessary for Top L3 which should be given for the indicative content shown above this final bullet point)

1 9**Table 3** below shows data on GDP and exchange rates for Country X in 2019 and 2020.

The currency of Country X is the peso.

Table 3 GDP and exchange rates for Country X

	2019	2020
Index of GDP	200	210
Value of peso in US \$	\$1.00	\$1.10

A business manufactures and sells its products in Country X, but imports raw materials from the United States of America (US).

Analyse the possible impact of the changes in this data on the profitability of this business.

[9 marks]**Marks for this question: AO1 = 2, AO2 = 3 and AO3 = 4**

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: - demonstrates a depth and range of knowledge and understanding of issues in the question - demonstrates analysis which is well developed and is applied effectively to the context.	7–9
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: - demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question - demonstrates analysis which is developed and is applied to the context.	4–6
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: - demonstrates a limited range and depth of knowledge and understanding of issues in the question - demonstrates analysis with little development and with mainly descriptive application to the context.	1–3

The demands of this question are:

- analysing how the data in the table might improve or worsen the profitability of a business that manufactures and sells its products in Country X, but which imports raw materials from the USA.

Indicative content:

- Analysing that an increase in GDP (of 5%) should lead to an increase in demand (of possibly/approximately 5%). Higher GDP may also help the business to charge a higher price as incomes should increase in Country 'X'. This will increase profitability.
- Analysing that a 10% increase in the exchange rate of Country 'X's currency to the USA \$ will lead to a fall in the price (possibly about 10%) of any raw materials imported from the USA.
- Analysing that lower raw material prices should lead to lower costs (the exact level depending on the extent of other manufacturing costs).
- Analysing that lower costs will lead to a higher profit margin (or more sales volume if the selling price is cut).
- Analysing that both factors in the table will lead to an improvement in overall profitability.
- Credit should also be given to students who argue why the 5% increase in GDP might change demand by a different amount, possible using income elasticity of demand in their argument. Similarly, arguments can relate to the possible impact of these two factors on selling price and thus profitability.

2	0	Managers undertake a number of roles. Analyse how the reviewing role of a human resource manager can improve the performance of the workforce.	[9 marks]
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Marks for this question: AO1 = 2, AO2 = 3 and AO3 = 4

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed and is applied effectively to the context.	7–9
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed and is applied to the context.	4–6
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development and with mainly descriptive application to the context.	1–3

The demands of the question are:

- examining the benefits received from managers' role of reviewing
- in the context of the human resources function.

Indicative content:

Reviewing allows managers to:

- Monitor objectives and assess whether they are retaining the requirements of SMART objectives. For example, updating a target retention rate in response to changes in local demographic changes.
- Assess the effectiveness of strategies that have been implemented and the relative success of different tactics that have been used to achieve the aims of HR. Reviewing low levels of employee motivation might lead to a change from financial to non-financial methods of motivation.
- Identify poor performance and take remedial action, such as retraining schemes.
- Using benchmarking to identify examples of excellent HR practice that can be used more widely in the business.
- Use SWOT analysis to detect changes in strengths, weaknesses, opportunities and threats, such as anticipating HR policies before new legislation makes it compulsory.
- Monitor and control activities of subordinates in order to improve their efficiency; such as using staff appraisal to support under-performing employees.

Section C

2	1	Will the use of non-financial methods to motivate a workforce always be more successful than the use of financial methods?
		Justify your view.
		[25 marks]

25-mark evaluative questions: AO1 = 5, AO2 = 4, AO3 = 6 and AO4 = 10

Level	The student will typically demonstrate:	Marks
5	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding that is precise and well selected in relation to issues in the question • demonstrates analysis throughout which is well developed, is applied effectively to the context and considers a balanced range of the issues in the question • makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	21–25
4	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question • makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole.	16–20
3	A reasonable response overall that focuses on some demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question • makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	11–15
2	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question	6–10

	• makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	
1	A weak response overall lacking focus on the demands of the question. Provides an answer to the question set that: • demonstrates isolated or imprecise knowledge and understanding • demonstrates undeveloped analysis with descriptive application to the context and lacking focus on the question • makes judgements or proposes solutions based on assertions.	1–5

The demands of the question are:

- showing understanding of motivation – the reasons one has for behaving in a particular way
- understanding the meaning of financial and non-financial incentives
- analysing how non-financial incentives can influence motivation
- analysing how financial incentives can influence motivation
- evaluating situations which impact on the relative success of the two types of incentives and using this to draw a reasoned conclusion.

Indicative content may include:

- Using Taylor's theory to explain the view that workers are motivated by financial rewards that can be linked to performance, such as piece rate or commission.
- Recognising situations in which Taylor's theory may apply, such as agricultural workers motivated by the quantity of production or an organisation that uses hard HRM. In such situations, financial incentives are more effective.
- Using Herzberg's two-factor theory to argue that 'motivators' are non-financial incentives, such as the work itself, recognition and a sense of achievement. Herzberg believed that non-financial factors were more likely to create motivation.
- Analysing methods that a business can use to ensure that motivators are provided (alongside hygiene factors to prevent dissatisfaction).
- Assessing the relative importance of the job itself as a source of motivation.
- Using Maslow's hierarchy of needs to argue for or against a specific incentive. For example, at level 1 of the hierarchy physiological needs still need to be met and so financial incentives are more likely to be effective. At higher levels of the hierarchy different non-financial incentives become more important, such as teamwork to help social needs and promotion to boost esteem needs. Therefore, as a worker progresses beyond level 1 of the hierarchy, motivation is best achieved by non-financial rather than financial incentives.
- The indicative content above is based around theories of motivation. Students may choose to answer this question by focusing on the different financial and non-financial incentives and analysing their impact in different situations (possibly with some references to motivation theory). This analysis then leads to an overall judgement on the success of the different incentives, rather than using motivation theories as the foundation of their answer.

Evaluation

- Full marks may be awarded to an answer that concludes that financial incentives will be more successful; but may be earned by a conclusion that non-financial incentives are likely to be more successful.
- Evaluation may consist of an assessment of different circumstances in which the two different incentives are effective or ineffective OR it may be based on the extent to which the arguments presented suggest that one method is more successful than the other.

2	2	An understanding of Hofstede's model of national cultures is vital to the success of a business that is entering an overseas market.
		Do you agree? Justify your view.
		[25 marks]

25-mark evaluative questions: AO1 = 5, AO2 = 4, AO3 = 6 and AO4 = 10

Level	The student will typically demonstrate:	Marks
5	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding that is precise and well selected in relation to issues in the question • demonstrates analysis throughout which is well developed, is applied effectively to the context and considers a balanced range of the issues in the question • makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	21–25
4	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question • makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole.	16–20
3	A reasonable response overall that focuses on some demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question • makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	11–15

2	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question • makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	6–10
1	A weak response overall lacking focus on the demands of the question. Provides an answer to the question set that: • demonstrates isolated or imprecise knowledge and understanding • demonstrates undeveloped analysis with descriptive application to the context and lacking focus on the question • makes judgements or proposes solutions based on assertions.	1–5

The demands of the question are:

- recognising the key features of Hofstede's national cultures
- analysing how these features might influence a business's success overseas
- assessing the importance of Hofstede's ideas in order to achieve success.

Indicative content may include:

Analysis of how an understanding of Hofstede might help success. For example:

- if the Power Distance Index (PDI) is high, strong leadership and direction will help success
- if Individualism (IDV) is high, this will negatively impact on a business that uses teamwork extensively in its operations
- high Masculinity (MAS) will create issues for a business that has equality as a corporate objective
- a low Uncertainty Avoidance Index (UAI) will help a business that requires an innovative and creative workforce, whereas a high UAI will suit a business that is risk averse
- high long-term orientation (LTO) will suit a business that requires time to reap the benefits of growth in the overseas market, as the workforce will be more prepared to wait for rewards
- a high Indulgence versus restraint index (IVR) will indicate a society with greater freedom and desire for leisure; this will affect the creativity and productivity of the workforce.

Evaluation

- The arguments shown above can help a business to decide whether a country is a desirable market.
- Hofstede's cultures can guide a business towards successful strategies in an overseas market as it can assist a business in its approach to human resource management, operations management and the best way to market its products.

BUT

- There are many other factors that may influence success, such as the size of the overseas market, its accessibility and competitiveness, stability, and accessibility of materials.
- In addition, PESTLE factors are likely to have a major impact on success and the business may have less understanding of PESTLE factors in an overseas market.

Although it is logical to argue that it is less vital than other factors, the question is focused on Hofstede and so a good response must show understanding of Hofstede in this context. Arguments about non-Hofstede factors can form part of any evaluation of how vital it is, but analysis must incorporate how Hofstede's ideas can help success or explain why it may not help.

Section D

2	3	Both supplier power and competitive rivalry have increased in recent years in a particular market. To what extent is it inevitable that this will lead to a decrease in the profits of all businesses in this market?
[25 marks]		

25-mark evaluative questions: AO1 = 5, AO2 = 4, AO3 = 6 and AO4 = 10

Level	The student will typically demonstrate:	Marks
5	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: - demonstrates a depth and range of knowledge and understanding that is precise and well selected in relation to issues in the question - demonstrates analysis throughout which is well developed, is applied effectively to the context and considers a balanced range of the issues in the question - makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	21–25
4	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: - demonstrates a depth and range of knowledge and understanding of issues in the question - demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question - makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole.	16–20
3	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: - demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question - demonstrates analysis which is developed, applied to the context and considers some of the issues in the question - makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	11–15
2	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: - demonstrates a limited range and depth of knowledge and understanding of issues in the question - demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question - makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	6–10

1	A weak response overall lacking focus on the demands of the question. Provides an answer to the question set that: • demonstrates isolated or imprecise knowledge and understanding • demonstrates undeveloped analysis with descriptive application to the context and lacking focus on the question • makes judgements or proposes solutions based on assertions.	1–5
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The demands of the question are:

- showing an understanding of supplier power and competitive rivalry in Porter's competitive forces
- analysing how greater supplier power and greater competitive rivalry might lead to a decrease in the profits of businesses in this market
- assessing whether it is inevitable that all businesses in this market will experience lower profits.

Indicative content may include:

- Analysing how an increase in supplier power is likely to result from fewer, larger suppliers and how this can lead to businesses having less choice of supplies.
- Developing this logic into showing possible negative consequences for businesses, such as having to pay higher costs for materials and receiving lower quality materials and fewer varieties of materials. These changes are likely to lead to lower profits.
- Analysing how an increase in competitive rivalry is likely to result from new competitors or greater intensity in effort by competitors trying to gain market share in the market. Analysing how a lower market share is likely to lead to lower profits.
- Extending this logic to examine the impact of strategies used when a market experiences greater rivalry, such as price wars, greater focus on new product development and greater expenditure on marketing.
- Developing this logic into showing possible negative consequences for businesses, such as having lower profit margins and greater R&D and marketing costs.
- Analysing circumstances in which profits may not fall (see evaluation section).

Evaluation

Whether profits fall for all businesses will depend on the extent of the increases in supplier power and competitive rivalry. Some businesses might also react by merging or taking-over suppliers and/or competitors, thus reducing the negative impact.

Businesses who employ successful tactics, especially where there is greater competitive rivalry, may drive competition out of the market (this is often the intention) and can thus gain greater market power. This will enable higher prices and profits to be made, and can lead to higher profits overall. Takeovers can also strengthen the bargaining power of a business and thus reduce supplier power.

2	4	In terms of Ansoff's matrix, is market penetration always a better strategic direction than diversification?	
		Justify your view.	[25 marks]

25-mark evaluative questions: AO1 = 5, AO2 = 4, AO3 = 6 and AO4 = 10

Level	The student will typically demonstrate:	Marks
5	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding that is precise and well selected in relation to issues in the question • demonstrates analysis throughout which is well developed, is applied effectively to the context and considers a balanced range of the issues in the question • makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	21–25
4	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question • makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole.	16–20
3	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question • makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	11–15
2	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question • makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	6–10

1	A weak response overall lacking focus on the demands of the question. Provides an answer to the question set that: • demonstrates isolated or imprecise knowledge and understanding • demonstrates undeveloped analysis with descriptive application to the context and lacking focus on the question • makes judgements or proposes solutions based on assertions.	1–5
---	--	-----

The demands of the question are:

- understanding the meaning of market penetration (growth in existing markets with existing products) and diversification (growth in new markets with new products)
- assessing the merits and problems of choosing market penetration as a strategic direction
- assessing the merits and problems of choosing diversification as a strategic direction
- comparing these merits and problems in order to judge the relative benefits of the two strategic directions
- evaluating the view that market penetration is always best and providing relevant arguments.

Indicative content may include:

Analysing how market penetration might be achieved and the impact on the business.

- Improving brand loyalty is likely to require significant marketing expenditure and the introduction of new elements to the marketing mix which may increase risk.
- Cutting price can lead to market penetration but this may mean lower profit margins. It will be more effective if the business has a higher market share and good cash flow, in order to force some competitors out of the market.
- Attracting new market segments can achieve market penetration, but if these market segments have not been reached before then the product being offered could be unsuitable. In this case, market penetration would not succeed.
- Diversification will add costs, as new product development is expensive and risky and moving into new markets will require a lot of new market research and significant organisational change. These changes can damage cash flow and are high risk.
- New products can complement existing products and thus help to achieve synergy.
- New markets with new products may also lead to scope for expansion into the new markets with existing products.

Overall, the success of both strategies will be affected by both internal factors, such as the workforce and the business's financial strength, and by external factors, such as the competitiveness of the market(s) and economic factors, such as growth rates.

Evaluation

Overall, market penetration is considered to be low risk but, for a business trying to grow and increase profit, it can be limiting. In contrast, diversification is much more risky, but is likely to offer greater potential rewards, if carried out successfully.

Evaluation may be based on potential circumstances in which one strategy is more appropriate than the other and a critique of whether one strategy can **always** be better than another.



Please write clearly in block capitals.

Centre number

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Candidate number

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Surname

Forename(s)

Candidate signature

I declare this is my own work.

A-level BUSINESS

Paper 2 Business 2

Time allowed: 2 hours

Materials

For this paper you must have:

- a calculator.

Instructions

- Use black ink or black ball-point pen.
- Fill in the boxes at the top of this page.
- Answer **all** questions.
- You must answer the questions in the spaces provided. Do not write outside the box around each page or on blank pages.
- If you need extra space for your answer(s), use the lined pages at the end of this book. Write the question number against your answer(s).
- Do all rough work in this answer book. Cross through any work you do not want to be marked.

Information

- The marks for questions are shown in brackets.
- The maximum mark for this paper is 100.

For Examiner's Use	
Question	Mark
1.1	
1.2	
1.3	
1.4	
1.5	
2.1	
2.2	
2.3	
2.4	
3.1	
3.2	
3.3	
3.4	
TOTAL	



J U N 2 1 7 1 3 2 2 0 1

Answer **all** questions in the spaces provided.

0 1

Read the information below and then answer the questions that follow.

Banking on change

The UK banking industry is dominated by the 'Big 5' banks. These banks have had costly networks of physical branches. Recently they have closed many branches, particularly in rural areas.

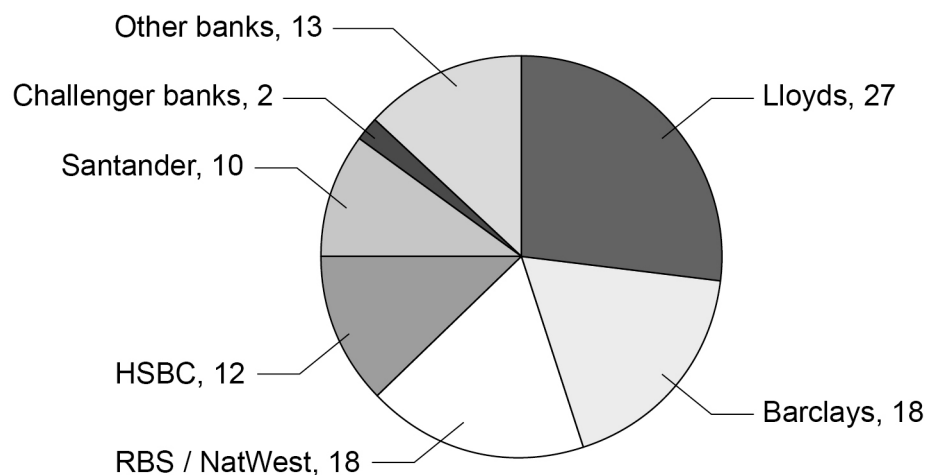
New technology and changes to government rules have opened the market to competition from relatively new entrants called 'challengers'. Challenger banks target a niche and aim to provide better customer service.

Metro Bank, like other challengers, has grown fast, but unfortunately it had to declare losses after a major accounting error in early 2019.

Appendix A Examples of types of challenger bank

Bank(s)	Type of service
Monzo, Starling	Fully online bank (this type includes 90% of challengers)
Tesco, M&S	Bank linked to retailer brand
Metro Bank	City branches open 12 hours a day

Appendix B Market share of banks in UK, 2019 (%)



Note: The 'Big 5' banks are Lloyds, Barclays, RBS/NatWest, HSBC, Santander

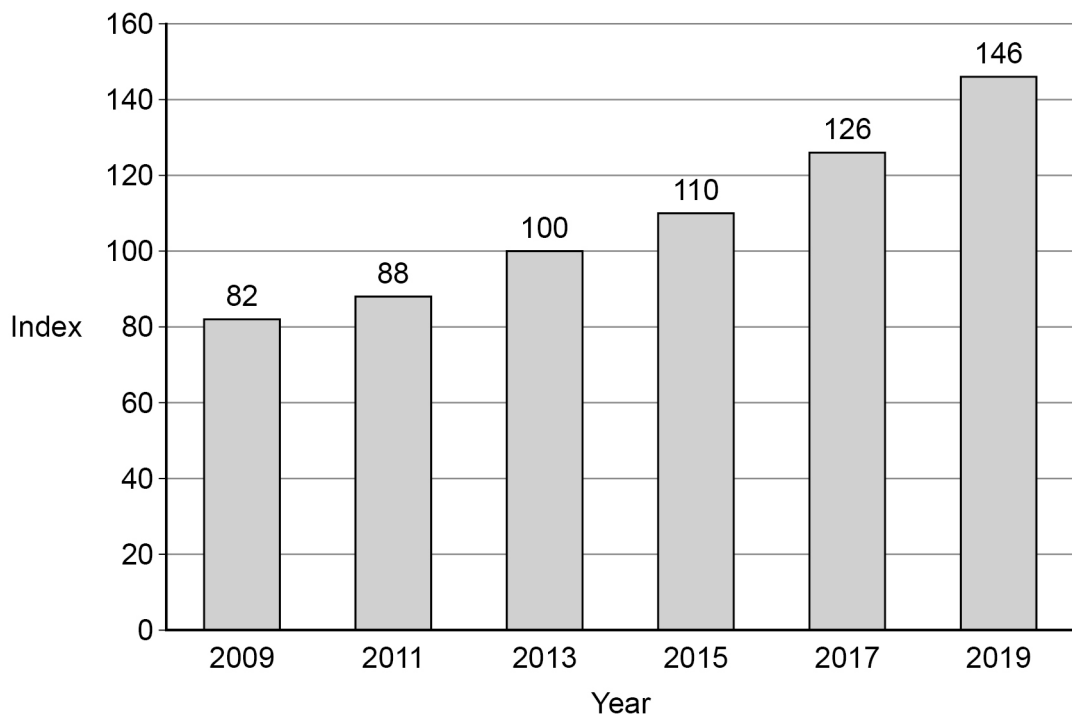
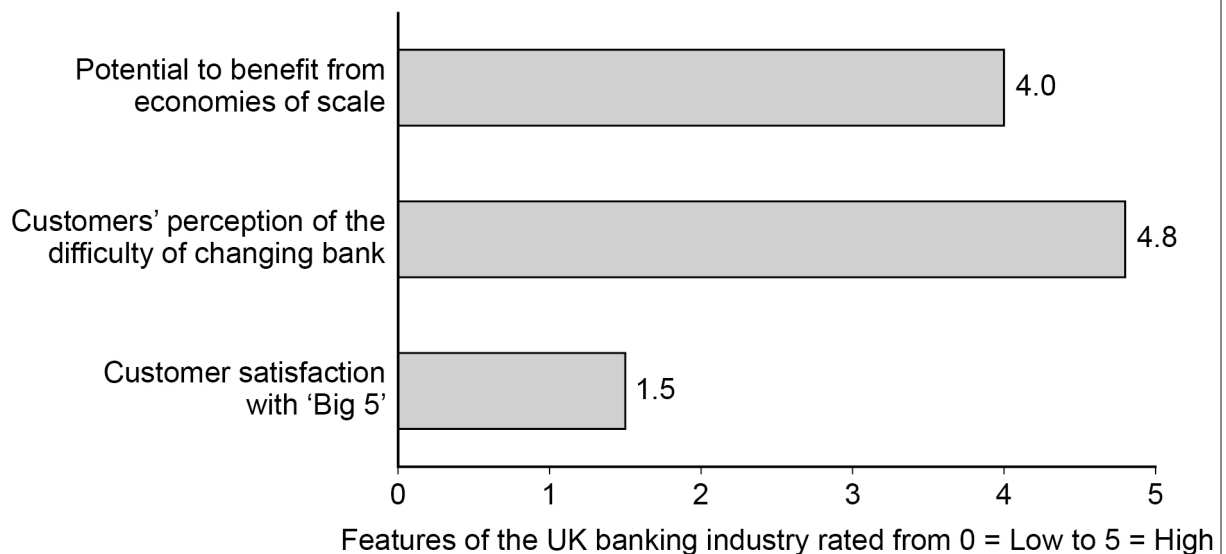


Appendix C Selected share price and market capitalisation information

	22 February 2019	6 March 2020
Metro Bank share price (pence)	1430.0	128.0
Metro Bank market capitalisation (£)	N/A	218.8m
Barclays Bank market capitalisation (£)	N/A	16 850m

Appendix D People using online banking (2009–2019)

(Index: base year 2013)

**Appendix E Analysis of UK banking industry (2019)****Turn over ►**

0 1 . 1

Using the data in **Appendix C**, calculate how many shares Metro Bank plc had issued, as of 6 March 2020.

[3 marks]

3

0 1 . 2

Using the data in **Appendix D**, calculate the percentage change in the number of people using online banking from 2009 to 2019.

[2 marks]

2

0 1 . 3

Explain **one** possible reason for the change in the share price of Metro Bank plc shown in **Appendix C**.

[4 marks]

4



The closure of branches is seen as a way for the 'Big 5' banks to better match supply with demand.

[9 marks]

[illegible]

9



To what extent does the data show that new entrants are a significant threat to the 'Big 5' banks?

[illegible]

Extra space



0 2

Read the information below and then answer the questions that follow.

Bell Ltd

Bell Ltd is a UK-based food manufacturer with 27 branded products in three main markets:

- sweets
- snacks
- drinks.

The company has been very successful over many years, increasing its market share in each market. It has responded to market changes by investing in the development of new products such as low-sugar and vegetarian ranges. It monitors the sales and costs associated with each of its brands.

100% of shares in Bell Ltd are owned by four members of the Bell family who also have management roles in the business. The owners feel long-term strategic decision making at the company is more effective than if it was a public limited company.

Bell Ltd actively manages the trade credit offered to retailers who buy its products, such as chasing any overdue payments and minimising the period of credit it offers to them. By building long-term relationships with suppliers, it has secured favourable credit terms from them.

Speckles is produced by Bell Ltd and used to be a leading brand of sweets in the UK. In terms of the Boston Matrix, *Speckles* is now a 'dog'. It was recently announced that *Speckles* would be discontinued. A social media campaign against this decision claimed that *Speckles* was an iconic brand from people's childhoods and should be saved.

Table 1 Financial data for the *Speckles* brand

Year	2019	2020
Sales revenue (£'000)	40	20
Cost of sales (£'000)	25	16
Gross profit (£'000)	15	4



[2 marks]

2

[6 marks]

[illegible]

6

Turn over ►



[9 marks]

[illegible]

9



Should businesses always stop the production of products classified as 'dogs' in the Boston Matrix?

[16 marks]

[illegible]

Extra space



[illegible]

Turn over ►



0 3

Read the information below and then answer the questions that follow.

Chillax Ltd

Chillax Ltd runs six luxury health spas in southern England. Health spas offer health and beauty treatments such as steam baths, exercise and massage. Chillax Ltd's customers expect high levels of service.

The business focuses on quality. It emphasises the importance of getting the customer experience right. It feels this is more about how employees interact with customers than the facilities in each health spa. The quality of customer experience is monitored through frequent customer surveys using the Chillax App. The business regularly has positive reviews online.

Chillax Ltd invests heavily in training, consults regularly and provides frequent feedback to staff. It feels that its high level of employee engagement has many benefits and ultimately ensures happy customers.

Chillax Ltd is unusual in the Health and Beauty sector in that many businesses in that sector have very high rates of labour turnover averaging over 30%.

Table 2 Selected employee data for Chillax Ltd for 2020 (31 December 2020)

Number of employees on 1 January 2020	180
Employees leaving during the year	24
Employees staying all year	162

0 3 . 1

Using **Table 2** calculate the employee retention rate for Chillax Ltd in 2020.

[2 marks]

2



0 3 . 2

Analyse how Chillax Ltd benefits from its focus on quality.

[6 marks]

6**Question 3 continues on the next page****Turn over ►**

[9 marks]

[illegible]

9



To what extent should **all** businesses be concerned if they have high rates of labour turnover?

[illegible]

[illegible]

[illegible]

16



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ANSWER IN THE SPACES PROVIDED**



[illegible]

[illegible]

There are no questions printed on this page

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ANSWER IN THE SPACES PROVIDED**

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2 4



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IB/G/Jun21/7132/2

A-level
BUSINESS
7132/2

Paper 2 Business 2

Mark scheme

June 2021

Version: 1.0 Final Mark Scheme



Mark schemes are prepared by the Lead Assessment Writer and considered, together with the relevant questions, by a panel of subject teachers. This mark scheme includes any amendments made at the standardisation events which all associates participate in and is the scheme which was used by them in this examination. The standardisation process ensures that the mark scheme covers the students' responses to questions and that every associate understands and applies it in the same correct way. As preparation for standardisation each associate analyses a number of students' scripts. Alternative answers not already covered by the mark scheme are discussed and legislated for. If, after the standardisation process, associates encounter unusual answers which have not been raised they are required to refer these to the Lead Examiner.

It must be stressed that a mark scheme is a working document, in many cases further developed and expanded on the basis of students' reactions to a particular paper. Assumptions about future mark schemes on the basis of one year's document should be avoided; whilst the guiding principles of assessment remain constant, details will change, depending on the content of a particular examination paper.

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Level of response marking instructions

Level of response mark schemes are broken down into levels, each of which has a descriptor. The descriptor for the level shows the average performance for the level. There are marks in each level.

Before you apply the mark scheme to a student's answer read through the answer and annotate it (as instructed) to show the qualities that are being looked for. You can then apply the mark scheme.

Step 1 Determine a level

Start at the lowest level of the mark scheme and use it as a ladder to see whether the answer meets the descriptor for that level. The descriptor for the level indicates the different qualities that might be seen in the student's answer for that level. If it meets the lowest level then go to the next one and decide if it meets this level, and so on, until you have a match between the level descriptor and the answer. With practice and familiarity you will find that for better answers you will be able to quickly skip through the lower levels of the mark scheme.

When assigning a level you should look at the overall quality of the answer and not look to pick holes in small and specific parts of the answer where the student has not performed quite as well as the rest. If the answer covers different aspects of different levels of the mark scheme you should use a best fit approach for defining the level and then use the variability of the response to help decide the mark within the level, ie if the response is predominantly level 3 with a small amount of level 4 material it would be placed in level 3 but be awarded a mark near the top of the level because of the level 4 content.

Step 2 Determine a mark

Once you have assigned a level you need to decide on the mark. The descriptors on how to allocate marks can help with this. The exemplar materials used during standardisation will help. There will be an answer in the standardising materials which will correspond with each level of the mark scheme. This answer will have been awarded a mark by the Lead Examiner. You can compare the student's answer with the example to determine if it is the same standard, better or worse than the example. You can then use this to allocate a mark for the answer based on the Lead Examiner's mark on the example.

You may well need to read back through the answer as you apply the mark scheme to clarify points and assure yourself that the level and the mark are appropriate.

Indicative content in the mark scheme is provided as a guide for examiners. It is not intended to be exhaustive and you must credit other valid points. Students do not have to cover all of the points mentioned in the Indicative content to reach the highest level of the mark scheme.

An answer which contains nothing of relevance to the question must be awarded no marks.

Marking guidance

- Be clear on the focus of the question.
- Read the response as a whole; follow the flow of the argument as a whole.
- Remember that the indicative content provides possible lines of argument but there may be others that are equally valid. Be willing to credit other lines of argument.
- Annotate the script as you read in accordance with the instructions given at standardisation.
- Consider what it all adds up to, eg is this a good response? A reasonable one? A limited one? Refer back to the standardisation scripts and guidance to help you benchmark. You are marking to the standard agreed at standardisation.
- Summarise your findings briefly at the end of the response. This will help you decide on the overall level and is helpful for others to understand the mark given, eg for an extended response ‘well-argued’ but does not focus fully on the issue of ‘long-term’ feels as if it might be good rather than excellent. Make sure the comments fit with the level awarded: ‘unbalanced and not comparing with alternative solutions’ does not sound as if it is ‘good’.
- Next to your comment put the level awarded, eg L4.
- If in doubt about an approach contact your Team Leader, do not make up your own rules because we must have a standardised approach across all marking. Be positive in your marking. Look to reward what is there.

Annotations Key

Annotation	Definition
T	Free text box – used for making comments at end of sections/answers
BAL	Balance
BOD	Benefit of Doubt
JUST	Mark or Level achieved
EVAL	Evaluation
KU	Knowledge
CON	Context
AN	Analysis without context
DP	Developed point
?	Question mark – uncertain/losing focus
NAQ	Not answered question
OF	Own figure rule
SEEN	Indicates that the point has been noted, but no credit has been given
Highlighter	Highlighter tool
REP	Repetition
V	Vague
X	Incorrect
✓	Correct

Levels used at the end of the response

L1	Level 1
L2	Level 2
L3	Level 3
L4	Level 4
L5	Level 5

0	1	.	1	Using the data in Appendix C , calculate how many shares Metro Bank plc had issued, as of 6 March 2020.
[3 marks]				

Marks for this question: AO1 = 2, AO2 = 1

$$\text{Number of shares} = \frac{\text{market capitalisation}}{\text{share price}}$$

$$\frac{\text{£218.8m}}{128.0\text{p}}$$

$$= \frac{218\,800\,000}{1.28}$$

$$= 170\,937\,500 \text{ shares (3 marks)}$$

$$= 170.9375 \text{ M}$$

3 marks for correct answer

2 marks for partial calculation e.g. mistake in use of £ and p in calculation

1 mark some understanding of market capitalisation/link to share price

Formula alone = **1 mark**

0	1	.	2	Using the data in Appendix D , calculate the percentage change in the number of people using online banking from 2009 to 2019.
[2 marks]				

Marks for this question: AO1 = 1, AO2 = 1

2009 is 82

2019 is 146

Change is a rise of 64

$$\text{Percentage change} = \left(\frac{64}{82} \right) \times 100$$

$$= 78.048\% \text{ OR } 78.0\% \text{ OR } 78$$

2 marks for correct answer

1 mark for formula or partial calculation with an error e.g. reading from graph incorrectly

0	1	3	Explain one possible reason for the change in the share price of Metro Bank plc shown in Appendix C .	[4 marks]
----------	----------	----------	---	------------------

Marks for this question: AO1 = 2, AO2 = 2

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Explains one reason for the downward trend in Metro Bank's share price.	4
2	A reasonable response overall that focuses on some of the demands of the question. Explanation with little use of case or lacking clarity.	3–2
1	A limited response overall that focuses on a few demands of the question. Some understanding of share price.	1

The demands of the question are:

- Show an understanding of the causes of share price changes.
- Explains one reason for a change in share price.
- Use the information presented.

Indicative content:

- Share price is the market price of shares in a plc on the stock exchange.
- The price is determined by the supply of shares from people wanting to sell and the demand from people wanting to buy shares in that business.
- Metro Bank has been said to have had an accounting error in early 2019.
- Explanation linking to how supply and/or demand for shares will be affected – less attractive for potential investors. Current investors may sell shares as returns lower.

Allow other relevant arguments.

0	1	4	The closure of branches is seen as a way for the 'Big 5' banks to better match supply with demand. Analyse how this action might affect the profits of these banks. [9 marks]
---	---	---	--

Marks for this question: AO1 = 2, AO2 = 3, AO3 = 4

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well-developed and is applied effectively to the context.	7–9
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed and is applied to the context.	4–6
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development and with mainly descriptive application to the context.	1–3

The demands of the question are:

- to analyse effect of branch closures on profits
- with some use of the context or situation of matching supply with demand.

Indicative content:

- Big 5 have reduced branch numbers
- the branch network is expensive as fixed assets are tied up in buildings etc and staff employed
- keeping busier branches will increase efficiency – removing surplus capacity, this will reduce fixed costs and so long as customers are not lost, will increase profits
- branch closures may cause customers to be dissatisfied and switch banks as customer service is worsened – the banks could see revenue falling if they have fewer customers
- publicity regarding closures may damage reputation of banks
- branches underused as internet banking use is rising – banks are moving resources towards this.

Allow other relevant arguments.

0	1	5	To what extent does the data show that new entrants are a significant threat to the 'Big 5' banks?
			[16 marks]

Marks for this question: AO1 = 2, AO2 = 3, AO3 = 4, AO4 = 7

Level	The student will typically demonstrate:	Marks
4	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding that is precise and well-selected in relation to issues in the question • demonstrates analysis throughout which is well-developed, is applied effectively to the context and considers a balanced range of the issues in the question • makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	13–16
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well-developed, applied effectively to the context and considers a range of issues in the question • makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole throughout.	9–12
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question • makes judgements or provides solutions which are built on analysis, but lack balance and not fully focused on the question as a whole.	5–8
1	A limited response overall with little focus on the demands of the question Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question • makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	1–4

The demands of the question are:

- to consider the extent as to how the data demonstrates the possible threat posed by new entrants
- to consider the level of threat to the Big 5 banks.

Indicative content:

- Most challenger banks (90% fully online in App. A) have embraced IT, this caters well for some sections of the market. Online banking is growing as shown in App D.
- The banking market is changing, and this may be a problem for large businesses adjusting to change, smaller newer businesses may be more agile and flexible.
- Challengers focus on deficiencies in customer service (App E) e.g. opening hours with Metro Bank opening 12 hours per day (App A).
- The Big 5 are closing branches – this could create opportunities.
- Rising use of internet banking (App D) may help new entrants – this combined with changing government regulations may have reduced barriers to entry.

However, it could be argued:

- The Big 5 banks are very strong brands – providing a large barrier to entry (Porter).
- Relative size – Big 5 banks have massive resources e.g. Barclays market capitalisation (App C).
- Economies of Scale (85% market share 'big 5' in the market in App B). Also high on industry analysis (App E).
- Market share – 85% of the market is controlled by 5 banks (App B) (Porter).
- Some evidence of challenger banks struggling - Metro Bank share price falling.
- Will existing banks be too powerful and respond to any new entrant in a way to restrict competition?
- Inertia –customers unwilling to switch banks – either in last year, or ever. (App E), this could pose a problem for a new entrant.

Overall, there seems to be some evidence that there is an opportunity for serving a niche market e.g. better service as Metro Bank or online. Will such niche businesses pose a threat? Is the power of the Big 5 banks too great? Evaluation may also question the need for further data to form full judgement.

Accept other relevant arguments.

0	2	1	Calculate the Gross Profit Margin for <i>Speckles</i> in 2020.	[2 marks]
----------	----------	----------	--	------------------

Marks for this question: AO1 = 1, AO2 = 1

$$\text{Gross Profit Margin} = \left(\frac{\text{Gross Profit}}{\text{Sales Revenue}} \right) \times 100$$

$$= \left(\frac{4}{20} \right) \times 100 \quad \text{OR} \quad \left(\frac{4\,000}{20\,000} \right) \times 100$$

$$= 20\%$$

2 marks for correct answer **20%**

1 mark for stating of formulae but no valid calculation.

1 mark for partial calculation or incorrect calculation e.g. wrong year

0	2	2	Analyse how Bell Ltd's cash flow is improved by the way it manages its payables and receivables.	[6 marks]
----------	----------	----------	--	------------------

Marks for this question: AO1 = 2, AO2 = 2; AO3 = 2

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: - demonstrates a good knowledge and understanding of issues in the question - demonstrates analysis which is well-developed and is applied effectively to the context.	5–6
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: - demonstrates a reasonable knowledge and understanding of issues in the question - demonstrates analysis which is developed and is applied to the context.	3–4
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: - demonstrates a limited knowledge and understanding of issues in the question - demonstrates analysis with little development and with mainly descriptive application to the context.	1–2

The demands of the question are:

- to explain the relationship between payables, receivables and the cash flow of Bell Ltd.

Indicative content / answers may include:

- Offering trade credit will be important selling to retailers and managing this will help gain cash inflows eg securing prompt payment.
- Bell Ltd actively chase payments and try to limit the time periods offered which should hasten cash inflows.
- Bell Ltd has long term relationships with suppliers this may help secure preferential terms either as discounts or longer periods of credit/opportunity for delaying payment. Helps to delay/reduce cash outflows.
- These 2 things together can help manage cash flow – getting money in earlier and possibly delaying or reducing payments.

Accept other relevant arguments.

0	2	3	Analyse how the ownership structure of Bell Ltd might have contributed to the success of its strategic decision making.
			[9 marks]

Marks for this question: AO1 = 2, AO2 = 3, AO3 = 4

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: - demonstrates a depth and range of knowledge and understanding of issues in the question - demonstrates analysis which is well-developed and is applied effectively to the context.	7–9
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: - demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question - demonstrates analysis which is developed and is applied to the context.	4–6
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: - demonstrates a limited range and depth of knowledge and understanding of issues in the question - demonstrates analysis with little development and with mainly descriptive application to the context.	1–3

The demands of the question are:

- To analyse ways in which being a private limited company fully owned by family might have contributed to the success of strategic decisions.

Indicative content / answers may include:

- 100% ownership by family sees a controlling interest with this group so the family will collectively have the final say.
- This small group of people should be able to communicate effectively ensuring decisions are clear and decisive. No other shareholders to consider or discuss with.
- Each owner is also a manager, this will allow better understanding e.g. of day to day issues, customer needs and employee issues.
- Family members are likely to have a long-term view. Strategic decisions looking at the long term may need to forego short term gain for the longer gain, this is more likely when shareholders have a bond with the business in such a way.
- The case contrasts with it being a plc and this could form an argument to contrast the more short-term perspective of some shareholders in plc.
- Strategic decisions can be made quickly in current structure as there are fewer people to communicate with than there would be in plc.

0	2	4	Should businesses always stop the production of products classified as ‘dogs’ in the Boston Matrix?
			Justify your view.
			[16 marks]

Marks for this question: AO1 = 2, AO2 = 3, AO3 = 4, AO4 = 7

Level	The student will typically demonstrate:	Marks
4	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding that is precise and well-selected in relation to issues in the question • demonstrates analysis throughout which is well-developed, is applied effectively to the context and considers a balanced range of the issues in the question • makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	13–16
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well-developed, applied effectively to the context and considers a range of issues in the question • makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole throughout.	9–12
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question • makes judgements or provides solutions which are built on analysis, but lack balance and not fully focused on the question as a whole.	5–8
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question • makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	1–4

The demands of the question are:

- to demonstrate understanding of elements of the Boston Matrix
- to analyse the cases for and against ceasing production
- to judge under what circumstances the ceasing of production may or may not be the correct decision
- for **all** businesses.

Indicative content:

The Boston Matrix is a tool to analyse a business' product portfolio with the 'dog' product being a product with low market share in a low growth market (Speckles described as this in the case).

Gains from/reasons for ceasing production of a 'dog' include:

- it may be at the end of product life cycle – further extension strategies may be pointless and costly
- new entrants to the market may have eroded the product's position, it may no longer be possible to compete
- has the market as a whole changed/declined, if so, getting out of the market may be timely
- could allow the business to focus on other products that have more prospects
- money saved could fund research and development into new products.

Keeping a 'dog' going may be valid:

- if the product is a distinct niche
- if the product has little need for support/further investment, then no need to remove it
- if there is any prospect of the market picking up again in the future (e.g. vinyl records)
- if the 'dog' has a place in the business' wider product portfolio.

Overall it will depend on:

- the situation in the market
- the strategic direction of the business
- how the product portfolio fits together.

Arguments referencing the case are relevant, but the focus is on **all** businesses.

0	3	1	Using Table 2 calculate the employee retention rate for Chillax Ltd in 2020.	[2 marks]
----------	----------	----------	---	------------------

Marks for this question: AO1 = 1 AO2 = 1

Correct answer: 90% (**2 marks**)

$$\frac{\text{Employees staying all year}}{\text{Number of employees at the start of the year}} \times 100$$

$$\frac{162}{180} \times 100 = 90\%$$

2 marks for correct answer

1 mark for formulae or definition, demonstrating understanding of employee retention

0	3	2	Analyse how Chillax Ltd benefits from its focus on quality.	[6 marks]
----------	----------	----------	---	------------------

Marks for this question: AO1 = 2, AO2 = 2, AO3 = 2

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a good knowledge and understanding of issues in the question • demonstrates analysis which is well-developed and is applied effectively to the context.	5–6
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a reasonable knowledge and understanding of issues in the question • demonstrates analysis which is developed and is applied to the context.	3–4
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of issues in the question • demonstrates analysis with little development and with mainly descriptive application to the context.	1–2

The demands of the question:

- How Chillax benefits from focus on quality
- in a service sector context provided by the case of Chillax.

Indicative content / answers may include:

- luxury health spa means customer expectations will be high so high quality in all aspects will be important and could encourage customer loyalty
- in this case Chillax is keen to encourage employees to provide high quality service to customers, paying attention to quality at every stage will enhance this further
- customer feedback is gathered frequently suggesting this is monitoring opinion about service quality this information will help improve and meet customer needs and potentially attract new customers
- quality may empower and enrich employees again possibly improving elements of customer service, and a relevant part of how staff are managed in this business may improve staff retention.

Accept other relevant answers.

0	3	3	Analyse why employee engagement at Chillax Ltd is high.	[9 marks]
---	---	---	---	-----------

Marks for this question: AO1 = 2, AO2 = 3 and AO3 = 4

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: - demonstrates a depth and range of knowledge and understanding of issues in the question - demonstrates analysis which is well-developed and is applied effectively to the context.	7–9
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: - demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question - demonstrates analysis which is developed and is applied to the context.	4–6
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: - demonstrates a limited range and depth of knowledge and understanding of issues in the question - demonstrates analysis with little development and with mainly descriptive application to the context.	1–3

The demands of the question are:

- to demonstrate an understanding of employee engagement
- to analyse reason(s) why employee engagement is high specifically at Chillax Ltd.

Indicative content:

- Employee engagement is the extent to which employees feel passionate about their jobs, are committed to the organization.
- Chillax has a focus on quality – achieved through employee/customer interaction this will be rewarding for staff and possibly help staff be engaged.
- Chillax's customers expect high levels of service this is supported through processes of feedback etc a culture that may increase employee engagement.
- This business is one where employee interaction with customers is vital – staff being key to success.
- The business has employee engagement as a priority – this shows a particularly inclusive culture/soft HR/consultation etc. This could help motivate staff, potentially improving effort (productivity) and reducing unit costs, linking through to profitability.
- There seems to be a deliberate policy to engage and consult and therefore employees are likely to feel more engaged with the business.

Accept other relevant arguments.

0	3	4	To what extent should all businesses be concerned if they have high rates of labour turnover?
			[16 marks]

Marks for this question: AO1 = 2, AO2 = 3, AO3 = 4, AO4 = 7

Level	The student will typically demonstrate:	Marks
4	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: - demonstrates a depth and range of knowledge and understanding that is precise and well-selected in relation to issues in the question - demonstrates analysis throughout which is well-developed, is applied effectively to the context and considers a balanced range of the issues in the question - makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	13–16
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: - demonstrates a depth and range of knowledge and understanding of issues in the question - demonstrates analysis which is well-developed, applied effectively to the context and considers a range of issues in the question - makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole throughout.	9–12
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: - demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question - demonstrates analysis which is developed, applied to the context and considers some of the issues in the question - makes judgements or provides solutions which are built on analysis, but lack balance and not fully focused on the question as a whole.	5–8
1	A limited response overall with little focus on the demands of the question Provides an answer to the question set that: - demonstrates a limited range and depth of knowledge and understanding of issues in the question - demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question - makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	1–4

The demands of the question are:

- to judge the extent to which high labour turnover could be a problem (or not)
- for **all businesses**.

Answers may include:

Labour turnover is the proportion of employees that leave a business in a given year.

High labour turnover can be problematic:

- increasing the costs associated with recruitment and selection and induction and training as staff leave and are needing to be replaced
- there is a loss of corporate knowledge and personal contacts with clients
- there can be disruption to teams and the social aspects of work as colleagues leave (Maslow)
- in some sectors there are skills shortages and staff may be harder to replace.

May be less of an issue:

- bringing in new ideas to the business
- some businesses may have a seasonal/transient workforce e.g. leisure industry where labour turnover will always be high – and is possibly an irrelevant measure
- businesses that require skills that are plentiful may not have an issue with turnover – lower skilled e.g. roles that students have; summer work etc.

The effect to which labour turnover will be an issue will depend on:

- the situation in the sector/the labour market – the skills available
- the nature of the business/industry
- the way the business manages the staff and the replacement process.

Judgement should be supported with prior arguments.

A-level **BUSINESS**

Paper 3 Business 3

Insert

Source 1: AM plc (Aerial Manufacturing plc)

The past

Aerial Manufacturing plc (AM plc) manufactures toys. For 20 years the business has made remote-controlled toy aircraft, drones and helicopters. These have been sold through retailers in the UK. Shortly after the company was founded, it moved all its manufacturing operations to a factory in China. This allowed AM plc to take advantage of cheap manufacturing costs – primarily due to the low wages paid to factory workers in China at the time. The company’s headquarters – including its product design department – stayed in the UK. 5

A new boss

A new Chief Executive, Roger Hicks, was appointed a few months ago. Prompted by shareholder dissatisfaction over low profitability, he was given two main objectives:

- increase sales turnover quickly 10
- increase dividend payments to shareholders by 2025.

Roger immediately analysed the existing strategic position of the business. He knew that recent rises in wage rates in Chinese factories meant that wage rates there are now closer to those in the UK. He analysed performance data from the AM plc factory (Appendix A) and visited the factory. He found what Blake and Mouton would describe as a ‘produce or perish’ style of management. Unlike similar factories in China, which use a ‘middle of the road’ style, AM plc’s factory relied on a high division of labour where each worker completed one small repetitive task. Supervisors were paid a bonus according to the output per worker for their section. As a result, rest breaks had been shortened and shifts extended by supervisors desperate to achieve bonuses for themselves. Following his review, Roger knew things had to change and introduced a new corporate strategy. 15 20

A new corporate strategy

AM plc will no longer make toys or sell through retailers. Roger’s new strategy will build on the company’s existing expertise in manufacturing remote-controlled aircraft and drones but targeting different customers. AM plc will design and manufacture sophisticated drones to be used by businesses which need an aerial capability as part of their operations. Drones are used in many industries including agriculture, construction and distribution. Roger intends to produce a range of drones specialising in inspection, high-quality video footage and parcel delivery. 25

AM plc will be selling directly to businesses. Roger is confident that this strategy offers opportunities for huge growth as it is founded on the company’s core competence of designing and manufacturing drones. Instead of trying to be a cheap supplier in the mass market for toys, the business will switch to a strategy of focused differentiation. Differentiation will come from being a long-established business in the industry with exceptionally high-performing and durable products. Market research is encouraging, with sales forecasts shown in Appendix B. 30 35

A new site

Roger believes he must move AM plc's manufacturing back to the UK. His operations director has identified two possible sites for a new factory. Site A is 30 miles from London. The area offers an attractive place to live and work, easy access to many potential customers' headquarters and good transport links to the rest of the UK. Site B is in the North West of England. After the recent closure of a nearby car factory, local unemployment is high. Site B is £2m cheaper than Site A and close to a port, therefore offering easy shipping for exports. Further data about each site is in Appendix C. 40

A new factory

Roger's vision of the new factory focuses on highly skilled workers using advanced robotics. Output will be of exceptionally high levels of quality, but with the flexibility to adjust the products being made to suit individual customers' specific requirements. Roger will use a 'Just in Time' system at the new factory. This will have implications for the frequency and size of deliveries, cash flow and the inventory turnover ratio. 45

Building a factory will be a complex process involving thousands of different activities. Roger understands the challenges involved in planning and managing a project of this size. In a former job as project manager for a multinational manufacturer, he had supervised the construction of several factories. He intends to use network analysis to identify the critical path. The existing factory in China will be closed in ten months and Roger is confident the new factory will be operational by then. 50

Finances

Roger has allocated a total budget for the change in strategy of £10m. Much of that will be spent on the new site, factory and production equipment, with the rest available for marketing. He has a bank loan arranged to borrow up to the full £10m. 55

Roger is confident that his decisions will lead to success in meeting his two objectives.

Appendix A 2020 performance data on AM plc's Chinese factory and similar factories in China

	AM plc Chinese factory	Average for similar factories in China
Unit cost	£23	£25
Productivity (units of output per worker per month)	240	200
Labour turnover	40%	15%
Defect rate per 1000 products	80	10

Appendix B Sales forecasts for AM plc based on quantitative market research

Years after change of strategy	Sales volume (units sold)	Sales value (£m)
Year 1	2300	11.5
Year 2	2800	14
Year 3	4000	20
Year 4	6000	30

Appendix C Information on possible sites for AM plc's new factory

	Site A	Site B
Initial investment (purchase of land plus factory construction and production equipment)	£8m	£6m
Average selling price per unit	£5000	£5000
Fixed costs per year	£6m	£4.5m
Variable costs per unit	£2500	£3000
Maximum capacity (units per year)	10 000	8000

Appendix D Extracts from latest annual accounts for AM plc

	£m
Sales turnover	22
Cost of sales	20
Inventories	5
Other current assets	1
Current liabilities	6
Non-current liabilities	5
Total equity	15

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Please write clearly in block capitals.

Centre number

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Candidate number

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Surname

Forename(s)

Candidate signature

I declare this is my own work.

A-level BUSINESS

Paper 3 Business 3

Time allowed: 2 hours

Materials

For this paper you must have:

- a calculator
- the Insert.

Instructions

- Use black ink or black ball-point pen.
- Fill in the boxes at the top of this page.
- Answer **all** questions.
- You must answer the questions in the spaces provided. Do not write outside the box around each page or on blank pages.
- If you need extra space for your answer(s), use the lined pages at the end of this book. Write the question number against your answer(s).
- Do all rough work in this answer book. Cross through any work you do not want to be marked.

Information

- The marks for questions are shown in brackets.
- The maximum mark for this paper is 100.

For Examiner's Use	
Question	Mark
1	
2	
3	
4	
5	
6	
TOTAL	



Read the **case study** in the **Insert**.

Analyse how AM plc needs to change its marketing mix to make its new strategy of focused differentiation successful.

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[illegible]

AM plc has a 'produce or perish' style of management.

[12 marks]

[illegible]

[illegible]

[illegible]

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[16 marks]

[illegible]

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outside the
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Turn over ►



[illegible]

To what extent is network analysis likely to be useful to AM plc when constructing its new factory?

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outside the
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Handwriting practice area with 25 horizontal lines.

Turn over ►



[20 marks]

[illegible]

[illegible]

[illegible]

[illegible]

In recent years many businesses that off-shored manufacturing have reviewed their decision to produce abroad and are re-shoring production.

[24 marks]

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Extra space

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24

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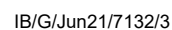
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ANSWER IN THE SPACES PROVIDED**



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A-level
BUSINESS
7132/3

Paper 3 Business 3

Mark scheme

June 2021

Version: 1.0 Final Mark Scheme



Mark schemes are prepared by the Lead Assessment Writer and considered, together with the relevant questions, by a panel of subject teachers. This mark scheme includes any amendments made at the standardisation events which all associates participate in and is the scheme which was used by them in this examination. The standardisation process ensures that the mark scheme covers the students' responses to questions and that every associate understands and applies it in the same correct way. As preparation for standardisation each associate analyses a number of students' scripts. Alternative answers not already covered by the mark scheme are discussed and legislated for. If, after the standardisation process, associates encounter unusual answers which have not been raised they are required to refer these to the Lead Examiner.

It must be stressed that a mark scheme is a working document, in many cases further developed and expanded on the basis of students' reactions to a particular paper. Assumptions about future mark schemes on the basis of one year's document should be avoided; whilst the guiding principles of assessment remain constant, details will change, depending on the content of a particular examination paper.

Further copies of this mark scheme are available from aqa.org.uk

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Level of response marking instructions

Level of response mark schemes are broken down into levels, each of which has a descriptor. The descriptor for the level shows the average performance for the level. There are marks in each level.

Before you apply the mark scheme to a student's answer read through the answer and annotate it (as instructed) to show the qualities that are being looked for. You can then apply the mark scheme.

Step 1 Determine a level

Start at the lowest level of the mark scheme and use it as a ladder to see whether the answer meets the descriptor for that level. The descriptor for the level indicates the different qualities that might be seen in the student's answer for that level. If it meets the lowest level then go to the next one and decide if it meets this level, and so on, until you have a match between the level descriptor and the answer. With practice and familiarity you will find that for better answers you will be able to quickly skip through the lower levels of the mark scheme.

When assigning a level you should look at the overall quality of the answer and not look to pick holes in small and specific parts of the answer where the student has not performed quite as well as the rest. If the answer covers different aspects of different levels of the mark scheme you should use a best fit approach for defining the level and then use the variability of the response to help decide the mark within the level, ie if the response is predominantly level 3 with a small amount of level 4 material it would be placed in level 3 but be awarded a mark near the top of the level because of the level 4 content.

Step 2 Determine a mark

Once you have assigned a level you need to decide on the mark. The descriptors on how to allocate marks can help with this. The exemplar materials used during standardisation will help. There will be an answer in the standardising materials which will correspond with each level of the mark scheme. This answer will have been awarded a mark by the Lead Examiner. You can compare the student's answer with the example to determine if it is the same standard, better or worse than the example. You can then use this to allocate a mark for the answer based on the Lead Examiner's mark on the example.

You may well need to read back through the answer as you apply the mark scheme to clarify points and assure yourself that the level and the mark are appropriate.

Indicative content in the mark scheme is provided as a guide for examiners. It is not intended to be exhaustive and you must credit other valid points. Students do not have to cover all of the points mentioned in the Indicative content to reach the highest level of the mark scheme.

An answer which contains nothing of relevance to the question must be awarded no marks.

Marking guidance

- Be clear on the focus of the question.
- Read the response as a whole; follow the flow of the argument as a whole.
- Remember that the indicative content provides possible lines of argument but there may be others that are equally valid. Be willing to credit other lines of argument.
- Annotate the script as you read in accordance with the instructions given at standardisation.
- Consider what it all adds up to, eg is this a limited response? A reasonable one? A good one? Refer back to the standardisation scripts and guidance to help you benchmark. You are marking to the standard agreed at standardisation. Be careful of the standard you are marking at; refer back to standardisation scripts regularly.
- Summarise your findings briefly at the end of the response. This will help you decide on the overall level and is helpful for others to understand the mark given, eg for an extended response 'well-argued' but does not focus fully on the issue of 'long term' feels as if it might be good rather than excellent. Make sure the comments fit with the level awarded: 'unbalanced and not comparing with alternative solutions' does not sound as if it is 'good'.
- Next to your comment put the level awarded, eg L4.
- If in doubt about an approach contact your Team Leader, do not make up your own rules because we must have a standardised approach across all marking.
- Be positive in your marking. Look to reward what is there.

	Knowledge and understanding – used to credit knowledge of the specification and also to acknowledge 'points' made in relation to the question , perhaps explained, but once the point has some analytical dev, annotate AN or ARG
	Analytical but lacks context, ie a theoretical line of argument
	Argument (analysis in context)
	Developed argument (well-developed analysis in context)
	Judgement with support
	Losing/lost focus – not fully focused on the demands of the question
	benefit of doubt – though there is some uncertainty over the student's meaning , the point or aspect of the argument will be accepted as valid, thus creditworthy
	Not answering the question - response has drifted from answering the question set. When using, be sure to read the whole response carefully – students will often drift back to answering the question later in their response – normal annotation should resume whenever they come back to addressing the demands of the question
	own figure rule – to be annotated where a valid argument develops following a miscalculation (ie a wrong answer is used correctly)
	used to annotate blank pages to show they have been scanned for any student response – please check the whole page
	ONLY used to show a correct calculation – please use KU when annotating valid points
	to show an incorrect calculation or a clearly incorrect link in a chain of logic – if in doubt, do not cross, use BOD
	Meaning unclear
	Repetition

0	1	Analyse how AM plc needs to change its marketing mix to make its new strategy of focused differentiation successful.	[12 marks]
----------	----------	--	-------------------

Marks for this question: AO1 = 3, AO2 = 3, AO3 = 6

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question.	9–12
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question.	5–8
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development and mainly descriptive application to the context.	1–4

The demands of this question are:

- show an understanding of focused differentiation
- links adoption of focused differentiation to the need for changes in the marketing mix
- in the context of AM plc's new strategy being successful.

Indicative content:

- prices will rise
- promotional methods will change to focus on a smaller and different range of customers – recognising the shift from business to consumer to business to business model
- product will change significantly, with a far greater focus on functionality
- place – the business will no longer distribute through retailers, focusing instead on direct channels
- valid references to the extended mix (people, physical evidence and process) should be credited
- accept other relevant arguments.

0	2	AM plc has a 'produce or perish' style of management.
		Analyse how this may have caused the performance data for its Chinese factory to differ from the average for similar factories in China, as shown in Appendix A . [12 marks]

Marks for this question: AO1 = 3, AO2 = 3, AO3 = 6

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: - demonstrates a depth and range of knowledge and understanding of issues in the question - demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question.	9–12
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: - demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question - demonstrates analysis which is developed, applied to the context and considers some of the issues in the question.	5–8
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: - demonstrates a limited range and depth of knowledge and understanding of issues in the question - demonstrates analysis with little development and mainly descriptive application to the context.	1–4

The demands of this question are:

- shows an understanding of a 'produce or perish' style of management
- links 'produce or perish' style of management to the data provided in Appendix A.

Indicative content:

- A 'produce or perish' style of management is one where management focus exclusively on production with no concern for people. The term was coined by Blake and Mouton.
- Unit costs are a little lower than other factories as a result of higher levels of productivity, caused by the 'produce or perish' style. However, given the significantly better than average productivity performance unit costs might be expected to be even lower. It is likely that quality problems and the high labour turnover are nearly negating the downward pressure on unit costs caused by higher than average productivity.
- Productivity is higher than average. This will be a direct result of management's exclusive focus on productivity. Supervisors were paid a bonus according to the output per worker figures for their section.

- Labour turnover is likely to be high due to the way work is arranged – a high division of labour and one small repetitive task – clearly focused on productivity. In addition, actions prompted by the production-driven bonus scheme for supervisors led to 'breaks were cut and shifts extended' also contributing to the very high labour turnover.
- Defect rate may well be the result of production focus with employees 'driven to work faster' and 'supervisors were paid a bonus according to the output per worker figures for their section' placing volume as opposed to quality at the top of the agenda. Furthermore, tired workers make more mistakes, so 'breaks were cut and shifts extended' – a clear result of the focus on production will have contributed to the high defect rate
- Accept other relevant arguments.

0	3	AM plc will use a 'Just in Time' system at its new factory.
		To what extent do you agree that this is a good idea?
		[16 marks]

Marks for this question: AO1 = 2, AO2 = 3, AO3 = 4, AO4 = 7

Level	The student will typically demonstrate:	Marks
4	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding that is precise and well selected in relation to issues in the question • demonstrates analysis throughout which is well developed, is applied effectively to the context and considers a balanced range of the issues in the question • makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	13–16
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question • makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole.	9–12
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question • makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	5–8
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question • makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	1–4

The demands of this question are:

- analyse the pros and cons of using JIT
- in the context of AM plc's new factory
- justify a judgement on whether this is a good idea.

Indicative content:

Positives

- Zero stock of finished goods reduces the need for storage space and clutter within the factory. This should minimise overheads. In addition, there is no chance of finished goods becoming obsolete – a potential issue in a technology-driven industry such as this one.
- Minimising stock of materials and components means space is once more saved – reducing overheads, plus less cash is tied up in stock – helping the firm's liquidity at a time when cash is relatively tight – current ratio = 1
- Previous inventory turnover was four times per year – exceptionally low – JIT would significantly improve this figure.

Negatives

- May miss out on purchasing economies of scale – although business will now be fairly low volume.
- May struggle to meet sudden surges in demand with no stocks of finished goods – though this market is less likely to have surges than their former market. Furthermore, lead times will be higher if production does not start until an order is placed – but customers may be willing to wait if products can be tailored to their requirements.
- The environmental impact of many small deliveries creating more road traffic is a negative.

Accept other relevant arguments

Evaluation:

An effective judgement should flow from the arguments presented. Judgement is likely to come through the extent to which AM plc would be affected by the negatives – many industrial customers may be willing to wait for their product to be made from scratch, whilst most suppliers are UK based and should be able to deliver components rapidly.

0	4	To what extent is network analysis likely to be useful to AM plc when constructing its new factory?	[16 marks]
---	---	---	------------

Marks for this question: AO1 = 2, AO2 = 3, AO3 = 4, AO4 = 7

Level	The student will typically demonstrate:	Marks
4	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: - demonstrates a depth and range of knowledge and understanding that is precise and well selected in relation to issues in the question - demonstrates analysis throughout which is well developed, is applied effectively to the context and considers a balanced range of the issues in the question - makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	13–16
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: - demonstrates a depth and range of knowledge and understanding of issues in the question - demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question - makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole.	9–12
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: - demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question - demonstrates analysis which is developed, applied to the context and considers some of the issues in the question - makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	5–8
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: - demonstrates a limited range and depth of knowledge and understanding of issues in the question - demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question - makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	1–4

The demands of this question are:

- analyse the benefits and limitations of using network analysis
- when planning and implementing a complex project such as building AM plc's new factory
- make a justified judgement on how useful network analysis will be in this case.

Indicative content:

Useful because:

- There is time pressure to get started in time for the company re-launch in ten months. Network analysis should help complete the project as quickly as possible.
- Network analysis allows managers to focus on critical activities to help prevent overall delays.
- Latest finish times allow mini-deadlines to be set for the contractors responsible for each activity's completion.
- Earliest start times can help to reduce working capital requirements ensuring materials are not purchased too early, tying up cash unnecessarily – useful given the company's strained liquidity position – current ratio = 1

Limitations:

- all activity durations will be estimates – although Roger has experience planning and managing similar projects from his previous role
- it's a planning tool, which can help with execution but does not guarantee deadlines will be met – there are likely to be many activities to complete and many contractors involved
- unexpected events can delay activities.

Accept other relevant arguments.

Evaluation:

An effective judgement should flow from the arguments presented. Judgement is likely to come through the assessment of the usefulness of critical path analysis. This will recognise limitations to the technique but also its usefulness in speeding up complex projects such as this one – in a context where speed is vital to AM plc. Recognition that Roger has experience of project management may also suggest that network analysis may be useful here.

0	5	Should AM plc invest in building its new factory at Site A or Site B?
		Use quantitative and qualitative information to justify your view.
		[20 marks]

Marks for this question: AO1 = 4, AO2 = 3, AO3 = 5, AO4 = 8

Level	The candidate will typically demonstrate:	Marks
5	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding that is precise and well selected in relation to issues in the question • demonstrates analysis throughout which is well developed, is applied effectively to the context and considers a balanced range of the issues in the question • makes judgments or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as whole throughout.	17–20
4	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed and is applied effectively to the context and considers a range of issues in the question • makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole.	13–16
3	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question • makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	9–12
2	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development and with mainly descriptive application to the context and considers a limited number of issues in the question • makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	5–8

1	A weak response overall lacking focus on the demands of the question. Provides an answer to the question set that: • demonstrates isolated or imprecise knowledge and understanding • demonstrates undeveloped analysis with descriptive application to the context and lacking focus on the question • makes judgements or proposes solutions based on assertions.	1–4
----------	--	------------

The demands of this question are:

- use quantitative data to analyse the benefits of both options
- use qualitative information to analyse the benefits of both options
- make a justified judgement on which option is best for AM plc.

Indicative content:

Calculations:

	Site A	Site B
Break-even output	$\frac{£6m}{£2\,500} = 2\,400$	$\frac{£4.5m}{£2\,000} = 2\,250$
Profit at maximum capacity	$10\,000 \times £2\,500 - £6m = £19m$	$8\,000 \times £2\,000 - £4.5m = £11.5m$
Payback	3y 4.3m	3y 2.08m
ARR (assuming 4-year life)	17.97%	25.83%

Arguments for Site A:

- profit at maximum capacity is higher – which may help to boost dividends to shareholders
- maximum capacity is higher – which is useful given the objective of growth
- closer to customers' headquarters.

Arguments for Site B:

- lower start-up costs – leaving more of the £10m available for marketing – which could be critical after such a major strategic change
- lower fixed costs
- break-even point is lower
- shorter payback period
- higher ARR
- more unemployed locally – skills from car manufacturing may be transferrable.

Accept other relevant arguments.

Evaluation:

An effective judgement should flow from the arguments presented. Judgement should retain a tight focus on which is the better location for the business, given its objectives of maximising growth and boosting dividends.

0	6	In recent years many businesses that off-shored manufacturing have reviewed their decision to produce abroad and are re-shoring production. To what extent do you agree that all businesses that moved manufacturing abroad should now move production back to the UK? [24 marks]
----------	----------	--

Marks for this question: AO1 = 5, AO2 = 4, AO3 = 6, AO4 = 9

Level	The candidate will typically demonstrate	Marks
5	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding that is precise and well selected in relation to issues in the question • demonstrates analysis throughout which is well developed, is applied effectively to the context and considers a balanced range of the issues in the question • makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as whole throughout.	21–24
4	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question • makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole.	16–20
3	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question • makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	11–15

2	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question • makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	6–10
1	A weak response overall lacking focus on the demands of the question Provides an answer to the question set that: • demonstrates isolated or imprecise knowledge and understanding • demonstrates undeveloped analysis with descriptive application to the context and lacking focus on the question • makes judgements or proposes solutions based on assertions.	1–5

The demands of this question are:

- analysis of benefits and drawbacks of manufacturing in the UK
- for manufacturers currently manufacturing abroad
- makes a judgement on whether moving back to the UK is sensible for all UK firms with off-shored manufacturing.

Indicative content:

Good idea because:

- Increasingly sophisticated robotics allows jobs that used to need people to be done by machine. This reduces the relative importance of labour costs in total unit costs of manufactured goods.
- UK wage rates have grown far slower than those in several other countries – notably China and India – reducing the cost savings to be had from manufacturing abroad.
- Any off-shoring is likely to increase transport costs and times. These are also likely to be more subject to external shocks.

Not a good idea because:

- many costs in the UK (eg land, rates, utilities) remain far higher than in other global locations
- many companies may have begun manufacturing abroad but started selling in markets close to their off-shore manufacturing bases
- the terms of trade agreed upon Britain's departure from the EU may make exporting from the UK harder.

Accept other relevant arguments

Evaluation:

An effective judgement should flow from the arguments presented. Judgement is likely to come through the assessment of situations in which the statement could be true weighed up against situations in which it is false.

The extent to which moving manufacturing back to the UK depends on:

- the country to which the manufacturing has been off-shored
- whether the cost differential between the UK and an off-shore location has been eroded over time
- the practicalities of transporting the finished product from factory to market.

Overall: The statement is sweeping and will thus not be entirely true or false. There is little doubt that re-shoring has risen in popularity in recent years and the drivers behind this remain in place.

Please write clearly in block capitals.

Centre number

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Candidate number

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Surname

Forename(s)

Candidate signature

I declare this is my own work.

A-level BUSINESS

Paper 1 Business 1

Time allowed: 2 hours

Materials

For this paper you must have:

- a calculator.

Instructions

- Use black ink or black ball-point pen.
- Fill in the boxes at the top of this page.
- Answer **all** questions in **Section A** and **Section B**.
- Answer **one** question from **Section C** and **one** question from **Section D**.
- You must answer the questions in the spaces provided. Do not write outside the box around each page or on blank pages.
- If you need extra space for your answer(s), use the lined pages at the end of this book. Write the question number against your answer(s).
- Do all rough work in this answer book. Cross through any work you do not want to be marked.

Information

- The marks for questions are shown in brackets.
- The maximum mark for this paper is 100.

For Examiner's Use	
Question	Mark
Section A	
16	
17	
18	
19	
20	
21	
22	
23	
24	
25	
TOTAL	



Section AAnswer **all** questions in this section.Only **one** answer per question is allowed.

For each question completely fill in the circle alongside the appropriate answer.

CORRECT METHOD



WRONG METHODS



If you want to change your answer you must cross out your original answer as shown.



If you wish to return to an answer previously crossed out, ring the answer you now wish to select as shown.

**0 1**

The managers of a business propose to retain all of its profit to finance automation of its production. This is most likely to cause conflict with:

[1 mark]**A** employees and lenders.☐**B** employees and shareholders.☐**C** lenders and suppliers.☐**D** shareholders and suppliers.☐**0 2**

A business is able to reduce unit costs because of lessons learned throughout the period in which it has existed. This is known as:

[1 mark]**A** economies of scale.☐**B** economies of scope.☐**C** synergy.☐**D** the experience curve.☐

0 3

In a decision tree the net gain of a decision is the:

[1 mark]

- A** average pay-off of the outcomes. ☐
- B** expected value of the best decision minus the expected value of the next best decision. ☐
- C** expected value minus the initial cost. ☐
- D** total pay-off of the outcomes minus the initial cost. ☐

0 4

Which one of these changes is most likely to lead to higher costs and higher demand for a product?

[1 mark]

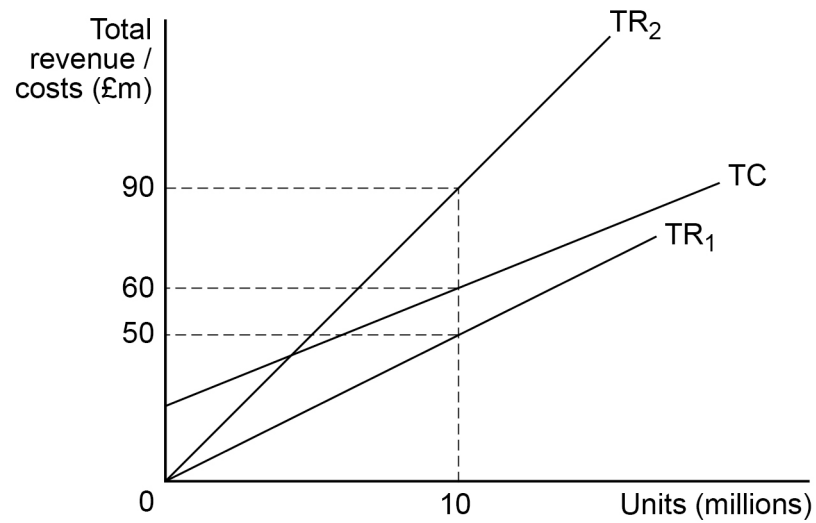
- A** An increase in the rate of inflation ☐
- B** A rise in interest rates ☐
- C** Introducing fair trade principles ☐
- D** More competition ☐

Turn over for the next question

Turn over ►

0 5

The diagram below shows a breakeven chart.



The business produces and sells 10 million units of output. Price rises from £5 to £9. As a result, profit changes:

[1 mark]

- A** from minus £10m to £30m.
- B** from minus £10m to £40m.
- C** from £10m to £30m.
- D** from £10m to £40m.

☐
☐
☐
☐


0 6

Stated below are three possible changes for a business.

1. A reduction in wage levels.
2. An increase in labour productivity.
3. An increase in labour turnover.

Other things being equal, which of the following changes is the most likely to lead to an increase in employee costs as a percentage of turnover?

[1 mark]

A 1 and 2 only

☐

B 2 and 3 only

☐

C 2 only

☐

D 3 only

☐
0 7

The owner of a business which sells hot drinks asks a focus group of customers for their views. This market research reveals that customers prefer to have cakes with their drinks. In terms of Ansoff's matrix, the subsequent decision to introduce cakes is an example of:

[1 mark]

A diversification, resulting from qualitative market research.

☐

B diversification, resulting from quantitative market research.

☐

C product development, resulting from qualitative market research.

☐

D product development, resulting from quantitative market research.

☐
0 8

A product's price rises by 20% and its sales volume falls by 10%. All of its competitors leave their prices unchanged. The product's market share, as measured by sales volume, remains the same.

Which of these statements is **false**?

[1 mark]

A The market size, measured by volume, remains unchanged.

☐

B The product's market share, measured by value, increases.

☐

C The product's price elasticity of demand is inelastic.

☐

D The product's sales value rises.

☐
Turn over ►

0 9

Statement 1: 'In a network diagram, the path with the lowest total float time is the critical path.'

Statement 2: 'In a network diagram, at least one activity must have a float time.'

Read statements 1 and 2 and select the correct option from the following options.

[1 mark]

A Statement 1 is true. Statement 2 is true.

☐

B Statement 1 is true. Statement 2 is false.

☐

C Statement 1 is false. Statement 2 is true.

☐

D Statement 1 is false. Statement 2 is false.

☐

1 0

Statement 1: 'A business might improve the quality of its product in order to make its demand more price elastic.'

Statement 2: 'A business might improve the quality of its product in order to increase added value.'

Read Statements 1 and 2 and select the correct option from the following options.

[1 mark]

A Statement 1 is true. Statement 2 is true.

☐

B Statement 1 is true. Statement 2 is false.

☐

C Statement 1 is false. Statement 2 is true.

☐

D Statement 1 is false. Statement 2 is false.

☐


1 1

Statement 1: 'In a SWOT analysis, improvements in infrastructure are a strength for a business.'

Statement 2: 'In a SWOT analysis, an increase in the minimum wage may be a threat to a business.'

Read Statements 1 and 2 and select the correct option from the following options.

[1 mark]

A Statement 1 is true. Statement 2 is true.

☐

B Statement 1 is true. Statement 2 is false.

☐

C Statement 1 is false. Statement 2 is true.

☐

D Statement 1 is false. Statement 2 is false.

☐

1 2

Based on Kaplan & Norton's Balanced Scorecard model, a policy to increase Research and Development spending on new products by 5% would be an element of the:

[1 mark]

A customer perspective.

☐

B financial perspective.

☐

C internal business process perspective.

☐

D learning and growth perspective.

☐

1 3

Which one of the following is **least** likely to be an advantage of operating in a niche market for a small business?

[1 mark]

A Economies of scope

☐

B Focused marketing

☐

C Less competition

☐

D Opportunity for tailor-made products

☐

Turn over ►



1	4
---	---

Statement 1: 'An emergent strategy only occurs in response to external change.'

Statement 2: 'Strategic drift occurs whenever a business changes a planned strategy.'

Read statements 1 and 2 and select the correct option from the following options:

[1 mark]

A Statement 1 is true. Statement 2 is true.

☐

B Statement 1 is true. Statement 2 is false.

☐

C Statement 1 is false. Statement 2 is true.

☐

D Statement 1 is false. Statement 2 is false.

☐

1	5
---	---

A business's decision to increase its level of capital expenditure is most likely to:

[1 mark]

A achieve long-term growth.

☐

B achieve short-term profits.

☐

C avoid cash flow problems.

☐

D reduce gearing levels.

☐

15



Section BAnswer **all** questions in this section.Questions 16, 17 and 18 are based on the data provided in **Table 1** below.**Table 1** includes all of Magpie plc's current assets and current liabilities at the end of its financial year, ending 31 March 2021. The inventory level on 31 March 2021 is identical to the average level of inventory held during the year.**Table 1 Extracts from financial accounts of Magpie plc**

Item	(£m)
Sales revenue	80
Cost of sales	50
Bank overdraft	7
Inventory	8
Payables	12
Receivables	17

1 6

Calculate the inventory turnover of Magpie plc.

[2 marks]

2**1 7**

Calculate the payables days for Magpie plc.

[3 marks]

3**Turn over ►**

1	8
---	---

Calculate the current ratio for Magpie plc.

[3 marks]

3



[9 marks]

This image shows a blank sheet of white paper with horizontal ruling lines. The lines are evenly spaced and extend across the width of the page. There are no margins, text, or other markings on the paper.[illegible]

9

[9 marks]

This image shows a blank sheet of white paper with horizontal ruling lines. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.[illegible]

[9 marks]

This image shows a single sheet of white paper with horizontal ruling lines. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.

9

Answer **either** Question 22 **or** Question 23.

Question

2	2	
---	---	---

Question

2	3	
---	---	---



			
---	---	---	---

2	2
---	---

[25 marks]

2	3
---	---

[25 marks]

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[illegible]

Extra space



[illegible]

[illegible]

[illegible]

25



Answer **either** Question 24 **or** Question 25.

Question

2	4	
---	---	---

Question

2	5	
---	---	---



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2	4
---	---

[25 marks]

2	5
---	---

[25 marks]

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[illegible]



[illegible]

[illegible]

[illegible]

25



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outside the
box*

**DO NOT WRITE ON THIS PAGE
ANSWER IN THE SPACES PROVIDED**



[illegible]

A-level
BUSINESS
7132/1

Paper 1 Business 1

Mark scheme

June 2022

Version: 1.0 Final Mark Scheme



Mark schemes are prepared by the Lead Assessment Writer and considered, together with the relevant questions, by a panel of subject teachers. This mark scheme includes any amendments made at the standardisation events which all associates participate in and is the scheme which was used by them in this examination. The standardisation process ensures that the mark scheme covers the students' responses to questions and that every associate understands and applies it in the same correct way. As preparation for standardisation each associate analyses a number of students' scripts. Alternative answers not already covered by the mark scheme are discussed and legislated for. If, after the standardisation process, associates encounter unusual answers which have not been raised they are required to refer these to the Lead Examiner.

It must be stressed that a mark scheme is a working document, in many cases further developed and expanded on the basis of students' reactions to a particular paper. Assumptions about future mark schemes on the basis of one year's document should be avoided; whilst the guiding principles of assessment remain constant, details will change, depending on the content of a particular examination paper.

Further copies of this mark scheme are available from aqa.org.uk

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Level of response marking instructions

Level of response mark schemes are broken down into levels, each of which has a descriptor. The descriptor for the level shows the average performance for the level. There are marks in each level.

Before you apply the mark scheme to a student's answer read through the answer and annotate it (as instructed) to show the qualities that are being looked for. You can then apply the mark scheme.

Step 1 Determine a level

Start at the lowest level of the mark scheme and use it as a ladder to see whether the answer meets the descriptor for that level. The descriptor for the level indicates the different qualities that might be seen in the student's answer for that level. If it meets the lowest level then go to the next one and decide if it meets this level, and so on, until you have a match between the level descriptor and the answer. With practice and familiarity you will find that for better answers you will be able to quickly skip through the lower levels of the mark scheme.

When assigning a level you should look at the overall quality of the answer and not look to pick holes in small and specific parts of the answer where the student has not performed quite as well as the rest. If the answer covers different aspects of different levels of the mark scheme you should use a best fit approach for defining the level and then use the variability of the response to help decide the mark within the level, ie if the response is predominantly level 3 with a small amount of level 4 material it would be placed in level 3 but be awarded a mark near the top of the level because of the level 4 content.

Step 2 Determine a mark

Once you have assigned a level you need to decide on the mark. The descriptors on how to allocate marks can help with this. The exemplar materials used during standardisation will help. There will be an answer in the standardising materials which will correspond with each level of the mark scheme. This answer will have been awarded a mark by the Lead Examiner. You can compare the student's answer with the example to determine if it is the same standard, better or worse than the example. You can then use this to allocate a mark for the answer based on the Lead Examiner's mark on the example.

You may well need to read back through the answer as you apply the mark scheme to clarify points and assure yourself that the level and the mark are appropriate.

Indicative content in the mark scheme is provided as a guide for examiners. It is not intended to be exhaustive and you must credit other valid points. Students do not have to cover all of the points mentioned in the Indicative content to reach the highest level of the mark scheme.

An answer which contains nothing of relevance to the question must be awarded no marks.

Marking guidance

- Be clear on the focus of the question.
- Read the response as a whole; follow the flow of the argument as a whole.
- Remember that the indicative content provides possible lines of argument but there may be others that are equally valid. Be willing to credit other lines of argument.
- Annotate the script as you read in accordance with the instructions given at standardisation.
- Consider what it all adds up to, eg is this a good response? A reasonable one? A limited one? Refer back to the standardisation scripts and guidance to help you benchmark. You are marking to the standard agreed at standardisation.
- Summarise your findings briefly at the end of the response. This will help you decide on the overall level and is helpful for others to understand the mark given, eg for an extended response 'well-argued' but does not focus fully on the issue of 'long term' feels as if it might be good rather than excellent. Make sure the comments fit with the level awarded: 'unbalanced and not comparing with alternative solutions' does not sound as if it is 'good'.
- Next to your comment put the level awarded, eg L4.
- If in doubt about an approach contact your Team Leader, do not make up your own rules because we must have a standardised approach across all marking. Be positive in your marking. Look to reward what is there.

Annotations for mark schemes

K U	Knowledge and Understanding
AN	Analytical but lacks context
ARG	Argument
DEV	Developed argument
J	Judgement with support
NFF	Not Fully Focussed on the demands of the question
Bal	Balanced response, eg both sides acknowledged
Rng	Range of arguments, eg two arguments presented
BOD	Benefit of the Doubt
NAQ	Not answering the question
OFR	Own Figure Rule
SEEN	Seen
☒	TICK
☒	CROSS
☐	Txt Box
?	Unclear
Highlighter	Highlighter
[REP]	Repetition

Section B – 9-mark questions

The following should be used at the end of the response

L3	L3 A good response
L2	L2 A reasonable response
L1	L1 A limited response

Section C and Section D – 25-mark essay questions

The following should be used at the end of the response:

L5	L5 An excellent response
L4	L4 A good response
L3	L3 A reasonable response
L2	L2 A limited response
L1	L1 A weak response

Section A**Objective Test Answers****Total for this section: 15 marks**

Question number	Answer
01	B employees and shareholders
02	D the experience curve
03	C expected value minus the initial cost
04	C introducing fair trade principles
05	A from minus £10m to £30m
06	D 3 only
07	C product development, resulting from qualitative market research
08	A the market size, measured by volume, remains unchanged
09	B Statement 1 is true. Statement 2 is false.
10	C Statement 1 is false. Statement 2 is true.
11	C Statement 1 is false. Statement 2 is true.
12	D learning and growth perspective
13	A economies of scope
14	D Statement 1 is false. Statement 2 is false.
15	A achieve long-term growth

Section B

1	6	Calculate the inventory turnover of Magpie plc.	[2 marks]
----------	----------	---	------------------

Marks for this question: AO1 = 1, AO2 = 1

Answer = 6.25 (2 marks)

$$\text{Inventory turnover} = \frac{\text{Cost of sales}}{\text{Average inventories held}}$$

$$\frac{50}{8} = 6.25 \quad \text{or} \quad 6.25 \text{ times}$$

(1 mark for correct numerator OR denominator) + (1 mark for correct answer) **(2 marks)**

Marker's Notes

If calculated in days the correct answer is $\frac{365}{6.25} = 58.4$ days (58 days) **(2 marks)**

NB Award 2 marks for 58 or 58.4, with no reference to days.

Do not award 2 marks if the correct measure is not used. For example, answers such as 6.25% or £6.25m are not correct, but should be awarded 1 mark. Similarly, award 1 mark for incorrect mums based on the digits 6-2-5, such as 62.5 or 625.

Award 1 mark for correct formula IF no valid calculation marks awarded.

1	7	Calculate the payables days for Magpie plc.	[3 marks]
----------	----------	---	------------------

Marks for this question: AO1 = 1, AO2 = 2

Answer = 87.6 days or 88 days (3 marks)

Broken down as follows:

$$\text{Payables days} = \frac{\text{Payables}}{\text{Cost of sales}} \times 365$$

$$\frac{12}{50} \times 365 = 87.6 \text{ days or } 88 \text{ days}$$

OFR applies, but ONLY if EITHER the numerator OR denominator is correct.

Award 1 mark for correct formula IF no valid calculation marks awarded.

1	8	Calculate the current ratio for Magpie plc.	[3 marks]
----------	----------	---	------------------

Marks for this question: AO1 = 1, AO2 = 2

Answer = 1.32 : 1 or 1.3 : 1 or 1.32 or 1.3 (3 marks)

Current ratio = Current assets : Current liabilities

8 + 17 : 12 + 7 = 25 **(1 mark)** : 19 **(1 mark)** = 1.32 **or** 1.3 (Accept 1.31) **(1 mark)**

OFR applies, but ONLY if EITHER the numerator OR denominator is correct.

Award 1 mark for correct formula IF no valid calculation marks awarded.

1	9	Analyse why non-profit organisations set financial objectives.	[9 marks]
----------	----------	--	------------------

Marks for this question: AO1 = 2, AO2 = 3, AO3 = 4

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed and is applied effectively to the context.	7–9
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed and is applied to the context.	4–6
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development and with mainly descriptive application to the context.	1–3

The demands of this question are:

- to understand the meaning of non-profit organisations
- to understand the meaning of financial objectives
- to analyse the benefits of financial objectives for a business
- to apply this analysis to non-profit organisations.

Indicative content:

- showing understanding of, or gives example(s) of non-profit organisations
- explaining benefits of objectives, such as giving direction, providing a focus for decision-making, giving a sense of purpose to employees, and providing a yardstick against which actual performance can be measured and judged
- using financial objectives, such as profit (or break-even) and cash flow objectives, in this analysis
- recognising that financial objectives are needed by non-profit making organisations in order to secure their existence. Or pursue their corporate objectives.

Marker's Note: Maximum of 7 marks (low L3) for answers focused only on financial objectives. Accept all relevant arguments.

2	0	Analyse how widening a manager's span of control might affect labour productivity within the department she manages.	[9 marks]
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Marks for this question: AO1 = 2, AO2 = 3, AO3 = 4

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed and is applied effectively to the context.	7–9
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed and is applied to the context.	4–6
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development and with mainly descriptive application to the context.	1–3

The demands of this question are:

- showing an understanding of span of control
- showing an understanding of labour productivity
- analysing how an increase in span of control can affect the labour productivity of the department.

Indicative content:

- analysing how an increase in the span of control can reduce the ability of managers to monitor and support subordinates or lower morale and thus lead to lower labour productivity
- analysing how an increase in the span of control can lead to increased delegation and greater responsibility for subordinates. This will lead to higher labour productivity because subordinates are motivated by responsibility and because tasks are carried out by people with relevant skills
- analysing that a greater span of control will lead to fewer levels of hierarchy, which can improve the speed of communication (but which can lead to some subordinates being less likely to receive communications). Developing this idea to show the impact on the department's labour productivity.

Accept all relevant arguments.

Additional guidance

Credit should be given to students who use logical arguments to show the impact on labour productivity. Arguments that focus on levels of hierarchy should be rewarded, BUT only if the connection between increased spans of control and reduced levels of hierarchy has been established.

2	1	Analyse why a business might choose to use labour intensive processes rather than capital intensive processes.	[9 marks]
----------	----------	--	------------------

Marks for this question: AO1 = 2, AO2 = 3, AO3 = 4

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed and is applied effectively to the context.	7–9
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed and is applied to the context.	4–6
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development and with mainly descriptive application to the context.	1–3

The demands of the question are:

- showing an understanding of capital intensive and labour intensive
- recognising the distinction between capital intensive and labour intensive (processes)
- analysing why labour intensive processes may be chosen instead of capital intensive processes.

Indicative content:

- identifying situations in which labour intensive processes are likely to provide better outcomes than capital intensive processes.

Possible examples include:

- the provision of tailor-made or craft goods or services where machinery may lack the flexibility of a human
- businesses which depend on the personal skills of the workforce, such as hairdressing, are more likely to use labour intensive methods
- where the capital expenditure needed for capital intensive processes is very high/beyond the means of a specific business
- customer preferences - customers may prefer personal service whilst others may prefer a low-cost product which is more easily achieved using capital intensive processes.

Accept all relevant arguments.

Section C

2	2	To what extent might the use of the Boston Matrix enable a multi-product business to achieve overall sales growth?	[25 marks]
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25-mark evaluative questions: AO1 = 5, AO2 = 4, AO3 = 6, AO4 = 10

Level	The student will typically demonstrate:	Marks
5	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding that is precise and well selected in relation to issues in the question • demonstrates analysis throughout which is well developed, is applied effectively to the context and considers a balanced range of the issues in the question • makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	21–25
4	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question • makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole.	16–20
3	A reasonable response overall that focuses on some demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question • makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	11–15
2	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question • makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	6–10

1	A weak response overall lacking focus on the demands of the question. Provides an answer to the question set that: • demonstrates isolated or imprecise knowledge and understanding • demonstrates undeveloped analysis with descriptive application to the context and lacking focus on the question • makes judgements or proposes solutions based on assertions.	1–5
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The demands of the question are:

- showing understanding of the Boston Matrix
- analysing how the categorisation of a product using the Boston Matrix can indicate its potential for sales growth
- assessing the overall impact on sales in the context of an individual business's product portfolio
- evaluating the usefulness of this concept as a means of assessing and influencing future sales growth.

Indicative content may include:

- showing understanding of the Boston Matrix
- understanding the meaning of the different categories of products
- analysing how the specific categories will have different implications for sales growth for a multi-product business; for example 'stars' and 'problem children' will benefit from being in a market with high growth
- analysing how strategies for growth can be adapted according to the individual products of the business; for example, 'cash cows' are likely to have high brand loyalty which can be used in promotions.

Accept all relevant arguments.

Evaluation

Assessing in broad terms; the impact of the Boston Matrix on sales growth and/or strategies for growth. Evaluating the usefulness and limitations of the Boston Matrix as a means of assessing and influencing future sales growth.

Possibly evaluating the usefulness of the Boston Matrix in comparison to other factors that might influence sales growth; for example, using an understanding of the matrix in a recession is likely to yield lower growth than would be possible in a period of economic growth.

The assessment of evaluation will be based on the quality of arguments presented. The main focus of the question is the Boston Matrix and so answers that argue that other factors are more important ways of achieving sales growth, without considering the usefulness (or not) of the Boston Matrix, will not be answering the question set.

2	3	Will the increased use of e-commerce lead to all retailers operating only online? Justify your view.	[25 marks]
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25-mark evaluative questions: AO1 = 5, AO2 = 4, AO3 = 6, AO4 = 10

Level	The student will typically demonstrate:	Marks
5	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding that is precise and well selected in relation to issues in the question • demonstrates analysis throughout which is well developed, is applied effectively to the context and considers a balanced range of the issues in the question • makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	21–25
4	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question • makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole.	16–20
3	A reasonable response overall that focuses on some demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question • makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	11–15
2	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question • makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	6–10

1	A weak response overall lacking focus on the demands of the question. Provides an answer to the question set that: • demonstrates isolated or imprecise knowledge and understanding • demonstrates undeveloped analysis with descriptive application to the context and lacking focus on the question • makes judgements or proposes solutions based on assertions.	1–5
----------	--	------------

The demands of the question are:

- understanding the meaning of e-commerce
- analysing reasons why online retailing might continue to grow
- analysing possible limitations to the growth of online retailing
- assessing circumstances that might promote or negate online growth
- drawing a reasoned conclusion on whether all retailers will become purely online providers.

Indicative content may include:

Analysis of factors that will continue to cause online growth. For example:

- online retailing reduces costs, such as rents for city centre properties
- online ordering provides businesses with more accurate forecasts of demand
- with flexible contracts, businesses can call in the exact number of workers needed to process online orders. For shops, staffing levels are based on previous experience and so over-staffing or under-staffing is more likely
- online ordering provides more data on customers, enabling the retailer to introduce more effective strategies
- lower costs can lead to lower prices (for goods with price elastic demand) or higher profit margins (for goods with price inelastic demand)
- 24 hour online retailing is much more convenient for many customers
- customers benefit from greater price comparison if retailers are online.

Analysis of factors that may restrict or prevent future online growth. For example:

- the decline in city centre retailing is likely to lead to lower rents, making stores a more attractive proposition
- online retailing involves technology costs, these will dissuade many (smaller) retailers from going online
- for products such as clothing, the tactile experience can help customers to decide on products. For these goods, some city centre shops are likely to remain
- services, such as coffee shops and hairdressers, cannot operate online
- customers may have concerns about the security of online retailing and continue to use stores.

Accept all relevant arguments.

Evaluation

Evaluation will depend on the quality of arguments presented.

Good evaluation is likely to show balance between factors encouraging online growth and factors limiting online growth.

Evaluating the circumstances in which online growth is most likely and those in which it is less likely. Providing arguments to show how online growth is likely to vary between different markets/products.

It is unlikely that all retailers will become **purely** online. However, the overall conclusion should be consistent with the arguments presented and/or the products and markets used in the analysis and evaluation of this topic.

Section D

2	4	Evaluate the extent to which the actions of the finance function of a business can help that business to achieve the lowest cost in its market.	[25 marks]
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25-mark evaluative questions: AO1 = 5, AO2 = 4, AO3 = 6, AO4 = 10

Level	The student will typically demonstrate:	Marks
5	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: - demonstrates a depth and range of knowledge and understanding that is precise and well selected in relation to issues in the question - demonstrates analysis throughout which is well developed, is applied effectively to the context and considers a balanced range of the issues in the question - makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	21–25
4	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: - demonstrates a depth and range of knowledge and understanding of issues in the question - demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question - makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole.	16–20
3	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: - demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question - demonstrates analysis which is developed, applied to the context and considers some of the issues in the question - makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	11–15
2	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: - demonstrates a limited range and depth of knowledge and understanding of issues in the question - demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question - makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	6–10

2	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question • makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	6–10
1	A weak response overall lacking focus on the demands of the question. Provides an answer to the question set that: • demonstrates isolated or imprecise knowledge and understanding • demonstrates undeveloped analysis with descriptive application to the context and lacking focus on the question • makes judgements or proposes solutions based on assertions.	1–5

The demands of the question are:

- showing an understanding of low cost
- analysing different ways in which the finance function can help a business to achieve cost leadership
- assessing the overall impact of these ways of achieving cost leadership
- evaluating the extent to which decision-making by the finance function can help a business to achieve cost leadership.

Indicative content may include:

The finance function may help the business achieve cost leadership by:

- setting cost minimisation objectives
- achieving better budgetary control of cost budgets
- using investment appraisal to assess better ways of cutting costs in a way that increases profitability
- choosing sources of finance that minimise costs
- using ratio analysis, such as efficiency ratios, in order to minimise costs of inventory and debt collection
- analysing different methods of achieving cost leadership.

Evaluation might include:

- assessing the extent to which individual approaches can cut costs
- evaluating the relative merits of different strategies used by the finance function
- recognising the influence of external factors, such as competitors and consumer tastes, on these strategies
- examining how other functional areas can help towards cost minimisation and assessing their relative importance in comparison to the finance function.

Evaluation

Good evaluation should be based on analysis of the relative impact of the finance function in achieving cost minimisation across the business as a whole.

2	5	Businesses using flexible employment contracts can be criticised for being unethical. To what extent should businesses avoid the use of flexible employment contracts?	[25 marks]
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25-mark evaluative questions: AO1 = 5, AO2 = 4, AO3 = 6, AO4 = 10

Level	The student will typically demonstrate:	Marks
5	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding that is precise and well selected in relation to issues in the question • demonstrates analysis throughout which is well developed, is applied effectively to the context and considers a balanced range of the issues in the question • makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	21–25
4	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question • makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole.	16–20
3	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question • makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	11–15
2	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question • makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	6–10

1	A weak response overall lacking focus on the demands of the question. Provides an answer to the question set that: • demonstrates isolated or imprecise knowledge and understanding • demonstrates undeveloped analysis with descriptive application to the context and lacking focus on the question • makes judgements or proposes solutions based on assertions.	1–5
----------	---	------------

The demands of the question are:

- understanding the meaning of flexible employment contracts
- understanding the meaning of 'unethical' and explaining why flexible employment contracts might be unethical
- analysing reasons why businesses might avoid the use of flexible contracts
- analysing reasons why businesses might choose to use flexible contracts
- comparing these reasons in order to make an overall judgement on the extent to which such contracts should be avoided.

Indicative content may include:

- explaining the nature of flexible employment contracts, such as part-time work, job-sharing, flexitime, annual hours, working from home and zero-hour contracts
- understanding the concept of unethical.

Analysing reasons why flexible employment contracts might be avoided:

- zero-hour contracts provide employees with very little security and can make it difficult for employees to find other work, even if their employer is not giving them hours of work
- flexible contracts are often given to the lowest paid, most vulnerable members of a business's workforce
- in some cases it may be impossible to ensure that minimum wage legislation is being complied with
- flexitime may only suit the needs of the business rather than the welfare of the employees.

Analysing reasons why flexible employment contracts might be used:

- zero-hour contracts may suit the needs of employees who can choose when and where to work
- flexible contracts can enhance the quality of life of employees if they can choose their specific working hours
- flexible contracts can allow a business to respond more quickly to the needs of its customers and other stakeholders, such as owners and suppliers
- flexible contracts can enable a business to save costs and improve its productivity. This can ensure its survival, thus protecting jobs.

Evaluation

Some flexible employment contracts might be considered to be unethical. However, some elements, such as working from home, may be an unethical way of cutting business costs **or** a very ethical way of meeting the preferences of employees.

Job-sharing and flexitime are often desired by employees to a greater extent than employers and would be seen to be ethical.

A business should cater for all of its stakeholders' needs. Flexible employment contracts may cause disadvantages for stakeholders, such as customers and owners, by reducing efficiency and increasing costs.

Overall evaluation should be based on the logical conclusion arising from the arguments used within the answer.

Marker's Note

The reference to unethical behaviour is intended to provide guidance. However, it is **not** necessary to include reference to it in the answer. Answers can achieve all five levels of response by just providing arguments for and against flexible contracts, without referring to ethical or unethical behaviour.



Please write clearly in block capitals.

Centre number

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Candidate number

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Surname

Forename(s)

Candidate signature

I declare this is my own work.

A-level BUSINESS

Paper 2 Business 2

Time allowed: 2 hours

Materials

For this paper you must have:

- a calculator.

Instructions

- Use black ink or black ball-point pen.
- Fill in the boxes at the top of this page.
- Answer **all** questions.
- You must answer the questions in the spaces provided. Do not write outside the box around each page or on blank pages.
- If you need extra space for your answer(s), use the lined pages at the end of this book. Write the question number against your answer(s).
- Do all rough work in this answer book. Cross through any work you do not want to be marked.

Information

- The marks for questions are shown in brackets.
- The maximum mark for this paper is 100.

For Examiner's Use	
Question	Mark
1.1	
1.2	
1.3	
1.4	
1.5	
2.1	
2.2	
2.3	
2.4	
3.1	
3.2	
3.3	
3.4	
3.5	
3.6	
TOTAL	



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Answer **all** questions in the spaces provided.

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0 1

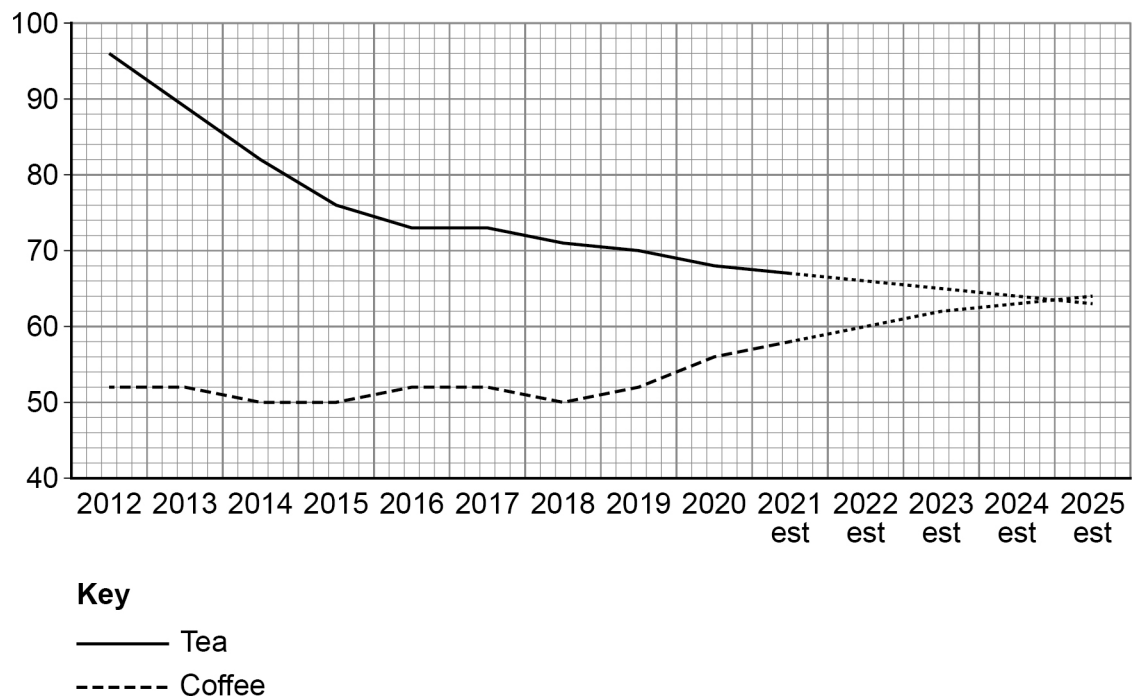
Read the information below and then answer the questions that follow.

The UK tea market

Tea drinking in the UK is declining as younger customers choose alternatives such as coffee. Extrapolation of the annual sales suggests that coffee will outsell tea in the UK by 2025.

Within the overall tea market traditional black tea still dominates sales. However, a 'health tea' niche made up of fruit, herbal and green teas is growing. This niche has benefitted from its association with wellbeing.

Appendix A Annual sales volume of black tea and coffee (million kg), UK (actual sales 2012–2020; estimated sales 2021–2025)



Appendix B UK tea brands 2019

Rank	Brand	Annual Sales (£m)	% change	Type of tea in range
1	Twinings	108	+3.8	Black and health tea
2	PG Tips	99	-7.2	Mainly black, with small new health tea range
3	Taylors (including Yorkshire Tea)	98	+5.0	Black and health tea
4	Tetley	90	+0.4	Mainly black but some health tea
5	Pukka	23	+15.4	Organic and ethical black and health teas
	Other tea brands	144		

Appendix C Price elasticity of demand data

Type of tea	Price elasticity of demand
Black tea	-1.2
Health teas	-0.5

Turn over for Appendix D**Turn over ►**

Appendix D Selected data from recent market research survey

How often do you drink black tea? (% of respondents)			
	Overall	Age 18–24	Age over 65
Several times a day	42	25	56
Once a day	15	16	16
2–3 times per week	10	14	5
Occasionally	12	17	7
Never	21	28	16

Do you drink health tea? (% of respondents)	
	Yes
Female	32
Male	19

How important is it that the tea you buy is ethically sourced, eg fair trade? (% of respondents)	
Important	62
Not very important	26
Not at all important	12

0 1 . 1 What is meant by the term extrapolation?

[2 marks]



0 1 . 2

Using **Appendix B**, calculate the combined market share of the top four tea brands in 2019.

[3 marks]

3

0 1 . 3

Using the data in **Appendix D**, explain **one** benefit of the use of market segmentation to a business selling tea.

[4 marks]

4

Turn over for the next question

Turn over ►



A business sells two types of tea: black tea and health tea.

[9 marks]

[illegible]

To what extent does the information provided suggest that now is a good time to launch a new brand of tea?

[illegible]

Extra space



0 2

Read the information below and then answer the questions that follow.

Ocado venture with M&S

Marks & Spencer (M&S) started to sell its popular food range online for the first time in September 2020, by forming a venture (also known as a joint venture) with Ocado. Ocado is a solely online supermarket that has well-established distribution networks and market-leading advanced technology.

M&S funded its part of the £1.5bn venture by selling £600m of shares to existing shareholders and by cutting shareholder dividends by 40%.

M&S stated that it had always believed M&S branded food should be available online and combining with Ocado was a 'win-win' situation that would drive long-term growth of both businesses.

Following the announcement of the venture, Ocado's share price rose by 3%.

The launch of the venture followed over a year of hard work and required senior managers from both businesses to work together to make it happen.

0 2 . 1

What is meant by the term shareholder dividend?

[2 marks]

2**0 2 . 2**

Explain why the Ocado share price rose following the announcement of the venture.

[4 marks]

Turn over ►

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4

0 2 . 3

With reference to Maslow's theory, analyse the possible impact of this venture on the motivation of senior managers of the two businesses.

[9 marks]

9



[16 marks]

[illegible]

Extra space



[illegible]

0 3

Read the information below and then answer the questions that follow.

Do not write
outside the
box

Disrupted supply

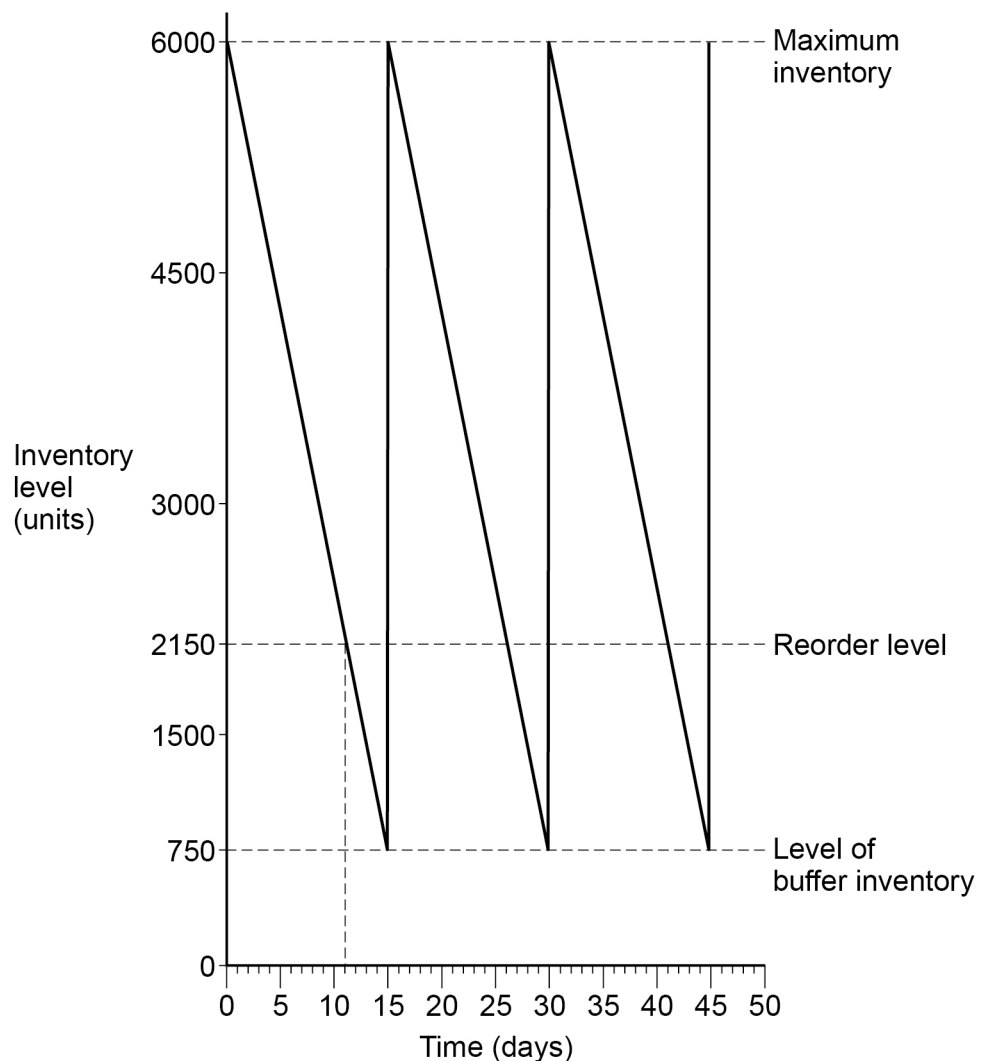
DT is a UK-based business manufacturing circuit boards which it sells to other businesses. All of DT's output is exported to Europe. The components that DT uses are sourced in the UK.

The supplier of a vital component closed suddenly in early 2020 disrupting DT's supply chain. DT's usual pattern of inventory control for this component is shown in **Figure 1**.

DT was forced to buy this component from a new and more expensive supplier.

DT stated: 'We had no contingency plan. It was impossible for us to find alternative supplies quickly enough to fulfil all our existing orders. The new supplies had higher levels of defects.'

Figure 1 Inventory control chart showing DT's usual pattern before disruption



0 3 . 1

With reference to **Figure 1**, calculate the lead time.**[2 marks]**

0 3 . 2

With reference to **Figure 1**, calculate the re-order quantity.**[2 marks]**

0 3 . 3

With reference to **Figure 1**, calculate how much inventory DT uses each day.**[2 marks]**

2

2

Turn over for the next question**Turn over ►**

0	3	.	4
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Explain **one** impact of a fall in the value of the pound on DT's sales.

[4 marks]

4



Analyse how contingency planning might have helped DT maintain its competitiveness.

[illegible]

Turn over ►



Reliability is the most important factor in a business' choice of supplier. To what extent is this true for **all** businesses?

[illegible]

Extra space

Turn over ►



[illegible]

16



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outside the
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ANSWER IN THE SPACES PROVIDED**



[illegible]

[illegible]

Question number	Additional page, if required. Write the question numbers in the left-hand margin.
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A-level
BUSINESS
7132/2

Paper 2 Business 2

Mark scheme

June 2022

Version: 1.0 Final

Mark schemes are prepared by the Lead Assessment Writer and considered, together with the relevant questions, by a panel of subject teachers. This mark scheme includes any amendments made at the standardisation events which all associates participate in and is the scheme which was used by them in this examination. The standardisation process ensures that the mark scheme covers the students' responses to questions and that every associate understands and applies it in the same correct way. As preparation for standardisation each associate analyses a number of students' scripts. Alternative answers not already covered by the mark scheme are discussed and legislated for. If, after the standardisation process, associates encounter unusual answers which have not been raised they are required to refer these to the Lead Examiner.

It must be stressed that a mark scheme is a working document, in many cases further developed and expanded on the basis of students' reactions to a particular paper. Assumptions about future mark schemes on the basis of one year's document should be avoided; whilst the guiding principles of assessment remain constant, details will change, depending on the content of a particular examination paper.

Further copies of this mark scheme are available from aqa.org.uk

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Level of response marking instructions

Level of response mark schemes are broken down into levels, each of which has a descriptor. The descriptor for the level shows the average performance for the level. There are marks in each level.

Before you apply the mark scheme to a student's answer read through the answer and annotate it (as instructed) to show the qualities that are being looked for. You can then apply the mark scheme.

Step 1 Determine a level

Start at the lowest level of the mark scheme and use it as a ladder to see whether the answer meets the descriptor for that level. The descriptor for the level indicates the different qualities that might be seen in the student's answer for that level. If it meets the lowest level then go to the next one and decide if it meets this level, and so on, until you have a match between the level descriptor and the answer. With practice and familiarity you will find that for better answers you will be able to quickly skip through the lower levels of the mark scheme.

When assigning a level you should look at the overall quality of the answer and not look to pick holes in small and specific parts of the answer where the student has not performed quite as well as the rest. If the answer covers different aspects of different levels of the mark scheme you should use a best fit approach for defining the level and then use the variability of the response to help decide the mark within the level, ie if the response is predominantly level 3 with a small amount of level 4 material it would be placed in level 3 but be awarded a mark near the top of the level because of the level 4 content.

Step 2 Determine a mark

Once you have assigned a level you need to decide on the mark. The descriptors on how to allocate marks can help with this. The exemplar materials used during standardisation will help. There will be an answer in the standardising materials which will correspond with each level of the mark scheme. This answer will have been awarded a mark by the Lead Examiner. You can compare the student's answer with the example to determine if it is the same standard, better or worse than the example. You can then use this to allocate a mark for the answer based on the Lead Examiner's mark on the example.

You may well need to read back through the answer as you apply the mark scheme to clarify points and assure yourself that the level and the mark are appropriate.

Indicative content in the mark scheme is provided as a guide for examiners. It is not intended to be exhaustive and you must credit other valid points. Students do not have to cover all of the points mentioned in the Indicative content to reach the highest level of the mark scheme.

An answer which contains nothing of relevance to the question must be awarded no marks.

Marking guidance

- Be clear on the focus of the question.
- Read the response as a whole; follow the flow of the argument as a whole.
- Remember that the indicative content provides possible lines of argument but there may be others that are equally valid. Be willing to credit other lines of argument.
- Annotate the script as you read in accordance with the instructions given at standardisation.
- Consider what it all adds up to, eg is this a good response? A reasonable one? A limited one? Refer back to the standardisation scripts and guidance to help you benchmark. You are marking to the standard agreed at standardisation.
- Summarise your findings briefly at the end of the response. This will help you decide on the overall level and is helpful for others to understand the mark given, eg for an extended response 'well-argued' but does not focus fully on the issue of 'long-term' feels as if it might be good rather than excellent. Make sure the comments fit with the level awarded: 'unbalanced and not comparing with alternative solutions' does not sound as if it is 'good'.
- Next to your comment put the level awarded, eg L4.
- If in doubt about an approach contact your Team Leader, do not make up your own rules because we must have a standardised approach across all marking. Be positive in your marking. Look to reward what is there.

Annotations Key

Annotation	Definition
T	Free text box – use this for making comments at end of sections/answers
Bal	Balance
BD	Benefit of Doubt
Cross	Incorrect
J	Judgement/Evaluation
KU	Knowledge/Understanding
NFF	Losing Focus/Not Fully Focused
An	Analysis without context
Arg	Argument with analysis and context
Dev	Developed
DP	Developed point
CON	Context
?	Question mark - uncertain
V	Vague
NAQ	Not answered question
OFR	Own figure rule
Rng	Range
SEEN	Indicates that the point has been noted, but no credit has been given
Tick	Correct point/Calculation

Levels used at the end of the response

L1	Level 1
L2	Level 2
L3	Level 3
L4	Level 4

0	1	.	1	What is meant by the term extrapolation?	
					[2 marks]

Marks for this question: AO1 = 2

Extrapolation is the action of estimating or concluding something by assuming that existing trends will continue.

Or the extension of a graph, curve, or range of values by inferring unknown values from trends in the known data.

2 marks for good understanding

1 mark some/partial understanding of the term

0	1	.	2	Using Appendix B , calculate the combined market share of the top four tea brands in 2019.	
					[3 marks]

Marks for this question: AO1 = 1, AO2 = 2

Total market = £562m (108 + 99 + 98 + 90 + 23 + 144)

Top four brands = £395m (108 + 99 + 98 + 90)

Market share of 'top four' = $\frac{395\text{m}}{562\text{m}} \times 100 = 70.28\%$

3 marks for correct answer **70.28%** or **70.3%**

2 marks for partial calculation eg with one error or % sign missing

1 mark for calculation of both elements e.g. total market = £562m and Top four brands = £395m

1 mark for correct definition of market share with no valid calculation or correct formula

0	1	3	Using the data in Appendix D , explain one benefit of the use of market segmentation to a business selling tea.
			[4 marks]

Marks for this question: AO1 = 2, AO2 = 2.

Level	The student will typically demonstrate:	Marks
3	A good response that focuses on many of the demands of the question. Benefit explained clearly in context.	4
2	A reasonable response overall that focuses on some of the demands of the question. Good understanding. Or some understanding with some use of case.	3–2
1	A limited response overall that focuses on a few demands of the question. Some understanding of market segmentation.	1

The demands of the question are:

- to demonstrate an understanding of market segmentation
- explain a benefit of market segmentation
- to contextualise to the tea market by using the data.

Indicative content:

- market segmentation is splitting the consumers into groups depending on certain characteristics
- benefits of this includes better understanding customer needs; better targeting of promotional messages; designing products more in line with segments' needs
- targeted promotion may be a way to save money as well as being more effective
- relevant data provided includes:
 - Age** –
 - over 65s drink black tea more frequently
 - younger people are more likely to never drink tea
 - Gender** – males less likely to drink health tea
 - Lifestyle** –
 - ethical sourcing seen as important
 - growing niche parts of market are associated with health benefits.

Allow other relevant arguments.

0	1	4	A business sells two types of tea: black tea and health tea. Analyse how the data in Appendix C will affect how this business might change the price it charges for each type of tea to increase its sales revenue. [9 marks]
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Marks for this question: AO1 = 2, AO2 = 3, AO3 = 4

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well-developed and is applied effectively to the context.	7–9
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed and is applied to the context.	4–6
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development and with mainly descriptive application to the context.	1–3

The demands of the question are:

- show understanding of price elasticity of demand
- interpret the figures of -0.5 as price inelastic and -1.2 as price elastic
- analyse a link between price elasticity of demand, a related pricing strategy and increasing sales revenue.

Indicative content:

- a clear chain of argument interpreting the meaning of the -0.5 figure; health tea being price inelastic demand
- price inelastic demand will allow the business to increase price of health tea and as percentage increase in price will be half the fall in percentage demanded then revenue would rise if price increased
- a clear chain of argument interpreting the meaning of the -1.2 figure; black tea being price elastic demand
- price elastic demand will allow the business to decrease the price of black tea then revenue would rise if price decreased.

Allow other relevant arguments.

0	1	.	5	To what extent does the information provided suggest that now is a good time to launch a new brand of tea?
[16 marks]				

Marks for this question: AO1 = 2, AO2 = 3, AO3 = 4, AO4 = 7

Level	The student will typically demonstrate:	Marks
4	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding that is precise and well-selected in relation to issues in the question • demonstrates analysis throughout which is well-developed, is applied effectively to the context and considers a balanced range of the issues in the question • makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	13–16
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well-developed, applied effectively to the context and considers a range of issues in the question • makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole throughout.	9–12
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question • makes judgements or provides solutions which are built on analysis, but lack balance and not fully focused on the question as a whole.	5–8
1	A limited response overall with little focus on the demands of the question Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question • makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	1–4

The demands of the question are:

- to consider the arguments for it being a good time to launch a brand of tea
- to consider the arguments against it being a good time to launch a brand of tea
- to consider the balance of arguments to make a judgement about the decision based on the information provided.

Indicative content:

- the traditional tea market is declining at a significant rate potentially making it a bad time
- the traditional tea market remains large and valuable, so could be an attractive time
- the tea market is sub-divided and there are growing niches that could be focused on
- younger people are favouring coffee and health (herbal/fruit/green) tea
- ethically sound products may be favoured – does this provide an opportunity to focus on
- established brands are very strong brands – providing a large barrier to entry (Porter) – sales dominance of top four brands so not a good time to enter – could use calculation from Question 2 (70.32%) or OFR.

However, need to consider:

- Finance – is the new brand able to penetrate the market effectively eg is it a brand with backing (financial or as a name) from another market. If so it may more readily enter the market.
- Other information (data beyond that provided) would be useful – such as the channels of distribution available eg dominance of supermarkets; the coffee market; the scale at which the new brand wishes to operate.

Overall, there may be opportunities even though the market is declining, but it will depend upon a range of factors eg:

- the niche/segment being aimed at
- what the new brand's USP is
- how well the brand can be supported and promoted.

Allow other relevant arguments.

0	2	1	What is meant by the term shareholder dividend?	[2 marks]
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Marks for this question: AO1 = 2

Dividend is the reward to shareholders, the proportion of the profits allocated to shareholders. It is allocated in relation to the number of shares held.

1 mark: some understanding shown

2 marks: good understanding

0	2	2	Explain why the Ocado share price rose following the announcement of the venture.	[4 marks]
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Marks for this question: AO1 = 2, AO2 = 2

Level	The student will typically demonstrate:	Marks
3	A good response that focuses on many of the demands of the question. Reason why is explained clearly in context.	4
2	A reasonable response overall that focuses on some of the demands of the question. Good understanding of share price movements. Or some understanding with some use of case.	3–2
1	A limited response overall that focuses on a few demands of the question. Some understanding of share price movements.	1

The demands of the question are:

- To demonstrate an understanding of the meaning of 'share price'.
- To analyse the cause and process of the change in share price. Particularly in the context of the announcement of the (joint) venture.

Indicative content:

- shareholders are investors and owners of the business
- the venture was being viewed positively
- potential investors may therefore be attracted to Ocado, increasing demand for shares
- more demand (other things being equal) will lead to the rise in share price.

Allow other relevant arguments.

0	2	3	With reference to Maslow's theory, analyse the possible impact of this venture on the motivation of senior managers of the two businesses.
			[9 marks]

Marks for this question: AO1 = 2, AO2 = 3, AO3 = 4

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: - demonstrates a depth and range of knowledge and understanding of issues in the question - demonstrates analysis which is well-developed and is applied effectively to the context.	7–9
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: - demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question - demonstrates analysis which is developed and is applied to the context.	4–6
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: - demonstrates a limited range and depth of knowledge and understanding of issues in the question - demonstrates analysis with little development and with mainly descriptive application to the context.	1–3

The demands of the question are:

- to show understanding of selected elements from Maslow's motivation theory
- to relate this to the context of senior managers cooperating on a challenging venture.

Indicative content:

- the venture is a high profile and important project for both businesses and should give the managers pride (esteem)
- if successful – managers will be proud of their part in it and this can help higher level needs (esteem or even self-actualisation)
- cooperation with new people in different organisations will be interesting and may motivate through social level ie teamwork
- the whole venture is a massive investment showing the importance (esteem) but also if successful will secure the future of both businesses (security).
- If the senior managers of one of the companies feels the venture is a threat to their business, it could have a negative effect on motivation – making them feel undermined reducing their motivation (security).
- If the senior managers of one of the companies feels the venture is a threat to their position, it could have a negative effect on motivation – reducing their motivation (esteem).

Allow other relevant arguments.

0	2	4	Are ventures a good way for all businesses to grow?
			Justify your view.
			[16 marks]

Marks for this question: AO1 = 2, AO2 = 3, AO3 = 4, AO4 = 7

Level	The student will typically demonstrate:	Marks
4	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding that is precise and well-selected in relation to issues in the question • demonstrates analysis throughout which is well-developed, is applied effectively to the context and considers a balanced range of the issues in the question • makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	13–16
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well-developed, applied effectively to the context and considers a range of issues in the question • makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole throughout.	9–12
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question • makes judgements or provides solutions which are built on analysis, but lack balance and not fully focused on the question as a whole.	5–8

1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question • makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	1–4
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The demands of the question are:

- to analyse the case for and against (joint) ventures being a good way to grow
- to judge the relative merits of (joint) ventures against other ways of growing a business
- for **all** businesses.

Indicative content:

Ventures see the cooperation of two or more businesses on a project in order to benefit the interests of each of the businesses involved. Could refer to the case and/or other examples.

Reasons venture may be a good way to grow include:

- it may utilise the strengths of the 2 parties to the mutual benefit of both – possibly shown in this case
- a venture may allow sharing specialist skills or equipment
- a venture may be a cheaper option than eg developing completely new skills ‘in-house’ or a full takeover.

However, ventures may be difficult:

- there may be mistrust between the parties
- cooperation and communication may be difficult
- if one party is seen as stronger than the other the second may struggle to enjoy the full benefits.

Also, other methods of growth could be provided as a counter argument:

- organic growth – keeps control and allows communication and systems to evolve as the business grows
- merger/acquisition may be better as it allows a clearer direction and structure to develop rather than on going coordination issues of a venture.

Overall it will depend on:

- the situation in the market
- the strategic direction of the businesses
- the relative strengths and weaknesses of the businesses involved
- elements of the external environment.

Allow other relevant arguments.

0 3 . 1With reference to **Figure 1**, calculate the lead time.**[2 marks]****Marks for this question: AO1 = 1, AO2 = 1**

Reading from the graph:

Reorder level is reached on day 11

Inventory arrives on day 15

Lead Time is $15 - 11 = 4$ **days**

An alternative method is:

In 15 days it has used 5250 units ($6000 - 750$)

It reorders at 2150 and has a buffer of 750 i.e. uses 1400 after reordering

 $1400/5250$ is the proportion used after reorderingSo $(1400/5250) \times 15 = 4$ **days** which is the lead time**2 marks** for correct answer of **4 days****1 mark** for answer 4 but no 'days'**1 mark** for definition, demonstrating understanding of lead time**0 3 . 2**With reference to **Figure 1**, calculate the re-order quantity.**[2 marks]****Marks for this question: AO1 = 1, AO2 = 1**Maximum stock level is 6,000; Buffer stock level 750. $6,000 - 750 = 5,250$ **2 marks** for correct answer of **5250 units****1 mark** for 5250 with no 'units'**1 mark** for 3850 units**1 mark** for definition, demonstrating understanding of reorder quantity**0 3 . 3**With reference to **Figure 1**, calculate how much inventory DT uses each day.**[2 marks]****Marks for this question: AO1 = 1, AO2 = 1**

The reorder quantity (5250) is used over a period of 15 days.

$$\frac{5250}{15} = 350 \text{ units per day.}$$

Credit alternative methods to calculate the same figure.

2 marks $\frac{\text{OFR (from 3.2)}}{15} = x$ units per day**2 marks** for correct answer of **350 units/units per day****1 mark** for answer 350 but no 'units/units per day'**1 mark** for some understanding or partial calculation eg one error

0	3	.	4	Explain one impact of a fall in the value of the pound on DT's sales.	
					[4 marks]

Marks for this question: AO1 = 2, AO2 = 2

Level	The student will typically demonstrate:	Marks
3	A good response that focuses on many of the demands of the question. Impact of a fall in the value of the pound is explained clearly in context.	4
2	A reasonable response overall that focuses on some of the demands of the question. Good understanding of exchange rates. Or some understanding with some use of case.	3–2
1	A limited response overall that focuses on a few demands of the question. Some understanding of exchange rates or relevant point made.	1

The demands of the question:

- to understand the impact of a fall in value of the pound
- understand the context of a business trading internationally
- linking a change through to DT's sales.

Indicative content:

- exchange rate is the price of one currency in terms of another
- DT exports to Europe all of its product
- if the pound falls in value (relative to the Euro for example) the products will appear less expensive to European customers, meaning that sales are likely to be positively affected

Allow other relevant answers.

0	3	5	Analyse how contingency planning might have helped DT maintain its competitiveness.
			[9 marks]

Marks for this question: AO1 = 2, AO2 = 3, AO3 = 4

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: - demonstrates a depth and range of knowledge and understanding of issues in the question - demonstrates analysis which is well-developed and is applied effectively to the context.	7–9
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: - demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question - demonstrates analysis which is developed and is applied to the context.	4–6
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: - demonstrates a limited range and depth of knowledge and understanding of issues in the question - demonstrates analysis with little development and with mainly descriptive application to the context.	1–3

The demands of the question are:

- to understand contingency planning
- to analyse how this may help DT reduce the negative impacts of problems with supply
- to analyse this through to the impact on competitiveness.

Indicative content:

- contingency plans allow a business to work through ‘what if’ scenarios to plan in case predictable disruptions might occur
- in effect the contingency plan allows managers to give thought to what to do if XYZ happens – meaning if something does happen the business does not start from scratch and will appear more organised in tackling problem
- in this case the business had no contingency plan.
- managed to source alternatives – but not quickly enough to fulfil existing orders, at greater cost and with more defects.
- but at least this maintained production and kept supplying customers
- in this case the events were unexpected – so possibly not part of a contingency plan – but if the process of planning had happened managers may be equipped to manage changes
- with no plan, some customers’ were not fulfilled and as a result competitiveness may fall.

Allow other relevant arguments.

0	3	.	6	Reliability is the most important factor in a business' choice of supplier. To what extent is this true for all businesses?	[16 marks]
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Marks for this question: AO1 = 2, AO2 = 3, AO3 = 4, AO4 = 7

Level	The student will typically demonstrate:	Marks
4	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: - demonstrates a depth and range of knowledge and understanding that is precise and well-selected in relation to issues in the question - demonstrates analysis throughout which is well-developed, is applied effectively to the context and considers a balanced range of the issues in the question - makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	13–16
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: - demonstrates a depth and range of knowledge and understanding of issues in the question - demonstrates analysis which is well-developed, applied effectively to the context and considers a range of issues in the question - makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole throughout.	9–12
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: - demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question - demonstrates analysis which is developed, applied to the context and considers some of the issues in the question - makes judgements or provides solutions which are built on analysis, but lack balance and not fully focused on the question as a whole.	5–8
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: - demonstrates a limited range and depth of knowledge and understanding of issues in the question - demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question - makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	1–4

The demands of the question are:

- to analyse the case for and against the reliability of suppliers being the most important factor
- to judge the extent to which reliability of supply is the most important factor in choice of supplier
- for **all** businesses.

Indicative content:

Choice of supplier is important for many businesses and will take into account many factors – quality; price charged; after sales service; ethical issues as well as reliability.

Reliability is the most important as:

- delays in supply will potentially interrupt production
- it can have a knock-on effect to your customers making your business appear unreliable to your customers
- many businesses wish to keep buffer stock as low as possible to help financially, this will need suppliers to be reliable eg to operate JiT systems.

Reliability not the most important as:

- you could plan to mitigate the impact – run a larger buffer stock if a less reliable supplier has other great attributes
- other factors may be more important:
 - most obviously price charged, the cheapest supplier may allow your business to increase profit margins or reduce final price
 - quality – the best quality – could this make up for lack of reliability.

The extent to which reliability is the most important factor will depend upon:

- the nature of the business
- the type of business/industry
- the nature of the product and the final customer expectations
- does the supplier supply competitors too so effect may be mirrored – ie a monopsony supplier may be equally unreliable for your business and competitors?
- the way the business manages its inventory.

Judgement should be supported with prior arguments.

Allow other relevant arguments.

A-level
BUSINESS

Paper 3 Business 3

Insert

Source 1: SSN Ltd

Rapid early success

Ten years ago, Bemí Agboola perfected her first commercial cybersecurity system. The innovative software used a totally new approach to protect against hackers' attempts to steal customer data from retailers' e-commerce websites. Though others have produced similar systems, Bemí's business (SSN Ltd) is now well established in the cybersecurity market. The company has branched out into other aspects of cybersecurity by designing and installing tailor-made security systems for large businesses. At the heart of the business remains Bemí's programming – protected, like any piece of software code, by copyright. 5

Bemí has shown a fearless approach to making major decisions quickly. She does not see the need for strategic planning, preferring to seize opportunities as they arise. As a result, SSN Ltd has kept up with the high rate of technological change that characterises the cybersecurity industry. Bemí's approach to decision-making has enabled SSN Ltd to experience a phenomenal growth in sales (**Appendix A**). One consequence of this growth has been the need to expand its workforce. Bemí has hired programmers, administration, marketing and sales teams, many straight from university. From simple beginnings, the business now rents an expensive head office in London and regional offices in New York and Beijing. With over 100 employees across its three offices, Bemí feels it is increasingly hard to monitor what is happening within the business. 10 15

Bemí remains determined to keep increasing the company's share of the highly competitive cybersecurity market and therefore spends heavily on promoting the business and its products. The objective is to raise SSN Ltd's profile among global business leaders who are her potential customers, as a complement to more direct methods of targeting them (see **Appendix B**). 20

Problems emerging

Despite its growth in revenue, the company has always had a very low operating profit margin. Cash flow has been a major problem in the last few months. In the past, SSN Ltd had found it easy to borrow money. Now its bank has stated that it is no longer willing to increase SSN Ltd's overdraft. Part of SSN Ltd's problem has been slow payment from its customers. Bemí is considering the use of debt factoring to improve its cash flow. The debt factor would charge a fee of 5% of any debt that is factored. 25 30

Everybody working for SSN Ltd knows that the business is very much controlled by Bemí. She owns 51% of the shares and makes all major decisions. Managers who want to succeed within the company tend to be those who can anticipate Bemí's wishes and implement her ideas. Within this power culture, Bemí uses a very 'hands-on' approach, taking a keen interest in the work of her programmers. Bemí tries to drop into each office frequently. This is a habit that some managers feel is based on an unwillingness to fully delegate decision-making to them. This has created an environment where some staff expect Bemí to check or even reverse decisions they make. 35

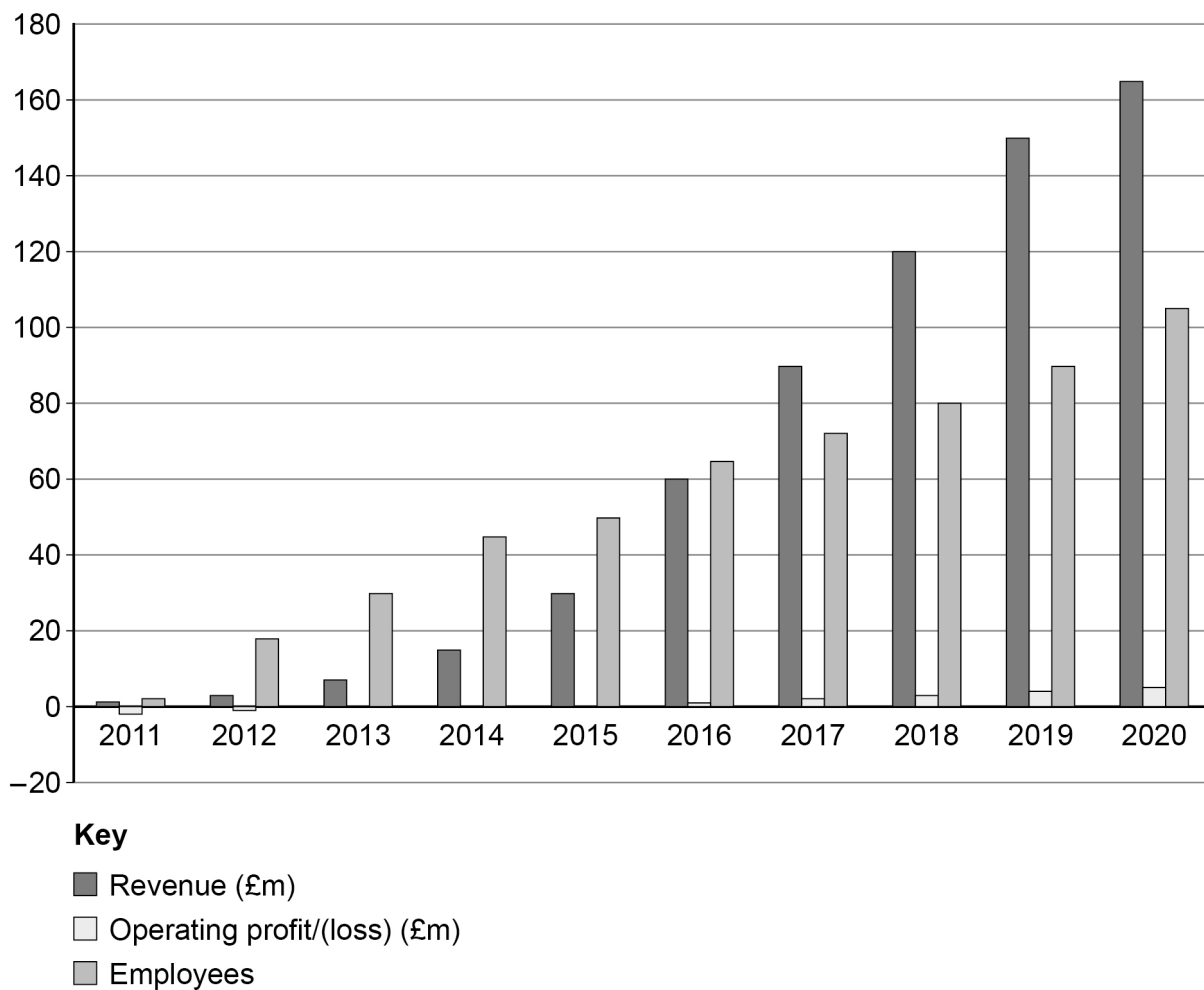
The future

The business media often features stories about SSN Ltd. Its expansion has been exceptional, even in a market which continues to grow rapidly. During the last year, Bemí has been increasingly criticised for the way she has been running the business. 40

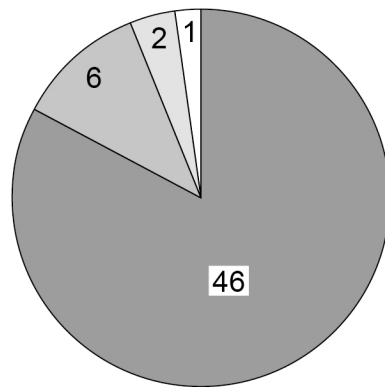
This has centred on what some consider to be excessive risk-taking. In recent days, several sources have suggested that a major competitor is preparing a takeover offer for SSN Ltd. These rumours have suggested that the competitor may be prepared to pay £50m for SSN Ltd, primarily to acquire the copyright to SSN Ltd's software. Analysts say that this competitor is likely to shut down SSN Ltd, terminating the contracts of all staff but preserving the brand name and the software. 45

Detailed examination of SSN Ltd's financial information (**Appendix C**) suggests that the business may be close to failure. 50

Appendix A SSN Ltd historic data



Appendix B SSN Ltd breakdown of 2020 promotional expenditure (£m)



Key

- Sponsorship of sporting and arts events
- Advertising in trade magazines and on websites
- Face to face personal selling
- Direct electronic communications

Appendix C

Table 1 SSN Ltd balance sheet (statement of financial position) as at 31/5/21

	£m
Non-current assets	25
Inventories	0.5
Receivables	16.5
Payables	(18)
Overdraft	(5)
Non-current liabilities	(18)
Net assets	1
Total equity	1

Table 2 SSN Ltd income statement for year ended 31/5/21

	£m
Sales turnover (revenue)	165
Cost of sales	(50)
Expenses	(110)
Operating profit	5
Net finance cost	(4)
Profit for the year	1
Dividends	(3)
Retained profit/(loss)	(2)

END OF SOURCE

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Please write clearly in block capitals.

Centre number

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Candidate number

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Surname

Forename(s)

Candidate signature

I declare this is my own work.

A-level BUSINESS

Paper 3 Business 3

Time allowed: 2 hours

Materials

For this paper you must have:

- a calculator
- the Insert.

Instructions

- Use black ink or black ball-point pen.
- Fill in the boxes at the top of this page.
- Answer **all** questions.
- You must answer the questions in the spaces provided. Do not write outside the box around each page or on blank pages.
- If you need extra space for your answer(s), use the lined pages at the end of this book. Write the question number against your answer(s).
- Do all rough work in this answer book. Cross through any work you do not want to be marked.

Information

- The marks for questions are shown in brackets.
- The maximum mark for this paper is 100.

For Examiner's Use	
Question	Mark
1	
2	
3	
4	
5	
6	
TOTAL	



Read the **case study** in the **Insert**.

Analyse the factors affecting SSN Ltd's promotional decisions.

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Extra space

Turn over ►



[illegible]

[12 marks]

[illegible]

[illegible]

[illegible]

Turn over ►



Using information from **Appendix C** and the case study, recommend whether the use of debt factoring is a good way for SSN Ltd to improve its cash flow.

[illegible]

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outside the
box*

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[illegible]

To what extent might SSN Ltd benefit from changing its power culture to a role culture?

[illegible]

Extra space



[illegible]

To what extent would the reactions of SSN Ltd's stakeholders to the possible takeover be likely to lead to conflict between those stakeholders?

[illegible]

Extra space

[illegible]

[illegible]

20

[24 marks]

[illegible]

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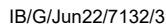
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ANSWER IN THE SPACES PROVIDED**



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A-level
BUSINESS
7132/3
Paper 3 Business 3

Mark scheme

June 2022

Version: 1.0 Final



Mark schemes are prepared by the Lead Assessment Writer and considered, together with the relevant questions, by a panel of subject teachers. This mark scheme includes any amendments made at the standardisation events which all associates participate in and is the scheme which was used by them in this examination. The standardisation process ensures that the mark scheme covers the students' responses to questions and that every associate understands and applies it in the same correct way. As preparation for standardisation each associate analyses a number of students' scripts. Alternative answers not already covered by the mark scheme are discussed and legislated for. If, after the standardisation process, associates encounter unusual answers which have not been raised they are required to refer these to the Lead Examiner.

It must be stressed that a mark scheme is a working document, in many cases further developed and expanded on the basis of students' reactions to a particular paper. Assumptions about future mark schemes on the basis of one year's document should be avoided; whilst the guiding principles of assessment remain constant, details will change, depending on the content of a particular examination paper.

Further copies of this mark scheme are available from aqa.org.uk

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Level of response marking instructions

Level of response mark schemes are broken down into levels, each of which has a descriptor. The descriptor for the level shows the average performance for the level. There are marks in each level.

Before you apply the mark scheme to a student's answer read through the answer and annotate it (as instructed) to show the qualities that are being looked for. You can then apply the mark scheme.

Step 1 Determine a level

Start at the lowest level of the mark scheme and use it as a ladder to see whether the answer meets the descriptor for that level. The descriptor for the level indicates the different qualities that might be seen in the student's answer for that level. If it meets the lowest level then go to the next one and decide if it meets this level, and so on, until you have a match between the level descriptor and the answer. With practice and familiarity you will find that for better answers you will be able to quickly skip through the lower levels of the mark scheme.

When assigning a level you should look at the overall quality of the answer and not look to pick holes in small and specific parts of the answer where the student has not performed quite as well as the rest. If the answer covers different aspects of different levels of the mark scheme you should use a best fit approach for defining the level and then use the variability of the response to help decide the mark within the level, ie if the response is predominantly level 3 with a small amount of level 4 material it would be placed in level 3 but be awarded a mark near the top of the level because of the level 4 content.

Step 2 Determine a mark

Once you have assigned a level you need to decide on the mark. The descriptors on how to allocate marks can help with this. The exemplar materials used during standardisation will help. There will be an answer in the standardising materials which will correspond with each level of the mark scheme. This answer will have been awarded a mark by the Lead Examiner. You can compare the student's answer with the example to determine if it is the same standard, better or worse than the example. You can then use this to allocate a mark for the answer based on the Lead Examiner's mark on the example.

You may well need to read back through the answer as you apply the mark scheme to clarify points and assure yourself that the level and the mark are appropriate.

Indicative content in the mark scheme is provided as a guide for examiners. It is not intended to be exhaustive and you must credit other valid points. Students do not have to cover all of the points mentioned in the Indicative content to reach the highest level of the mark scheme.

An answer which contains nothing of relevance to the question must be awarded no marks.

Marking guidance

- Be clear on the focus of the question.
- Read the response as a whole; follow the flow of the argument as a whole.
- Remember that the indicative content provides possible lines of argument but there may be others that are equally valid. Be willing to credit other lines of argument.
- Annotate the script as you read in accordance with the instructions given at standardisation.
- Consider what it all adds up to, eg is this a limited response? A reasonable one? A good one? Refer back to the standardisation scripts and guidance to help you benchmark. You are marking to the standard agreed at standardisation. Be careful of the standard you are marking at; refer back to standardisation scripts regularly.
- Summarise your findings briefly at the end of the response. This will help you decide on the overall level and is helpful for others to understand the mark given, eg for an extended response 'well-argued' but does not focus fully on the issue of 'long term' feels as if it might be good rather than excellent. Make sure the comments fit with the level awarded: 'unbalanced and not comparing with alternative solutions' does not sound as if it is 'good'.
- Next to your comment put the level awarded, eg L4.
- If in doubt about an approach contact your Team Leader, do not make up your own rules because we must have a standardised approach across all marking.
- Be positive in your marking. Look to reward what is there.

Annotations Key

KU	Knowledge and understanding – used to credit knowledge of the specification and also to acknowledge 'points' made in relation to the question , perhaps explained, but once the point has some analytical dev, annotate AN or ARG
Bal	Balanced response, eg both sides acknowledged with at least a valid ARG on either side
AN	Analytical but lacks context, ie a theoretical line of argument
ARG	Argument (analysis in context)
DP	Developed argument (well-developed analysis in context)
Rng	Range of arguments, ie two ARGs presented
J	Judgement with support
Q?	Losing/lost focus – not fully focused on the demands of the question
BD	Benefit of doubt – though there is some uncertainty over the student's meaning , the point or aspect of the argument will be accepted as creditworthy
NR	Not relevant – ie not answering the question – response has drifted from answering the question set. When using, be sure to read the whole response carefully – students will often drift back to answering the question later in their response – normal annotation should resume whenever they come back to addressing the demands of the question
O	Own figure rule – to be annotated where a valid argument develops following a miscalculation (ie a wrong answer is used correctly)
SEEN	Used to show work has been read but contains nothing creditworthy – please check carefully (See NR)
Tick	ONLY used to show a correct calculation – please use KU when annotating valid points
Cross	To show an incorrect calculation or a clearly incorrect link in a chain of logic – if in doubt, do not cross, use BD
?	Meaning unclear
R	Repetition
Eval	Indicates valid evaluation within the response
NFF	Not Fully Focused - retains some relevance to the question asked but not fully focused on the specific question asked

0	1	Analyse the factors affecting SSN Ltd's promotional decisions.	[12 marks]
----------	----------	--	-------------------

Marks for this question: AO1 = 3, AO2 = 3, AO3 = 6

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question.	9–12
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question.	5–8
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development and mainly descriptive application to the context.	1–4

The demands of this question are:

- analyse factors affecting promotional decisions
- link these to aspect(s) of SSN Ltd's context.

Indicative content:

- B2B – focus on target market of decision-makers in large businesses – so promotional channels must be able to reach these. **Appendix B** shows methods that may achieve this.
- An image of trustworthiness and reliability will be key in this market which may rely on creating an image of being a large established business – which could explain sponsorship as a means of pushing the company's wider reputation. This will also affect messaging behind promotional activities.
- Online only – not likely to mean only online channels should be used – note the relative importance of personal selling.
- Focus on large businesses as customers probably increases the amount that needs to be spent on promotion, in order to access channels that will reach decision-makers within these companies.
- Bemis majority owns and controls the business – therefore her say is likely to override the opinions of others in making promotional decisions.
- The product's position on the Boston Matrix (probably a star, with high share of a high growth market) suggests heavy promotional spending will be needed to protect market share in a market that will be attractive to new entrants.
- Finance available – SSN Ltd is short of cash and heavily indebted – therefore budgetary constraints are likely to influence the promotional methods chosen

- Promotional decisions may consider both methods of promotion used and the message behind the promotional activities.

Accept other relevant arguments

NOTE: One factor with well-developed analysis applied effectively to the context should score 9 marks

0	2	Analyse how copyright may have been important to the growth of SSN Ltd.	[12 marks]
----------	----------	---	-------------------

Marks for this question: AO1 = 3, AO2 = 3, AO3 = 6

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question.	9–12
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question.	5–8
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development and mainly descriptive application to the context.	1–4

The demands of this question are:

- show a clear understanding of the importance of protecting intellectual property
- analyse the importance of copyright in SSN Ltd's growth.

Indicative content:

- once SSN started to grow, copyright will have ensured that larger, established rivals could not directly copy its systems – protecting the business from these bigger rivals while it grew
- SSN Ltd has an effective monopoly over this piece of technology – this may allow it to attract large customers desperate to use this system – boosting total sales rapidly
- if clients can be convinced this unique service is exactly what they need, these clients will find it hard to move elsewhere – enabling the business to retain most customers it attracts
- insulation from direct competition could allow relatively low advertising costs freeing funding for other aspects of growth
- the company have a USP that can be used in promoting the service – allowing it to attract new customers and possibly charge a premium price, helping to fund future growth
- the value of the copyright may have enabled SSN Ltd to access extra finance for growth.

Accept other relevant arguments.

NOTE – analysis of just ONE reason is sufficient to fully meet the demands of the question

0	3	Using information from Appendix C and the case study, recommend whether the use of debt factoring is a good way for SSN Ltd to improve its cash flow.	[16 marks]
----------	----------	--	-------------------

Marks for this question: AO1 = 2, AO2 = 3, AO3 = 4, AO4 = 7

Level	The student will typically demonstrate:	Marks
4	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding that is precise and well selected in relation to issues in the question • demonstrates analysis throughout which is well developed, is applied effectively to the context and considers a balanced range of the issues in the question • makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	13–16
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question • makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole.	9–12
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question • makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	5–8
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question • makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	1–4

The demands of this question are:

- analyse the impact of using debt factoring to improve cash flow
- use data from **Appendix C** and the case study
- make a judgement on whether debt factoring is a good way for SSN Ltd to improve its cash flow.

Indicative content:

- Debt factoring provides an immediate injection of cash flow in situations where services have been sold on credit.
- SSN Ltd currently have £16.5m of receivables. Factoring this would result in an immediate cash injection of around (80% of £16.5m) £13.2 million. This would enable the overdraft to be cleared or a large proportion of the £18m payables to be covered.
- Converts money owed into cash very quickly – SSN's cash flow problems are immediate.
- SSN Ltd will have cash and so will be able to meet current liabilities as they fall due.
- The factoring company takes responsibility for collecting the money – something that SSN Ltd have not achieved successfully recently. This could also help to preserve a positive relationship between the business and its debtors.
- Risk has been passed to the factoring company, to some extent – SSN Ltd would be helped by any reduction in financial risk in its current circumstances.

However:

- The factor's fee reduces the margin on each transaction. With £16.5m owed, if 5% factor's fee is deducted, that would mean lost revenue of £825 000. Over the course of a year a 5% reduction in revenue would be disastrous – current operating margin is just 3.03%.
- Bemmi likes to be in control, but has been concerned that she is finding it increasingly hard to monitor what is happening within the business. Passing control for collection of debts to the factor may leave her feeling that monitoring cash is even harder.
- Passing on the responsibility for payment collection to a factor may leave customers feeling they are less valued by SSN Ltd
- Other methods of improving cash flow may be more effective

Accept other relevant arguments.

Evaluation

An effective judgement should flow from the arguments presented. Judgement is likely to come through the assessment of the suitability of debt factoring to SSN Ltd's circumstances. SSN Ltd's operating profit for last year would have been eliminated if revenues were reduced by 5% – suggesting that factoring does not represent a viable long-term solution, however, responses that suggest factoring is a sensible short-term solution should be credited. Other sensible proposals should also be credited but are not required.

NOTE – responses that do NOT meet the first demand of the question cannot progress past Level 2 of the marking grid

0	4	To what extent might SSN Ltd benefit from changing its power culture to a role culture?	[16 marks]
---	---	---	------------

Marks for this question: AO1 = 2, AO2 = 3, AO3 = 4, AO4 = 7

Level	The student will typically demonstrate:	Marks
4	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding that is precise and well selected in relation to issues in the question • demonstrates analysis throughout which is well developed, is applied effectively to the context and considers a balanced range of the issues in the question • makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	13–16
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question • makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole.	9–12
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question • makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	5–8
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question • makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	1–4

The demands of this question are:

- analyse the benefit(s) of the existing power culture and potential benefit(s) of a move to role culture in the context of SSN Ltd
- make a judgement on the extent to which SSN Ltd might benefit from a change from a power culture to role culture.

Indicative content:

Benefits of existing power culture:

- quick decision-making with nobody expecting Bemi to consult – which enables Bemi to seize opportunities in a rapidly evolving technology-based market
- a single-mindedness to the organisation providing a clear steer to decision-making and direction – decisions are taken on a basis of ‘what would Bemi do’ – which could be effective if her decision-making principles are clearly understood throughout the business
- the power culture may have encouraged risk-taking which has enabled the business to grow rapidly – evidenced by the data in **Appendix A**.

Benefits of a role culture:

- Bemi is finding it hard to monitor and effectively control the business after its growth (perhaps indicating a crisis of autonomy). Clear roles would help ensure accountability for decision-making. At present, decision-makers are trying to ‘second-guess’ Bemi’s wishes, a role culture might encourage her to use delegation more effectively, ensuring more effective decision-making throughout the business.
- Managers to whom some decision-making power is delegated are likely to become more motivated
- Decisions are more likely to be taken by specialists
- May reduce an excessively risky approach to decision-making – with role culture’s emphasis on following procedures, it may temper the organisation’s attitude to risk.

Accept other relevant arguments.

Evaluation

An effective judgement should flow from the arguments presented. Judgement is likely to come through the assessment of whether the benefits of cultural change outweigh the drawbacks.

Recognition that a power culture can be highly effective in the early stages of a business, but less effective once the business has grown could be applied to this context effectively. Judgement may also seek to address in what ways a change in culture would be beneficial – the changes implied by a shift from power to role culture may bring financial and organisational benefits, but may also slow SSN Ltd’s reactions to market changes, perhaps preventing the kind of growth that it has experienced so far. Meanwhile, responses suggesting that cultural change may be welcomed in some of the company’s offices and less so in others would be able to use Hofstede to justify this.

Effective responses may recognise not only the benefits to SSN Ltd of each cultural type but also the challenges involved in changing culture. In this context it may be hard for Bemi to relinquish the power that she has wielded and the company’s rapid growth is likely to be attributable to its power culture. However, the difficulties of cultural change may be eased when an organisation is struggling financially with key stakeholders better able to understand the need for change. Cultural change may come too late for the business if failure or takeover come quickly.

0	5	To what extent would the reactions of SSN Ltd's stakeholders to the possible takeover be likely to lead to conflict between those stakeholders?	[20 marks]
---	---	---	------------

Marks for this question: AO1 = 4, AO2 = 3, AO3 = 5, AO4 = 8

Level	The candidate will typically demonstrate:	Marks
5	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: - demonstrates a depth and range of knowledge and understanding that is precise and well selected in relation to issues in the question - demonstrates analysis throughout which is well developed, is applied effectively to the context and considers a balanced range of the issues in the question - makes judgments or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as whole throughout.	17–20
4	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: - demonstrates a depth and range of knowledge and understanding of issues in the question - demonstrates analysis which is well developed and is applied effectively to the context and considers a range of issues in the question - makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole.	13–16
3	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: - demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question - demonstrates analysis which is developed, applied to the context and considers some of the issues in the question - makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	9–12
2	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: - demonstrates a limited range and depth of knowledge and understanding of issues in the question - demonstrates analysis with little development and with mainly descriptive application to the context and considers a limited number of issues in the question - makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	5–8

1	A weak response overall lacking focus on the demands of the question. Provides an answer to the question set that: • demonstrates isolated or imprecise knowledge and understanding • demonstrates undeveloped analysis with descriptive application to the context and lacking focus on the question • makes judgements or proposes solutions based on assertions.	1–4
----------	---	------------

The demands of this question are:

- analyse the reaction of stakeholders to the possible takeover
- analyse potential conflict between stakeholders
- make a judgement on the extent to which the possible takeover would lead to conflict between stakeholders.

Indicative content:

It is hard to envisage a scenario in which no conflict will arise.

Analysis will examine potential conflicts between these reactions.

- Shareholders may benefit (BOD exactly how they would gain financially). Bemis is the majority shareholder and may resist if she feels she can keep 'milking' the business for dividends. Other shareholders may feel similarly. Bemis, however, may welcome the opportunity to 'cash in' on her hard work and receive a one-off payment for her shareholding (51% of £50m = £25.5m, but can use OFR if response states she will receive £50m)
- Employees may feel insecure as the takeover is reportedly likely to result in redundancy for all staff.
- Customers may not want the takeover to go through – they will see this as consolidation in the market that may well lead to higher prices for cybersecurity software.
- Suppliers may also have negative feelings towards a deal that is likely to lead to the loss of a customer and increase buyer power within the market through consolidation.
- The business may collapse soon so if the competitor buys SSN Ltd, at least some stakeholders see an upside.
- Given the perilous financial state of the business, shareholders may see this as an opportunity to 'cash out' before finances turn sour.
- Some employees may recognise that the business is in a difficult financial position and may harbour hopes of retention after a takeover that could improve financial stability.
- Bemis may be resistant if she sees the business as an extension of herself and does not wish the company she has built from nothing to slip from her control.

Accept other relevant arguments.

Evaluation

An effective judgement should flow from the arguments presented. Judgement should retain a tight focus on the likelihood of stakeholder conflict.

This scenario is a little unusual as the business is clearly struggling to survive. The result is that there may well be far less conflict than might ordinarily be the case. However, it is likely that there will be some conflict between groups, with some clearly identifiable groups likely to be against the takeover.

NOTE – responses that effectively address the likelihood of stakeholder conflict arising as a result of the proposed takeover should be considered at least reasonable.

0	6	'Without strategic planning all businesses are doomed to fail.'
		To what extent do you agree with this statement?
		[24 marks]

Marks for this question: AO1 = 5, AO2 = 4, AO3 = 6, AO4 = 9

Level	The candidate will typically demonstrate:	Marks
5	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding that is precise and well selected in relation to issues in the question • demonstrates analysis throughout which is well developed, is applied effectively to the context and considers a balanced range of the issues in the question • makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as whole throughout.	21–24
4	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question • makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole.	16–20
3	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question • makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	11–15
2	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question • makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	6–10

1	A weak response overall lacking focus on the demands of the question. Provides an answer to the question set that: • demonstrates isolated or imprecise knowledge and understanding • demonstrates undeveloped analysis with descriptive application to the context and lacking focus on the question • makes judgements or proposes solutions based on assertions.	1–5
----------	---	------------

The demands of this question are:

- analyse the role of strategic (future) planning in preventing business failure
- analyse how businesses can survive, or even thrive, without strategic planning (ie reacting to issues as they arise)
- make a judgement on the extent to which a lack of strategic planning will lead to business failure for all businesses.

Indicative content:

Contingency planning should be accepted as a form of strategic planning

A lack of strategic planning will lead to failure because:

- market trends may be missed or not reacted to – for example technological change which radically alters a market can be spotted and plans implemented to adjust to the changes – Nokia failed while Apple succeeded
- the business may lack a logical and overarching plan to co-ordinate business resources and ensure that the resources required can be acquired
- strategic drift is more likely to occur.

A lack of strategic planning will not necessarily lead to failure because:

- Intuitive decision-making may allow great innovations to take place, where a more considered strategic approach to planning may shy away from risk.
- Emergent strategy can be effective but, by definition, does not involve the realization of traditional long-term strategic planning. Businesses can thrive through effective use of emergent strategy.
- Business failure is ultimately the result of a shortage of cash. Managing cash effectively may not require strategic planning, merely careful cash management.
- Strategic planning has limitations. There are plenty of reasons for failure that may not be prevented by strategic planning:
 - A plan must be implemented effectively in order to provide benefit to the business. Failure in implementation is a very common cause of business failure.
 - Without effective leadership to drive strategic action, a business may choose the wrong strategy or fail to implement the plan effectively.
 - Organisational structure may hamper efforts to follow the right strategic plan – a business expanding internationally into markets where the need to respond to local conditions is high will need to ensure a decentralised structure – centralised decision-making will not enable local conditions to be satisfied.
 - Poor communication within an organisation may also mean strategic plans are not implemented effectively.
 - Economic change may be very hard to predict – neither the financial crash of 2008 nor the global pandemic of 2020 were widely foreseen. Such unpredictable events may drive businesses into failure, although to some extent contingency planning may help to mitigate this risk.
 - Technological change can be the result of an innovative breakthrough by one business which effectively protects its intellectual property – meaning rivals simply cannot develop a product or service to compete given the HR and/or financial constraints they may face.

- The arrival of a new competitor may ‘come out of the blue’ – ie be unpredictable, thus impossible to plan for. Where the competitor is especially powerful this may spell doom for existing companies who would have been unable to plan for such an eventuality.

At SSN Ltd:

(there is no expectation to refer to SSN Ltd, but it can be used as valid context)

(a response that SOLELY considers SSN Ltd as a context would not fully address the third demand of the question re. ‘all businesses’)

- Bem’s lack of willingness to adopt a strategic planning approach is likely to lay behind many of the business’ issues, including a failure to build an organisation that effectively manages its finances.
- Growth for the sake of growth is rarely an effective strategy, especially if a strategic plan is not developed to head off the problems of growth.

Accept other relevant arguments.

Evaluation

An effective judgement should flow from the arguments presented. Judgement is likely to come through the assessment of situations in which the statement could be true, weighed up against situations in which a business may survive or thrive without strategic planning. A consideration of timescale would be a valid route to judgement – since strategic planning deals with long-term issues, it is failure on the long-term which is more likely, although short-term performance, whilst the external environment remains relatively stable, may be fine.

The extent to which a lack of strategic planning may or may not lead to failure depends on:

- the rate of change in the market or industry in which a business operates
- the quality of management decision-making, which may be affected by experience of market insight
- the extent to which the strategic plan is effectively implemented
- the quality of the strategic planning – were the right choices made?

Overall:

A lack of strategic planning is almost certain to increase the chances of business failure. However, it does not guarantee that all businesses are doomed. There are circumstances in which businesses can thrive or at least survive without strategic planning, whilst there are causes of business failure which strategic planning may be unable to prevent.

Appendix 1

Though no question requires the calculation of financial ratios, some students may have attempted to calculate ratios for SSN Ltd to help contextualise their responses. The most commonly used ratio values are shown in the table below:

Ratio	Value
Current ratio	$\frac{\pounds 17\text{m}}{\pounds 23\text{m}} = \mathbf{0.74}$
Gearing	$\frac{\pounds 18\text{m}}{\pounds 19\text{m}} \times 100 = \mathbf{94.7\%}$
ROCE	$\frac{\pounds 5\text{m}}{\pounds 19\text{m}} \times 100 = \mathbf{26.3\%}$
Operating profit margin	$\frac{\pounds 5\text{m}}{\pounds 165\text{m}} \times 100 = \mathbf{3.03\%}$
Receivable days	$\frac{\pounds 16.5\text{m}}{\pounds 165\text{m}} \times 365 = \mathbf{36.5 \text{ days}}$
Payable days	$\frac{\pounds 18\text{m}}{\pounds 50\text{m}} \times 365 = \mathbf{131.4 \text{ days}}$
Inventory turnover	$\frac{\pounds 50\text{m}}{\pounds 0.5\text{m}} = \mathbf{100 \text{ times}}$



Please write clearly in block capitals.

Centre number

--	--	--	--	--

Candidate number

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Surname

--

Forename(s)

--

Candidate signature

--

I declare this is my own work.

A-level BUSINESS

Paper 1 Business 1

Tuesday 23 May 2023

Morning

Time allowed: 2 hours

Materials

For this paper you must have:

- a calculator.

Instructions

- Use black ink or black ball-point pen.
- Fill in the boxes at the top of this page.
- Answer **all** questions in **Section A** and **Section B**.
- Answer **one** question from **Section C** and **one** question from **Section D**.
- You must answer the questions in the spaces provided. Do not write outside the box around each page or on blank pages.
- If you need extra space for your answer(s), use the lined pages at the end of this book. Write the question number against your answer(s).
- Do all rough work in this answer book. Cross through any work you do not want to be marked.

Information

- The marks for questions are shown in brackets.
- The maximum mark for this paper is 100.

For Examiner's Use	
Question	Mark
Section A	
16	
17	
18	
19	
20	
21	
22	
23	
24	
TOTAL	



J U N 2 3 7 1 3 2 1 0 1

IB/G/Jun23/E13

7132/1

Section AAnswer **all** questions in this section.Only **one** answer per question is allowed.

For each question completely fill in the circle alongside the appropriate answer.

CORRECT METHOD



WRONG METHODS



If you want to change your answer you must cross out your original answer as shown.



If you wish to return to an answer previously crossed out, ring the answer you now wish to select as shown.

**0 1** Which of the following will cause spare capacity in a business to rise?**[1 mark]****A** New competitors are entering the market.☐**B** The business closes some factories.☐**C** The business's product becomes more fashionable.☐**D** There is a successful advertising campaign.☐**0 2** **Statement 1:** 'Value added can be increased by creating barriers to entry.'**Statement 2:** 'Value added can be increased by lowering unit costs.'**Read statements 1 and 2** and select the correct option from the following:**[1 mark]****A** Statement 1 is true. Statement 2 is true.☐**B** Statement 1 is true. Statement 2 is false.☐**C** Statement 1 is false. Statement 2 is true.☐**D** Statement 1 is false. Statement 2 is false.☐

0 3

A women's clothes store adds furniture to its range in order to increase spending by its existing customers.

According to Ansoff's matrix this is an example of

[1 mark]

- A** diversification.
- B** market development.
- C** market penetration.
- D** product development.

☐☐☐☐

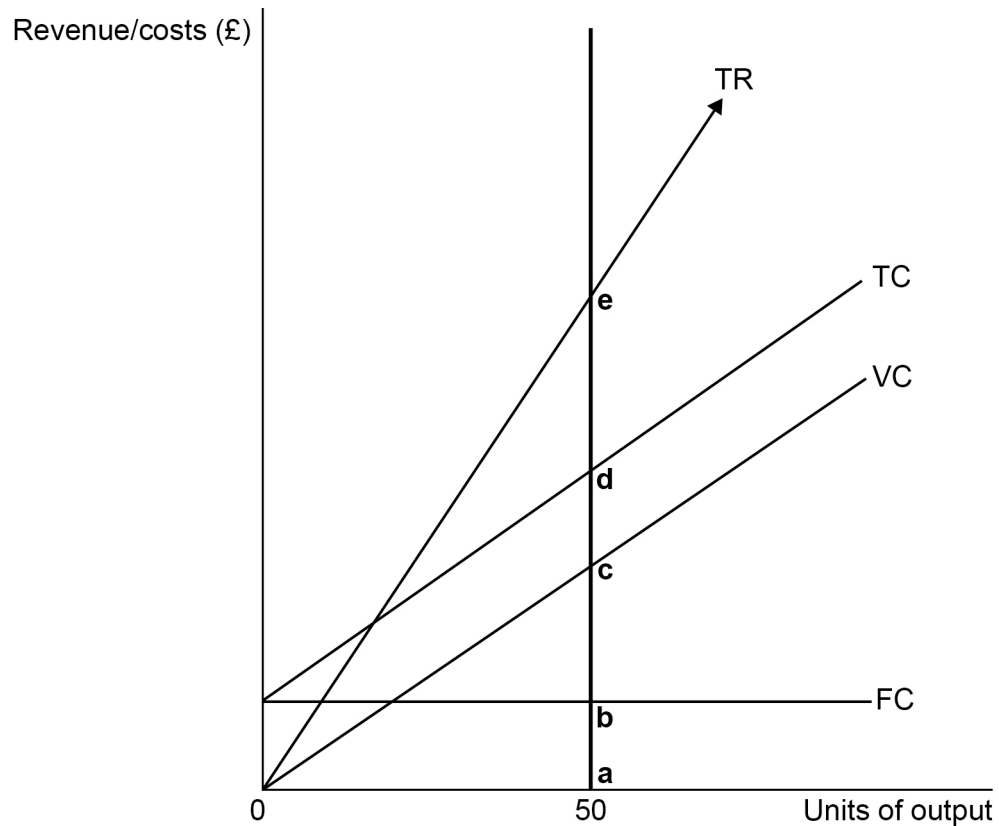
Turn over for the next question

Turn over ►



0 4 Figure 1 shows a break-even chart.

Figure 1



Statement 1: 'At 50 units of output, the distance between **c** and **d** shows the level of fixed costs.'

Statement 2: 'At 50 units of output, the distance between **c** and **e** shows the total contribution.'

Read statements 1 and 2 and select the correct option from the following:

[1 mark]

A Statement 1 is true. Statement 2 is true.

☐

B Statement 1 is true. Statement 2 is false.

☐

C Statement 1 is false. Statement 2 is true.

☐

D Statement 1 is false. Statement 2 is false.

☐


0 5

Statement 1: 'According to Blake Mouton, a country club leader has a greater concern for production than a produce or perish leader.'

Statement 2: 'According to Blake Mouton, a team leader has a greater concern for production than a middle of the road leader.'

Read statements 1 and 2 and select the correct option from the following:

[1 mark]

A Statement 1 is true. Statement 2 is true.

☐

B Statement 1 is true. Statement 2 is false.

☐

C Statement 1 is false. Statement 2 is true.

☐

D Statement 1 is false. Statement 2 is false.

☐
0 6

Which government policy is most likely to increase **both** GDP and inflation?

[1 mark]

A Higher interest rates

☐

B Higher tax on goods

☐

C Lower income taxes

☐

D More open trade

☐
0 7

A business starts to use 'kaizen'.

This should lead to

[1 mark]

A external, disruptive change.

☐

B external, incremental change.

☐

C internal, disruptive change.

☐

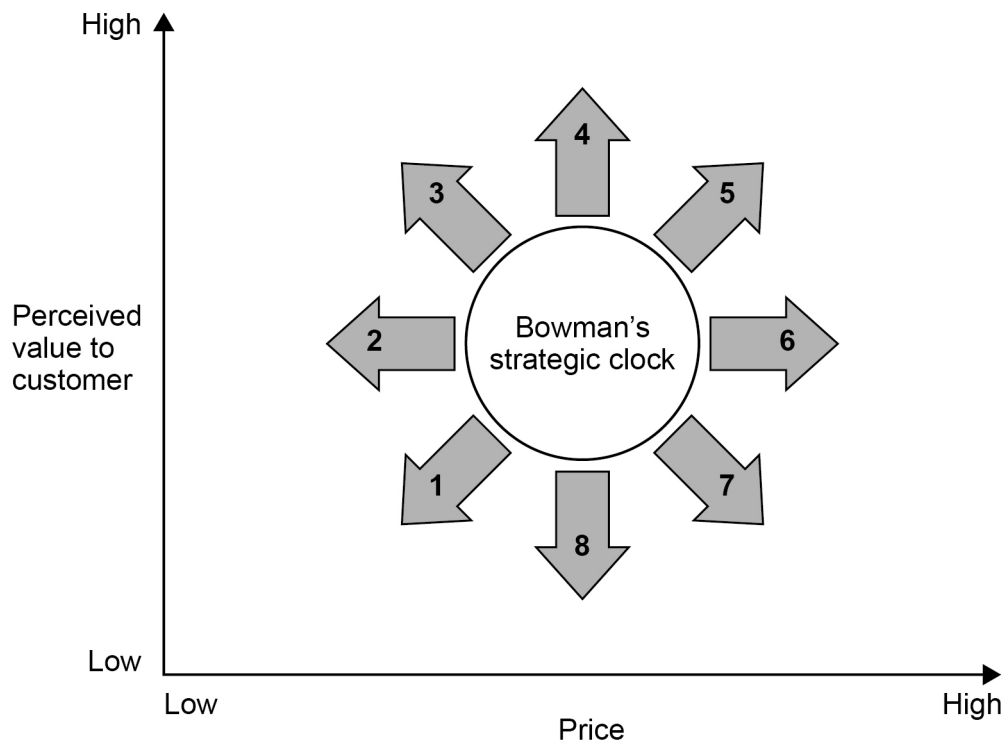
D internal, incremental change.

☐
Turn over ►

0 8

Figure 2 shows Bowman's strategic clock.

Figure 2

Which positions did Bowman consider to be **undesirable** strategies?

[1 mark]

A 1, 2 and 3

☐

B 1, 7 and 8

☐

C 4, 5 and 6

☐

D 6, 7 and 8

☐


0 9

Statement 1: 'An increase in rent paid by a business will have no effect on its gross profit.'

Statement 2: 'An increase in tax on a business's profit will have no effect on its profit for the year.'

Read statements 1 and 2 and select the correct option from the following:

[1 mark]

A Statement 1 is true. Statement 2 is true.

☐

B Statement 1 is true. Statement 2 is false.

☐

C Statement 1 is false. Statement 2 is true.

☐

D Statement 1 is false. Statement 2 is false.

☐**1 0**

Which of the following statements is **false**?

[1 mark]

A Profit is a financial target for all businesses.

☐

B Profit is a measure of performance in Elkington's triple bottom line.

☐

C Profit is a reward for risk-taking.

☐

D Profit is a source of finance.

☐**1 1**

Statement 1: 'If a limited company stops trading, the shareholders will be expected to sell personal assets to pay the company's debts.'

Statement 2: 'If a limited company stops trading, the business will always pay its payables in full.'

Read statements 1 and 2 and select the correct option from the following:

[1 mark]

A Statement 1 is true. Statement 2 is true.

☐

B Statement 1 is true. Statement 2 is false.

☐

C Statement 1 is false. Statement 2 is true.

☐

D Statement 1 is false. Statement 2 is false.

☐**Turn over ►**

Questions 12 and 13 are based on the following data, which relates to business X.

Year	2020	2021
Revenue	£1 000 000	£1 000 000
Average price per unit	£5	£5
Units of output	200 000	200 000
Number of employees	20	22
Number of leavers	6	6
Total employee costs	£500 000	£550 000

1 2

Which **one** of the following outcomes happened between 2020 and 2021 for business X?

[1 mark]

	Labour productivity	Labour turnover	
A	Decreased	Decreased	☐
B	Decreased	Increased	☐
C	Increased	Decreased	☐
D	Increased	Increased	☐

1 3

Which **one** of the following outcomes happened between 2020 and 2021 for business X?

[1 mark]

	Employee costs per unit	Employee costs as a percentage of turnover	
A	Decreased	Decreased	☐
B	Decreased	Increased	☐
C	Increased	Decreased	☐
D	Increased	Increased	☐



1 4

Which of the following actions would improve the ability of a manufacturer to respond to changes in consumer demand?

[1 mark]

- A** Ensuring workers are highly trained in one specialised role ☐
- B** Maintaining high capacity utilisation levels ☐
- C** Outsourcing more production to other manufacturers ☐
- D** Reducing warehouse size in order to minimise levels of inventory ☐

1 5

A food manufacturer buys two businesses: a direct competitor and a food wholesaler.

What is this an example of?

[1 mark]

- A** Backward vertical integration and forward vertical integration ☐
- B** Conglomerate integration ☐
- C** Horizontal integration and backward vertical integration ☐
- D** Horizontal integration and forward vertical integration ☐

15

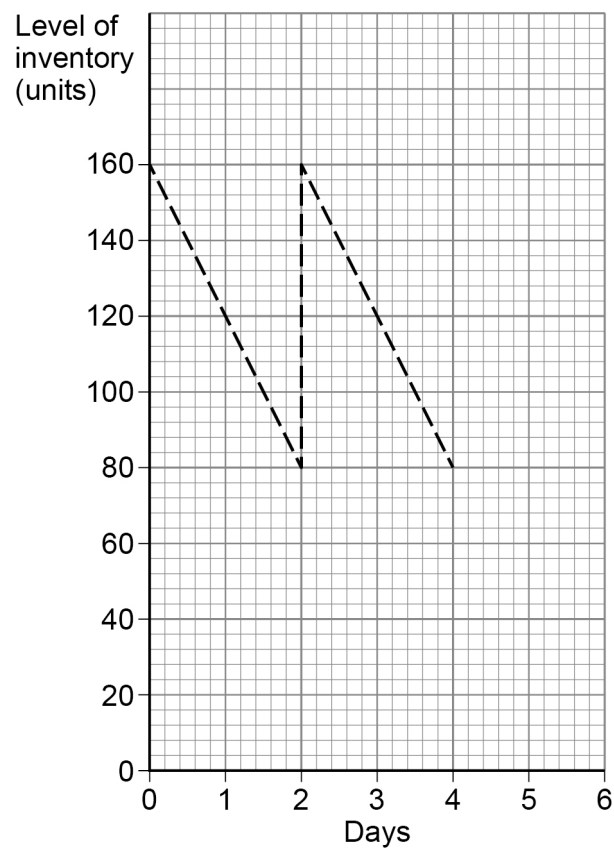
Turn over for Section B

Turn over ►



Section BAnswer **all** questions in this section.**1 6**

Question **16** is based on **Figure 3**, which shows the level of inventory for a product held in a supermarket until the end of day 4.

Figure 3

The reorder quantity arriving at the end of day 4 is half the level of the reorder quantity that arrived at the end of day 2.

After the end of day 4 to the end of day 6 demand will fall to 30 units per day.

Show these **two** changes on **Figure 3** by drawing in the lines that show inventory levels from the end of day 4 to the end of day 6.

[4 marks]**4**

1 7

Table 1 Extracts from financial records of Wot plc

	£m
Non-current assets	38
Current assets	31
Current liabilities	(18)
Non-current liabilities	(24)

Wot plc receives £20 million from selling ordinary shares.

The company uses this money as follows:

- £15 million to purchase machinery
- £3 million to pay off its overdraft
- £2 million to increase inventory levels.

Calculate Wot plc's current ratio **after** these changes.

Show your working.

[4 marks]

Answer _____

Working _____

4

Turn over for the next question

Turn over ►



[9 marks]

This image shows a blank sheet of white paper with horizontal ruling lines. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.

9



Table 2 Income and price elasticity of demand for Product A

Income elasticity of demand	+0.5
Price elasticity of demand	-2.0

During the next year:

- consumer incomes fall
- the price of Product A increases.

Based solely on the information provided above, analyse how the sales revenue for Product A will change over the next year.

[9 marks]

This image shows a blank sheet of white paper with horizontal ruling lines. The lines are evenly spaced and extend across the width of the page. There are no margins, text, or other markings on the paper.

9

Turn over ►



A business has recently experienced a decline in its level of sales. This led to some redundancies.

Analyse how an understanding of Maslow's hierarchy of needs might help this business to motivate its remaining employees.

[9 marks]

[illegible]

Extra space

9



Answer **either** Question 21 **or** Question 22.

Question

2	1	
---	---	---

Question

2	2	
---	---	---



--	--	--	--

2	1
---	---

To what extent is the success of a contingency plan for a major threat more dependent on internal factors than external factors?

[25 marks]

2	2
---	---

Is it inevitable that large, growing businesses will eventually experience rising unit costs? Justify your view.

[25 marks]

[illegible]

Turn over ►



[illegible]

[illegible]

[illegible]

[illegible]

[illegible]

Answer **either** Question 23 **or** Question 24.

Question

2	3	
---	---	---

Question

2	4	
---	---	---



--	--	--	--

2	3
---	---

Do you agree? Justify your view.

[25 marks]

2	4
---	---

Is it inevitable that this business will need to improve its quality to achieve this objective? Justify your view.

[25 marks]

This image shows a blank sheet of white paper with horizontal ruling lines. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.

Turn over ►



[illegible]

This image shows a single sheet of white paper with horizontal blue or grey ruling lines. The lines are evenly spaced and run across the width of the page. There are approximately 20 lines visible. The paper has a slight shadow on its right side, suggesting it's resting on a surface.

[illegible]

[illegible]

[illegible]

25



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ANSWER IN THE SPACES PROVIDED**



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A-level
BUSINESS
7132/1

Paper 1 Business 1

Mark scheme

June 2023

Version: 1.0 Final



Mark schemes are prepared by the Lead Assessment Writer and considered, together with the relevant questions, by a panel of subject teachers. This mark scheme includes any amendments made at the standardisation events which all associates participate in and is the scheme which was used by them in this examination. The standardisation process ensures that the mark scheme covers the students' responses to questions and that every associate understands and applies it in the same correct way. As preparation for standardisation each associate analyses a number of students' scripts. Alternative answers not already covered by the mark scheme are discussed and legislated for. If, after the standardisation process, associates encounter unusual answers which have not been raised they are required to refer these to the Lead Examiner.

It must be stressed that a mark scheme is a working document, in many cases further developed and expanded on the basis of students' reactions to a particular paper. Assumptions about future mark schemes on the basis of one year's document should be avoided; whilst the guiding principles of assessment remain constant, details will change, depending on the content of a particular examination paper.

Further copies of this mark scheme are available from aqa.org.uk

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Level of response marking instructions

Level of response mark schemes are broken down into levels, each of which has a descriptor. The descriptor for the level shows the average performance for the level. There are marks in each level.

Before you apply the mark scheme to a student's answer read through the answer and annotate it (as instructed) to show the qualities that are being looked for. You can then apply the mark scheme.

Step 1 Determine a level

Start at the lowest level of the mark scheme and use it as a ladder to see whether the answer meets the descriptor for that level. The descriptor for the level indicates the different qualities that might be seen in the student's answer for that level. If it meets the lowest level then go to the next one and decide if it meets this level, and so on, until you have a match between the level descriptor and the answer. With practice and familiarity you will find that for better answers you will be able to quickly skip through the lower levels of the mark scheme.

When assigning a level you should look at the overall quality of the answer and not look to pick holes in small and specific parts of the answer where the student has not performed quite as well as the rest. If the answer covers different aspects of different levels of the mark scheme you should use a best fit approach for defining the level and then use the variability of the response to help decide the mark within the level, ie if the response is predominantly level 3 with a small amount of level 4 material it would be placed in level 3 but be awarded a mark near the top of the level because of the level 4 content.

Step 2 Determine a mark

Once you have assigned a level you need to decide on the mark. The descriptors on how to allocate marks can help with this. The exemplar materials used during standardisation will help. There will be an answer in the standardising materials which will correspond with each level of the mark scheme. This answer will have been awarded a mark by the Lead Examiner. You can compare the student's answer with the example to determine if it is the same standard, better or worse than the example. You can then use this to allocate a mark for the answer based on the Lead Examiner's mark on the example.

You may well need to read back through the answer as you apply the mark scheme to clarify points and assure yourself that the level and the mark are appropriate.

Indicative content in the mark scheme is provided as a guide for examiners. It is not intended to be exhaustive and you must credit other valid points. Students do not have to cover all of the points mentioned in the Indicative content to reach the highest level of the mark scheme.

An answer which contains nothing of relevance to the question must be awarded no marks.

Marking guidance

- Be clear on the focus of the question.
- Read the response as a whole; follow the flow of the argument as a whole.
- Remember that the indicative content provides possible lines of argument but there may be others that are equally valid. Be willing to credit other lines of argument.
- Annotate the script as you read in accordance with the instructions given at standardisation.
- Consider what it all adds up to, eg is this a good response? A reasonable one? A limited one? Refer back to the standardisation scripts and guidance to help you benchmark. You are marking to the standard agreed at standardisation.
- Summarise your findings briefly at the end of the response. This will help you decide on the overall level and is helpful for others to understand the mark given, eg for an extended response 'well-argued' but does not focus fully on the issue of 'long term' feels as if it might be good rather than excellent. Make sure the comments fit with the level awarded: 'unbalanced and not comparing with alternative solutions' does not sound as if it is 'good'.
- Next to your comment put the level awarded, eg L4.
- If in doubt about an approach contact your Team Leader, do not make up your own rules because we must have a standardised approach across all marking. Be positive in your marking. Look to reward what is there.

ANNOTATIONS FOR MARK SCHEMES

K U	Knowledge and Understanding
AN	Analytical but lacks context
ARG	Argument
DEV	Developed argument
J / EV	Judgement with support / Evaluation
NFF	Not Fully Focussed on the demands of the question
Bal	Balanced response eg both sides acknowledged
Rng	Range of arguments eg two arguments presented
BOD	Benefit of the Doubt
NAQ	Not answering the question
OFR	Own Figure Rule
SEEN	Seen
☑	TICK
☒	CROSS
□	Txt Box
?	Unclear
Highlighter	Highlighter
[REP]	Repetition

Section C and Section D – 25-mark essay questions

The following should be used at the end of the response.

L1	L1
L2	L2
L3	L3
L4	L4
L5	L5

Section A**Objective Test Answers****Total for this section: 15 marks**

Question number	Answer
01	A New competitors are entering the market.
02	A Statement 1 is true. Statement 2 is true.
03	D product development
04	A Statement 1 is true. Statement 2 is true.
05	C Statement 1 is false. Statement 2 is true.
06	C Lower income taxes
07	D internal, incremental change.
08	D 6, 7 and 8
09	B Statement 1 is true. Statement 2 is false.
10	A Profit is a financial target for all businesses.
11	D Statement 1 is false. Statement 2 is false.
12	A Outcome A (Decreased/Decreased)
13	D Outcome D (Increased/Increased)
14	C Outsourcing more production to other manufacturers
15	D Horizontal integration and forward vertical integration

Section B

1 6

Question **16** is based on **Figure 3**, which shows the level of inventory for a product held in a supermarket until the end of day four.

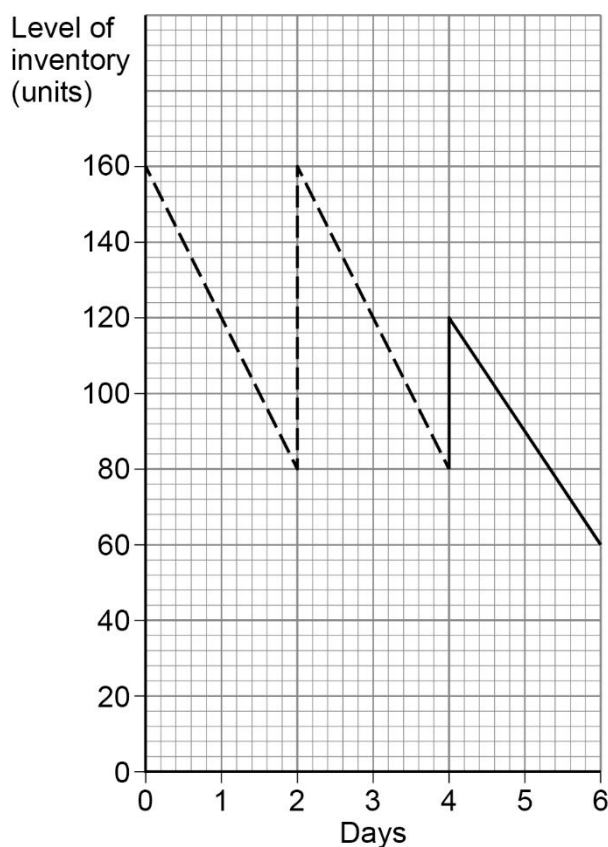
The reorder quantity arriving at the end of day 4 is half the level of the reorder quantity that arrived at the end of day 2.

After the end of day 4 to the end of day 6 demand will fall to 30 units per day.

Show these **two** changes on **Figure 3** by drawing in the lines that show inventory levels from the end of day 4 to the end of day 6.

[4 marks]

The diagram below shows the shape of the lines from the end of day 4 to the end of day 6.



Maximum: 4 marks

Marks awarded as follows:

Vertically above the 4 days on the x-axis:

- vertical line drawn upwards
- vertical line is drawn upwards and 40 units in length

Max 4 marks

(1 mark)

(1 mark)

Between days 4 and 6 on the graph:

- the line showing inventory levels slopes downwards
- the slope falls from 120 units to 60 units between day 4 and day 6

(1 mark)

(1 mark)

NB OFR applies for the latter mark if the inventory level at 4 days is not 120.

For any slope that falls by 60 units from day 4 to day 6 award **1 mark** (OFR)

17

Table 1 Extracts from financial records of Wot plc

	£m
Non-current assets	38
Current assets	31
Current liabilities	(18)
Non-current liabilities	(24)

Wot plc receives £20 million from selling ordinary shares.

The company uses this money as follows:

- £15 million to purchase machinery
- £3 million to pay off its overdraft
- £2 million to increase inventory levels.

Calculate Wot plc's current ratio **after** these changes.

Show your working.

[4 marks]

Marks for this question: AO1 = 1 and AO2 = 3

Answer = 2.2: 1 OR 2.2 (4 marks)

Broken down as follows:

Current assets = 33 (1 mark)

Current liabilities = 15 (1 mark)

Current ratio = = 33 : 15 OR 33/15 (1 mark)

(Use OFR only **if either** CA **or** CL figure is correct)

Answer = 2.2 : 1 OR 2.2 (1 mark)

NB Do **not award the** final mark if the unit of measurement is incorrect (eg. 2.2% or £2.2m)

If no creditworthy calculation, award 1 mark for correct formula:

Current assets : Current liabilities (1 mark)

(OR $\frac{\text{Current assets}}{\text{Current liabilities}}$) (1 mark)

1	8	Analyse why a large business might choose to introduce a product into a niche market.
		[9 marks]

Marks for this question: AO1 = 2, AO2 = 3 and AO3 = 4

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed and is applied effectively to the context.	7–9
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed and is applied to the context.	4–6
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development and with mainly descriptive application to the context.	1–3

The demands of this question are:

- to show understanding of niche market
- to analyse why a large business might choose to introduce a product into a niche market.

Indicative content:

Possible responses include:

- recognising that a product might only be of interest to a particular group of consumers. However, they may be willing to pay a price that yields a profit for the large business
- arguing that niche market consumers are often prepared to pay higher prices than consumers in mass markets. This might enable a large business to achieve high added value
- analysing how competition in a niche market may be limited or comprised of small firms that cannot match the price or marketing capabilities of a larger business
- arguing that this niche may be a growing market that will expand into a much larger market over time
- analysing that the niche market may consist of customers who are already loyal to the large business's brand and so the marketing expenditure needed might be low.

1	9	A company sells a single product: Product A.
---	---	--

Table 2 Income and price elasticity of demand for Product A

Income elasticity of demand	+0.5
Price elasticity of demand	−2.0

During the next year:

- consumer incomes fall
- the price of Product A increases.

Based solely on the information provided above, analyse how the sales revenue for Product A will change over the next year.

[9 marks]

Marks for this question: AO1 = 2, AO2 = 3 and AO3 = 4

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed and is applied effectively to the context.	7–9
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed and is applied to the context.	4–6
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development and with mainly descriptive application to the context.	1–3

The demands of this question are:

- showing an understanding of price elasticity of demand and income elasticity of demand
- analysing how the data in the table and other information provided might improve or worsen the sales revenue from Product A.

Indicative content:

- recognising that the income elasticity of demand for Product A is low/inelastic but positive – a ‘normal’ good
- analysing that a fall in consumer incomes will lead to a smaller % fall in the quantity demanded
- analysing that such a change will lead to a fall in sales revenue as the quantity demanded will fall
- recognising that the price elasticity of demand for Product A is elastic
- analysing that an increase in price will lead to a larger % fall in the quantity demanded
- analysing that such a change will lead to a fall in sales revenue as any extra revenue from the higher price will be more than lost by the larger % fall in quantity demanded
- analysing that both factors in the table will lead to a reduction in sales revenue.

2	0	A business has recently experienced a decline in its level of sales. This led to some redundancies. Analyse how an understanding of Maslow's hierarchy of needs might help this business to motivate its remaining employees. [9 marks]
----------	----------	--

Marks for this question: AO1 = 2, AO2 = 3 and AO3 = 4

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed and is applied effectively to the context.	7–9
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed and is applied to the context.	4–6
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development and with mainly descriptive application to the context.	1–3

The demands of the question are:

- understanding elements of Maslow's hierarchy of needs
- analysing how a business/manager might use the hierarchy in order to motivate employees in this context.

Indicative content:

- understanding that redundancies may have impacted negatively on security and social needs, and perhaps restricted opportunities for satisfying esteem needs
- recognising that only unsatisfied needs will help to motivate employees
- understanding that lower level needs must be satisfied in order to enable higher level needs to act as motivators
- analysing how an understanding of an individual employee's situation will allow a manager to motivate an employee. For example:
 - offering financial rewards to motivate an employee who is at the lowest level of the hierarchy of needs

- providing job security or improved pension rights to employees in the 2 level of the hierarchy, using praise or promotion for employees in the 4 level (esteem needs), and so on.

Section C

2	1	Many businesses use contingency planning to prepare for major threats. Some of these contingency plans work well, but others fail to protect the business. To what extent is the success of a contingency plan for a major threat more dependent on internal factors than external factors? [25 marks]
----------	----------	---

25-mark evaluative questions: AO1 = 5, AO2 = 4, AO3 = 6 and AO4 = 10

Level	The student will typically demonstrate:	Marks
5	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding that is precise and well selected in relation to issues in the question • demonstrates analysis throughout which is well developed, is applied effectively to the context and considers a balanced range of the issues in the question • makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	21–25
4	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question • makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole.	16–20
3	A reasonable response overall that focuses on some demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question • makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	11–15
2	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question	6–10

	• makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	
1	A weak response overall lacking focus on the demands of the question. Provides an answer to the question set that: • demonstrates isolated or imprecise knowledge and understanding • demonstrates undeveloped analysis with descriptive application to the context and lacking focus on the question • makes judgements or proposes solutions based on assertions.	1–5

The demands of the question are:

- showing an understanding of contingency planning
- recognising the nature of potential threat(s)
- understanding and analysing how internal factors can influence the success of a business's contingency planning
- understanding and analysing how external factors can influence the success of a business's contingency planning
- comparing the impact of different factors on the success of contingency planning in order to conclude whether internal factors are more significant than external factors.

Indicative content may include:

Analysing the impact of internal factors, such as:

- the leadership style adopted
- the speed of response of the business
- the resources available to the business, such as its physical assets and human resources, and their suitability to deal with the situation.

Analysing the impact of external factors, such as:

- whether the threat is more or less serious than anticipated
- whether other external factors, such as the state of the economy or political changes, are affecting the contingency plan outcomes
- the reactions of other businesses, such as suppliers and competitors, and the consequent impact on the business.

Evaluation

- assessing instances in which internal actions can limit the problems arising from the event
- assessing the circumstances in which external factors can be most crucial
- making a judgement on whether internal factors are more important than external factors in terms of influencing the success of contingency planning.

2	2	Is it inevitable that large, growing businesses will eventually experience rising unit costs? Justify your view.	[25 marks]
----------	----------	--	-------------------

25-mark evaluative questions: AO1 = 5, AO2 = 4, AO3 = 6 and AO4 = 10

Level	The student will typically demonstrate:	Marks
5	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding that is precise and well selected in relation to issues in the question • demonstrates analysis throughout which is well developed, is applied effectively to the context and considers a balanced range of the issues in the question • makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	21–25
4	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question • makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole.	16–20
3	A reasonable response overall that focuses on some demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question • makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	11–15
2	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question • makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	6–10

1	A weak response overall lacking focus on the demands of the question. Provides an answer to the question set that: • demonstrates isolated or imprecise knowledge and understanding • demonstrates undeveloped analysis with descriptive application to the context and lacking focus on the question • makes judgements or proposes solutions based on assertions.	1–5
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The demands of the question are:

- understanding the concept of unit costs
- analysing how the growth of a large business is likely to impact on its unit costs
- evaluating the extent to which unit costs are likely to rise or fall as a business grows
- assessing the extent to which rising unit costs are inevitable.

Indicative content may include:

Analysis of how unit costs are likely to be affected by growth. For example:

- internal economies of scale suggest that as businesses grow their unit costs will fall due to internal economies of scale, such as technical, purchasing and managerial economies of scale
- the ability of large businesses to gain greater access to finance and their greater buyer power should help to reduce unit costs
- BUT, as businesses continue to grow, diseconomies of scale may occur, such as coordination and communication difficulties which lead to higher unit costs
- economies of scope or economies of diversification can reduce unit costs by enabling large businesses to reduce unit costs, in comparison to smaller competitors, by having the scope to use certain assets to produce a range of different products and thus reduce costs
- the experience curve takes the view that a higher cumulative output over time gives greater knowledge to a business, helping the business to reduce unit costs
- large businesses can merge or integrate and improve efficiency by combining a range of skills that the individual businesses could not match
- BUT overtrading can increase unit costs if businesses overestimate their growth rate and, for example, over-produce and/or build up excessive levels of inventory
- Greiner's model of growth suggests that businesses can improve their efficiency as they progress through each stage of growth, BUT it indicates that each stage experiences a crisis that is likely to have a detrimental effect on efficiency, before moving on to the next stage.

Evaluation

The arguments above indicate that growth can lead to lower unit costs, through factors such as economies of scale and synergy, and also higher unit costs arising from factors such as diseconomies of scale and the crises shown in Greiner's model of growth.

For small businesses, growth seems very likely to cause lower unit costs, because the business may not have reached the crises in Greiner's model and/or be too small to experience diseconomies of scale. However, growing businesses are likely to experience the problems leading to higher unit costs, if they continue to grow and become much harder to organise. Many large businesses diversify or split into different units or businesses to avoid this situation and prevent any 'inevitable' rise in unit costs.

Section D

2	3	'Emerging economies are beneficial to UK businesses, but only as potential markets to help UK businesses to achieve growth.' Do you agree? Justify your view.	[25 marks]
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25-mark evaluative questions: AO1 = 5, AO2 = 4, AO3 = 6 and AO4 = 10

Level	The student will typically demonstrate:	Marks
5	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding that is precise and well selected in relation to issues in the question • demonstrates analysis throughout which is well developed, is applied effectively to the context and considers a balanced range of the issues in the question • makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	21–25
4	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question • makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole.	16–20
3	A reasonable response overall that focuses on some demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question • makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	11–15
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	• makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	
1	A weak response overall lacking focus on the demands of the question. Provides an answer to the question set that: • demonstrates isolated or imprecise knowledge and understanding • demonstrates undeveloped analysis with descriptive application to the context and lacking focus on the question • makes judgements or proposes solutions based on assertions.	1–5

The demands of the question are:

- showing an understanding of ‘emerging economies’
- analysing how emerging economies might help UK businesses to grow by providing potential markets for goods
- analysing how emerging economies might affect the growth of UK businesses in other ways, such as in their role as competitors or suppliers of raw materials or sources of labour
- assessing the extent to which emerging economies are vital to UK businesses and the extent to which this is through their role as potential markets for products.

Indicative content may include:

- understanding that emerging economies are likely to grow at a faster rate than more developed economies
- analysing how the growth of these economies will lead to the opening of new markets for UK businesses and thus an increase in demand for products globally
- analysing how the increasing affluence of these markets is likely to lead to greater demand for goods with high income elasticity of demand/products, particularly those made by developed economies such as the UK
- analysing how these developing markets may have lower unit costs as wages, rent etc may be lower and therefore could provide UK businesses with cheaper sources of materials and services
- analysing how the growth in skills of the populations of emerging economies may provide a new source of labour for UK businesses, especially if they are prepared to establish factories in the developing countries
- analysing how emerging economies can encourage joint ventures between UK businesses and those in emerging economies, allowing each business to benefit from the relative strengths of the other business
- assessing the extent to which different businesses may benefit in different ways; such as an increase in sales revenue for some businesses but lower production costs for others.

Evaluation

Overall, the benefits are likely to fit into two distinct areas:

- advantages gained from greater access to the new markets provided by growing economies, leading to more sales revenue
- benefits gained from improvements in efficiency acquired from access to the resources in the emerging economies.

The overall evaluation will depend on the weighting of the arguments presented in analysing this question. However, logic would suggest that emerging economies are beneficial in different ways and not solely as potential markets.

2	4	A business decides to make increasing profits its main objective. Is it inevitable that this business will need to improve its quality to achieve this objective? Justify your view.	[25 marks]
----------	----------	--	-------------------

25-mark evaluative questions: AO1 = 5, AO2 = 4, AO3 = 6 and AO4 = 10

Level	The student will typically demonstrate:	Marks
5	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding that is precise and well selected in relation to issues in the question • demonstrates analysis throughout which is well developed, is applied effectively to the context and considers a balanced range of the issues in the question • makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	21–25
4	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question • makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole.	16–20
3	A reasonable response overall that focuses on some demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question • makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	11–15
2	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question • makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	6–10

1	A weak response overall lacking focus on the demands of the question. Provides an answer to the question set that: • demonstrates isolated or imprecise knowledge and understanding • demonstrates undeveloped analysis with descriptive application to the context and lacking focus on the question • makes judgements or proposes solutions based on assertions.	1–5
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The demands of the question are:

- understanding the meaning of profitability and quality
- analysing how improvements in quality of the product or process of providing a product may enhance profitability
- analysing situations when profitability improvements may not depend on improved quality
- evaluating whether improving quality is necessary in order to increase profit.

Indicative content may include:

Analysing key ways for improving profitability and the role of quality in this approach:

- increasing price in order to widen the gap between price and unit costs and thus improve profitability. This can be achieved by enhancing the image of products and improving brand loyalty. Customers are likely to be willing to pay higher prices if they consider the product quality to have been improved, through an improved product or marketing that enhances the value of the brand
- cutting costs can enable a business to increase added value and thus profitability, if the price remains the same. This may arise from improving the quality of the manufacturing process, but may rely on other causes such as cheaper raw materials or lower wages
- increasing sales volume in order to increase total profit, although this may not affect profitability as such. This may arise because the product quality has been improved but can be caused by other factors, such as improved marketing.

Analysing strategic positioning as a way to improve profitability:

- A business choosing a low-cost strategy is unlikely to focus on quality of product, but may depend on higher quality processes to lower costs.
- A differentiation strategy usually requires an improved perception or uniqueness of a product; this is likely to depend on higher quality products being provided, although this quality may be the result of marketing rather than changes to the product itself.

Evaluation

Overall, the two strategic ways of improving quality shown in the bullet points above both lead to higher profit. However, there are other ways of improving profit, such as cheaper costs, enhanced image building and creating barriers to entry to a market. The nature of the market and external factors, such as economic and social changes, can also affect profitability, even where there is no change in quality. Consequently, quality can be an important influence on profitability but it is not inevitable that improved quality is needed to improve profitability.



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Candidate number

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Surname

Forename(s)

Candidate signature

I declare this is my own work.

A-level BUSINESS

Paper 2 Business 2

Wednesday 7 June 2023

Morning

Time allowed: 2 hours

Materials

For this paper you must have:

- a calculator.

Instructions

- Use black ink or black ball-point pen.
- Fill in the boxes at the top of this page.
- Answer **all** questions.
- You must answer the questions in the spaces provided. Do not write outside the box around each page or on blank pages.
- If you need extra space for your answer(s), use the lined pages at the end of this book. Write the question number against your answer(s).
- Do all rough work in this answer book. Cross through any work you do not want to be marked.

Information

- The marks for questions are shown in brackets.
- The maximum mark for this paper is 100.

For Examiner's Use	
Question	Mark
1.1	
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Answer **all** questions in the spaces provided.

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Read the information below and then answer the questions that follow.

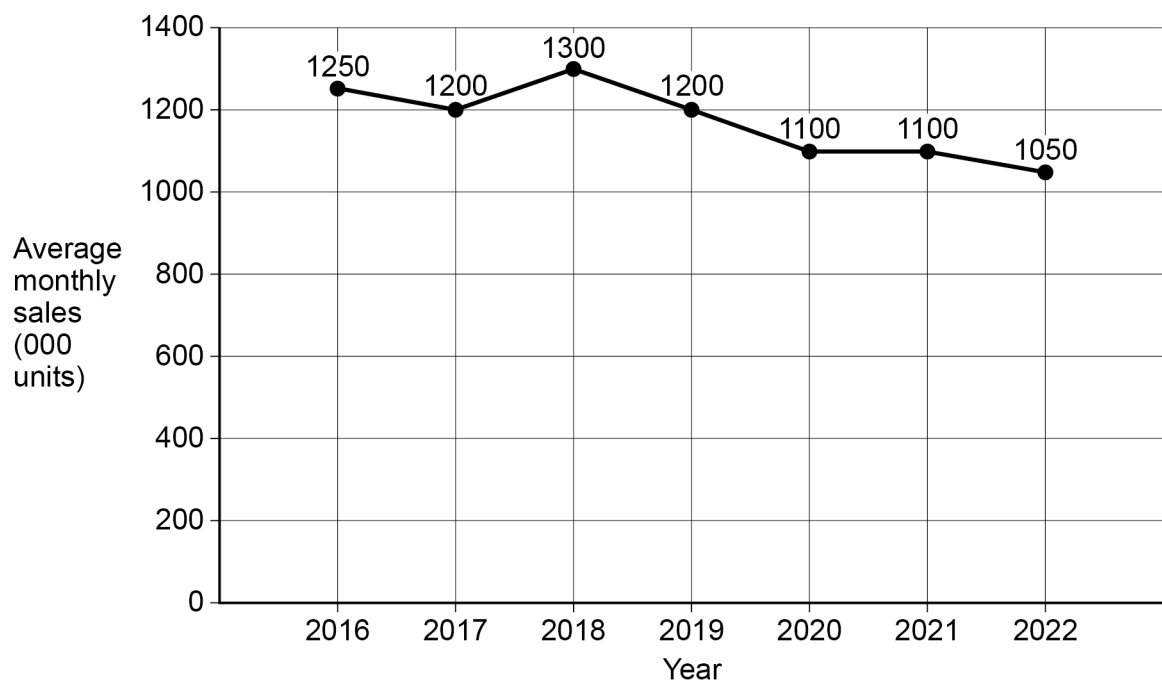
AJS plc

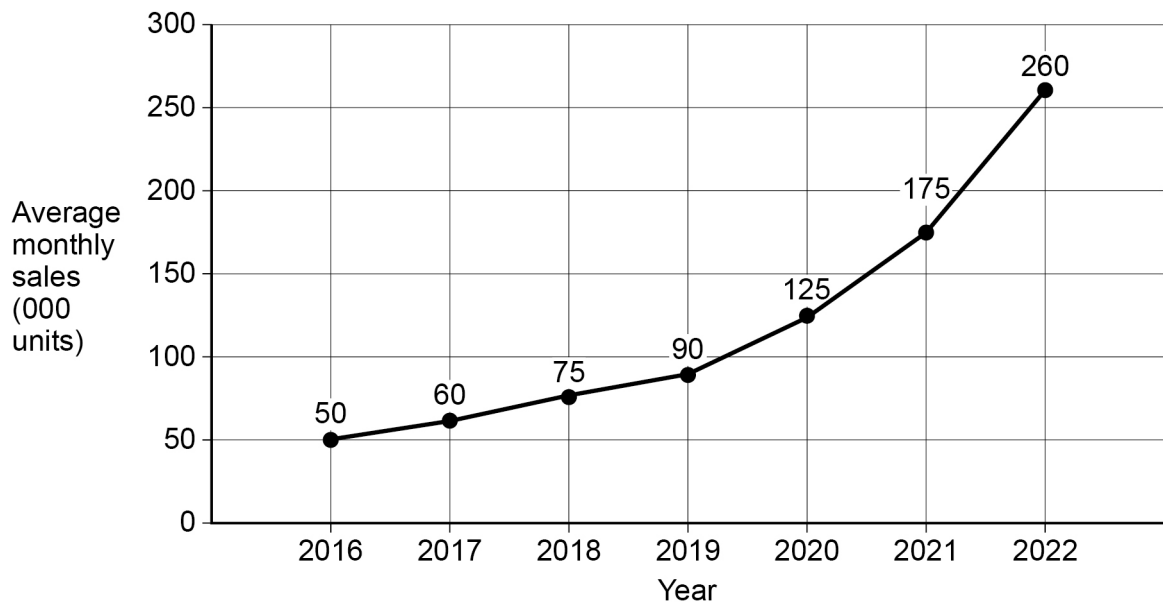
AJS plc is a manufacturer of non-recyclable packaging. This packaging is widely used by takeaway food outlets. AJS plc plans to invest £500 000 in new technology to increase capacity and make its factory more capital intensive.

Appendix A Data on proposed investment (produced by AJS plc's operations manager)

Year	Annual net cash flow £000s	Discount factor (10%)
0	(500)	1.00
1	(50)	0.91
2	250	0.83
3	600	0.75

Appendix B UK market for non-recyclable takeaway food packaging



Appendix C UK market for recyclable takeaway food packaging**Appendix D** Selected Human Resource data 2022

	AJS plc	Industry average
Average salary	£22 000	£26 000
Salary costs as a percentage of turnover (%)	40	35
Labour turnover (%)	15	4
Working days lost through industrial action	25	5
Average number of applicants for vacancies	14	55

Appendix E Selected Financial data for AJS plc

	2022
Current assets	£550 000
Current liabilities	£270 000
Non-current liabilities	£4m
Operating profit	£3m
Gearing	22%
Change in the share price of AJS plc over the year	–15%
Change in the share price of the top 100 UK companies over the year	+8%

Turn over ►



0 1 . 1

Calculate the Net Present Value for AJS plc's proposed investment.

[4 marks]

4

0 1 . 2

Using **Appendix E**, calculate the Return on Capital Employed for AJS plc in 2022.**[4 marks]**

4


[9 marks]

[illegible]

Turn over ►



With reference to the data provided, would you advise a potential investor to buy shares in AJS plc?

[16 marks]

[illegible]

Extra space



0 2

Read the information below and then answer the questions that follow.

Homeworking

Homeworking (or teleworking) is the action of working from home, using the Internet, email and the telephone to link the employee and the business remotely.

The number of people working from home has been rising steadily for several years as communications technology has improved.

Table 1 UK labour market data

	2019	2020
Number of people in employment (millions)	32.6	32.5
Number of people working at least partly from home (millions)	8.7	

Some businesses now adopt homeworking as the normal practice. For example, several financial institutions have reduced the amount of office space they own or rent in city centres. The wider impact of the change has been seen through fewer commuting journeys.

There have been some concerns over increased homeworking due to a reduction in face-to-face communication between employees. There has also been a decline in sales for businesses, such as coffee shops, that rely on office staff as customers.

Some sectors, such as transportation and wholesale, provide few opportunities for people to work from home. Other sectors, such as IT, finance and insurance, provide more homeworking opportunities to staff.

0 2**1**

Of people in employment, 36% worked at least partly from home in 2020.

Using **Table 1**, calculate the percentage change in the number of people working at least partly from home between 2019 and 2020.

[3 marks]

3



Analyse **one** way the balance sheet of a business (its statement of financial position) might be affected if more of its employees work from home.

This image shows a blank sheet of white paper with horizontal ruling lines. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.

6

Turn over ►



Analyse the impact of the increase in homeworking by office staff on the way that their managers fulfil their role.

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Would increased homeworking improve the performance of businesses that use Elkington's Triple Bottom Line to measure their success?

[16 marks]

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Extra space



0 3

Read the information below and then answer the questions that follow.

Simply Bake plc

Palm oil is a cheap oil ingredient used in the manufacture of many everyday items. Production of palm oil often involves farmers clearing rainforests. The destruction of this habitat has led to the loss of many animal species, including half of the world's orangutans.

Powerful campaign groups with many members, such as Greenpeace and the World Wildlife Foundation, have highlighted the issue. As a result, consumers are increasingly aware of the environmental impact of using palm oil.

Simply Bake plc is a supplier of cakes to supermarkets, who then retail them as their 'own brand' products. For many years, palm oil has been an important ingredient in Simply Bake plc's products, allowing it to meet the demand for cheap food.

In 2018, a small campaign group, Action against Palm Oil (APO), criticised Simply Bake plc. APO had carried out a survey using a sample of 100 of its 400 members to represent the views of UK consumers. The survey found that 67% of respondents wanted the government to ban the use of palm oil.

High-profile media campaigns have increasingly drawn attention to the issue of palm oil production. By 2019, supermarkets had noticed increasing numbers of enquiries from their customers about palm oil and environmental damage.

Finding alternative ingredients is difficult and expensive, but in 2020 Simply Bake plc announced that it will have changed all its recipes to remove palm oil by 2025.

0 3 . 1

Explain why APO's survey findings may not represent the views of UK consumers.

[4 marks]

4

Turn over for the next question

Turn over ►



0	3	.	2
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Explain how stakeholder mapping would help Simply Bake plc decide how it responds to criticism from APO.

[4 marks]

4



[9 marks]

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9

'Businesses will never act in a socially responsible way unless they are forced to do so by governments.'

[16 marks]

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16



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A-level
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Paper 2 Business 2

Mark scheme

June 2023

Version: 1.0 Final



Mark schemes are prepared by the Lead Assessment Writer and considered, together with the relevant questions, by a panel of subject teachers. This mark scheme includes any amendments made at the standardisation events which all associates participate in and is the scheme which was used by them in this examination. The standardisation process ensures that the mark scheme covers the students' responses to questions and that every associate understands and applies it in the same correct way. As preparation for standardisation each associate analyses a number of students' scripts. Alternative answers not already covered by the mark scheme are discussed and legislated for. If, after the standardisation process, associates encounter unusual answers which have not been raised they are required to refer these to the Lead Examiner.

It must be stressed that a mark scheme is a working document, in many cases further developed and expanded on the basis of students' reactions to a particular paper. Assumptions about future mark schemes on the basis of one year's document should be avoided; whilst the guiding principles of assessment remain constant, details will change, depending on the content of a particular examination paper.

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Level of response marking instructions

Level of response mark schemes are broken down into levels, each of which has a descriptor. The descriptor for the level shows the average performance for the level. There are marks in each level.

Before you apply the mark scheme to a student's answer read through the answer and annotate it (as instructed) to show the qualities that are being looked for. You can then apply the mark scheme.

Step 1 Determine a level

Start at the lowest level of the mark scheme and use it as a ladder to see whether the answer meets the descriptor for that level. The descriptor for the level indicates the different qualities that might be seen in the student's answer for that level. If it meets the lowest level then go to the next one and decide if it meets this level, and so on, until you have a match between the level descriptor and the answer. With practice and familiarity you will find that for better answers you will be able to quickly skip through the lower levels of the mark scheme.

When assigning a level you should look at the overall quality of the answer and not look to pick holes in small and specific parts of the answer where the student has not performed quite as well as the rest. If the answer covers different aspects of different levels of the mark scheme you should use a best fit approach for defining the level and then use the variability of the response to help decide the mark within the level, ie if the response is predominantly level 3 with a small amount of level 4 material it would be placed in level 3 but be awarded a mark near the top of the level because of the level 4 content.

Step 2 Determine a mark

Once you have assigned a level you need to decide on the mark. The descriptors on how to allocate marks can help with this. The exemplar materials used during standardisation will help. You can compare the student's answer with the example to determine if it is the same standard, better or worse than the example. You can then use this to allocate a mark for the answer based on the Lead Examiner's mark on the example.

You may well need to read back through the answer as you apply the mark scheme to clarify points and assure yourself that the level and the mark are appropriate.

Indicative content in the mark scheme is provided as a guide for examiners. It is not intended to be exhaustive and you must credit other valid points. Students do not have to cover all of the points mentioned in the Indicative content to reach the highest level of the mark scheme.

An answer which contains nothing of relevance to the question must be awarded no marks.

Marking guidance

- Be clear on the focus of the question.
- Read the response as a whole; follow the flow of the argument as a whole.
- Remember that the indicative content provides possible lines of argument but there may be others that are equally valid. Be willing to credit other lines of argument.
- Annotate the script as you read in accordance with the instructions given at standardisation.
- Consider what it all adds up to, eg is this a good response? A reasonable one? A limited one? Refer back to the standardisation scripts and guidance to help you benchmark. You are marking to the standard agreed at standardisation.
- Summarise your findings briefly at the end of the response. This will help you decide on the overall level and is helpful for others to understand the mark given, eg for an extended response 'well-argued' but does not focus fully on the issue of 'long-term' feels as if it might be good rather than excellent.
- Make sure the comments fit with the level awarded: 'unbalanced and not comparing with alternative solutions' does not sound as if it is 'good'.
- Next to your comment put the level awarded, eg L4.
- If in doubt about an approach contact your Team Leader, do not make up your own rules because we must have a standardised approach across all marking. Be positive in your marking. Look to reward what is there.

Annotations Key

K U	Knowledge and Understanding
DEV	Some development of point
AN	Analytical but lacks context
CON	Context
ARG	Argument made
DP	Developed point with context and Analysis
J	Judgement with support / Evaluation
NFF	Not Fully Focussed on the demands of the question
Bal	Balanced response eg both sides acknowledged
Rng	Range of arguments eg two arguments presented
BD	Benefit of the Doubt
NAQ	Not answering the question
OF	Own Figure
V	Vague
REP	Repetition
☑	TICK
☒	CROSS
□	Text Box
?	Unclear
Highlighter	Highlighter
Underline	Underline

The following should be used at the end of the response.

L1	Level 1
L2	Level 2
L3	Level 3
L4	Level 4

0	1	.	1	Calculate the Net Present Value for AJS plc's proposed investment.	[4 marks]
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Marks for this question: AO1 = 1, AO2 = 3

Year	Annual net cash flow £000s	Discount factor	Net present value £000s
0	(500)	1.00	(500)
1	(50)	0.91	(45.5)
2	250	0.83	207.5
3	600	0.75	450
Net present value			112

Answer: £112 000 (4 marks)

Most elements of process correct, but one error, eg on addition (3 marks) (note apply OFR)

Some understanding of NPV demonstrated by partial calculation, eg applying the discount factors (2 marks)

Some understanding of NPV, eg through definition (1 mark)

0	1	2	Using Appendix E , calculate the Return on Capital Employed for AJS plc in 2022.
			[4 marks]

Marks for this question: AO1 = 1, AO2 = 3

Workings

Gearing is 22%
 Non-current liabilities £4m
 Operating profit £3m

$$\text{Gearing} = 100 \times \left(\frac{\text{Non-current liabilities}}{\text{Capital employed}} \right)$$

$$22\% = 100 \times \left(\frac{\text{£4m}}{\text{Capital employed}} \right)$$

$$\text{Capital employed} = \frac{(100 \times 4\text{m})}{22}$$

$$\text{Capital employed} = \frac{400\text{m}}{22}$$

$$\text{Capital employed} = \text{£18.182m}$$

$$\text{Return on capital employed} = 100 \times \left(\frac{\text{Operating profit}}{\text{Capital employed}} \right)$$

$$\text{Return on capital employed} = 100 \times \left(\frac{\text{£3m}}{\text{£18.182}} \right)$$

$$\text{Return on capital employed} = 16.5\%$$

4 marks for correct answer **16.5%**

3 marks for calculation with one error apply OFR as appropriate

2 marks for partial calculation showing some understanding, eg of ROCE or Gearing

1 mark for correct definition of ROCE with no valid calculation

0	1	3	Analyse why AJS plc has decided to become more capital intensive.	[9 marks]
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Marks for this question: AO1 = 2, AO2 = 3, AO3 = 4

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: - demonstrates a depth and range of knowledge and understanding of issues in the question - demonstrates analysis which is well-developed and is applied effectively to the context.	7–9
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: - demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question - demonstrates analysis which is developed and is applied to the context.	4–6
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: - demonstrates a limited range and depth of knowledge and understanding of issues in the question - demonstrates analysis with little development and with mainly descriptive application to the context.	1–3

The demands of the question are:

- show understanding of capital intensity
- analyse potential reasons for becoming more capital intensive
- in the context of the situation faced by AJS plc. For example, selectively using the data.

Indicative content:

- capital intensive production involves using a greater proportion of capital/machinery in operations as opposed to the use of labour
- HR data shows the salary costs as a percentage of revenue is higher at AJS plc than the industry average
- labour turnover was 15% at AJS plc significantly higher than the industry average of 4%
- industrial relations seem to be problematic with 25 days lost through industrial action, 5 times more than the industrial average
- AJS plc have fewer applicants for any given vacancy – possibly indicating that vacancies are difficult to fill.

Each of these points may be the basis of arguments about problems in HR at AJS plc – these may be analysed further as a basis for an explanation as to the investment in making the factory more capital intensive and therefore less reliant on labour in the factory.

Allow other relevant arguments.

0	1	4	With reference to the data provided would you advise a potential investor to buy shares in AJS plc?
			Justify your view.
			[16 marks]

Marks for this question: AO1 = 2, AO2 = 3, AO3 = 4, AO4 = 7

Level	The student will typically demonstrate:	Marks
4	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding that is precise and well-selected in relation to issues in the question • demonstrates analysis throughout which is well-developed, is applied effectively to the context and considers a balanced range of the issues in the question • makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	13–16
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well-developed, applied effectively to the context and considers a range of issues in the question • makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole throughout.	9–12
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question • makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	5–8
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question • makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	1–4

The demands of the question are:

- to show an understanding of the issues a potential investor may consider
- to consider the arguments that AJS plc is a reasonable investment, based on the data
- to consider the arguments showing AJS is not a reasonable investment, based on the data
- on the balance of arguments to make a judgement about whether to advise to invest or not.

Indicative content:

Possible points suggesting that the investor should not buy shares in AJS plc:

- AJS plc is in a declining market – trend clear for non-recyclable packaging in **Appendix B**, is this the part of the market to invest in?
- the non-recyclable market is much larger than the recyclable – possibly offsetting the trend for the niche to be rising
- share price in the business has fallen in 2022, whilst top 100 rose – is this indicative of some issues with the business
- HR data shows issues in the business – this could make for future bad publicity or continued issues – possibly making investment less attractive
- AJS plc is not in the recyclable market, this market is growing at an accelerating rate (though from a low base).

Possible points suggesting the investor should buy shares in AJS plc:

- finance – much of the financial data is positive – **Appendix E** – points could be readily supported with selection from this data or applying some analysis of ratios, eg liquidity is favourable; ROCE from Q1.2 could also be interpreted (OFR)
- low Gearing does not make AJS plc vulnerable to interest rate rises
- share price fell last year – does this mean there is potential for it to rise back again in the future?
- the proposed investment (by AJS) shows ambition for the future, which is positive. This investment is predicted to yield a positive return (NPV figure) – although this is based on operations manager's own data (OFR).

Overall, evaluation will flow from the balance of the analysis of the data. The advice will however depend on:

- an overall judgement on the position of the business on the decision
- the scale of the proposed shareholders' investment – how risky is it for the investor, ie can they afford to lose the investment?
- any plans for AJS plc in the future that may not be reflected in the data
- some of the data is reflecting back, eg HR and finance, does this reflect the current position and might it change in the future?
- how reliable is the data in key areas, eg the market information and the investment appraisal?
- the future will also partly depend on external factors.

Allow other relevant arguments.

0	2	1	Of people in employment, 36% worked at least partly from home in 2020.
			Using Table 1 , calculate the percentage change in the number of people working at least partly from home between 2019 and 2020.
			[3 marks]

Marks for this question: AO1 = 1, AO2 = 2

	2019	2020
Number of people in employment (millions)	32.6	32.5
Number of people working at least partly from home (millions)	8.7	11.7

Workings:

36% of 32.5m = 11.7m (calculating the missing figure in the table)

Change is 11.7m – 8.7m = 3m

% change = $\left(\frac{3\text{m}}{8.7\text{m}}\right) \times 100 = 34.48\%$ increase

3 marks for the correct answer **34.48%** or **34.5%**

2 marks for partial understanding, eg one error (apply OFR)

1 mark for some understanding, eg of percentage change calculation; selecting data

0	2	2	Analyse one way the balance sheet of a business (its statement of financial position) might be affected if more of its employees work from home.
			[6 marks]

Marks for this question: AO1 = 2, AO2 = 2, AO3 = 2

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: - demonstrates a good knowledge and understanding of issues in the question - demonstrates analysis which is well-developed and is applied effectively to the context.	5–6
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: - demonstrates a reasonable knowledge and understanding of issues in the question - demonstrates analysis which is developed and is applied to the context.	3–4
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: - demonstrates a limited knowledge and understanding of issues in the question - demonstrates analysis with little development and with mainly descriptive application to the context.	1–2

The demands of the question are:

- to demonstrate an understanding of the content of the balance sheet
- to analyse a potential change to a balance sheet for a business adopting more homeworking.

Indicative content:

- some businesses have reduced the amount of office space owned – reducing non-current assets (if owned)
- if funded through debt, eg a mortgage, the reduction of office space owned will reduce non-current liabilities
- if sold there may be a one-off injection of funds – increasing current assets
- if previously rented there may now be a reduction in current liabilities at any given time
- heating lighting etc will be lower, possibly reducing current liabilities at any given time
- some businesses may face the need to invest in more assets, eg extra IT to facilitate homeworking. Possibly increasing non-current (fixed) assets if owned or current liabilities if leased or thus reducing current assets (cash) or increasing long-term liabilities if loans are used. This is a valid argument though not directly mentioned in case.

Allow other relevant arguments.

0	2	3	The role of a manager has different elements.
			Analyse the impact of the increase in homeworking by office staff on the way that their managers fulfil their role.
			[9 marks]

Marks for this question: AO1 = 2, AO2 = 3, AO3 = 4

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: - demonstrates a depth and range of knowledge and understanding of issues in the question - demonstrates analysis which is well-developed and is applied effectively to the context.	7–9
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: - demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question - demonstrates analysis which is developed and is applied to the context.	4–6
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: - demonstrates a limited range and depth of knowledge and understanding of issues in the question - demonstrates analysis with little development and with mainly descriptive application to the context.	1–3

The demands of the question are:

- to show understanding of the role of managers
- to analyse how more homeworking may affect way in which managers fulfil their role
- to apply this to the context of office work.

Indicative content:

- the role of a manager includes: setting objectives, organising, motivating, communicating, measuring performance and developing employees. Homeworking may create a distance between the manager and the employees. The role of manager in principle will stay the same, but the methods employed to fulfil the roles may change
- organising – managers may find some aspects of organising staff to potentially be more difficult if staff are away from the office, eg loss of face-to-face contact and building relationships. Organising may be illustrated with examples such as covering for sickness absence, rotas, holidays
- motivating – the office environment could be a strong motivator of staff, eg social aspects. The manager may now need to find ways to replicate this and motivate staff in other ways, eg quizzes over Zoom
- communicating – traditionally face-to-face contact may be seen as vital in communicating both formally and informally. Software changes the processes and methods of communication, these will not be the same

- measuring performance (monitoring) – there are methods to use technology to monitor activity of staff and measure performance even remotely, but such methods will be very different from those traditionally used. So, managers may have to learn skills
- developing employees, face-to-face relationships may help staff development, eg in identifying who to offer training opportunities to, homeworking may mean this needs to be a process.

Expect there to be a clear link between points made and specific roles and/or the impact on how the manager then fulfils their role.

Allow other relevant arguments.

0	2	4	Would increased homeworking improve the performance of businesses that use Elkington's Triple Bottom line to measure their success? Justify your view. [16 marks]
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Marks for this question: AO1 = 2, AO2 = 3, AO3 = 4, AO4 = 7

Level	The student will typically demonstrate:	Marks
4	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding that is precise and well-selected in relation to issues in the question • demonstrates analysis throughout which is well-developed, is applied effectively to the context and considers a balanced range of the issues in the question • makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	13–16
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well-developed, applied effectively to the context and considers a range of issues in the question • makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole throughout.	9–12
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question • makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	5–8
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question • makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	1–4

The demands of the question are:

- to demonstrate understanding of Elkington's Triple Bottom Line (TBL)
- analyse how increased homeworking may or may not improve the performance
- to judge whether homeworking improves performance in relation to TBL
- for any business that uses TBL.

Indicative content:

Elkington's Triple Bottom Line refers to performance related to Profit; People and Planet.

Profit:

- homeworking may improve performance related to profit, eg as some costs may be saved; staff may be more productive some of the hours saved commuting may be used working
- homeworking may see increased costs, eg investments in IT and training; productivity may fall if staff are monitored less possibly increasing unit costs. Customer service could decline impacting on sales.

People:

- some staff may find the flexibility of homeworking to be beneficial in terms of motivation and in terms of work-life balance. Both could help staff retention and be an indicator of positive performance for a business
- some staff may be better motivated by working with colleagues and value the distinction between home and work. This could diminish motivation rates and staff turnover and be a negative indicator of performance.

Planet:

- homeworking seems to have positive impacts on environmental issues, eg numbers commuting and related pollution. Running fewer offices could also reduce a business' carbon footprint. It could be important in judging a business' success against environmental targets
- will the carbon footprint of the firm be moved to that of their employees at home?

Overall

Some of the measures may improve whilst others may worsen. It will depend on:

- which of the three measures the business sees as most important
- the sector/type of business
- the extent of homeworking – will blended/hybrid patterns change the performance?

Allow other relevant arguments.

0	3	.	1	Explain why APO's survey findings may not represent the views of UK consumers.
[4 marks]				

Marks for this question: AO1 = 2, AO2 = 2

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: Explains one limitation to APO using sampling.	4
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: Explains one limitation of sampling possibly with some context.	3–2
1	A limited response overall that focuses on a few demands of the question. Provides an answer to the question set that: Some understanding of the limitations of sampling.	1

The demands of the question are:

- explain the link between the process used in researching and how it might not represent views of the population studied (UK population)
- specifically in the context of APO's survey.

Indicative content:

- sampling involves choosing a proportion of a population from which to elicit information from which to draw conclusions about the whole population. APO has only surveyed 100 of its 400 members
- the size of the sample will limit the accuracy and relevance of the results, this survey was a small sample of 100. The UK population is much larger so the data is unlikely to represent the overall views of UK consumers
- the sample could be biased, in this case it was 100 members of a small campaign group (only 400 members) – will these be representative of the views of wider UK consumers?

0	3	2	Explain how stakeholder mapping would help Simply Bake plc decide how it responds to criticism from APO.
			[4 marks]

Marks for this question: AO1 = 2, AO2 = 2

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: Explains how stakeholder mapping will help with decisions in this case.	4
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: Some explanation of how stakeholder mapping will help decisions, possibly with some application to the case.	3–2
1	A limited response overall that focuses on a few demands of the question. Provides an answer to the question set that: Some understanding of stakeholder mapping.	1

The demands of the question are:

- demonstrate an understanding of stakeholder mapping
- showing how this can help decisions balancing the interest and power of a stakeholder group
- in the context of criticism from APO.

Indicative content:

- stakeholder mapping is a technique to evaluate the influence and relative importance of different groups based on their power and interest
- the campaign group will have little direct power. APO is a small campaign group
- the campaign group has high interest in the wider issue, but not necessarily directly on Simply Bake – so low interest from Simply Bake.
- low power and low interest would suggest the business should ‘monitor’ APO.
- low power and high interest would suggest the business should ‘keep informed’.

Allow other relevant answers.

0	3	3	Simply Bake plc decided to remove palm oil from its products.
			With reference to Lewin's force field analysis, analyse why this decision was made. [9 marks]

Marks for this question: AO1 = 2, AO2 = 3, AO3 = 4

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: - demonstrates a depth and range of knowledge and understanding of issues in the question - demonstrates analysis which is well-developed and is applied effectively to the context.	7–9
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: - demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question - demonstrates analysis which is developed and is applied to the context.	4–6
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: - demonstrates a limited range and depth of knowledge and understanding of issues in the question - demonstrates analysis with little development and with mainly descriptive application to the context.	1–3

The demands of the question are:

- demonstrate understanding of Lewin's force field analysis – driving forces and resistance forces
- analyse how by 2020 the driving forces must have exceeded the resistance forces
- apply the concept to the information in the case.

Indicative content:

A decision to change is made at the point where driving forces for change exceed the forces resisting the change, consequently this must be the case at the point of the decision.

The case refers to a number of driving forces and resistance forces, the driving forces include:

- growing dissatisfaction among consumers noticed by supermarkets
- Simply Bake faces pressure from its customers – supermarkets, and these are powerful forces in markets
- pressure from campaign groups, eg through the media
- more awareness of effects of deforestation.

Resistance forces include:

- costs of production – palm oil has been seen as a cheap ingredient
- (previous) consumer demand for cheap food – this may not have gone away

Allow other relevant arguments.

0	3	4	'Businesses will never act in a socially responsible way unless they are forced to do so by governments.' To what extent is this true for all businesses? [16 marks]
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Marks for this question: AO1 = 2, AO2 = 3, AO3 = 4, AO4 = 7

Level	The student will typically demonstrate:	Marks
4	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding that is precise and well-selected in relation to issues in the question • demonstrates analysis throughout which is well-developed, is applied effectively to the context and considers a balanced range of the issues in the question • makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	13–16
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well-developed, applied effectively to the context and considers a range of issues in the question • makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole throughout.	9–12
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question • makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	5–8
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question • makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	1–4

The demands of the question are:

- to discuss the possible motives of business Corporate Social Responsibility
- to analyse the case for and against the statement
- to make a supported judgement as to whether governments will be needed if CSR is to be enacted
- the context is 'businesses' in general.

Indicative content:

- opportunities for use of selected theories to support analysis, eg Carroll
- the role of government is to set a framework of minimum standards to which all must adhere
- some argue that so long as this minimum is adhered to then businesses have done enough (the shareholder view of CSR)
- others argue that businesses have an inherent wider responsibility to society (the stakeholder view)
- there is a potential for government action – sometimes this is enough to cause some change – many businesses would prefer to avoid the constraint of government compelling actions
- there is often a balancing act between short-term profit and the (perceived) threat to profits from acting responsibly.

It is valid for arguments to be supported with examples from the case and wider.

Overall

- It is likely to depend on the business, its target market, the ownership, culture, mission statement etc.
- If consumer demand moves to favour firms with strong CSR/ethics, then government action may not be needed as the profit motive will be aligned with CSR.
- It is likely that for all businesses in all sectors to act in this manner some government intervention might be needed.

Allow other relevant arguments.

A-level
BUSINESS

Paper 3 Business 3

Insert

Source 1: Logger Boards Ltd

Bodhi Doyle started surfing when he was just 5 years old. Forty years later, he is the owner and manager of a successful company that specialises in manufacturing professional-quality surf boards using only recycled materials. Bodhi owns 100% of the shares of Logger Boards Ltd; a business which dominates its niche market.

Throughout the company's 25-year history, it has followed Bodhi's founding mission: 5

'Logger Boards Ltd exists to intensify the thrill of riding waves while helping nature recover in its battle with humanity.'

The business has grown from a one-man operation to fill a small workshop with five full-time highly skilled employees creating environmentally friendly, top-quality surfboards. 10

From the very beginning, Bodhi's products have been popular, while several mass-market UK-based surfboard manufacturers have struggled to survive. Logger Boards Ltd has had chances to buy these businesses cheaply in order to expand. Bodhi has declined these opportunities. He also recently turned down a chance to take over Logger Boards Ltd's specialist paint supplier. 15

Bodhi has worked tirelessly to seek out the very best recycled materials to ensure that his boards meet the demands of the world's best surfers. The workshop is now powered completely by renewable energy sources from an onsite wind turbine and a solar-panelled roof. Any waste-water generated is filtered onsite and reused wherever possible. However, with sales at a record high, Bodhi knows that the cramped conditions in the workshop, combined with a lack of storage space for materials, have reduced efficiency. 20

Demand for Logger Boards Ltd surfboards is expected to keep growing. Bodhi has conducted careful planning for a possible new production facility on the existing site that will allow the business to increase total capacity. This would enable the business to: 25

- keep all of its environmentally friendly systems
- create space for more output
- employ more workers if needed.

Bodhi's thorough research has generated forecast data, shown in **Appendix A**. The cost of building the new production facility is estimated to be £500 000. Logger Board's Ltd's bank has offered a long-term loan for this amount, at an annual interest rate of 5%. Further financial information for Logger Boards Ltd is provided in **Appendix B**. 30

Demand for Bodhi's surfboards has grown without the need for promotional expenditure. Bodhi's approach to promotion has been to rely solely on Logger Board's Ltd's social media account on Instagram. Bodhi posts pictures and videos on this account. He has become an 'accidental' influencer with 200 000 followers. The content focuses less on the business and more on Bodhi's surfing lifestyle and personal environmental beliefs. Details of Logger Boards Ltd's followers and customers are shown in **Appendix C**. 35

Bodhi remains undecided about his expansion plans – he has always aimed to minimise the level of risk involved in any business decision he has made. He is also concerned that a larger business may be harder to control, especially given his passion for ensuring that Logger Boards Ltd's mission remains central to the way the business 40

operates. Although his bank manager has suggested that communication and organisational structure will be vital to the success of the growth strategy, Bodhi feels that his leadership will be the most important aspect if the strategy is to succeed. 45

Appendix A Data for current workshop and forecast for new production facility

	Current workshop	Forecast for first year in new production facility
Productivity (units per worker per year)	500	600
Total cost per unit (£s)	350	350
Output (units per year)	2 500	3 000
Capacity (units per year)	2 500	7 500
Fixed costs	£125 000	£250 000
Percentage of waste that is recycled	98	95

Turn over for Appendix B

Turn over ►

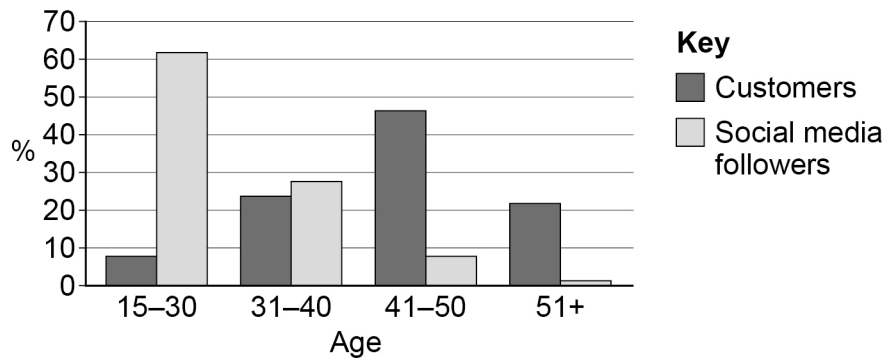
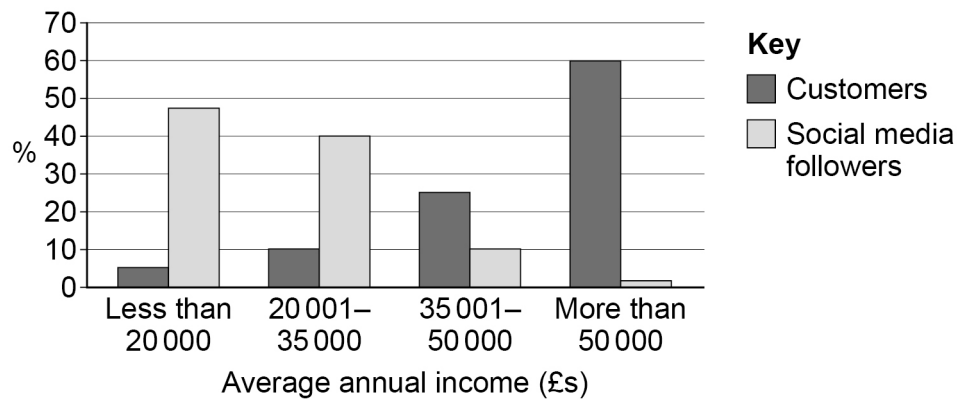
Appendix B Current financial data for Logger Boards Ltd (before new production facility)

Table 1 Balance sheet (statement of financial position) extracts

	£000s
Current assets	246
Current liabilities	120
Non-current liabilities	400
Total equity	1 000

Table 2 Income statement extracts

	£000s
Sales turnover	1 125
Cost of sales	750
Expenses	125
Finance cost (interest paid on loans)	20
Profit for the year	230

Appendix C Data on Logger Boards Ltd customers and social media followers**Figure 1** Age profile of Logger Boards Ltd customers and social media followers**Figure 2** Average income of Logger Boards Ltd customers and social media followers**END OF SOURCES**

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Please write clearly in block capitals.

Centre number

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Surname

Forename(s)

Candidate signature

I declare this is my own work.

A-level BUSINESS

Paper 3 Business 3

Wednesday 14 June 2023

Morning

Time allowed: 2 hours

Materials

For this paper you must have:

- a calculator
- the Insert.

Instructions

- Use black ink or black ball-point pen.
- Fill in the boxes at the top of this page.
- Answer **all** questions.
- You must answer the questions in the spaces provided. Do not write outside the box around each page or on blank pages.
- If you need extra space for your answer(s), use the lined pages at the end of this book. Write the question number against your answer(s).
- Do all rough work in this answer book. Cross through any work you do not want to be marked.

Information

- The marks for questions are shown in brackets.
- The maximum mark for this paper is 100.

For Examiner's Use	
Question	Mark
1	
2	
3	
4	
5	
6	
TOTAL	



J U N 2 3 7 1 3 2 3 0 1

IB/G/Jun23/E8

7132/3

Read the **case study** in the **Insert**.

Analyse why Logger Boards Ltd prioritises meeting environmental objectives when making operational decisions.

[12 marks]

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[20 marks]

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[24 marks]

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24

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ANSWER IN THE SPACES PROVIDED**



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Question number	Additional page, if required. Write the question numbers in the left-hand margin.
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A-level
BUSINESS
7132/3

Paper 3 Business 3

Mark scheme

June 2023

Version: 1.0 Final



Mark schemes are prepared by the Lead Assessment Writer and considered, together with the relevant questions, by a panel of subject teachers. This mark scheme includes any amendments made at the standardisation events which all associates participate in and is the scheme which was used by them in this examination. The standardisation process ensures that the mark scheme covers the students' responses to questions and that every associate understands and applies it in the same correct way. As preparation for standardisation each associate analyses a number of students' scripts. Alternative answers not already covered by the mark scheme are discussed and legislated for. If, after the standardisation process, associates encounter unusual answers which have not been raised they are required to refer these to the Lead Examiner.

It must be stressed that a mark scheme is a working document, in many cases further developed and expanded on the basis of students' reactions to a particular paper. Assumptions about future mark schemes on the basis of one year's document should be avoided; whilst the guiding principles of assessment remain constant, details will change, depending on the content of a particular examination paper.

Further copies of this mark scheme are available from aqa.org.uk

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Level of response marking instructions

Level of response mark schemes are broken down into levels, each of which has a descriptor. The descriptor for the level shows the average performance for the level. There are marks in each level.

Before you apply the mark scheme to a student's answer read through the answer and annotate it (as instructed) to show the qualities that are being looked for. You can then apply the mark scheme.

Step 1 Determine a level

Start at the lowest level of the mark scheme and use it as a ladder to see whether the answer meets the descriptor for that level. The descriptor for the level indicates the different qualities that might be seen in the student's answer for that level. If it meets the lowest level then go to the next one and decide if it meets this level, and so on, until you have a match between the level descriptor and the answer. With practice and familiarity you will find that for better answers you will be able to quickly skip through the lower levels of the mark scheme.

When assigning a level you should look at the overall quality of the answer and not look to pick holes in small and specific parts of the answer where the student has not performed quite as well as the rest. If the answer covers different aspects of different levels of the mark scheme you should use a best fit approach for defining the level and then use the variability of the response to help decide the mark within the level, ie if the response is predominantly level 3 with a small amount of level 4 material it would be placed in level 3 but be awarded a mark near the top of the level because of the level 4 content.

Step 2 Determine a mark

Once you have assigned a level you need to decide on the mark. The descriptors on how to allocate marks can help with this. The exemplar materials used during standardisation will help. There will be an answer in the standardising materials which will correspond with each level of the mark scheme. This answer will have been awarded a mark by the Lead Examiner. You can compare the student's answer with the example to determine if it is the same standard, better or worse than the example. You can then use this to allocate a mark for the answer based on the Lead Examiner's mark on the example.

You may well need to read back through the answer as you apply the mark scheme to clarify points and assure yourself that the level and the mark are appropriate.

Indicative content in the mark scheme is provided as a guide for examiners. It is not intended to be exhaustive and you must credit other valid points. Students do not have to cover all of the points mentioned in the Indicative content to reach the highest level of the mark scheme.

An answer which contains nothing of relevance to the question must be awarded no marks.

Marking guidance

- Be clear on the focus of the question.
- Read the response as a whole; follow the flow of the argument as a whole.
- Remember that the indicative content provides possible lines of argument but there may be others that are equally valid. Be willing to credit other lines of argument.
- Annotate the script as you read in accordance with the instructions given at standardisation.
- Consider what it all adds up to, eg is this a limited response? A reasonable one? A good one? Refer back to the standardisation scripts and guidance to help you benchmark. You are marking to the standard agreed at standardisation. Be careful of the standard you are marking at; refer back to standardisation scripts regularly.
- Summarise your findings briefly at the end of the response. This will help you decide on the overall level and is helpful for others to understand the mark given, eg for an extended response 'well-argued' but does not focus fully on the issue of 'long term' feels as if it might be good rather than excellent. Make sure the comments fit with the level awarded: 'unbalanced and not comparing with alternative solutions' does not sound as if it is 'good'.
- Next to your comment put the level awarded, eg L4.
- If in doubt about an approach contact your Team Leader, do not make up your own rules because we must have a standardised approach across all marking.
- Be positive in your marking. Look to reward what is there.

K U	Knowledge and understanding – used to credit knowledge of the specification and also to acknowledge 'points' made in relation to the question , perhaps explained, but once the point has some analytical dev, annotate AN or R
AN	Analytical but lacks context, ie a theoretical line of argument
R	Argument (analysis in context) (Ignore re-telling on the screen)
G	Do not use
DP	Developed argument (well-developed analysis in context)
EVAL	Judgement with support
Q?	Losing/lost focus – not fully focused on the demands of the question
Bal	Balanced response eg both sides acknowledged
BD	Benefit of doubt – though there is some uncertainty over the student's meaning , the point or aspect of the argument will be accepted as creditworthy
NR	Not relevant – ie not answering the question – response has drifted from answering the question set. When using, be sure to read the whole response carefully – students will often drift back to answering the question later in their response – normal annotation should resume whenever they come back to addressing the demands of the question
O	Own figure rule – to be annotated where a valid argument develops following a miscalculation (ie a wrong answer is used correctly) (Ignore overview/ collation)
SEEN Tear drop Icon	Used to show work has been read but contains nothing creditworthy – please check carefully (See NR)
☑	ONLY used to show a correct calculation – please use KU when annotating valid points
☒	To show an incorrect calculation or a clearly incorrect link in a chain of logic – if in doubt, do not cross, use BD
☐	Txt Box Comments must be made at the end of a response with level and mark with explanation of why it has been awarded. Level to be included.
?	Meaning unclear
Highlighter	Highlighter

The following should be used at the end of the response in addition to a text box.

L1	L1
L2	L2
L3	L3
L4	L4
L5	L5

Level must be awarded within final comment text box and outside of it using relevant level. Refer to standardisation scripts.

0	1	Analyse why Logger Boards Ltd prioritises meeting environmental objectives when making operational decisions.	[12 marks]
----------	----------	---	-------------------

Marks for this question: AO1 = 3, AO2 = 3, AO3 = 6

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question.	9–12
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question.	5–8
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development and mainly descriptive application to the context.	1–4

The demands of this question are:

- understand the meaning of environmental objectives and operational decisions
- link these to Logger Boards Ltd
- to analyse why environmental objectives may be prioritised when making operational decisions.

There is no requirement for more than one reason to be analysed

Indicative content:

Operational decisions may include decisions relating to inventory, supply chains, quality, technology, resource mix, production methods or any other valid decision. Operational decisions mention in the Item include:

- use of only recycled materials
- use of energy exclusively from renewable sources
- on-site wind turbine
- solar panelled roof
- waste-water filtering and reuse.

Reasons for prioritising environmental objectives:

- owner's personal values – Bodhi is clearly passionate about the environment and the impact of surfing on the environment
- contributes to strong sense of mission – a key part of the business' purpose is to help to improve the environment

- matches consumers' preference – some customers clearly value Logger Boards Ltd's commitment to the environment – the company image would be damaged if he failed to prioritise environmental objectives
- ties in with USP/point of differentiation – without this prioritisation the company's image would be shattered
- allows premium pricing – there is evidence that customers will pay premium prices for an environmentally produced board
- may attract highly skilled employees who share these values – Logger Boards Ltd only uses highly skilled employees.

Accept other relevant arguments.

0	2	Logger Boards Ltd's growth has been organic rather than external.
		Analyse why Bodhi may have preferred organic growth to external growth.
		[12 marks]

Marks for this question: AO1 = 3, AO2 = 3, AO3 = 6

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question.	9–12
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question.	5–8
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development and mainly descriptive application to the context.	1–4

The demands of this question are:

- shows understanding of organic (internal) growth
- analyses why organic growth may be preferable to external growth
- in the context of Logger Boards Ltd.

There is no requirement for more than one reason to be analysed

Indicative content:

- internal growth helps Bodhi to maintain control – an issue that the case study says is of concern to Bodhi if the business gets bigger. It's very much Bodhi's business – he would be keen to ensure that he remains in full control of strategic and operational decision-making
- internal growth tends to carry lower levels of risk – Bodhi is risk averse and would therefore prefer to avoid the greater risks involved in external growth
- internal growth makes it easier to stick to Logger Boards Ltd's principles/values relating to the environment – which appear to be at the foundation of Logger Boards Ltd's success
- buying failed competitors or suppliers may infect Logger Boards Ltd with the problems that may have caused these businesses to be sold off.

Accept other relevant arguments.

0	3	To what extent does the data in Appendix A suggest that building the new production facility will improve Logger Boards Ltd's operational efficiency?	[16 marks]
----------	----------	--	-------------------

Marks for this question: AO1 = 2, AO2 = 3, AO3 = 4, AO4 = 7

Level	The student will typically demonstrate:	Marks
4	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: - demonstrates a depth and range of knowledge and understanding that is precise and well selected in relation to issues in the question - demonstrates analysis throughout which is well developed, is applied effectively to the context and considers a balanced range of the issues in the question - makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	13–16
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: - demonstrates a depth and range of knowledge and understanding of issues in the question - demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question - makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole.	9–12
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: - demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question - demonstrates analysis which is developed, applied to the context and considers some of the issues in the question - makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	5–8
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: - demonstrates a limited range and depth of knowledge and understanding of issues in the question - demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question - makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	1–4

The demands of this question are:

- analyses the impact of the new production facility on operational efficiency
- uses data from **Appendix A**
- makes a judgement on the extent to which the data shows an improvement in operational efficiency.

Indicative content:

Indications that operational efficiency will improve:

- productivity is forecast to rise from 500 to 600 units per worker per year – this should lower labour cost per unit
- capacity will be higher – increasing threefold from 2 500 to 7 500
- the variable cost per unit is forecast to fall from £300 per unit ($\text{£}750\,000/2\,500$) to £266.67 per unit (total cost per unit = £350, of which fixed cost per unit = $\text{£}250\,000/3\,000 = \text{£}83.33$, so variable cost per unit = £266.67).

Indications that operational efficiency will not improve:

- no change to total cost per unit
- capacity utilisation falls from 100% to 40%
- there is a small reduction in the % of waste that is recycled.

Accept other relevant arguments.

Note – arguments using data from **Appendix B** can be credited, but not as meeting the second demand of the question.

Evaluation

An effective judgement should flow from the arguments presented, which should relate clearly to the data in **Appendix A**. Judgement is likely to come through a measured assessment of the extent to which operational efficiency will improve, though this looks likely to depend on future demand – if the business can increase capacity utilisation in the future through increased sales, unit costs will fall.

Students that point out that the data for the new workshop is a forecast can be credited where this observation is used to specifically address the question of improvement in operational efficiency – most notably in identifying the pivotal role that future sales will play in determining capacity utilisation and cost per unit.

Noting that the forecast data may allow for teething troubles in the first year of the new workshop should also be credited.

0	4	If the new production facility is built, Bodhi will aim to increase sales. To what extent is Bodhi likely to be able to increase sales using his current approach to promotion? Use Appendix C and other information to justify your answer. [16 marks]
----------	----------	--

Marks for this question: AO1 = 2, AO2 = 3, AO3 = 4, AO4 = 7

Level	The student will typically demonstrate:	Marks
4	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding that is precise and well selected in relation to issues in the question • demonstrates analysis throughout which is well developed, is applied effectively to the context and considers a balanced range of the issues in the question • makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	13–16
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question • makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole.	9–12
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question • makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	5–8

1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question • makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	1–4
----------	---	------------

The demands of this question are:

- uses data from **Appendix C** and other information to analyse likely effectiveness of social media as a form of promotion for Logger Boards Ltd
- in the context of needing to increase sales
- makes a judgement on the extent to which the current approach to promotion is likely to increase sales.

Indicative content:

Arguments in favour of maintaining social media as the only form of promotion:

- the current approach to promotion has worked well so far – Bodhi has many followers, the business is working at maximum capacity and is profitable
- the case study states that ‘demand for Logger Boards Ltd surfboards is expected to keep growing’
- Logger Boards Ltd is selling to a small niche market – social media may be an ideal way to target a small niche in a cost-effective way
- although most customers are in higher age brackets, while followers are young, it is plausible that parents may be buying surfboards for their children – the current approach to promotion may generate ‘pester power’.

Arguments against maintaining social media as the only form of promotion:

- the data in **Appendix C** shows that Bodhi’s social media followers aren’t his customers. Logger Boards Ltd’s customers are relatively old and on relatively high incomes, however, Bodhi’s followers tend to be younger and on lower incomes
- the success of the business following a move to the new workshop depends on a substantial increase in demand – current demand has grown over 25 years – suggesting this natural growth may be too slow to generate the sales needed to enjoy the operational and financial advantages of the larger workshop.

Accept other relevant arguments.

Evaluation

An effective judgement should flow from the arguments presented. Judgement will come through the assessment of whether this approach will increase sales – given the information provided within **Appendix C** and elsewhere in the case study. **Appendix C** data must bring into question whether social media has in fact had only a coincidental effect on the success of the business, although arguments do exist for maintaining this approach.

Although responses that illustrate their counter-argument with reference to possible additional methods of promotion can be credited, the focus of this question is tightly worded to require a judgement on whether the current method will increase sales. There is no requirement to recommend alternative or additional methods.

0	5	Logger Boards Ltd has been offered a bank loan at 5% interest per year for the £500 000 needed to finance the building of its new production facility. Using Appendix B and other information, to what extent is using a bank loan too big a risk for the business? Use quantitative and qualitative information to justify your view. [20 marks]
----------	----------	--

Marks for this question: AO1 = 4, AO2 = 3, AO3 = 5, AO4 = 8

Level	The candidate will typically demonstrate:	Marks
5	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding that is precise and well selected in relation to issues in the question • demonstrates analysis throughout which is well developed, is applied effectively to the context and considers a balanced range of the issues in the question • makes judgments or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as whole throughout.	17–20
4	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed and is applied effectively to the context and considers a range of issues in the question • makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole.	13–16
3	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question • makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	9–12
2	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development and with mainly descriptive application to the context and considers a limited number of issues in the question	5–8

	• makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	
1	A weak response overall lacking focus on the demands of the question. Provides an answer to the question set that: • demonstrates isolated or imprecise knowledge and understanding • demonstrates undeveloped analysis with descriptive application to the context and lacking focus on the question • makes judgements or proposes solutions based on assertions.	1–4

The demands of this question are:

- demonstrates a clear understanding of a bank loan as a source of finance
- uses quantitative and qualitative information including **Appendix B**
- analyses the impact of the extra borrowing on Logger Boards Ltd's level of risk
- makes a justified judgement on whether the risk of using a bank loan is too big for Logger Boards Ltd.

Indicative content:

Arguments suggesting the loan would be too great a risk:

- borrowing an extra £500 000 pushes Logger Boards Ltd's gearing ratio closer to 50% (from 28.57% to 47.37%)
- interest payments will rise – increasing the net finance cost reducing profit for the year
- demand is not guaranteed in the long term – paying back the loan plus interest will be difficult if demand fails to increase or even falls
- the business has a low tolerance for risk – reflecting Bodhi's risk averse approach – which has enabled the business to thrive for 25 years.

Arguments suggesting the loan would not be too great a risk:

- current ratio is healthy – 2.05 – suggesting that although interest payments will place a greater strain on the company's liquidity, Logger Boards Ltd is well-placed to deal with this
- gearing ratio remains under 50%
- interest rates are low (5%) – interest payments will be (5% of £500 000) £25 000 per year – relatively low, given last year's profit for the year of £230 000
- Logger Boards' products have been popular from the beginning and demand is expected to keep growing.

Accept other relevant arguments.

Evaluation

An effective judgement should flow from the arguments presented. Judgement should retain a tight focus on whether the extra risk involved in borrowing is too great for Logger Boards Ltd. Extraneous examination of the wisdom of the growth strategy is not relevant.

A reflection on the role of risk in any business should recognize that any business decision involves some risk, even a risk-averse company such as Logger Boards Ltd will need to accept a certain level of risk in order to keep trading. Although taking the loan will increase Logger Boards Ltd's level of financial risk, the move does not seem excessively risky.

0	6	Many businesses have a strategy of growth.
		To what extent does the success of a growth strategy for any business depend mainly on its leadership?
		[24 marks]

Marks for this question: AO1 = 5, AO2 = 4, AO3 = 6, AO4 = 9

Level	The candidate will typically demonstrate	Marks
5	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding that is precise and well selected in relation to issues in the question • demonstrates analysis throughout which is well developed, is applied effectively to the context and considers a balanced range of the issues in the question • makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as whole throughout.	21–24
4	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question • makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole.	16–20
3	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question • makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	11–15
2	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question • makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	6–10

1	A weak response overall lacking focus on the demands of the question Provides an answer to the question set that: • demonstrates isolated or imprecise knowledge and understanding • demonstrates undeveloped analysis with descriptive application to the context and lacking focus on the question • makes judgements or proposes solutions based on assertions.	1–5
---	---	-----

The demands of this question are:

- analyses the importance of leadership and at least one other factor in determining the success of a growth strategy
- for any business
- makes a justified judgement on whether the business' leadership is the main determinant of a growth strategy's success.

Indicative content:

Arguments suggesting success of a growth strategy depends mainly on leadership:

- the leader is likely to be responsible for culture, strategic decision-making and ensuring execution, plus potentially providing the sense of purpose or mission for the organisation
- the leader is responsible for major strategic decisions such as how growth is to be funded, how the business' structure will need to be changed and how effective communication can be maintained in the growing business – potentially minimising the effects of diseconomies of scale
- the success of any strategy is likely to be determined by the extent to which the leader makes the right decisions
- a strategy that all staff buy into is more likely to be effective, here the role of the leader as the seller of a vision is critical
- one role of leadership will be to ensure that employees remain motivated as the business grows
- Greiner's model of growth does suggest that some crises need an adjustment of leadership style.

Arguments suggesting the leader's role is not the main determinant of success of a growth strategy:

- leadership, structure and communication are all likely to matter. Without the right structural change, diseconomies of scale may arise when growing reducing the likelihood of success of a growth strategy
- strategic planning and execution are likely to be important – the leader cannot do everything – execution from other staff is required if a strategy is to be implemented effectively
- many external factors can affect the success of any strategy – by definition, these will be outside the control of the leader
- Greiner's model of growth suggests that there are several stages in the growth of a business where systems need adapting rather than any obvious leadership actions are important.

Accept other relevant arguments.

Evaluation

An effective judgement should flow from the arguments presented. Judgement is likely to come through the assessment of situations in which the statement could be true weighed up against situations in which it is not. The judgement should be focused on a strategy of growth, rather than general success of a business.

The leader will be able to influence many if not all of the internal factors influencing success. The leader's vision/planning may even be able to allow for the effects of external factors; however, it is naïve to suggest that the leader can control all factors affecting a strategy of growth. The validity of the statement may be dependent upon the size of the business, volatility of external factors and the leader them self, perhaps the style of leadership they adopt.

Appendix 1 – Other possibly relevant calculations

Income Statements

Current Situation		Projected	
	£000's		£000's
Sales Turnover	1,125	X 1.2	1,350
Cost of Sales	750	X 1.2	900
Gross Profit	375	X 1.2	450
Expenses	125		250
Operating Profit	250		200
Finance costs	20		45
Profit for the year	230		155

Revenue of £1,125,000 / 2,500 units = a price of £450 per board

Assuming same relationship between Price and VC

GPM = 33.3% or multiply through by 1.2 to reflect the increase in output.

Contribution per unit = Price of £450 – VC of 300 = £150

Old Break-even

FC of £125,000 / CPU of 150 = 833.3 or 834 units

Projected

FC of £250,000 / CPU of £150 = 1,666.67 or 1,667 units

Compound interest rates

Year 1	£525,000
Year2	£551,250
Year 3	£578,812.5
Year 4	£607,753.125
Year 5	£638,140.781

Please write clearly in block capitals.

Centre number

Candidate number

Surname

Forename(s)

Candidate signature

I declare this is my own work.

A-level BUSINESS

Paper 1 Business 1

Tuesday 14 May 2024

Morning

Time allowed: 2 hours

Materials

For this paper you must have:

- a calculator.

Instructions

- Use black ink or black ball-point pen.
- Fill in the boxes at the top of this page.
- Answer **all** questions in **Section A** and **Section B**.
- Answer **one** question from **Section C** and **one** question from **Section D**.
- You must answer the questions in the spaces provided. Do not write outside the box around each page or on blank pages.
- If you need extra space for your answer(s), use the lined pages at the end of this book. Write the question number against your answer(s).
- Do all rough work in this answer book. Cross through any work you do not want to be marked.

Information

- The marks for questions are shown in brackets.
- The maximum mark for this paper is 100.

For Examiner's Use	
Question	Mark
Section A	
16	
17	
18	
19	
20	
21	
22	
23	
24	
TOTAL	



Section AAnswer **all** questions in this section.Only **one** answer per question is allowed.

For each question completely fill in the circle alongside the appropriate answer.

CORRECT METHOD



WRONG METHODS



If you want to change your answer you must cross out your original answer as shown.



If you wish to return to an answer previously crossed out, ring the answer you now wish to select as shown.

**0 1**

In which of these business forms could the owner/owners be required to sell personal assets to pay for business liabilities?

[1 mark]**A** Private limited companies and public limited companies☐**B** Private limited companies and sole traders☐**C** Public limited companies only☐**D** Sole traders only☐**0 2****Statement 1:** 'Cheaper resources overseas would discourage a UK business which has a low-cost positioning strategy from re-shoring production.'**Statement 2:** 'Political instability overseas would discourage a UK business from re-shoring production.'**Read statements 1 and 2** and select the correct option from the following:**[1 mark]****A** Statement 1 is true. Statement 2 is true.☐**B** Statement 1 is true. Statement 2 is false.☐**C** Statement 1 is false. Statement 2 is true.☐**D** Statement 1 is false. Statement 2 is false.☐

0 3

Delaying in a business is likely to:

[1 mark]**A** decrease the span of control of managers.☐**B** improve the speed of vertical communication.☐**C** increase opportunities for promotion.☐**D** lead to less autonomy for workers.☐**0 4**

The data below shows the budgets of a business for a particular year:

Budgeted income: £200m

Budgeted expenditure: £160m

At the end of the year, the actual income was as budgeted but expenditure was 20% higher than the budget.

This means that the actual profit showed:

[1 mark]**A** a favourable variance of £8 million.☐**B** a favourable variance of £32 million.☐**C** an adverse variance of £8 million.☐**D** an adverse variance of £32 million.☐**0 5**Which one of the following statements is **true**?

In a SWOT analysis:

[1 mark]**A** a recession in the business' main export market is a weakness.☐**B** an increase in labour productivity in the business is an opportunity.☐**C** an increase in the number of patents held by a business is a strength.☐**D** disappointing levels of innovation from research and development are a threat.☐**Turn over ►**

0 6

Statement 1: 'According to Ansoff's matrix, market development involves selling a new product in a new market.'

Statement 2: 'According to Ansoff's matrix, market penetration involves selling an existing product in an existing market.'

Read statements 1 and 2 and select the correct option from the following:

[1 mark]

A Statement 1 is true. Statement 2 is true.

☐

B Statement 1 is true. Statement 2 is false.

☐

C Statement 1 is false. Statement 2 is true.

☐

D Statement 1 is false. Statement 2 is false.

☐

0 7

Assuming no other changes, sales revenue for a product will stay the same if:

[1 mark]

A incomes rise by 10% and the income elasticity of demand for the product is 0

☐

B incomes rise by 10% and the income elasticity of demand for the product is +0.1

☐

C the price rises by 10% and the price elasticity of demand for the product is 0

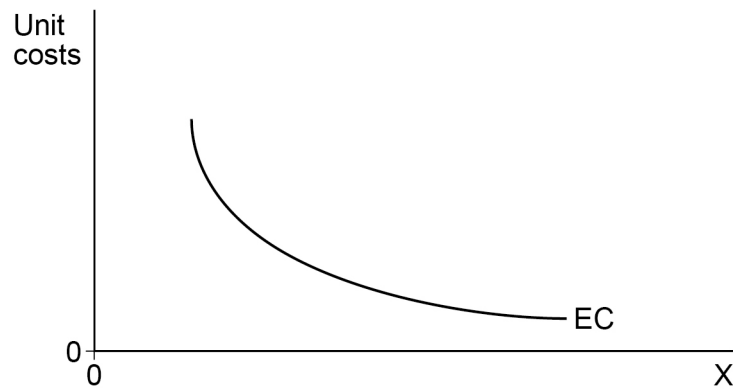
☐

D the price rises by 10% and the price elasticity of demand for the product is -10

☐


0 8

The diagram below shows 'the experience curve' of a particular business.



The x-axis for this diagram measures:

[1 mark]

A annual output.

☐

B capacity utilisation (%).

☐

C cumulative output.

☐

D employee numbers.

☐
0 9

In a decision tree there are four possible outcomes of an action.

The probabilities of the 1st, 2nd and 3rd outcomes are 0.4, 0.32 and 0.24 respectively.

The probability of the 4th outcome is:

[1 mark]

A 0.04

☐

B 0.16

☐

C 0.32

☐

D 0.4

☐

Turn over ►



1 0

The data in the table refers to a company's production of a product.

Between 2020 and 2021 there was a decrease in the unit costs of the product.

	2020	2021
Capacity	80	125
Actual output	80	100

Statement 1: 'Between 2020 and 2021, economies of scale might have led to lower unit costs.'

Statement 2: 'Between 2020 and 2021, higher capacity utilisation might have led to lower unit costs.'

Read statements 1 and 2 and select the correct option from the following:

[1 mark]

- A** Statement 1 is true. Statement 2 is true. ☐
- B** Statement 1 is true. Statement 2 is false. ☐
- C** Statement 1 is false. Statement 2 is true. ☐
- D** Statement 1 is false. Statement 2 is false. ☐

1 1

Statement 1: 'A business might improve the quality of its product in order to make its demand more price inelastic.'

Statement 2: 'A business might improve the quality of its product in order to achieve a competitive advantage.'

Read statements 1 and 2 and select the correct option from the following:

[1 mark]

- A** Statement 1 is true. Statement 2 is true. ☐
- B** Statement 1 is true. Statement 2 is false. ☐
- C** Statement 1 is false. Statement 2 is true. ☐
- D** Statement 1 is false. Statement 2 is false. ☐



1 2

The exchange rate for the £ increases.

This will lead to which one of the following outcomes?

[1 mark]

	Costs of imports to UK	Demand for UK exports	
A	Decrease	Decrease	☐
B	Decrease	Increase	☐
C	Increase	Decrease	☐
D	Increase	Increase	☐

1 3

A business' current liabilities are three times the level of its current assets.

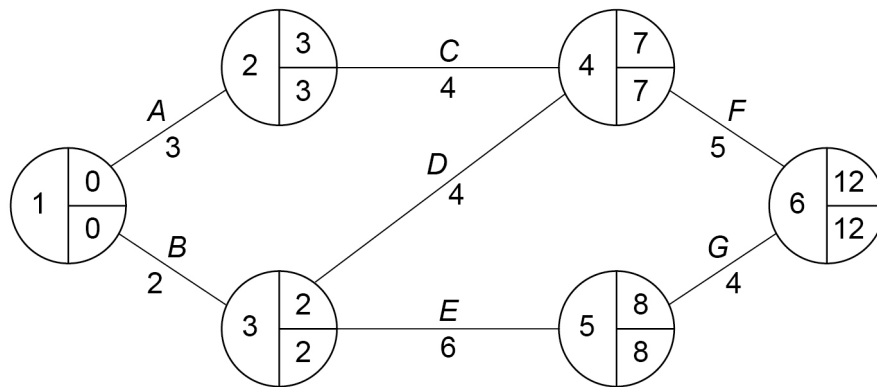
Shareholders provide 20% of its capital employed.

This business has:

[1 mark]

- A** a high current ratio and a high gearing. ☐
- B** a high current ratio and a low gearing. ☐
- C** a low current ratio and a high gearing. ☐
- D** a low current ratio and a low gearing. ☐

Turn over for the next question**Turn over ►**

1 4Questions **14** and **15** are based on the network below:Referring to the network above, which **one** of the following statements is **true**?**[1 mark]**

- A** Activity B is not on a critical path.
- B** Activity D is not on a critical path.
- C** Activity G is not on a critical path.
- D** All of the activities (A to G) are on a critical path.

☐☐☐☐**1 5**

Referring to the network shown above:

If Activity A is delayed by 3 days, the duration of the critical path will:

[1 mark]

- A** not change.
- B** increase by 1 day.
- C** increase by 2 days.
- D** increase by 3 days.

☐☐☐☐**15**

Section BAnswer **all** questions in this section.**1 6**

The data below applies to Product X.

Fixed costs = £8000

Selling price = £10

Variable costs per unit = £6

Total contribution from current level of output = £10 000

Calculate the margin of safety for Product X at its current level of output.

Show your working.

[4 marks]

Answer _____

Working _____

4
Turn over for the next question**Turn over ►**

1 7

A company invests £20 million into a new project in Year 0.

In the next two years the predicted net returns of the project, along with the discount factors, are shown in the table below:

Year	Net return (£m)	Discount factor
1	11	0.91
2	12	0.83

Based on the information provided, calculate the expected net present value (NPV) for the new project.

Show your working.

[4 marks]

Answer _____

Working _____

4



[9 marks]

This image shows a single sheet of white paper with horizontal blue or grey ruling lines. The lines are evenly spaced and run across the width of the page. There are approximately 20 lines visible. The paper has a slight shadow on the right side, suggesting it's resting on a surface.

9

[9 marks]

This image shows a single sheet of white paper with horizontal blue or grey ruling lines. The lines are evenly spaced and run across the width of the page. There are approximately 20 lines visible. The paper has a slight shadow on its right side, suggesting it's resting on a surface. The overall appearance is that of a clean, unused piece of stationery.

9



[9 marks]

[illegible]

9

Answer **either** Question 21 **or** Question 22.

Question

2	1	
---	---	---

Question

2	2	
---	---	---

--	--	--	--

2	1
---	---

[25 marks]

2	2
---	---

[25 marks]

This image shows a single sheet of white paper with horizontal blue or grey ruling lines. The lines are evenly spaced and run across the width of the page. There are approximately 20 lines visible. The paper has a slight shadow on the right side, suggesting it's resting on a surface.

[illegible]

Extra space



[illegible]

[illegible]

[illegible]

25

Answer **either** Question 23 **or** Question 24.

Question

2	3	
---	---	---

Question

2	4	
---	---	---



			
---	---	---	---

2	3
---	---

[25 marks]

2	4
---	---

[25 marks]

[illegible]

[illegible]

Extra space



[illegible]

[illegible]

[illegible]

25



There are no questions printed on this page

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**DO NOT WRITE ON THIS PAGE
ANSWER IN THE SPACES PROVIDED**



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[illegible]

[illegible]

A-level
BUSINESS
7132/1

Paper 1 Business 1

Mark scheme

June 2024

Version: 1.0 Final



Mark schemes are prepared by the Lead Assessment Writer and considered, together with the relevant questions, by a panel of subject teachers. This mark scheme includes any amendments made at the standardisation events which all associates participate in and is the scheme which was used by them in this examination. The standardisation process ensures that the mark scheme covers the students' responses to questions and that every associate understands and applies it in the same correct way. As preparation for standardisation each associate analyses a number of students' scripts. Alternative answers not already covered by the mark scheme are discussed and legislated for. If, after the standardisation process, associates encounter unusual answers which have not been raised they are required to refer these to the Lead Examiner.

It must be stressed that a mark scheme is a working document, in many cases further developed and expanded on the basis of students' reactions to a particular paper. Assumptions about future mark schemes on the basis of one year's document should be avoided; whilst the guiding principles of assessment remain constant, details will change, depending on the content of a particular examination paper.

No student should be disadvantaged on the basis of their gender identity and/or how they refer to the gender identity of others in their exam responses.

A consistent use of 'they/them' as a singular and pronouns beyond 'she/her' or 'he/him' will be credited in exam responses in line with existing mark scheme criteria.

Further copies of this mark scheme are available from [aqa.org.uk](https://www.aqa.org.uk)

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Level of response marking instructions

Level of response mark schemes are broken down into levels, each of which has a descriptor. The descriptor for the level shows the average performance for the level. There are marks in each level.

Before you apply the mark scheme to a student's answer read through the answer and annotate it (as instructed) to show the qualities that are being looked for. You can then apply the mark scheme.

Step 1 Determine a level

Start at the lowest level of the mark scheme and use it as a ladder to see whether the answer meets the descriptor for that level. The descriptor for the level indicates the different qualities that might be seen in the student's answer for that level. If it meets the lowest level then go to the next one and decide if it meets this level, and so on, until you have a match between the level descriptor and the answer. With practice and familiarity you will find that for better answers you will be able to quickly skip through the lower levels of the mark scheme.

When assigning a level you should look at the overall quality of the answer and not look to pick holes in small and specific parts of the answer where the student has not performed quite as well as the rest. If the answer covers different aspects of different levels of the mark scheme you should use a best fit approach for defining the level and then use the variability of the response to help decide the mark within the level, ie if the response is predominantly level 3 with a small amount of level 4 material it would be placed in level 3 but be awarded a mark near the top of the level because of the level 4 content.

Step 2 Determine a mark

Once you have assigned a level you need to decide on the mark. The descriptors on how to allocate marks can help with this. The exemplar materials used during standardisation will help. There will be an answer in the standardising materials which will correspond with each level of the mark scheme. This answer will have been awarded a mark by the Lead Examiner. You can compare the student's answer with the example to determine if it is the same standard, better or worse than the example. You can then use this to allocate a mark for the answer based on the Lead Examiner's mark on the example.

You may well need to read back through the answer as you apply the mark scheme to clarify points and assure yourself that the level and the mark are appropriate.

Indicative content in the mark scheme is provided as a guide for examiners. It is not intended to be exhaustive and you must credit other valid points. Students do not have to cover all of the points mentioned in the Indicative content to reach the highest level of the mark scheme.

An answer which contains nothing of relevance to the question must be awarded no marks.

Marking guidance

- Be clear on the focus of the question.
- Read the response as a whole; follow the flow of the argument as a whole.
- Remember that the indicative content provides possible lines of argument but there may be others that are equally valid. Be willing to credit other lines of argument.
- Annotate the script as you read in accordance with the instructions given at standardisation.
- Consider what it all adds up to, eg is this a good response? A reasonable one? A limited one? Refer back to the standardisation scripts and guidance to help you benchmark. You are marking to the standard agreed at standardisation.
- Summarise your findings briefly at the end of the response. This will help you decide on the overall level and is helpful for others to understand the mark given, eg for an extended response ‘well-argued’ but does not focus fully on the issue of ‘long term’ feels as if it might be good rather than excellent. Make sure the comments fit with the level awarded: ‘unbalanced and not comparing with alternative solutions’ does not sound as if it is ‘good’.
- Next to your comment put the level awarded, eg L4.
- If in doubt about an approach contact your Team Leader, do not make up your own rules because we must have a standardised approach across all marking. Be positive in your marking. Look to reward what is there.

ANNOTATIONS FOR MARK SCHEMES

K U	Knowledge and Understanding
AN	Analytical but lacks context
ARG	Argument
DEV	Developed argument
J / EV	Judgement with support / Evaluation
NFF	Not Fully Focussed on the demands of the question
Bal	Balanced response eg both sides acknowledged
Rng	Range of arguments eg two arguments presented
BOD	Benefit of the Doubt
NAQ	Not answering the question
OFR	Own Figure Rule
SEEN	Seen
☑	TICK
☒	CROSS
□	Txt Box
?	Unclear
Highlighter	Highlighter
[REP]	Repetition

Section C and Section D – 25-mark essay questions

The following should be used at the end of the response.

L1	L1
L2	L2
L3	L3
L4	L4
L5	L5

Section A**Objective Test Answers****Total for this section: 15 marks**

Question number	Answer
01	D Sole traders only
02	B Statement 1 is true. Statement 2 is false.
03	B improve the speed of vertical communication.
04	D an adverse variance of £32 million.
05	C an increase in the number of patents held by a business is a strength.
06	C Statement 1 is false. Statement 2 is true.
07	A incomes rise by 10% and the income elasticity of demand for the product is 0
08	C cumulative output.
09	A 0.04
10	B Statement 1 is true. Statement 2 is false.
11	A Statement 1 is true. Statement 2 is true.
12	A Decrease/Decrease
13	C a low current ratio and a high gearing.
14	B Activity D is not on a critical path.
15	D increase by 3 days.

Section B

1	6	The data below applies to Product X. Fixed costs = £8000 Selling price = £10 Variable costs per unit = £6 Total contribution from current level of output = £10 000 Calculate the margin of safety for Product X at its current level of output. Show your workings. [4 marks]
----------	----------	---

Marks for this question: AO1 = 1 and AO2 = 3

Answer = 500 units or 500 (4 marks)

NB. For £500 (3 marks) (as the £ sign shows that there is a misunderstanding)

4 marks broken down as follows:

Award 1 mark if one minor error in a calculation below (OFR).

$$^{\wedge} \text{ current level of output} = \frac{\text{total contribution}}{\text{contribution per unit}}$$

$$= \frac{£10\,000}{(£10 - £6 = £4)^*} = 2500 \text{ units}$$

$$^{\wedge\wedge} \text{ break-even output} = \frac{\text{fixed costs}}{\text{contribution per unit}}$$

$$= \frac{£8000}{(£10 - £6 = £4)^*} = 2000 \text{ units}$$

$$^{\wedge\wedge\wedge} \text{ margin of safety} = \text{current output} - \text{break-even output}$$

$$= 2500 - 2000 = 500 \text{ units (accept 500)}$$

^ Award 2 marks for correct calculation of EITHER current level of output OR break-even output.

^ Award 3rd mark for correct calculation of the other output figure.

Award 1 mark (4th mark) for subtracting break-even output from current level of output.

NB. * Award 1 mark if no correct output calculated but contribution per unit is calculated correctly.

NB. OFR applies if method is valid but arithmetic error occurs.

^ If no creditworthy calculation, **award up to 1 mark** for correct formula for **EITHER** current level of output (see above **^**) **OR** break-even output (see above **^^**) **OR** margin of safety (see above **^^^**).

1 7

A company invests £20 million into a new project in Year 0.

In the next two years the predicted net returns of the project, along with the discount factors, are shown in the table below:

Year	Net return (£m)	Discount factor
1	11	0.91
2	12	0.83

Based on the information provided, calculate the expected net present value (NPV) for the new project.

Show your working.

[4 marks]

Marks for this question: AO1 = 1 and AO2 = 3

Answer = –£0.03m OR (£0.03m) OR –£30 000 OR (£30 000) OR -0.03M OR -30,000 (4 marks)

Answer = £0.03m or +£0.03m or £30,000 or 30,000 (3 marks)

NB. **If no working shown** award 2 marks for answer of 0.03 or +0.03 (Omitting the 'm' and so no reference to millions)

Broken down as follows:

Present value: Year 1 = $11 \times 0.91 = 10.01$ **(1 mark)**

Present value: Year 2 = $12 \times 0.83 = 9.96$. **(1 mark)**

Present value of Years 1 and 2 = $10.01 + 9.96 = 19.97$ **(1 mark)**

Net present value = $19.97 - 20$ (initial cost in Year 0) = -0.03 **(1 mark)**

OFR applies for incorrect calculations.

1	8	Analyse why a public limited company might prefer to use share capital as a source of finance, rather than a bank loan.	[9 marks]
----------	----------	---	------------------

Marks for this question: AO1 = 3, AO2 = 3 and AO3 = 3

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed and is applied effectively to the context.	7–9
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed and is applied to the context.	4–6
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development and with mainly descriptive application to the context.	1–3

The demands of this question are:

- showing an understanding of share capital and bank loans
- analysing why a business might choose share capital in preference to a bank loan.

Indicative content:

Possible responses include:

- recognising possible reasons why share capital might be a good choice
- recognising possible reasons why share capital might be a more appropriate choice than a bank loan:
 - share capital is a good source of long-term finance that does not need to be repaid, as such
 - share capital allows rewards to shareholders to be delayed until the business' finances are healthy
 - bank loans need to be repaid within a certain, agreed time constraint
 - interest must be paid on a bank loan, regardless of whether the finance creates a profit or not
 - in times of rising interest rates, bank loans might prove to be more costly to finance than expected
 - banks may be unwilling to lend.

NB. Credit that share capital is a “quick” source of finance ONLY if this is explained (eg. a rights issue to existing shareholders)

1	9	Analyse why an underperforming business with a role culture might choose to move towards a power culture.	[9 marks]
----------	----------	---	------------------

Marks for this question: AO1 = 3, AO2 = 3 and AO3 = 3

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed and is applied effectively to the context.	7–9
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed and is applied to the context.	4–6
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development and with mainly descriptive application to the context.	1–3

The demands of this question are:

- showing an understanding of Handy's role culture and power culture
- analysing why an underperforming business might choose to move towards a power culture from a role culture.

Indicative content:

- recognising that a power culture is where power is concentrated in the hands of a small group or central figure who determine(s) the business' approach
- recognising that a role culture is focused on set procedures and role descriptions
- analysing that a role culture can lead to underperformance if a traditional, bureaucratic approach leads to a lack of adaptability in the business
- analysing that a power culture focuses power in the hands of a few people who will be able to react quickly to underperformance. In contrast, a role culture tends to require more consultation and consensus in order to implement change
- analysing that a role culture is most suited to an environment which is stable and unchanging. In a dynamic environment, power culture can react more quickly to external changes that might be leading to underperformance
- analysing that a power culture tends to feature more centralisation of decision-making. Any problems identified by management can be dealt with more consistently and effectively than in a role culture, where a more decentralised approach can lead to more variations and inconsistencies in strategies and actions.

2	0	A UK manufacturer is highly geared and exports 60% of its output.
		Analyse the impact of a significant increase in UK interest rates on this business.
		[9 marks]

Marks for this question: AO1 = 3, AO2 = 3 and AO3 = 3

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed and is applied effectively to the context.	7–9
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed and is applied to the context.	4–6
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development and with mainly descriptive application to the context.	1–3

The demands of the question are:

- understanding the notions of interest rates, highly geared and exports
- analysing how an increase in interest rates will impact on UK manufacturers in general
- developing this analysis in the context of a UK manufacturer that is highly geared and a major exporter.

Indicative content:

- understanding that higher interest rates should increase payments on borrowed money and thus increase costs/worsen cash flow
- understanding that higher interest rates can lead to lower demand for products as consumers pay more interest on borrowed money
- understanding that higher interest rates will impact on the exchange rate for sterling. Sterling will become a more attractive currency for currency flows/hot money and so the value of the £ will rise against other currencies possibly leading to reduced exports
- analysing that this business has high gearing and so higher interest payments will be a significant cost, thus reducing profits
- analysing that the business exports 60% of its products and so the decrease in UK demand because of the higher interest rates will only affect 40% of the business' sales
- analysing that higher interest rates should lead to lower capital investment because the cost of borrowing increases.

NB. It is not necessary for an answer to include a reference to exports in order to reach L3.

The question asks students to “Analyse the impact of a significant increase in UK interest rates on this business.” The opening sentence provides context. A student who uses the high gearing context to show how this might:

(a) *increase business costs, and*

(b) *lead to lower demand because of high interest rates for consumers*

will have provided a comprehensive answer to the question set by focusing on just the first element of the context.

Section C

2	1	To what extent are financial ratios the best way of assessing the performance of non-profit organisations, such as charities or mutuals?
[25 marks]		

25-mark evaluative questions: AO1 = 5, AO2 = 4, AO3 = 6 and AO4 = 10

Level	The student will typically demonstrate:	Marks
5	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: - demonstrates a depth and range of knowledge and understanding that is precise and well selected in relation to issues in the question - demonstrates analysis throughout which is well developed, is applied effectively to the context and considers a balanced range of the issues in the question - makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	21–25
4	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: - demonstrates a depth and range of knowledge and understanding of issues in the question - demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question - makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole.	16–20
3	A reasonable response overall that focuses on some demands of the question. Provides an answer to the question set that: - demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question - demonstrates analysis which is developed, applied to the context and considers some of the issues in the question - makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	11–15
2	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: - demonstrates a limited range and depth of knowledge and understanding of issues in the question - demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question - makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	6–10

1	A weak response overall lacking focus on the demands of the question. Provides an answer to the question set that: • demonstrates isolated or imprecise knowledge and understanding • demonstrates undeveloped analysis with descriptive application to the context and lacking focus on the question • makes judgements or proposes solutions based on assertions.	1–5
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The demands of the question are:

- showing an understanding of financial ratios and non-profit organisations
- understanding and analysing when financial ratios may be appropriate measures of performance for non-profit organisations
- analysing why financial ratios may be an inappropriate measure of performance and/or analysing alternative measures of performance
- evaluating the extent to which financial ratios are the best way to assess the performance of non-profit organisations.

Indicative content may include:

Analysing the usefulness of financial ratios, such as:

- profitability ratios can be used to monitor profit in order to support charitable purposes or they may be used to guide these organisations towards breaking-even financially over a period of time
- liquidity ratios can identify potential issues, such as cash flow problems
- gearing can identify potential long-term cash problems
- efficiency ratios can prevent inefficiency in managing payables, receivables and inventory.

Analysing why non-financial measures are used, for example:

- in Elkington's Triple Bottom Line 'People measures' may focus on actions that are aimed to please customers or employees, whilst 'Planet measures' are those targeting sustainability and environmental priorities
- for Kaplan and Norton, analysis can analyse measures based on the financial perspective in comparison to the customer, internal business, and learning and growth perspectives
- analysing other non-financial measures of performance.

Applying this analysis to the specific needs of non-profit organisations and/or their stakeholders.

Evaluation

- recognising that all measures of performance (financial and non-financial) look at past performance and so may not necessarily be an indication of future performance
- assessing the relative importance of different measures of financial performance for organisations, with specific reference to non-profit organisations
- making a reasoned judgement on whether financial ratios are the best way of assessing the performance of non-profit organisations
- using Elkington or Kaplan and Norton to assess the relative importance of financial and non-financial measures of performance
- basing this judgement on the specific requirement of non-profit organisations and their stakeholders.

2	2	A business changes its human resource management (HRM) approach from hard HRM to soft HRM.
		To what extent is this change guaranteed to increase the motivation of all employees? [25 marks]

25-mark evaluative questions: AO1 = 5, AO2 = 4, AO3 = 6 and AO4 = 10

Level	The student will typically demonstrate:	Marks
5	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding that is precise and well selected in relation to issues in the question • demonstrates analysis throughout which is well developed, is applied effectively to the context and considers a balanced range of the issues in the question • makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	21–25
4	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question • makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole.	16–20
3	A reasonable response overall that focuses on some demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question • makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	11–15
2	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question • makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	6–10

1	A weak response overall lacking focus on the demands of the question. Provides an answer to the question set that: • demonstrates isolated or imprecise knowledge and understanding • demonstrates undeveloped analysis with descriptive application to the context and lacking focus on the question • makes judgements or proposes solutions based on assertions.	1–5
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The demands of the question are:

- understanding the difference between hard HRM and soft HRM
- understanding the meaning of motivation
- analysing how hard HRM and how soft HRM might influence the motivation of employees
- analysing and evaluating how the change from hard HRM to soft HRM might impact on employees' levels of motivation
- assessing the extent to which this change will guarantee improved motivation for all employees.

Indicative content may include:

- a hard approach to HRM which sees employees simply as another resource may rely on financial methods of motivation
- a soft approach to HRM treats employees as a potential source of competitive advantage to be nurtured and developed
- analysis of how different theorists would view the impact of shifting from hard HRM to soft HRM on worker motivation. For example:
 - Taylor assumes that typical workers wish to avoid autonomy and responsibility and so, excluding managers, the workforce would not be motivated by this change
 - Maslow would regard more autonomy and responsibility as a motivator IF workers were at the esteem or self-actualisation levels of the hierarchy of needs. However, at lower levels other factors would be needed to motivate workers
 - Herzberg regards 'autonomy and responsibility' as motivating factors as they are elements of the job itself, rather than the environment. Therefore, it would act as a motivator
 - according to Hackman and Oldham, this change would help motivation, because job characteristics would be likely to have more skill variety under a soft HRM approach. There is also likely to be more task identity and task significance. Greater autonomy is a key element of soft HRM and, with greater feedback from managers, a soft HRM approach would meet all five of Hackman and Oldham's five core job characteristics, which lead to greater motivation
- recognising that the extent to which soft HRM can improve/reduce motivation can be influenced by factors such as:
 - the nature of the workforce and their roles – is greater responsibility feasible for all employees
 - the actual role of the individual – subordinates may feel empowered by greater responsibility
 - attitudes of individuals – autocratic managers may resent their loss of control/power
 - the nature of the task – employees undertaking repetitive tasks may see no difference to their individual roles
 - the culture of the business – does it lend itself to greater worker responsibility
 - external factors, such as the economy, legislation, desire for ethical/socially responsible behaviour. These factors might help or hinder the impact of soft HRM on motivation.

Evaluation

The arguments above indicate that Taylor would judge the change to soft HRM to be unsuccessful, whilst Herzberg would be the most optimistic about its potential as a motivator.

The analysis would suggest that the success depends on a number of different factors. Consequently, greater responsibility is unlikely to guarantee higher levels of motivation for all of the workforce. Evaluation could focus on the factors/ideas that are most likely to predict a significant increase in

motivation in contrast to those factors/ideas that suggest that greater responsibility will be relatively unsuccessful.

There is no definitive conclusion – credit will be given to students who recognise the contexts that will be likely/unlikely to enable the change from hard HRM to soft HRM to lead to higher levels of motivation.

There is no specific approach needed to answer this question. For example, students may base their answer on the different roles of a business' employees rather than the different theories of motivation. Credit should be given to answers on the basis of whether or not they have answered the question set.

Section D

2	3	To what extent does rapid change in the external environment mean that strategic drift is inevitable for a business?
[25 marks]		

25-mark evaluative questions: AO1 = 5, AO2 = 4, AO3 = 6 and AO4 = 10

Level	The student will typically demonstrate:	Marks
5	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: - demonstrates a depth and range of knowledge and understanding that is precise and well selected in relation to issues in the question - demonstrates analysis throughout which is well developed, is applied effectively to the context and considers a balanced range of the issues in the question - makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	21–25
4	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: - demonstrates a depth and range of knowledge and understanding of issues in the question - demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question - makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole.	16–20
3	A reasonable response overall that focuses on some demands of the question. Provides an answer to the question set that: - demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question - demonstrates analysis which is developed, applied to the context and considers some of the issues in the question - makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	11–15
2	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: - demonstrates a limited range and depth of knowledge and understanding of issues in the question - demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question - makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	6–10

1	A weak response overall lacking focus on the demands of the question. Provides an answer to the question set that: • demonstrates isolated or imprecise knowledge and understanding • demonstrates undeveloped analysis with descriptive application to the context and lacking focus on the question • makes judgements or proposes solutions based on assertions.	1–5
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The demands of the question are:

- showing an understanding of the external environment and how it might change (rapidly)
- showing an understanding of 'strategic drift'
- analysing the factors, both internal and external, that can lead to strategic drift
- assessing the extent to which strategic drift is inevitable as a result of rapid change in the external environment.

Indicative content may include:

- understanding that a strategy is more likely to become unsuitable (drift) as a result of change
- understanding that a business focusing on a 'planned strategy' is more likely to experience strategic drift than one that focuses on an 'emergent strategy' approach
- recognising the possible external changes that can contribute to strategic drift, such as:
 - actions of competitors
 - changes in consumer tastes
 - economic change
 - changes in individual behaviour and attitudes
 - changing customer expectations
 - environmental changes
 - political, legal and social change
 - technological change
- analysing how the factors above might cause changes
- analysing how internal factors can contribute to strategic drift through factors such as:
 - a rigid culture
 - a reluctance to change strategies and methods
 - being reactive to change rather than being proactive and anticipating change
 - an organisational structure that is rigid and not suited to external changes
 - an unwillingness or inability to keep pace with technological change
 - inertia.

Evaluation

The wide range of factors that can lead to strategic drift suggests that some strategic drift is likely to occur. However, the extent to which strategic drift is inevitable will depend on:

- how significant the external changes affecting the business are – for example, is there a major change in the economy or consumer tastes
- what has caused the external change. For example, new entrants into a market may cause quicker and more significant change to strategy than a more gradual change, such as might occur through social or environmental factors
- how prepared the business is to modify the internal factors that might lead to strategic drift. The business might be able to limit strategic drift by:
 - assessing how constant monitoring and reviewing of external and internal factors can prevent or limit the extent to which strategic drift occurs in a business
 - using a philosophy based on emergent strategies rather than a rigid planned strategy approach
 - evaluating the need for significant, possibly transformational change, can reduce or overcome strategic drift.

Evaluation will be further credited to answers that draw a conclusion that assesses the extent to which rapid external change makes strategic change inevitable.

2	4	Will the introduction of lean production always lead to lower unit costs?
		Justify your view.
		[25 marks]

25-mark evaluative questions: AO1 = 5, AO2 = 4, AO3 = 6 and AO4 = 10

Level	The student will typically demonstrate:	Marks
5	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding that is precise and well selected in relation to issues in the question • demonstrates analysis throughout which is well developed, is applied effectively to the context and considers a balanced range of the issues in the question • makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	21–25
4	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question • makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole.	16–20
3	A reasonable response overall that focuses on some demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question • makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	11–15
2	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question • makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	6–10

1	A weak response overall lacking focus on the demands of the question. Provides an answer to the question set that: • demonstrates isolated or imprecise knowledge and understanding • demonstrates undeveloped analysis with descriptive application to the context and lacking focus on the question • makes judgements or proposes solutions based on assertions.	1–5
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The demands of the question are:

- understanding the meaning of lean production
- understanding unit costs
- analysing how lean production might affect unit costs
- evaluating whether lean production will always lead to lower unit costs.

Indicative content may include:

Recognising that lean production can lead to changes in unit costs in different ways:

It may lead to lower unit costs because:

- it reduces the need for inventory, thus reducing losses due to waste, damage or depreciation of value
- it reduces warehousing space, thus lowering costs such as rent
- faster speed of response leads to savings in time; thus lowering costs
- the use of Kaizen can lead to new approaches that increase productivity and thus reduce unit costs
- greater involvement of employees can lead to higher motivation and thus cost benefits arising from lower labour turnover and more productive staff.

It may lead to higher unit costs because:

- lean production involves JIT delivery. Inventory tends to be purchased more regularly but in smaller quantities. This means a business may not be able to benefit from bulk-buying discounts and so unit costs will rise
- Kaizen activities can take time and if new ideas do not improve efficiency, unit costs of production will rise
- 'right-first-time' quality assurance can lead to very high expenditure if a defect is not detected and a batch of faulty products is manufactured
- lean production often focuses on improving quality and added value. Consequently, its emphasis might be on achieving a higher price for the product, often because it is superior to competitors' products. Consequently, unit costs may be higher because the main aim is to increase profits
- the new system will require cultural change. This may be a barrier to overcome, leading to higher unit costs, at least in the short-term.

Evaluation

Evaluation should provide a conclusion, on whether unit costs will rise or fall, based on the arguments provided in the essay.

Overall, the quality of evaluation will depend on the focus of the analysis in the answer. Lean production should lead to lower unit costs in many situations, but it may lead to higher unit costs because implementation is inefficient OR because the emphasis on the business is to achieve higher quality, which is unlikely to be compatible with lower unit costs.

Any changes to processes are likely to lead to rising unit costs in the short-term, even if lower unit costs are achieved in the medium or long-term.

NB. Credit should be given to any relevant approaches to this question. Lean production covers a broad area, but students will not be expected to provide a lot of breadth in the time allowed. Evaluation will be assessed based on the logic of judgement based on the aspects of lean production that the student has chosen to analyse and evaluate.



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Centre number

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Candidate number

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Surname

Forename(s)

Candidate signature

I declare this is my own work.

A-level BUSINESS

Paper 2 Business 2

Tuesday 21 May 2024

Morning

Time allowed: 2 hours

Materials

For this paper you must have:

- a calculator.

Instructions

- Use black ink or black ball-point pen.
- Fill in the boxes at the top of this page.
- Answer **all** questions.
- You must answer the questions in the spaces provided. Do not write outside the box around each page or on blank pages.
- If you need extra space for your answer(s), use the lined pages at the end of this book. Write the question number against your answer(s).
- Do all rough work in this answer book. Cross through any work you do not want to be marked.

Information

- The marks for questions are shown in brackets.
- The maximum mark for this paper is 100.

For Examiner's Use	
Question	Mark
1.1	
1.2	
1.3	
1.4	
2.1	
2.2	
2.3	
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3.2	
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TOTAL	



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Answer **all** questions in the spaces provided.

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Read the information below and then answer the questions that follow.

Biggs Ltd

Biggs Ltd operates in the snack food market, selling crisps, nuts and other savoury products. Potatoes are a key ingredient in its snacks. The price of potatoes has risen by 35% over the last two years.

The company is one of six firms who dominate a market that has been growing strongly for ten years. The market growth is largely due to the development of new snacks designed for children. However, Biggs Ltd's market share has been falling since 2019.

Biggs Ltd plans to launch a completely new range of products in 2024. It will promote this by sponsoring a major televised sporting competition which has children and families as its audience.

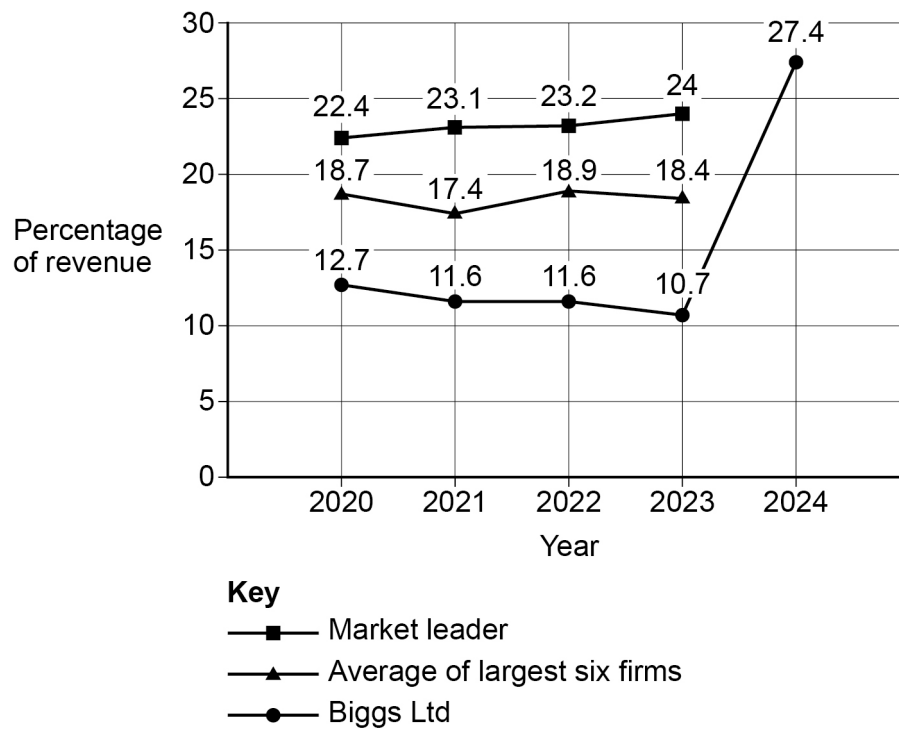
Appendix A Extract from Biggs Ltd's recent financial statements

	2023 £000s	2022 £000s
Revenue	47 569	46 994
Gross profit	22 289	22 820
Operating profit	4 650	4 701
Payables	5 056	5 221

Appendix B Labour productivity for Biggs Ltd and the snack food industry average (shown as an index number, base year = 2017)

Year	Biggs Ltd	Industry average
2020	104.2	104.3
2023	100.3	105.9



Appendix C Marketing expenditure as a percentage of revenue, 2020–2024*

* 2024 based on Biggs Ltd's forecast.

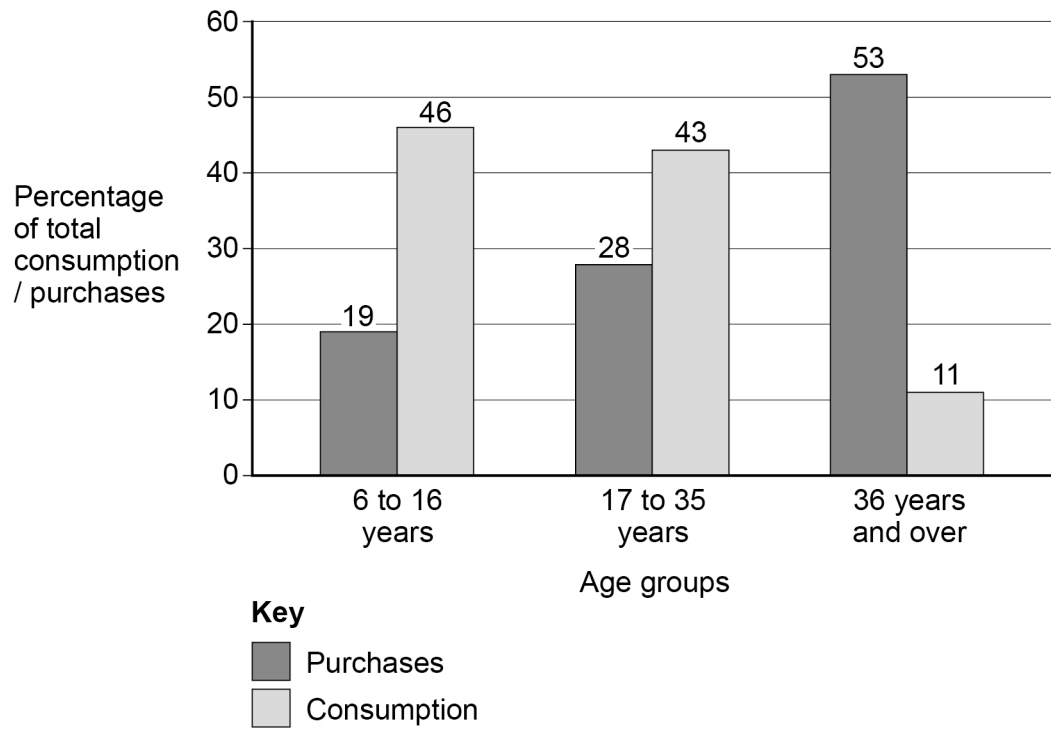
Appendix D Results of market research conducted with families on Biggs Ltd's new product range and the promotional campaign

Survey question	Average survey score by age group		
	6 to 16 years	17 to 35 years	36 years and over
I will definitely try the new products when they are available.	9.9	7.2	1.8
The promotional campaign improves my view of Biggs Ltd's brand.	8.3	6.3	8.0
I frequently consume snack foods at sports events.	8.9	6.9	2.7
Scale: 10 = strongly agree, 5 = neither agree nor disagree, 0 = strongly disagree			

Source: Data from 27 interviews with families, conducted by Biggs Ltd in 2021.

Turn over ►



Appendix E Percentage of snack products bought and consumed by different age groups

Results from a recent survey of 3000 respondents conducted by an independent market research firm.



0 1 . 1

Using **Appendix A**, calculate Biggs Ltd's payables days ratio for 2023.**[4 marks]**

4

0 1 . 2

Using the information provided, explain **one** reason why Biggs Ltd's gross profit margin for 2023 fell to 46.9%.**[3 marks]**

3
Question 1 continues on the next page**Turn over ►**

[9 marks]

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9



In 2024, Biggs Ltd became the sponsor of a major televised sporting competition that attracts a wide range of ages and is popular with families.

[16 marks]

[illegible]

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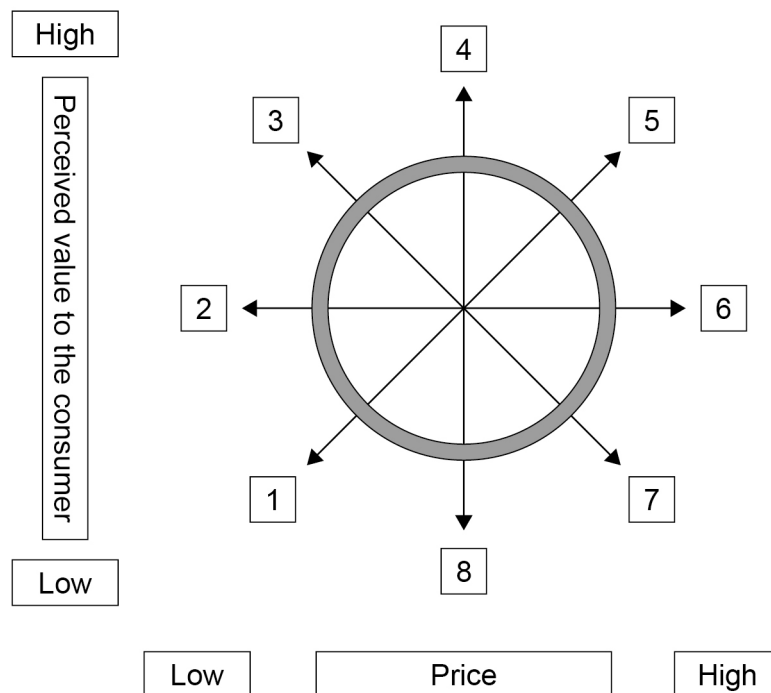
Read the information below and then answer the questions that follow.

Soundcheck plc

Soundcheck plc offers a streaming service enabling users in more than 160 countries to play a variety of content, such as music and podcasts, on electronic devices. The company initially offered its services free to consumers and earned revenue from advertisers. An additional, paid service was introduced in 2022. Paying subscribers benefit from better quality audio, no adverts, and playlists made by celebrities. Exclusive podcast content also provides paying subscribers with an enhanced experience which justifies a paid subscription model.

Since its launch in 2006, Soundcheck plc has grown to become the market leader. It now employs nearly 4000 staff globally. A stock market flotation has funded huge investment in building a high-quality technology platform, strong brand and a skilled workforce. However, Soundcheck plc has not regularly made an operating profit. Its costs have been rising significantly in recent years and in 2023 it lost £26 million as a global economic slowdown began.

In 2023, Soundcheck plc reached an agreement with trade unions about pay rates and ways of working. The agreement guaranteed starting salaries of at least £36 000 to many staff. This is significantly higher than the industry average. However, there is a global shortage of skilled software engineers and marketing staff so labour turnover rates remain high. In addition to competition for staff, new competitors are attracted to the growing market, including large rivals who are well established in other streaming markets. Other new entrants have also targeted the 'free' sector of the market. Some of these rivals have a competitive advantage because they own the rights to music or other content and so have lower costs than Soundcheck plc.



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When introducing its paid service, Soundcheck plc changed its positioning strategy from position 1 to position 4 on Bowman's strategic clock.

Analyse why Soundcheck plc decided to change its positioning strategy.

[9 marks]

[illegible]

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9

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Analyse the difficulties Soundcheck plc may experience when attempting to turn its 2023 loss into a profit in 2024.

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C



Soundcheck plc's management has had good relationships with trade unions and its staff have been supportive of strategic change.

To what extent does consultation with trade unions enable **all businesses** to overcome resistance to strategic change?

[16 marks]

[illegible]

Extra space



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ANSWER IN THE SPACES PROVIDED**

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Read the information below and then answer the questions that follow.

WWH Ltd

WWH Ltd manufactures and sells a single model of wood-burning stove. Rising energy prices mean that gas and electric heating is expensive to run. Wood-burning stoves are a cheaper and increasingly popular alternative source of heating in homes. This has led to an increase in demand for WWH Ltd's wood-burning stoves. WWH Ltd is profitable and owns its buildings.

WWH Ltd uses demand forecasts to estimate how many wood-burning stoves to make. Once manufactured, the stoves are stored in WWH Ltd's warehouse until they are needed. When a customer places an order, they pay a 25% deposit and the remaining 75% when the stove is fitted in the customer's home. The production department has been able to increase manufacturing to keep up with the growing demand. However, lead time for fitting by WWH Ltd's expert fitters has been increasing and is currently two months.

Looking to the future, WWH Ltd's directors are concerned. The government has introduced legislation to set environmental standards for wood-burning stoves. News media continue to run stories that the sale of wood-burning stoves may be banned completely in the future. This uncertainty means that banks are not willing to lend WWH Ltd any more money.

Up until now, WWH Ltd's directors have seen the focus on a single product as a strength which has allowed them to keep a simple organisational design:

- no need for research and development and new product development
- functional structure with department responsibilities unchanged since the business set up
- relatively flat structure which helps to keep costs under control.

Now, the directors want to grow the business and are considering recruiting more staff and developing a portfolio of new products. Developing newer models of wood-burning stoves may enable WWH Ltd to keep ahead of ever-increasing government environmental standards. Alternatively, developing unrelated products could reduce dependence on a market with increasing government regulation.



[9 marks]

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WWH Ltd's directors are considering making and selling a portfolio of products rather than a single product, in order to increase growth.

[9 marks]

[illegible]

$\frac{\quad}{9}$



[16 marks]

[illegible]

[illegible]

[illegible]

16



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ANSWER IN THE SPACES PROVIDED**



[illegible]

Question number	Additional page, if required. Write the question numbers in the left-hand margin.
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A-level
BUSINESS
7132/2

Paper 2 Business 2

Mark scheme

June 2024

Version: 1.0 Final



Mark schemes are prepared by the Lead Assessment Writer and considered, together with the relevant questions, by a panel of subject teachers. This mark scheme includes any amendments made at the standardisation events which all associates participate in and is the scheme which was used by them in this examination. The standardisation process ensures that the mark scheme covers the students' responses to questions and that every associate understands and applies it in the same correct way. As preparation for standardisation each associate analyses a number of students' scripts. Alternative answers not already covered by the mark scheme are discussed and legislated for. If, after the standardisation process, associates encounter unusual answers which have not been raised they are required to refer these to the Lead Examiner.

It must be stressed that a mark scheme is a working document, in many cases further developed and expanded on the basis of students' reactions to a particular paper. Assumptions about future mark schemes on the basis of one year's document should be avoided; whilst the guiding principles of assessment remain constant, details will change, depending on the content of a particular examination paper.

No student should be disadvantaged on the basis of their gender identity and/or how they refer to the gender identity of others in their exam responses.

A consistent use of 'they/them' as a singular and pronouns beyond 'she/her' or 'he/him' will be credited in exam responses in line with existing mark scheme criteria.

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Level of response marking instructions

Level of response mark schemes are broken down into levels, each of which has a descriptor. The descriptor for the level shows the average performance for the level. There are marks in each level.

Before you apply the mark scheme to a student's answer read through the answer and annotate it (as instructed) to show the qualities that are being looked for. You can then apply the mark scheme.

Step 1 Determine a level

Start at the lowest level of the mark scheme and use it as a ladder to see whether the answer meets the descriptor for that level. The descriptor for the level indicates the different qualities that might be seen in the student's answer for that level. If it meets the lowest level then go to the next one and decide if it meets this level, and so on, until you have a match between the level descriptor and the answer. With practice and familiarity you will find that for better answers you will be able to quickly skip through the lower levels of the mark scheme.

When assigning a level you should look at the overall quality of the answer and not look to pick holes in small and specific parts of the answer where the student has not performed quite as well as the rest. If the answer covers different aspects of different levels of the mark scheme you should use a best fit approach for defining the level and then use the variability of the response to help decide the mark within the level, ie if the response is predominantly level 3 with a small amount of level 4 material it would be placed in level 3 but be awarded a mark near the top of the level because of the level 4 content.

Step 2 Determine a mark

Once you have assigned a level you need to decide on the mark. The descriptors on how to allocate marks can help with this. The exemplar materials used during standardisation will help. There will be an answer in the standardising materials which will correspond with each level of the mark scheme. This answer will have been awarded a mark by the Lead Examiner. You can compare the student's answer with the example to determine if it is the same standard, better or worse than the example. You can then use this to allocate a mark for the answer based on the Lead Examiner's mark on the example.

You may well need to read back through the answer as you apply the mark scheme to clarify points and assure yourself that the level and the mark are appropriate.

Indicative content in the mark scheme is provided as a guide for examiners. It is not intended to be exhaustive and you must credit other valid points. Students do not have to cover all of the points mentioned in the Indicative content to reach the highest level of the mark scheme.

An answer which contains nothing of relevance to the question must be awarded no marks.

Marking guidance

- Be clear on the focus of the question.
- Read the response as a whole; follow the flow of the argument as a whole.
- Remember that the indicative content provides possible lines of argument but there may be others that are equally valid. Be willing to credit other lines of argument.
- Annotate the script as you read in accordance with the instructions given at standardisation.
- Consider what it all adds up to, eg is this a good response? A reasonable one? A limited one? Refer back to the standardisation scripts and guidance to help you benchmark. You are marking to the standard agreed at standardisation.
- Summarise your findings briefly at the end of the response. This will help you decide on the overall level and is helpful for others to understand the mark given, eg for an extended response 'well-argued' but does not focus fully on the issue of 'long-term' feels as if it might be good rather than excellent.
- Make sure the comments fit with the level awarded: 'unbalanced and not comparing with alternative solutions' does not sound as if it is 'good'.
- Next to your comment put the level awarded, eg L4.
- If in doubt about an approach contact your Team Leader, do not make up your own rules because we must have a standardised approach across all marking. Be positive in your marking. Look to reward what is there.

Annotations Key

K U	Knowledge and Understanding
AN	Analytical but lacks context
ARG	Developed argument
DEV	Context but lacks analysis
J / EV	Judgement with support / Evaluation
NFF	Not Fully Focused on the demands of the question
Bal	Balanced response, eg both sides acknowledged
Rng	Range of arguments, eg two arguments presented
BOD	Benefit of the Doubt
NAQ	Not answering the question
OFR	Own Figure Rule
SEEN	Seen
☑	TICK
☒	CROSS
□	Txt Box
?	Unclear
Pencil	Underline/highlight

The following should be used at the end of the response.

L1	Level 1
L2	Level 2
L3	Level 3
L4	Level 4
L5	Level 5

0	1	.	1	Using Appendix A , calculate Biggs Ltd's payables days ratio for 2023.	[4 marks]
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Marks for this question: AO1 = 1, AO2 = 3

$$\text{Payables (days) ratio} = \frac{\text{payables}}{\text{cost of sales}} \times 365$$

Payables days = 73 days (4 marks)

1 mark for correct selection of payables £5 056 000

1 mark for calculation of cost of sales £25 280 000 (£47 569 000 – £22 289 000)

1 mark for $\frac{£5\,056\,000}{£25\,280\,000} \times 365$

1 mark for Payables days = 73

OFR applies so students calculating cost of sales incorrectly can receive 3 marks if there are no further errors.

1 mark for Payables days formula if no valid calculation.

0	1	2	Using the information provided, explain one reason why Biggs Ltd's gross profit margin for 2023 fell to 46.9%.
			[3 marks]

Marks for this question: AO1 = 1, AO2 = 2

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Explains one reason why gross profit margin has fallen.	3
2	A reasonable response overall that focuses on some of the demands of the question. Explanation of why gross profit margin has fallen, with little use of context.	2
1	A limited response overall that focuses on a few demands of the question. Some understanding of gross profit margin.	1

The demands of the question are:

- to identify a potential influence on the gross profit margin
- to explain how that factor will reduce Biggs Ltd's gross profit margin.

Indicative content:

- revenue has increased, but gross profit has fallen, therefore cost of sales must have increased by a greater proportion
- cost of sales has increased due to falling labour productivity, higher potato prices or some other relevant cost.

Accept all relevant arguments.

0	1	3	Analyse how the changes in Biggs Ltd's labour productivity, shown in Appendix B , may cause its market share to fall.
			[9 marks]

Marks for this question: AO1 = 2, AO2 = 3, AO3 = 4

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: - demonstrates a depth and range of knowledge and understanding of issues in the question - demonstrates analysis which is well-developed and is applied effectively to the context.	7–9
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: - demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question - demonstrates analysis which is developed and is applied to the context.	4–6
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: - demonstrates a limited range and depth of knowledge and understanding of issues in the question - demonstrates analysis with little development and with mainly descriptive application to the context.	1–3

The demands of the question are:

- to show understanding of labour productivity and market share
- to interpret the labour productivity index data
- to analyse why Biggs Ltd's falling labour productivity may impact its market share.

Indicative content:

- the data in **Appendix B** show that Biggs Ltd's labour productivity is falling, at a time when it is rising in the wider industry
- falling labour productivity is likely to increase Biggs Ltd's unit cost whereas the industry average productivity is increasing, which may reduce competitors' unit costs
- higher unit costs may force Biggs Ltd to have higher prices than their competitors
- a lack of price competitiveness may lead to a reduction in market share
- falling labour productivity may reduce Biggs Ltd's ability to meet the growing demand in the market
- lower labour productivity means that Biggs Ltd may not be able to meet the significantly increased demand for its new products, given that marketing expenditure is planned to increase by more than 150%, failing to halt the decline in market share.

0	1	4	In 2024, Biggs Ltd became the sponsor of a major televised sporting competition that attracts a wide range of ages and is popular with families. With reference to the information provided, evaluate whether Biggs Ltd's decision to promote its new product range in this way is a good idea. [16 marks]
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Marks for this question: AO1 = 2, AO2 = 3, AO3 = 4, AO4 = 7

Level	The student will typically demonstrate:	Marks
4	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding that is precise and well-selected in relation to issues in the question • demonstrates analysis throughout which is well-developed, is applied effectively to the context and considers a balanced range of the issues in the question • makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	13–16
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well-developed, applied effectively to the context and considers a range of issues in the question • makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole throughout.	9–12
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question • makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	5–8
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question • makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	1–4

The demands of the question are:

- to use the information to analyse arguments for and against the sponsorship
- to make a judgement about whether the sponsorship is a good idea.

Indicative content:

- children viewed the promotional plan positively and are keen to trial the new product range which will be important given their high consumption levels
- 6–16-year olds consume the most snacks and have driven recent market growth. They are also a key audience for the sports competition, implying a strong link to the sponsorship medium
- sponsorship may involve exclusive rights to sell snacks at the sports venues or allow other forms of merchandising which could enhance the impact of the promotional campaign
- the older age group, which represents the majority of purchasers, agreed that the promotion would improve the brand's image
- Biggs Ltd has spent significantly less than the industry average and market leader on marketing and this may have contributed to falling market share, so a sponsorship of an event with a wide television audience may arrest this decline.

However, it should be noted that:

- the proposed increase in marketing expenditure (of at least £8m) is significant when the company has generated little more than £9m of profit across the last two years
- the heaviest purchasers of snack products were not keen to trial the new products
- the 36+ year olds did not associate snack foods with sports events and this may reflect a growing social concern about 'unhealthy' processed food and its relationship with sports sponsorship
- the market research interview data came from a small sample of just 27 families and so may not be reliable. It was also conducted in 2021 meaning it may no longer be relevant
- 6–16-year olds were the most impressed by the promotional plan but represented the smallest proportion of snack buyers, with presumably the least purchasing power.

Overall, there is a need for a new promotional strategy to accompany the launch of the new product and this seems to be targeted appropriately. The success of the strategy may depend on:

- competitor actions
- the accuracy of the market research information
- the popularity of the new sporting event itself
- the level of reward that the considerable financial risk offers.

Accept all relevant arguments.

0	2	1	When introducing its paid service, Soundcheck plc changed its positioning strategy from position 1 to position 4 on Bowman's strategic clock.
			Analyse why Soundcheck plc decided to change its positioning strategy.
			[9 marks]

Marks for this question: AO1 = 2, AO2 = 3, AO3 = 4

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: - demonstrates a depth and range of knowledge and understanding of issues in the question - demonstrates analysis which is well-developed and is applied effectively to the context.	7–9
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: - demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question - demonstrates analysis which is developed and is applied to the context.	4–6
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: - demonstrates a limited range and depth of knowledge and understanding of issues in the question - demonstrates analysis with little development and with mainly descriptive application to the context.	1–3

The demands of the question are:

- to understand the strategic change associated with the movement from 'low price/low value added' to 'differentiation'
- to analyse why Soundcheck plc decided to change its positioning strategy.

Indicative content:

- position 1 represents 'low price/low value added' and position 4 is 'differentiation'
- the business does not regularly make a profit and so a differentiation strategy should help to improve margins and become a (more) profitable organisation
- a change to position 4 should provide a high degree of consumer satisfaction and still be viewed as a 'value for money' proposition, given the mid-price point
- the streaming market is becoming more competitive and as it matures it is likely to be increasingly necessary to establish a unique brand identity in consumers' minds
- the subscription model, which is key to providing increased consumer perceptions of added value, allows Soundcheck plc to open up a new revenue stream which should significantly increase income and contribute to profitability
- there is a need to finance the additional, differentiated content and this can justify the change from a 'free' to 'paid' service

- its market-leader status implies a degree of brand loyalty which could allow the firm to transition a significant proportion of its current customers to a paid version of its service
- customers do not place high value on a firm that operates in position 1 and therefore, the position is unlikely to be defensible in the long run given rising competition.

Accept all relevant arguments.

0	2	2	Soundcheck plc has set a corporate objective to achieve an annual profit in 2024.
			Analyse the difficulties Soundcheck plc may experience when attempting to turn its 2023 loss into a profit in 2024.
			[9 marks]

Marks for this question: AO1 = 2, AO2 = 3, AO3 = 4

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: - demonstrates a depth and range of knowledge and understanding of issues in the question - demonstrates analysis which is well-developed and is applied effectively to the context.	7–9
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: - demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question - demonstrates analysis which is developed and is applied to the context.	4–6
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: - demonstrates a limited range and depth of knowledge and understanding of issues in the question - demonstrates analysis with little development and with mainly descriptive application to the context.	1–3

The demands of the question are:

- to identify the key influences on Soundcheck plc's costs, revenues and therefore profit
- analyse the difficulties Soundcheck plc will encounter in increasing its revenue (from subscriptions or advertising) and/or in controlling costs to turn a loss into a profit.

Indicative content:

- current users may be unwilling to start to pay for a service which they have been accustomed to receiving for free leading to low growth in subscription numbers
- users who do migrate from 'free' to 'paid' versions will no longer be exposed to adverts and so what will be the impact on advertisers if they lose access to higher-spending consumer groups?
- the market is becoming increasingly competitive and, as a relatively immature market, there is scope for market entry from large providers who could threaten Soundcheck plc's market-leader status, profit margins and advertising revenues
- greater competition may lead to demand becoming more price elastic, limiting scope for revenue growth and increasing the extent of buyer power as a competitive force
- the 'core' product of access to music may be seen as a commodity by young users who are accustomed to being able to download or stream content for free and may resist paying for it
- the increased costs associated with providing additional service features will present a barrier to the company becoming profitable

- being reliant on labour which is in short supply may lead to problems securing the talent who can create the unique content required to differentiate the company from its competitors
- higher than average salaries represent a fixed cost which may limit the ability of the firm to adapt its cost base to any reductions in revenues were the strategic change not to deliver its intended results. These labour costs are likely to be difficult to reduce given the bargaining power of the union and its members
- the global economic slowdown has reduced disposable incomes and led to cuts in discretionary spending, contributing to falling revenues and subscriber numbers for streaming firms in related industries.

Accept all relevant arguments.

0	2	3	Soundcheck plc's management has had good relationships with trade unions and its staff have been supportive of strategic change. To what extent does consultation with trade unions enable all businesses to overcome resistance to strategic change? [16 marks]
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Marks for this question: AO1 = 2, AO2 = 3, AO3 = 4, AO4 = 7

Level	The student will typically demonstrate:	Marks
4	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding that is precise and well-selected in relation to issues in the question • demonstrates analysis throughout which is well-developed, is applied effectively to the context and considers a balanced range of the issues in the question • makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	13–16
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well-developed, applied effectively to the context and considers a range of issues in the question • makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole throughout.	9–12
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question • makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	5–8
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question • makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	1–4

The demands of the question are:

- to demonstrate an understanding of the role of consultation in employee relations and of factors that are relevant to successful strategic change
- to analyse how effective consultation with trade unions can influence employee attitudes towards strategic change
- to make a judgement concerning whether all businesses can overcome resistance to change through consultation.

Indicative content:

Consultation may be beneficial:

- because employees who are well engaged with management may be more likely to appreciate the need for strategic change and support its implementation
- as greater employee engagement should improve the alignment of worker and corporate vision and goals
- it may help management to understand change resistance if they engage with workers' representatives and so appreciate staff concerns
- if resisting forces/reasons for resistance to change are understood and facilitation and support/participation and involvement (or other elements of Kotter & Schlesinger's model) are used to overcome barriers to change
- if it can promote change by influencing the balance of (Lewin's) forces that either support or resist change
- if it is a genuine, two-way exchange of information and ideas.

Evaluation could be provided by considering issues such as:

- situations when consultation may not be beneficial, such as when management ignores outcomes of consultation or if it creates too much delay in choosing and implementing strategy
- the nature of the strategic change, how large it is or its potential impact on workers and the extent to which it may conflict with their self-interest
- the effectiveness with which the change is communicated to employees
- the extent to which workers within the firm/industry are represented by a trade union
- whether alternative forms of employee representation may provide more suitable routes to overcoming change resistance
- whether relations with unions are adversarial or collaborative.

Further guidance

There is no requirement for students to refer to the music streaming industry or any specific business, but it would be valid to consider whether trade union consultation may be more or less effective given the varying employee relations environments which exist in different industries. Judgement could focus on the extent to which there will be a positive relationship between consultation and strategic change for all businesses.

Credit other valid lines of analysis and judgement.

0	3	1	Analyse how WWH Ltd could improve its cashflow.	[9 marks]
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Marks for this question: AO1 = 2, AO2 = 3, AO3 = 4

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: - demonstrates a depth and range of knowledge and understanding of issues in the question - demonstrates analysis which is well-developed and is applied effectively to the context.	7–9
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: - demonstrates a reasonable knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question - demonstrates analysis which is developed and is applied to the context.	4–6
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: - demonstrates a limited range and depth of knowledge and understanding of issues in the question - demonstrates analysis with little development and with mainly descriptive application to the context.	1–3

The demands of the question are:

- demonstrate knowledge and understanding of how to improve cashflow
- analyse how cashflow can be improved in the context of WWH Ltd.

Answers may include:

- produce to order or switch to Just-in-time production, enabling less cash to be tied up in finished goods/stock
- sell assets/sale leaseback, leading to large inflow of cash
- full payment with order/increase deposit, bringing inflows earlier
- outsource fitting/installation to reduce two months wait for fitting (and hence decrease wait for customer's payment)
- debt factoring, use debt factors to get the inflow from the customer payment sooner.
- sale of new shares but if issuing shares is suggested be mindful that context is of a Ltd
- mortgaging some/all of the buildings that they own

Accept all relevant arguments.

0	3	2	WWH Ltd's directors are considering making and selling a portfolio of products rather than a single product, in order to increase growth. Analyse how WWH Ltd's organisational design may change if the directors decide to do this. [9 marks]
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Marks for this question: AO1 = 2, AO2 = 3, AO3 = 4

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well-developed and is applied effectively to the context.	7–9
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The demands of the question are:

- demonstrate understanding of organisational design and its elements
- analyse possible implications for WWH Ltd's organisational design
- in the context of their current organisational design

Answers may include:

- structure may become taller as more complexity is added to the business leading to higher costs
- those higher up the hierarchy may end up with wider spans of control, leading to less close supervision/more delegation/addition training needs as scope of jobs change
- the structure may become less centralised as scope of manager's jobs increases
- the business may need to set up a new product development team requiring skills not currently available in the business
- a functional structure may be less effective and a move to a product-based structure may be suitable if the new products are very different
- suggestions for other organisation structures are acceptable, analysis should be relevant to WWH Ltd.

Accept all relevant arguments.

0	3	3	‘Legislation to protect the environment is always damaging to business.’
			To what extent do you agree this is true for all businesses?
			[16 marks]

Marks for this question: AO1 = 2, AO2 = 3, AO3 = 4, AO4 = 7

Level	The student will typically demonstrate:	Marks
4	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding that is precise and well-selected in relation to issues in the question • demonstrates analysis throughout which is well-developed, is applied effectively to the context and considers a balanced range of the issues in the question • makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	13–16
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2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question • makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	5–8
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The demands of the question are:

- to show understanding of the business impacts of environmental protection legislation
- to provide a balanced analysis of the impacts in the context of all businesses
- to make a judgement on whether environmental protection legislation is always damaging to all business.

Arguments may include:

- legislation may reduce sales or stop them altogether for example, inefficient wood-burning stoves
- raising minimum environmental standards may threaten the USP/brand image/market share of firms that already exceed standards
- legislation may lead to increased costs such as:
 - monitoring and reporting compliance
 - product development
 - costs of 'treating waste', eg purifying water, filtering air, recycling waste
 - additional elements to product, eg insulation in new homes
- legislation may put a business' environmental credentials in the public domain, eg reporting of greenhouse gas emissions (could be good (a USP) or bad (reputational damage) for the business)
- legislation may reduce competition if existing rivals find it too expensive/complicated to comply with
- legislation may lead to completely new products, eg electric cars, home insulation, so may give opportunities for businesses to enter markets
- legislation may drive innovation leading to efficiency.

Accept all relevant arguments.

Judgement may depend on:

- whether the business is an existing or new business
- the financial situation of the business – can it afford to make any changes required effectively
- the speed of implementation of the legislation, laws publicised decades in advance may not hinder existing businesses
- public awareness of and interest in the specific environmental issue.

Further guidance

Only credit arguments about legislation which is environmental protection in nature.

A-level
BUSINESS

Paper 3 Business 3

Insert

Source 1: Speed-e-Puds Ltd

Sanjay opened the first branch of Speed-e-Puds Ltd after seeing the huge growth in the dessert parlour market during the last 10 years. Driven by franchise brands such as Creams and Treatz, there are now just over 500 dessert parlours in the UK, serving waffles, pancakes and ice cream in eat-in restaurants.

Sanjay has developed a patented waffle maker, the 'SuperWaffler', which cooks perfect waffles in less than half the time of other waffle makers. This innovation is central to Speed-e-Puds Ltd's customer offer – 'desserts as tasty as anywhere, served twice as fast' – a unique selling point that appeals to its target market of young families and teenagers. 5

Despite his engineering background, Sanjay sees himself primarily as an entrepreneur. Sanjay now owns three successful Speed-e-Puds Ltd branches just one year after he opened his first. All three branches are very busy throughout the day, operating at high levels of capacity utilisation. This success has made Sanjay impatient to grow the business further. He believes that a Speed-e-Puds Ltd outlet in 75 cities in the UK would enable him to achieve the marketing objective he has set: 10

Achieve a 15% share of the UK dessert parlour market in the next three years 15

A new product?

Sanjay is considering offering a new product through his Speed-e-Puds Ltd branches – slushies. These flavoured, crushed-ice drinks are served from a large machine that would take up a significant proportion of the counter in each Speed-e-Puds Ltd branch. Detailed financial information on the slushy machines has been provided by the slushy machine supplier and is shown in **Appendix B**. 20

Sanjay's personal financial objective is to achieve a return on investment of 25% on any money invested in his business.

Growth 25

Sanjay knows that opening new branches is critical to achieve his marketing objective. He faces a choice over which method of growth to use:

Option 1

Sanjay could retain tight control over Speed-e-Puds Ltd by growing purely organically. All new branches would be part of the Speed-e-Puds Ltd organisation, with Sanjay frequently meeting the managers that he appoints to run these branches. 30

Option 2

Sanjay could sell Speed-e-Puds Ltd franchises to entrepreneurs who are interested in owning their own Speed-e-Puds Ltd franchised outlet. In return for an initial franchise fee and a monthly payment of 10% of revenue, franchisees would be allowed to use Sanjay's patented 'SuperWaffler'. Franchisees would also receive training and support for running their business and Speed-e-Puds Ltd would provide national advertising of the brand. 35

Sanjay produced a SWOT analysis for his business to help him with the decision provided in **Appendix C**. 40

Appendix A Speed-e-Puds Ltd financial data for last year (three branches)

Revenue	£750 000
Operating profit	£200 000
Cash	£20 000
Current ratio	0.2 : 1
Gearing ratio	90%
Total equity	£100 000
Average start-up cost per branch	£100 000

Appendix B Slushy machines

Initial cost of buying each slushy machine	£750
Contribution per slushy	95p
Slushy machine supplier's forecast of number of slushies sold per branch per year	3600
Increased electricity usage each year per branch	£3000

The machines are expected to have a useful life of five years.

Turn over for Appendix C

Turn over ►

Appendix C Sanjay's SWOT analysis of Speed-e-Puds Ltd:

Strengths: • strong branding • faster cooking and service times than rivals due to 'SuperWaffler'.	Weaknesses: • reliance on Sanjay's hands-on management style • lower gross profit margins than rivals.
Opportunities: • the dessert parlour market has grown by an average of 20% per year over the last five years • many cities have no specialist dessert parlour.	Threats: • healthy eating concerns remain a threat for all dessert parlours • demand is highly income elastic.

END OF SOURCES

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Please write clearly in block capitals.

Centre number

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Candidate number

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Surname

Forename(s)

Candidate signature

I declare this is my own work.

A-level BUSINESS

Paper 3 Business 3

Thursday 6 June 2024

Morning

Time allowed: 2 hours

Materials

For this paper you must have:

- a calculator
- the Insert.

Instructions

- Use black ink or black ball-point pen.
- Fill in the boxes at the top of this page.
- Answer **all** questions.
- You must answer the questions in the spaces provided. Do not write outside the box around each page or on blank pages.
- If you need extra space for your answer(s), use the lined pages at the end of this book. Write the question number against your answer(s).
- Do all rough work in this answer book. Cross through any work you do not want to be marked.

Information

- The marks for questions are shown in brackets.
- The maximum mark for this paper is 100.

For Examiner's Use	
Question	Mark
1	
2	
3	
4	
5	
6	
TOTAL	



J U N 2 4 7 1 3 2 3 0 1

IB/G/Jun24/G4004/E6

7132/3

Read the **case study** in the **Insert**.

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3

[16 marks]

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4

Use information from **Appendix C** and the other information provided to justify your answer.

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[20 marks]

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ANSWER IN THE SPACES PROVIDED**



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A-level
BUSINESS
7132/3

Paper 3 Business 3

Mark scheme

June 2024

Version: 1.0 Final



Mark schemes are prepared by the Lead Assessment Writer and considered, together with the relevant questions, by a panel of subject teachers. This mark scheme includes any amendments made at the standardisation events which all associates participate in and is the scheme which was used by them in this examination. The standardisation process ensures that the mark scheme covers the students' responses to questions and that every associate understands and applies it in the same correct way. As preparation for standardisation each associate analyses a number of students' scripts. Alternative answers not already covered by the mark scheme are discussed and legislated for. If, after the standardisation process, associates encounter unusual answers which have not been raised they are required to refer these to the Lead Examiner.

It must be stressed that a mark scheme is a working document, in many cases further developed and expanded on the basis of students' reactions to a particular paper. Assumptions about future mark schemes on the basis of one year's document should be avoided; whilst the guiding principles of assessment remain constant, details will change, depending on the content of a particular examination paper.

No student should be disadvantaged on the basis of their gender identity and/or how they refer to the gender identity of others in their exam responses.

A consistent use of 'they/them' as a singular and pronouns beyond 'she/her' or 'he/him' will be credited in exam responses in line with existing mark scheme criteria.

Further copies of this mark scheme are available from [aqa.org.uk](https://www.aqa.org.uk)

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Level of response marking instructions

Level of response mark schemes are broken down into levels, each of which has a descriptor. The descriptor for the level shows the average performance for the level. There are marks in each level.

Before you apply the mark scheme to a student's answer read through the answer and annotate it (as instructed) to show the qualities that are being looked for. You can then apply the mark scheme.

Step 1 Determine a level

Start at the lowest level of the mark scheme and use it as a ladder to see whether the answer meets the descriptor for that level. The descriptor for the level indicates the different qualities that might be seen in the student's answer for that level. If it meets the lowest level then go to the next one and decide if it meets this level, and so on, until you have a match between the level descriptor and the answer. With practice and familiarity you will find that for better answers you will be able to quickly skip through the lower levels of the mark scheme.

When assigning a level you should look at the overall quality of the answer and not look to pick holes in small and specific parts of the answer where the student has not performed quite as well as the rest. If the answer covers different aspects of different levels of the mark scheme you should use a best fit approach for defining the level and then use the variability of the response to help decide the mark within the level, ie if the response is predominantly level 3 with a small amount of level 4 material it would be placed in level 3 but be awarded a mark near the top of the level because of the level 4 content.

Step 2 Determine a mark

Once you have assigned a level you need to decide on the mark. The descriptors on how to allocate marks can help with this. The exemplar materials used during standardisation will help. There will be an answer in the standardising materials which will correspond with each level of the mark scheme. This answer will have been awarded a mark by the Lead Examiner. You can compare the student's answer with the example to determine if it is the same standard, better or worse than the example. You can then use this to allocate a mark for the answer based on the Lead Examiner's mark on the example.

You may well need to read back through the answer as you apply the mark scheme to clarify points and assure yourself that the level and the mark are appropriate.

Indicative content in the mark scheme is provided as a guide for examiners. It is not intended to be exhaustive and you must credit other valid points. Students do not have to cover all of the points mentioned in the Indicative content to reach the highest level of the mark scheme.

An answer which contains nothing of relevance to the question must be awarded no marks.

Marking guidance

- Be clear on the focus of the question.
- Read the response as a whole; follow the flow of the argument as a whole.
- Remember that the indicative content provides possible lines of argument but there may be others that are equally valid. Be willing to credit other lines of argument.
- **Annotate the script** as you read in accordance with the instructions given at standardisation.
- Consider what it all adds up to, eg is this a limited response? A reasonable one? A good one? Refer back to the standardisation scripts and guidance to help you benchmark. You are marking to the standard agreed at standardisation. Be careful of the standard you are marking at; refer back to standardisation scripts regularly.
- Summarise your findings briefly at the end of the response. This will help you decide on the overall level and is helpful for others to understand the mark given, eg for an extended response 'well-argued' but does not focus fully on the issue of 'long term' feels as if it might be good rather than excellent. Make sure the comments fit with the level awarded: 'unbalanced and not comparing with alternative solutions' does not sound as if it is 'good'.
- Next to your comment put the level awarded, eg L4.
- If in doubt about an approach contact your Team Leader, do not make up your own rules because we must have a standardised approach across all marking.
- Be positive in your marking. Look to reward what is there.

K U	Knowledge and Understanding
AN	Analytical but lacks context
ARG	Argument (developed analysis in context)
DEV	Developed argument (well developed analysis in context)
EVAL	Evaluation
NFF	Not Fully Focused on the demands of the question
Bal	Balanced response, eg both sides acknowledged
Rng	Range of arguments, eg two arguments presented
BD	Benefit of the Doubt
NAQ	Not answering the question
OF	Own Figure Rule
SEEN icon	Seen
☒	TICK – use for correct calculation
☒	CROSS - incorrect
☐	Txt Box
?	Unclear
Highlighter	Highlighter

The following should be used at the end of the response.

L1	L1
L2	L2
L3	L3
L4	L4
L5	L5

0	1	Analyse how Speed-e-Puds Ltd benefits from operating with a high level of capacity utilisation.	[12 marks]
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Marks for this question: AO1 = 3, AO2 = 3, AO3 = 6

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: - demonstrates a depth and range of knowledge and understanding of issues in the question - demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question.	9–12
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: - demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question - demonstrates analysis which is developed, applied to the context and considers some of the issues in the question.	5–8
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: - demonstrates a limited range and depth of knowledge and understanding of issues in the question - demonstrates analysis with little development and mainly descriptive application to the context.	1–4

The demands of this question are:

- understand the meaning of a high level of capacity utilisation
- analyses benefit(s) of a high level of capacity utilisation
- in the context of Speed-e-Puds Ltd.

Indicative content:

- lower average cost per unit as fixed costs (rent of premises – potentially on the High Street/equipment/staff) are spread across more customers
- buying larger quantities of materials will be required, so discounts may lead to lower unit costs (purchasing economies)
- for restaurants such as this, busyness can be seen as a recommendation for passing customers
- high capacity utilisation may be important because sales volume may compensate for lower than average gross profit margins
- high capacity utilisation may suggest prices could be raised, boosting gross margins
- high capacity utilisation implies a high inventory turnover thus less waste of potentially perishable ingredients
- staff will feel a sense of job security with a busy restaurant
- Operating at a high level of capacity utilisation will imply high revenue matched with lower unit cost, thus suggesting profits (£200,000) should be available to invest or pay down debt

Accept other relevant arguments.

Markers' note:

Do not credit arguments focused on causes of capacity utilisation being high (E.g. the speedy waffle maker causes high demand which causes high capacity utilisation – not answering the question which must be about the consequences of high capacity utilisation, rather than high demand)

Also beware incorrect responses built around benefits of high capacity (can meet high demand) or speed of service (productivity) due to SuperWaffler

0	2	Sanjay has a marketing objective of achieving a 15% market share within 3 years.
		Analyse the factors that influenced Sanjay's decision to set his marketing objective at a 15% market share.
		[12 marks]

Marks for this question: AO1 = 3, AO2 = 3, AO3 = 6

Level	The student will typically demonstrate:	Marks
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: - demonstrates a depth and range of knowledge and understanding of issues in the question - demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question.	9–12
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: - demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question - demonstrates analysis which is developed, applied to the context and considers some of the issues in the question.	5–8
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: - demonstrates a limited range and depth of knowledge and understanding of issues in the question - demonstrates analysis with little development and mainly descriptive application to the context.	1–4

The demands of this question are:

- understands the meaning of marketing objective and market share
- analyses factors influencing the decision to set the marketing objective of a 15% share of the market
- in the context of Sanjay/Speed-e-Puds Ltd.

Indicative content:

Reasons for setting 15% as the target figure:

- with a few major national rivals, 15% implies a healthy position relative to a few large rivals ensuring Speed-e-Puds are seen as a major national presence
- the market has grown at an average of 20% over the last 5 years. Attaining market share may be easier in a growing market
- Sanjay is clearly ambitious, indeed the case study mentions his impatience, suggesting an ambitious target may be influenced by his own attitudes
- 15% implies the kind of national coverage that Sanjay sees as important – a branch in every city
- Sanjay has already experienced very rapid success
- Introducing a new product (slushies) may provide a boost in sales

Reasons for setting market share as an objective:

- it matters because it highlights the need to 'beat' rival dessert chains

- market share may be an important consideration within an immature market that is experiencing rapid growth
- it recognises the desire for national growth.

Some may focus on the time frame (which can be credited):

- within 3 years is short – this may reflect Sanjay's desire to 'cash in' while dessert parlours remain popular – social trends may change
- 3 years emphasises Sanjay's impatience and desire to grow his business quickly
- 3 years may be appropriate given likely speed of change in an emerging market such as dessert parlours.

Accept other relevant arguments.

Markers' Note:

One factor well developed will be enough to access all levels of the mark scheme

0	3	Should Sanjay add 'slushy' machines to his three branches?
		Use quantitative and qualitative information and calculations to support your answer. [16 marks]

Marks for this question: AO1 = 2, AO2 = 3, AO3 = 4, AO4 = 7

Level	The student will typically demonstrate:	Marks
4	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: - demonstrates a depth and range of knowledge and understanding that is precise and well selected in relation to issues in the question - demonstrates analysis throughout which is well developed, is applied effectively to the context and considers a balanced range of the issues in the question - makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	13–16
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: - demonstrates a depth and range of knowledge and understanding of issues in the question - demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question - makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole.	9–12
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: - demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question - demonstrates analysis which is developed, applied to the context and considers some of the issues in the question - makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	5–8
1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: - demonstrates a limited range and depth of knowledge and understanding of issues in the question - demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question - makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	1–4

The demands of this question are:

- use quantitative and qualitative information to analyse benefits and drawbacks of adding slushy machines to Speed-e-Puds branches
- correctly use relevant calculations to support answer
- make a judgement on whether to introduce the machines.

Indicative content:

Relevant calculations may include any of the following:

extra profit generated by Slushies = £3420 (contribution) – £3 000 (fixed cost)
= £420 per branch per year.

or £2100 over 5 years

Or £1350 if initial cost of £750 is deducted

From an investment appraisal perspective:

Payback:

initial investment = £2250 (3 machines)

net cash flows in subsequent years = £420 per branch, for 3 branches = £1260

$$\text{payback} = \frac{£2250}{£1260} = 1.79 \text{ years (or 1 year 9.43 months)}$$

(accept 1.7 to 1.8 years **or** 21 to 22 months **or** 1 year and 9 to 10 months)

ARR – based on a 5-year life:

lifetime profit = (£1260 × 5) = £6300 – £2250 = £4050

$$\frac{£4050}{5} = £810$$

$$\frac{£810}{£2250} \times 100 = 36\%$$

Break-even for slushy machines:

$$\frac{\text{Fixed costs}}{\text{Contribution per unit}}$$

$$\frac{£3000}{£0.95} = 3158$$

break-even number of slushies per branch = 3158 slushies per branch

Arguments for introducing slushy machines:

- minimal outlay is paid back within lifetime

- positive contribution per branch of £420 if forecasts are correct – multiply this by number of branches – this may be more than 3 in future years depending on expansion plans
- ARR of 36% is positive and above interest rates and Sanjay's ROI target
- may attract new customers who spend on other menu items – boosting profit.

Arguments against introducing slushy machines:

- capacity utilisation is already high, can staff cope with selling additional products or would slushy machines reduce other 'counter-top' revenue streams
- quantities (particularly of profit generated per branch) are relatively low
- Slushy sales may cannibalise other dessert sales
- Ansoff suggests that product development carries risk.

Accept other relevant arguments.

Evaluation

An effective judgement should flow from the arguments presented. Judgement will come through the assessment of whether this approach will achieve Sanjay's targets – perhaps most importantly the 25% RoI mentioned in the case study. Other evaluative issues that may be raised include:

- forecast is from supplier – may be overly optimistic
- £420 extra contribution per branch per year is small in relation to current operating profit (around £67 000 per branch)
- if expansion goes ahead, overall financial effect of slushies will be greater
- will there be a significant opportunity cost – in terms of counter space?
- will Slushies complement existing menu?

Markers' note:

Any calculations that are accurate and used effectively to support an argument should be credited – make a reasonable attempt to understand where students' numbers have come from.

A calculation is one of the demands of the question, so the highest level that can be awarded without a calculation is level 3.

To earn credit for calculations they need to be used to develop an argument

If all that is present are correct calculations, without argument or judgement, Level 1

0	4	To what extent is Sanjay's use of SWOT analysis likely to help his strategic planning?
		Use information from Appendix C and the other information provided to justify your answer.
		[16 marks]

Marks for this question: AO1 = 2, AO2 = 3, AO3 = 4, AO4 = 7

Level	The student will typically demonstrate:	Marks
4	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding that is precise and well selected in relation to issues in the question • demonstrates analysis throughout which is well developed, is applied effectively to the context and considers a balanced range of the issues in the question • makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	13–16
3	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question • makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole.	9–12
2	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question • makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	5–8

1	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question • makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	1–4
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The demands of this question are:

- use information from **Appendix C** and other information to analyse the usefulness of SWOT analysis
- make a judgement on the extent that Sanjay's SWOT will help strategic planning.

Indicative content:

- forces him to assess the external environment, plus encourages internal analysis
- may help identify and plan to overcome specific weaknesses or threats, such as how to execute a growth plan when the business is reliant on Sanjay's hands-on approach
- allows a strategy to be devised appropriate to his strategic position (eg building on strengths or capitalising on opportunities)

BUT

- Sanjay's own SWOT may lack objectivity – what he believes are strengths may not represent genuine sources of competitive advantage
- Sanjay's analysis has done little to address the threat of ongoing health concerns and income elasticity – illustrating that SWOT does not necessarily offer solutions.
- SWOT analysis done well could be useful, done poorly, may lack merit. Sanjay may have rushed his SWOT due to being busy.

Accept other relevant arguments.

Evaluation

An effective judgement should flow from the arguments presented. Judgement will come through the assessment of the usefulness of Sanjay's SWOT in the process of strategic planning. Issues to consider may include:

- the extent to which Sanjay has used his SWOT in devising future strategy
- the quality of decisions made using the SWOT analysis
- accuracy of information used when preparing the SWOT analysis.

0	5	Sanjay is considering two options for the growth of Speed-e-Puds Ltd. Would you advise him to choose Option 1 or Option 2? Justify your answer.	[20 marks]
----------	----------	--	-------------------

Marks for this question: AO1 = 4, AO2 = 3, AO3 = 5, AO4 = 8

Level	The candidate will typically demonstrate:	Marks
5	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding that is precise and well selected in relation to issues in the question • demonstrates analysis throughout which is well developed, is applied effectively to the context and considers a balanced range of the issues in the question • makes judgments or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	17–20
4	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed and is applied effectively to the context and considers a range of issues in the question • makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole.	13–16
3	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question • makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	9–12
2	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development and with mainly descriptive application to the context and considers a limited number of issues in the question • makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	5–8

1	A weak response overall lacking focus on the demands of the question. Provides an answer to the question set that: • demonstrates isolated or imprecise knowledge and understanding • demonstrates undeveloped analysis with descriptive application to the context and lacking focus on the question • makes judgements or proposes solutions based on assertions.	1–4
---	--	-----

The demands of this question are:

- analyse the two options
- make a justified recommendation whether to choose Option 1 or Option 2.

Indicative content:

Option 1 – organic growth

- though safer – due to control issues (easier to control directly employed staff), there is no way Sanjay's growth objective can be met. Current retained profits suggest only 2 branches a year (assuming all operating profit is available) could be opened – nowhere near enough to achieve the 15% national share expected
- external finance may be hard to source – gearing is high (90%) whilst private limited company status limits the amount that could be raised through share issues
- the company is generating profit, so should be able to fund steady growth in this way
- its financial position is somewhat precarious, suggesting that retained profit may be better used paying down debt.

Option 2 – franchising

- will allow rapid growth. Franchisees would provide the capital required. This may be the only chance for Sanjay to reach his target market share in three years
- Speed-e-Puds does have a key point of differentiation – the cooking method – patented by Sanjay, which would be unavailable to entrepreneurs considering starting up independently
- Sanjay feels the branding is a strength – vital if he is going to be able to attract potential franchisees
- franchising carries a greater risk of a loss of control – franchisees may fail to meet Speed-e-Puds Ltd standards and place the reputation of the brand at risk
- would cause major problems with Sanjay's 'hands-on' management style
- if growth is too fast, the company's precarious finances (current ratio and gearing ratio) may be over-stretched.

Accept other relevant arguments.

Evaluation

An effective judgement should flow from the arguments presented. Judgement will come through the assessment of the best option for growth in the light of Sanjay's objective of achieving a 15% share of the market in three years. Evaluative themes may include:

- the success of each depends on the ability to implement the strategy – if franchisees cannot be found or if profits dip and retained profit is not available the options may be unavailable
- depends on importance of hitting that growth objective relative to financial stability. This may depend on Sanjay's attitude to risk. The case suggests he is risk tolerant
- growth on the scale Sanjay aims to achieve may be unwise – perhaps his objective is unrealistic.

Markers' note: A response that only considers one option will not be able to access Level 4 or 5 as only some of the demands of the question would have been met

0	6	A key feature of Sanjay's business is differentiation provided by his innovative, speedy waffle maker. To what extent is successful innovation essential for all businesses choosing a strategy of differentiation? [24 marks]
----------	----------	--

Marks for this question: AO1 = 5, AO2 = 4, AO3 = 6, AO4 = 9

Level	The candidate will typically demonstrate	Marks
5	An excellent response overall that is fully focused on the key demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding that is precise and well selected in relation to issues in the question • demonstrates analysis throughout which is well developed, is applied effectively to the context and considers a balanced range of the issues in the question • makes judgements or provides solutions which are built effectively on analysis, show balance and have a clear focus on the question as a whole throughout.	21–24
4	A good response overall that focuses on many of the demands of the question. Provides an answer to the question set that: • demonstrates a depth and range of knowledge and understanding of issues in the question • demonstrates analysis which is well developed, applied effectively to the context and considers a range of issues in the question • makes judgements or provides solutions which are built on analysis, show balance and address the question as a whole.	16–20
3	A reasonable response overall that focuses on some of the demands of the question. Provides an answer to the question set that: • demonstrates a limited knowledge and understanding of a range of issues in the question or a good knowledge and understanding of relatively few issues in the question • demonstrates analysis which is developed, applied to the context and considers some of the issues in the question • makes judgements or provides solutions which are built on analysis, but lack balance and are not fully focused on the question as a whole.	11–15

2	A limited response overall with little focus on the demands of the question. Provides an answer to the question set that: • demonstrates a limited range and depth of knowledge and understanding of issues in the question • demonstrates analysis with little development, mainly descriptive application to the context and considers a limited number of issues in the question • makes judgements or proposes solutions which have limited links to analysis or limited focus on the question as a whole.	6–10
1	A weak response overall lacking focus on the demands of the question Provides an answer to the question set that: • demonstrates isolated or imprecise knowledge and understanding • demonstrates undeveloped analysis with descriptive application to the context and lacking focus on the question • makes judgements or proposes solutions based on assertions.	1–5

The demands of this question are:

- analyse the importance of innovation in determining the success of a differentiation strategy for any business
- make a justified judgement on whether innovation is essential for a differentiation strategy.

Indicative content:

Innovation may come through product or process innovation.

Innovation may be essential to successful differentiation because:

- can lead to first mover advantage
- can be patented to maintain competitive advantage
- creates a positive corporate image as an innovator
- may lead to cost or quality advantages.

However, other methods of differentiation are available:

- branding and other marketing-based sources of differentiation (including lowest price)
- mission and values (E.g. environmentally-friendly)
- more effective implementation of others' innovations
- some highly differentiated brands are different because they are perceived as traditional rather than innovative.

Accept other relevant arguments.

Evaluation

An effective judgement should flow from the arguments presented. Judgement is likely to come through the assessment of situations/circumstances in which the statement could be true, weighed up against situations in which it is not.

Differentiation can come through a variety of routes. Not all of these are linked to innovation.

Some markets may lend themselves to differentiation through innovation more than others due to the rate of technological change.

Markers' Note: You may need to apply benefit of doubt to responses that mistakenly write diversification when they clearly mean differentiation. However, responses that clearly are writing about diversification **INSTEAD** of differentiation are not addressing the question set.